Kirloskar Oil Eng Ltd. (KIRLOSENG)

Conference call transcripts, oldest-first. 13 call(s). Generated 2026-06-08.

Call: May 2023

"Kirloskar Oil Engines Limited
Q4 FY'23 Earnings Conference Call"
May 19, 2023

MANAGEMENT : M S. GAURI KIRLOSKAR – MANAGING DIRECTOR –
KIRLOSKAR OIL ENGINES LIMITED
M R. ANURAG BHAGANIA – CHIEF FINANCIAL OFFICER
– KIRLOSKAR OIL ENGINES LIMITED
M R. RAHUL SAHAI – B2B CHIEF EXECUTIVE OFFICER
– KIRLOSKAR OIL ENGINES LIMITED
M R. ASEEM SRIVASTAVA – B2C CHIEF EXECUTIVE
OFFICER – KIRLOSKAR OIL ENGINES LIMITED
M S. SMITA RAICHURKAR – COMPANY SECRETARY –
KIRLOSKAR OIL ENGINES LIMITED
M R. AMIT GUPTA – CHIEF FINANCIAL OFFICER –
ARKA FINCAP LIMITED

MODERATOR : M R. AMIT SHAH – ANTIQUE STOCK BROKING

Moderator: Ladies and gentlemen, good day, and welcome to Q4 and FY '23 Earnings Conference Call of Kirloskar Oil Engines Limited hosted by Antique Stock Broking. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Amit Shah from Antique Stock Broking. Thank you, and over to you.
Amit Shah: Thank you, Yashashri. Good afternoon, everyone. I welcome you all to Q4 FY '23 Post Earnings Call of Kirloskar Oil Engines Limited. To discus s the results today, we have with us now from the management of Kirloskar Oil Engines Limited, Ms. Gauri Kirloskar, Managing Director; Mr. Anurag Bhagania, CFO; and other senior dignitaries from the top management.
I'll hand over the call to Ms. Gauri Kirloskar for her opening remarks, post which we can start the Q&A session. Over to you, ma'am.
Gauri Kirloskar: Thank you very much. Good evening to all of you. This is Gauri Kirloskar, Managing Director of Kirloskar Oil Engines. I would like to thank you all for joining the call today. I have with me Anurag Bhagania, CFO; Rahul Sahai, our B2B CEO; Aseem Srivastava, our B2C CEO;. Smita Raichurkar, Company Secretary; and Mr. Amit Gupta, CFO at Arka.
I will start with an overall business update, and Anurag will update you about the financial performance. A little less than a year ago, we started a journey of 2X-3Y. We said that core as an organization will grow 2x in 3 years. With th at strategy in place, we started working on a major business transformation effort. The transiti on is still a work in progress. And for an organization of our size, it is a 3- to 4-year process. As is the case with any major business transformation effort, it is complex, it touches every part of our organization and many a times, we have to learn on the go.
For an organization that has been in existence as long as KOEL, the change is even more complex than honestly challenging at times. And while we are doing all of this, the leadership team is fully cognizant that we have an existing organization to run immediate numbers to be delivered and stakeholder expectations of today to be met while getting ourselves organized for the future. It is a delicate balance that we are trying to strike. And so far, we have been pretty successful.
The Q4 numbers and the FY 2023 numbers are indicative of both the beginnings of our transformation and also our ab ility to execute today's business opportunities while keeping a firm eye on the future. I am very pleased to present the Q4 and FY 2023 numbers. We continued our strong performance in

Q4. For the quarter, the top line growth stand-alone was 16% and the
full year revenue grew at 25% year-on-year. Across the board, both in the B2B and the B2C
businesses, we saw strong grow th. Demand in the B2B segment, especially in Power Gen and
industrial engines continue to remain robust. On the B2C side, our channel expansion strategy
played out well.

I would not attribute our performance only to the work that we are doing on strategy and
execution, but also about a mindset of looking at challenges as opportunities and making full
use of the opportunities when pres ented. Right through the year, we have had challenges around
supply chain, but we were able to leverage the domestic supply chain nurtured and built over years to mitigate global supply shocks. We had the opportunity in terms of a stronger-than-
expected order board, but our teams executed well to this challenge. This gives me immense confidence on our 2X-3Y strategy and our progress.
Now lo

oking at the P&L performance, stand-alone EBITDA for the quarter was at INR99 crores,
which is down by INR3 crores year-on-year. This is due to a onetime provision that we have
taken as any good corporate citizen wood. We have made a provision of INR28.1 crores in line with our company policy of providing for aged overdue receivables. We are in active discussions
with the customer for recovery of this amount and are reasonably confident we will collect this
money. In the case that we are not successful, we have worked out a plan B to recover this money.
Despite this onetime impact for the full year, EBITDA is INR427 crores at 10.4% margin and is
59% up year-on-year. This performance is a mix of our efforts on pricing strategy and product
cost improvements, product mix as well as volume gain due to strong demand. On overall yearly performance, exports grew around 50% year-on-year. I consider this good progress, and we are
hopeful of maintaining our export growth volumes year-on-year.
On the B2B side, we are fully geared up now for the CPCB 4+ transition that is effective 1st of
July. In fact, I'm happy to share that we are the first in the country to receive CPCB 4+ certification from ARAI on one of our product platforms. On the product side, manufacturing
side and on the channel and aftermarket side, we are progressing as planned, and I'm confident
that we will be ready with the right products at the right cost, at the right quality and all at the right time.
At a consolidated level, revenue from operations for the quarter is INR1,384 crores, which is
17% growth year-on-year. The full year revenue from operations is INR5,024 crores, a 25%
growth year-on-year. At the net profit level, Q4 was at INR79 crores, 16% growth year-on-year. Net profit for the full year stood at INR332 crores, registering 94% growth on year-on-year. This
reflects our efforts to improve profitability across all of our business segments.
This year, we completed the acquisition of LGM, and it is now a 100% subsidiary of Kirloskar
Oil Engines. Our LGM business recorded INR122 crores of revenues for the quarter and INR546 crores for the full year. Our current focus is centered on implementing our leadership and
management practices within this organization. And I'm very enthusiastic about the potential for
LGM. Aseem and his team have a clear strategy, and they are already making steady progress
on this front. We have acquired land to conso lidate the LGM factories into one optimized unit,
and our plan is to move into this factory before the end of fiscal year '25. We do expect to see
further operational efficiencies with this factory consolidation.
Now coming to segmental performance, I wish to draw attention to the in crease in profitability
in all 3 segments. The B2B segment saw a margin improvement of over 200 basis points. The

B2C segment turned its margins from negative approximately 1% last year to a positive 3%.
And the Financial Services segment also experienced an improvement of approximately 200
basis points in margin.
With all the business updates done, I would like to also give an update on our ESG efforts and
plan. Last year, we voluntarily presented the BR SR along with our annual accounts. Throughout the year, significant progress has been made in establishing a robust governance structure and
implementing a comprehensive policy framework for our ESG initiatives. This demonstrates our
commitment to creating value for all our stakeholders.
Furthermore, I am pleased to share that our Nashik plant was honored with the first price for
National Energy Conservation Award 2022, organized by the Bureau of Energy Efficiency under
the Ministry of Power, Government of India. The award was presented by the Honorable
President of India. This recognition signifies our continuous efforts to optimize energy consumption and reduce our environmental imp

act . We remain committed to our mission to
prioritize ESG considerations and contribute to a more sustainable future for our company and society as a whole.
To sum it up, I feel very proud of what we have achieved in the last 1 year, and it gives me immense confidence as we go into the next year. As part of the 2X-3Y strategy, we said that we will work on 5 core pillars, which are our co re growth, technology, channel, operations excellence and people. Work is happening on each of these areas. Some are already showing results and some will over time. Reflecting on the progress we have made on the 5 pillars this year, I feel more assured of our capabilities. Having said that, there is still a lot more to be done, and my team and I are invested in our strategy and in executing our strategy.
With that note, I would like to stop here and hand the call to Anurag for his update on the financials.
Anurag Bhagania: Thanks, Gauri. Good evening, everyone. You've heard the business update. I will run quickly through the financial performance for the quarter and the year. As you see from the numbers, Q4 was another good quarter, I would say. I am happy to report that this is the third quarter in a row where we actually hit INR1,000 crores or plus in terms of revenue from operations, and I'm confident we are building a very strong foundation for our journey ahead.
Coming to the financial performance, I will star t with a stand-alone performance first and review the Q4 financial year '23 performance on a stand-alone basis. Revenue from operations stood at INR1,152.6 crores for the quarter 4 financial year '23 versus INR990 crores for the same quarter last year, which is a 16% increase year-on-year. EBITDA stood at INR99.2 crores for the quarter 4 '23 versus INR102.6 crores for the same quarter last year, which is a 3% decline. EBITDA dropped first time below double digits due to onetimers impact, which Gauri also mentioned in her opening remarks.
Profitability and expenses, as you know, includes a onetime cost of INR28.1 crores on account of provision for doubtful debts for aged overdue receivables.
We are in active discussions with the customers. But as per our consistent policy of good accounting standards, we are providing for this amount. On recovery, this provision will be

reversed. EBITDA margins stood at 8.6% for the quarter, and this was 10.4% in the prior year same quarter. Net profit stood at INR64.9 crores for the quarter versus INR119.6 crores for the same quarter last year. Please note that last year, there was also a onetime gain coming out of sale of Arka, our subsidiary shares to the tune of INR52.6 crores. Cash and cash equivalents was higher than INR200 crores, actually, INR210 crores.
Now looking at the full year '23 financial performance at a standalone level. Revenue was INR4,116 crores versus INR3,300 crores for the prior year, which is a 25% increase year-on-year. EBITDA at INR426.9 crores in financial year '23 versus INR268.8 crores for the financial year 2022, which is 59% increase year-on-year. EBITDA margins at 10.4% versus 8.1% last year, and net profit at INR270.3 crores versus INR208 crores in the last year, which is a 30% year-on-year increase.
Here, if we remove the onetime impact of Arka shares, the net profit actually grew 74% year-on-year. Our working capital, which was trending at worse in the first half of the year have started to show early signs of softening. The increase in demand, the higher volume had led to significant increase in working capital, almost INR162 crores in the first half of the year FY '23. In the second half, we've actually seen a INR60 crores plus decline from that working capital level.
Now looking at the consolidated performance for the quarter. Revenue from operations was INR1,383 crores for Q4 FY '23 was INR1,182 crores for the same quarter last year, which is a 17% incr

ease year-on-year. Net profit at INR78.9 crores for the quarter versus INR67.8 crores for the same quarter last year, which is a 16% increase year-over-year. And on a full year basis, revenue from operations stood at INR5,023.8 crores versus INR4,022 crores the prior year, which is a 25% increase. It's important to note at a consolidated level, we crossed the INR5,000 crores mark.
Net profit at INR331.7 crores for the financial year '23 versus INR170.9 crores in the prior year, which is a 94% increase year-on-year. As you know from previous quarters, we've adopted new reporting segments for our businesses, B2B, B2C and the financial services. Accordingly, I will share the financial summary in line with the new reporting segment at a consolidated level. Please also note that the prior year numbers have been adjusted to align to the new reporting changes that we've made.
Let us now look at the consolidated segment performance. For our B2B segment, the revenue for the quarter was INR1,000 crores, which is a 16% growth year-over-year. The segment PBIT stood at INR75.4 crores. For the full year, the revenue was INR3,582 crores, a 27% increase year-on-year with a PBIT of INR336.5 crores, which is a 65% growth year-on-year. As I mentioned earlier, these numbers reflect a onetim e cost impact of INR28.1 crores in our B2B

segment. So you will see the effect in the segm ent margins. Without th is onetime impact, the
full year segment PBIT has actually grown 79%.
B2C segment revenue for the quarter was INR271 crores, which is a 5% growth year-on-year.
The segment profit PBIT was INR11.6 crores an d for the full year, the revenue stood at
INR1,071 crores with a profit of INR29.1 crores. For our B2C business, the highlight for the

year is the business turning profitable. We expect to keep the momentum, and we'll continue to
look for operational efficiencies to drive further from here. Our Financial Services segment
revenue for the quarter stood at INR112.9 crores, reflecting a 76% year-on-year growth. The
segment profit stood at INR16.6 crores, at 13.7% PBIT margin.
The Board of Directors in the meeting held today, 19, May 2023 have recommended a final
dividend of INR2.5, which is 125% per equity share of INR2 each for the financial year '22-'23,
subject to the shareholders' approval. This takes the full year dividend to INR5, 250% per share.
This reflects 27% dividend payout ratio as a percentage of our net profit, which is in line with the payout ratio that we've had in the last year. As you know well, we are intentionally building
cash reserves to allocate towards our strategic priorities in ou r 2X-3Y journey. Overall, as we
have moved one year ahead in our 2X-3Y strategy, I am happy with the growth and the overall
financial performance.
On that positive note, I would open it up for questions.
Moderator: Thank you very much. We have our first question from the line of Ashwani Sharma from ICICI
Securities. Pl ease go ahead.
Ashwani Sharma: So a couple of questions related to the CPCB norms. The first one is, was there any prebuy sales
included in the Q4 numbers? If yes, how much it was? And if not, what is the current status?
That is my first question.
Rahul Sahai: Hi, Ashwani, this is Rahul. While we are seeing an overall increase in demand, we are not seeing
much of prebuy volumes kicking in this yet. Some of that may come in, in this quarter. So that's to answer your first question.
What was the second part that you asked?
Ashwani Sharma: So I was asking what is the current status. I think you have answered both the questions on that.
Secondly, just for understanding, so once it is implemented, what is the kind of cost impact that
you would see in the final product? And how do you see your Power Gen margin shaping up
post implementation?
Rahul Sahai: So if you look at our costs, and I mentioned this in the earlier calls, th

e cost impact will vary by
node anywhere between 25% to 40%. And as far as our margins are concerned, I can't give a clear picture in this forum. But what I can say is that our margins will likely be somewhat similar.
Ashwani Sharma: Similar margin. And finally, on CPCB, this technology, overall, how much capex we would
have spent so far?
Anurag Bhagania: So we are, over a period of time, investing in building capacity. Specifically for CPCB, I think
it's anywhere in the range of INR100 crores to INR140 crores. We'll give you the exact number
while we are on the call.
Ashwani Sharma: Okay. Those are my few questions.
Moderator: Thank you. We have our next question from the line of Sidharth Srikumar from I Thought. Please
go ahead.

Anurag Bhagania: Ashwani, I'm ready with the answer. It's between INR100 crores to INR120 crores. That's the
overall number on the CPCB 4+ investment so far.
Moderator: Mr. Sidharth Srikumar, we have unmuted your line. Please go ahead with your question.
Sidharth Srikumar: So I would like to ask you what is your revenue and margin outlook for the next three years.
Gauri Kirloskar: Hi, Sidharth. So we've actually communicated in our 2X-3Y strategy that our revenue target at
the end of FY '25 is INR6,250 crores at a double-digit EBITDA margin.
Sidharth Srikumar: Okay. Double digit means, can you give me a ballpark number.
Gauri Kirloskar: So I can assure you that it will be better than wh at it is now, but I can't really give you an exact
number here. We are focused. And if you look at the strategy that we have articulated, we are
focused on increasing the revenue share from the areas where we see higher profitability, which
is specifically exports and aftermarket revenue, and this is how we hope to increase our margins.
Sidharth Srikumar: Okay. So another general question, like in your experience, what is the demand scenario in rural
India and in urban India, if you can give that bifurcation. Compared to, say, three years ago, four years ago, how is the
demand scenario right now?

Aseem Srivastava: Yes. So this is Aseem here, Srikumar from B2C. If you see on the rural side, last year was one
of the most challenging year because of rains al so and also because of a lot of initiatives from
the government side on the water and stringent compliances. So we feel this is the direction and rural demand for the next
few years will remain challenging.
In urban, if you see, because of infrastructure development, we believe that demand will be
better and it will be increasing.
Sidharth Srikumar: So one more last question is that like will the di esel or petrol-driven power generators, will they
replace eventually by renewables or natural gas-related generators, is there a set of disruption?
Rahul Sahai: This is Rahul. So what I can say is that there is a fuel transition taking pl ace, and it will happen
slowly. It will depend on the application on what kind of energy source it goes into. But what
we will see is over the next maybe five, eight years, natural gas will become a transition fuel.
And then there will be other fuel sources that will come into the mix. There are certain segments
where electrification will come into the picture, such as railways. But a lot of these things will
happen over a period of time. So what we are confident about is internal combustion will remain and Kirloskar Oil Engines is
going to continue to focus on internal combustion.
Moderator: Thank you. We have a next question from the line of Jeetu Panjabi from EM Capital Advisors.
Please go ahead.
Jeetu Panjabi: Gauri, great numbers. I think that INR28 crores write-off to put the numbers in perspective. Two
questions. One, can you talk to us a little bit about what's happening on the export side, what are
the conversations, what are the trends you see over the next 12 months to 18 months in the
context especially of the wea

kness you're seeing in Europe?

And the second question is on the raw material side, we've been seeing softness. So does that
mean it translates into expanding margins for the next quarter or two at least before the transition
plays out?
Gauri Kirloskar: Great questions. I will let Rahul and Aseem comment on the exports that we are seeing
specifically in the B2B and the B2C businesses. And we will answer the question on raw materials.
Rahul Sahai: Hi, Jeetu, this is Rahul. So what we are seeing on the export side as well, there is significant
demand. In fact, there is a significant pending order board that we are trying to execute. Especially if you look at market or
markets such as Middle East, Africa, Southeast Asia, which
are some of the markets where we have larger strength. If you look at the European and the
American markets, there is a lot more compliance and certification requirements. So our
presence there is limited as of now. So on the B2B side, that is my response on exports.
On the raw material side, while we have seen cer tain commodities softening, a large content also
is of proprietary parts. So we haven't seen a significant change or reduction in our costing levels. And whatever we are seeing
softening of in cases, we are passing on the benefits to our
customers. If there are opportun ities to do value engineering, then we are expanding our margins
with that. With that, I'll hand over to Aseem.
Aseem Srivastava: So on B2C side, if you see this year, both on farm mechanization and pump business, we have
done much better than last year with a better margin. And this has happened because of a very simple strategy of deepening
and widening where we are going into new countries. Same thing
will continue this year also, and we feel that B2C export business contribution of overall sales will further increase this sale.
On the commodity side, I think we now have a very good system in B2C, where we have passed
on the inflation to the customer. We'll continue with that. The softening will have very little
effect overall to the market. We have other ways by which we are increasing margins.
Moderator: Thank you. We have a next question from the line of Charanjit Singh from DSP. Please go ahead.
Charanjit Singh: Congratulations on good set of numbers. So first question is on the high kVA gensets. In terms
of how we are doing on the high kVA nodes and in the specific markets like data centers and all,
how we are scaling up. That's what my first question is.
Rahul Sahai: This is Rahul. So what we have begun to do is we have begun to execute orders with data centers,
and we have completed a few projects with them because as you are aware, our range today expands right up to 1,500 kVA.
In parallel, there are some programs that we are undertaking to
expand this, but we are already seeing opportunities for data centers, and we are focusing on the
execution there.
Charanjit Singh: Okay. And sir, if we look at from the overall exports perspective, there is a strong opportunity,
which is emerging, which has been discussed by other players also. So is there a kind of a targeted number what we want to
have as a percentage of sales exports? And also the margin
profile for exports, how is that versus the domestic business?

Rahul Sahai: So on the B2B side, our target is to get exports for the international business to about 30% contribution to revenue. And the margin profile will be significantly healthier than what our current domestic margins are at.
Aseem Srivastava: Yes. So on B2C, also, we have the same target of 30%. And then B2C also our margins are much better than the domestic.
Charanjit Singh: Okay. And sir, if you look at how this CPCB tr ansition, there's definitely going to be a price hike. So what's the kind of quantum of price hike, which you are lo

oking at in terms of the manufacturing of the old rating products, for that does happen and by how is that demand looking like in terms of the prebuy. So if you can just touch upon from a quarterly perspective, how you're looking at the transition from the old rating to new rating price hike other aspects.
Rahul Sahai: Yes, sure. So if you look at the price increase, what we have already passed on about a 3% price increase last month. And we will be watching this very closely because each player will come up with their own pricing strategy for this. I have given an indication of the cost impact we are likely to see. We are currently formulating our pricing strategy, and we're going to be watching this one very closely. So I may not be able to talk about our pricing strategy going forward for this year.
Charanjit Singh: Okay. Sir, if I may just squeeze in one more ques tion. So we have this large in this business where Nuclear used to be a larger part of the overall and lumpy orders. And Nuclear is kind of making a comeback now in the Indian market. That's what government sources are talking about. So any thoughts like how this large engine business can grow for us any outlook you can give for the new hurdles?
Rahul Sahai: So if you look at now what we call that business is industry business, but what you're referring to as large engines, we are seeing demand from Nuclear Power Corporation and the likes of these kind of customers. So the demand is certainly there. What we have is with the K4300 platform and the development we are doing, we will have our large engine platforms that are being manufactured out of our Nashik plant. So we are quite bullish about that.
Moderator: Thank you. We have a next question from the line of Sandeep Tulsiyan from JM Financial. Please go ahead.
Sandeep Tulsiyan: Yes. My first question is pertaining to the Power Gen segment. As a year, we've seen 20% growth in value terms. So two parts. One is, if you could broadly share what was the volume growth and a factor of price increase plus product mix improvement over here?
And secondly, also, if you contrast this 20% growth number with the industry growth, how that has been? And how our market shares have moved across different modes in Power Gen, if you'll give some perspective on that?
Rahul Sahai: Sure. See, if you look at the overall industry, the overall industry has roughly grown and I'm removing the telecom volumes for now, at roughly around 9.8%. And if you look at our volume growth, our volume growth is at about quarter- on-quarter, about 12.4%. So we are actually gaining market share from some of our key comp etitors. So from a volume standpoint, that is

significant. And if you look at the mix, we are seeing significant traction in our range between 250 kVA to 750 kVA. So there's a lot of growth happening there. In fact, if you look at the recent Frost & Sullivan Report, you'll see that there is a lot of traction on the 750 kVA node from Kirloskar Oil Engines. So what we were talking earlier about getting into high horsepower, we are actually there.
Sandeep Tulsiyan: Okay. And so this is -- quarter-on-quarter, essentially, you have shared the numbers for fourth quarter. If you could also give us a perspective from the year as a whole? And also market shares, if you could share across some of the key nodes that will give us some perspective into it.
Rahul Sahai: Yes. So if you look at our volume growth in Power Gen, it's 10% year-on-year. And if I look at the overall market, we have definitely grown faster than the market.
Sandeep Tulsiyan: What would have been the industry growth in volume terms for last financial year?
Rahul Sahai: For the last financial year?
Sandeep Tulsiyan: Yes, 10% is volume growth for oil, so what will this number be for the industry?
Rahul Sahai: I don't have that number off the -- I can check and let you k

now.
Sandeep Tulsiyan: And in terms of market share, if you could give us some perspective where our total market share is and how that is spread across the nodes?
Rahul Sahai: So our market share overall by volume would be about 30%. So by volume, we're the largest player in the genset market. And we dominate specifically in the range of 320 and 250 below.
So that is where bulk of our volumes are from. Over a period of time, we've been gaining traction

on nodes beyond say 20 KVA as well.
Sandeep Tulsiyan: Got it. Another question is on market share.
Anurag Bhagania: On your earlier question, while we don't have the exact market share numbers for the financial year. But what I want you to co nsider as an alternate is comp are the competitive performance of our peer group companies, 2 out of the 3 published quarters of the last year, we've actually grown faster than the rest.
Sandeep Tulsiyan: Understood. The credit sales I just wanted to get a perspective of essentially the big share other than the other largest industry players, what is essentially happening on the French company side? Are we marginalizing the smaller guys? Or how is entire comparable scenario shaping that what I want to do in this time?
Rahul Sahai: See, what we are noticing is that with stricter emission norms coming in technology becomes a big play. And only the serious competitors or seri ous companies who are inte rested to remain in the genset market will likely remain because the CPCB 4+ emission norm is actually a very aggressive emission norm. It's very close to EuroStage V.
So what we envisage is over a period of time, the players that are not as serious or were essentially buying engines from somewhere assembling and playing the role of an assembler

rather than focusing on the search. They may have complexities in dealing with some of these emission changes.
Sandeep Tulsiyan: Understood. Another question is on the new product initiatives that we have put in place in the last few years in areas of models as well as some of the expansion of farm mechanization product range. If you could just provide a perspective on that, where are we in terms of this new product development? And can you just talk about this cl ear strategy, how much are you building at least in the next 2 years to come from this? And how much are we looking at it from a longer-term perspective where the size of these businesses could be?
Rahul Sahai: So see, some of these businesses are incubation businesses. So for example, in motors, we are first focusing on stabilizing that business. But if you look at the last 2 quarters, all our focus has been on product development to deal with emissions and the fuel transition. So we are focusing very heavily on our core products at this moment.
Sandeep Tulsiyan: Understood. And yes, on one point, which the earlier participant asked on the data center front. You said the existing product ranges up to 1,500 kVA. But in the past, we have mentioned comments that the demand is, of course, in a much higher range. And since we don't want to miss out on this, we will be partnering with some of the buys to provide this solution in the interim while we develop those solutions enhance. So there are being that driven if you could just update on that as well.
Rahul Sahai: So if you look at the platform that we have K4300, we can further develop that platform to get into even higher ranges than 1,500 kVA. So the architecture is modulus. Power cylinder designs have been the same.
Sandeep Tulsiyan: So up to what range can we provide the outlook about 1,500 kVA, is it -- is it multiples of 1,500 kVA, is it?
Rahul Sahai: So the way to look at it is the K4300 currently is a 12-cylinder engine that can be intended up to 20 cylinders. And so the 16 and 20, and you can go up to 3,000.
Sandeep Tulsiyan: Okay. Understood. That's it on my side.
Gauri Kirlo

skar: Sandeep, I just wanted to add something because you mentioned the partnering. We generally are following the strategy of build, buy or borrow where we evaluate the time, cost and effort to take to develop it ourselves or buy the technology or partner with someone. And we will continuously do that. And if we have a relevant update in that regard, we will disclose it when there is a development. So that's what I wanted to say on your question.
Moderator: We have a next question from the line of Sanjaya Satapathy from Ampersand Capital Investment Advisors LLP. Please go ahead.
Sanjaya Satapathy: My first question is that, can you please tell us what percentage of your revenue will be impacted by this CPCB launching?

Rahul Sahai: So if you look at our product range, close to about 46% of our business is our power generation business. Now most of that comes under the CPCB 4+. Our range is currently 800 kilowatts and below. I'm saying most because we have the K4300 platforms as well. So only they will be excluded, but that is a very small portion of the revenue today.

So that's close to about 45%, 46%. And if you l ook at industrial applications like power car and
certain defense genset, those may be impacted as well over a period of time. So what I would
say is eventually roughly around 55-odd percent of our business will be impacted by CPCB 4+
emissions change.
Sanjaya Satapathy: Understood. And sir, considering such a huge price increase that is likely to happen and the
emission change is just about a month or away from now. Why is it that the prebuying isn't
happening as much as it would have happened in the previous circumstances?
Rahul Sahai: See, if you look at it from an end customer standpoint, CPCB has given relaxation that the
customer can buy a CPCB-2 product until 31st D ecember. The mandate to manufacturers is that
we can't ship out beyond end of June. So on 1st July, we have to start manufacturing CPCB 4+ compliant product. So the
customer can buy from our GOEMs. So there is that started, which
you need to consider. Having said that, in this quarter, we are seeing in this coming quarter, I mean, right now, we are seeing
some signs.
Sanjaya Satapathy: Understood. And is it that your parts shortage or something which is retaining to meet that
observes in demand for CPCB long and how big the inventory buildup is happening at your own at that level?
Rahul Sahai: I may not be able to answer a lot of these questions because they're leading. All I can say is that
we are pretty geared up for it.
Sanjaya Satapathy: Understood. Sir, basic purpose of asking this qu estion is that how big the disruption will be post
implementation of the norm for your sales and pr ofitability and your plan for fiscal '25, this
anything change because in the past, we have seen that it has been fairly disruptive.
Rahul Sahai: So for sure, some of these emission changes are fairly aggressive. But when you're talking about
disruption, what specifically are you referring to?
Sanjaya Satapathy: I mean your numbers probably will go down when -- after the prebuy gets over and to meet the
new norm, typically it takes time. And also the price being so high, the customers may not really come forward to buy for a
very long time. So those kind of aspects. I'm just trying to understand
how will that play out this time around?
Rahul Sahai: I think some of these standard demand cycles will play out. So I mean, if you look at the
automotive or commercial vehicle industry, some of these things are fairly standard.
Moderator: We have a next question from the line of Amit Shah from Antique Stock Broking. Please go
ahead.

Amit Shah: Congrats on a good set of numbers. I just wanted to ask firstly on the B2B side of the business.
Our Industrial segment for entire FY '23 has regi stered a

very strong growth of 22-odd percent.
But when I look at the fourth quarter number, the growth has been sort of a mid-single digit. So
what is leading to this particular slowdown? Is it more of a 1-quarter phenomena? Or may we see some sort of slowdown in
this particular segment? If you can highlight some insight on this
particular thing?
Rahul Sahai: So actually, what has happened is last year, Q4 was abnormally high for us. What we have seen
is significant growth in our industrial segment ev en this year. So it's not that this quarter was
perfectly poor. Last time we had high execution in billing in Q4, same time last year. So on the
industrial side, actually, we see a very positive outlook going forward.
Amit Shah: And sir, which are the areas, do we see a similar sort of growth continuing into FY '24 that we
have witnessed in FY '23? And which areas can contribute to such a strong growth, if you can just highlight on this particular.
Rahul Sahai: So if I look at on the industrial side, there are a lot of places where today, we have products that
could be used for those applications, but are not being used. And so we see a lot of white spaces
there. So that's the first opportunity that we have. The other opportunity is with the emissions
change, there is significant traction because the product becomes more complex and proprietary.
So we are expecting to see higher growth in the aftermarket as well.
And lastly, if I look at international markets opening up as a result of this emissions change,
Kirloskar Oil Engines has largely developed products for the Indian market. So with this CPCB
4+ coming in, we are now very close to EuroStage V. So there will be new markets that open up for us, which we can
aggressively go after. Of course, in many cases, it will require certifications.
Amit Shah: Okay. And sir, export has been at this point of time, contributing 12% of the overall revenue,
and we have been targeting 30-odd percent. So which countries do we believe can contribute
such a significant growth, which are the countries that we are targeting? And which segments
can contribute such significant growth for us, if you can just highlight?
And as you rightly pointed out that a few of the product categories will be requiring certification.
So how long does the certification take? And when can the product portfolio be available to the
new countries that we are having?
Rahul Sahai: Right. So I will first talk about portfolio expansion because right now, the full scope of our
portfolio and our plans on product expansion are no t going into internationa l markets. So as we

stabilize some of these products, the larger scope of our product portfolio will start going into our traditional stronghold of Africa, the Middle East and Southeast Asia. So one is proliferation of the of products, which we may be filling in India, but we haven't opened them up to international markets. So that's number one.

Number two is we are looking at our channel structure globally as well. So we are going to be looking at very closely what kind of partners w ould help us win in which kind of markets. And we are seeing demand coming in from Middle East as well. Of course, the Chinese partners we will need to engage with them and transact in a tax-efficient manner because there are local

duties and laws that we will need to work with. So that's number two. So number one was our full product range. Number two was looking at our channel structure.

And number three is entering markets where we've tr aditionally not entered in. So if you look at our presence in U.S., if you look at our presence in Europe or Australia, it's been very limited. So that's the number three that we'll be focusi ng on figuring out what is the appropriate entry strategy there.

If you look at U.S., for example, it requires EPA and car certifications and each of those certifications

can take up to 1.5, 2 years. So some of our products are actually EPA-certified and we are shipping some products to the U.S. right now. But over a period of time, we want to expand that presences as well. I hope that answers the question.

Amit Shah: Sure, sir. One more thing on the export opportunity side, do you also consider white labeling for the dominant brands which are present in the countries? Or will like to address the opportunity individually or independently. So what is our thought process over there? If you can just -- that is...

Rahul Sahai: So traditionally, if you look at white labeling, it 's not a very profitable business strategy. So why we are open to evaluating all auctions, but white labeling is something that we haven't been looking at to be seriously at least over the last 6 months.

Amit Shah: And on the Power Gen side, sir, even in this particular quarter, a very strong growth. So which are the segments that end markets, basically, whic h is witnessing or gain ing such strong traction to us. And whether there is any market share gain in the Power Gen segment, if you can say at that. So that will be my last question.

Rahul Sahai: Yes. If you look at the last quarter, there is a lot of demand coming in from segments like telecom, infrastructure, health care. So those will be the big ones.

Amit Shah: Any market share gains, sir, in this particular segment?

Rahul Sahai: Overall, we've gained about 1.5% market share last quarter. I can't necessarily speak about some of these segments within that.

Moderator: We have our next question from the line of Chandramouli Jagannathan from Patterson Securities. Pl ease go ahead.

Chandramouli J.: Sir, when I look at the Arka Fincap segment-wise profit previously, it's got beaten up like anything compared to the last quarter and overall. How is it shaping up overall? And what is the future layer of Arka?

Gauri Atul Kirloskar: Hello, sir. You're on the line?

Chandramouli J.: Yes, ma'am, I'm there on the line.

Gauri Atul Kirloskar: Okay. Please take the question.

Amit Gupta: Sure. Sir, just to answer your question, you're comparing the Q4 along with the Q3 number. The Q4 number have been basically a little bit down because the disbursement that happened mainly on the fag end of the quarter. You would appreciate that even in the Q4, the March being the busiest quarter. So the AUM growth has come in the fag end of the quarter.

That is why the income part is also little bit lo wer as compared to the Q3 on an overall basis. And further there, we have created certain provis ions there also on a standard asset basis. That is why the profit is coming down. But if you s ee the overall profitability of the financial year, it is much ahead as compared to the previous year itself.

Chandramouli J.: And what would the future guidance, can you give me something for that ‘24? Future guidance, how is it shaping up?

Amit Gupta: Sir, as a company per se it is shaping up very well. What we have been committed towards it, building it across the three different business segments, our commitment and focus is totally towards it. We have been opening new branches as well. Currently, as on 31st March, we were

operating from a 14, 15 branches. This quarter, we are opening up new branches itself. The retail plus MSME AUM, if you see as on 31st March 2023, has grown up to 29%, which have been
the growth journey in the near future as well. So we are adequately capitalized.
There have been a decent borrowing. There have been a decent liquidity into the company year-on-year, the profitability of the company is strong, and we don't see any held up in the portfolio quality as well.
Moderator: Thank you. Ladies and gentlemen, that was the la st question for today. I would now like to hand the conference over to management for closing comments. Over to you.
Gauri Kirloskar: Thank you very much,

everyone, for your interest in the company and for your participation on this call. Thank you.
Moderator: On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

"Kirloskar Oil Engines Limited Q1 FY24 Earnings
Conference Call "

August 11, 202 3

MANAGEMENT : MS. GAURI KIRLOSKAR – MANAGING DIRECTOR ,
KIRLOSKAR OIL ENGINES LIMITED
MR. ANURAG BHAGANIA - CFO, KIRLOSKAR OIL
ENGINES LIMITED
MR. RAHUL SAHAI – B2B CEO , KIRLOSKAR OIL
ENGINES LIMITED
MR. ASEEM SRIVASTAVA – B2C CEO , KIRLOSKAR
OIL ENGINES LIMITED
MR. SMITA RAICHURKAR – COMPANY SECRETARY ,
KIRLOSKAR OIL ENGINES LIMITED
MR. AMIT GUPTA – CFO, ARKA FINCAP LIMITED
MODERATOR : MR. DHIRENDRA TIWARI – ANTIQUE STOCK BROKING

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY24 Earnings Conference Call of Kirloskar Oil Engines Limited hosted by Antique Stock Broking .

As a reminder, all particip ant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference has been recorded.

I now hand the conference over to Mr. Dhirendra Tiwari from Antique Stock Broking. Thank you and over to you , sir.

Dhirendra Tiwari : Thank you very much. Good evening, ladies and gentlemen. On behalf of Antique Stock Broking, I welcome you to 1Q FY24 Post Results Conference Call of Kirloskar Oil Engines Limited.

We are pleased to have with us today M s. Gauri Kirloskar - Managing Director ; Mr. Anurag Bhagania - CFO and the Senior Management team of KOEL . We congratulate management team of KOEL for yet another strong performance during this quarter.

Now , I invite Ms. Gauri Kirloskar for initial remarks following which we will open the floor for Q&A session. Thank you and over to you , Ms. Gauri .

Gauri Kirloskar : Thank you very much. Good evening to all of you. This is Gauri Kirloskar - Managing Director of Kirloskar Oil Engines. Thank you for joining the call today. I have with me Anurag Bhagania – CFO , Rahul Sa hai - B2B CEO , Aseem Srivastav a - B2C CEO, Smita Rai churkar - Company Secretary and Amit Gupta - CFO at A rka.

I will start with an overall business update and then Anurag will update you a bout the financial performance.

We have had a strong quarter. Revenue from operations for the quarter is at Rs. 1,265 crores, sustaining a 10% sequential and 33% year-on-year expansion on the topline. This quarter has marked a milestone with the highest sales ever recorded for both B2B and B2C segments achieving the best Q1 performance for international as well as distribution and aftermarket.

EBITDA at Rs. 153 crore s was up by 54 % quarter -on-quarter and 48% year-on-year. EBITDA margin at 12.1% improved 350 basis points quarter -on-quarter and 125 basis points year-on-year. This performance is supported by robust prebuying activity within the power generation sector. When we exclude the impact of prebuy volumes for comparison, the revenue exhibited a 20% annual increase and nearly reached the levels observed in Q4 FY22. I am confident that this figure remains commendable given the historical trend of Q1 traditionally being lower than the preceding Q4 of each year.

Our industrial business also incurred robust demand. The order book for our industrial divis ion stands strong at the end of this fiscal primarily driven by substantial orders from the Indian Railways and Defense. The operati onal and business development aspects have seen significant activity during this quarter as well. I will gi ve you an update on some of the k ey events.
First, the update on CPCB. There was a delay in the CPCB transition timeline two weeks before the earlier announced due date . This led to a lot of industry wide scrambling at the end of the quarter to first understand and then respond to the situation. We are confident that we are in a strong position as we are able to deal with the complexity of runni ng both CPCB II and CPCB IV manufacturing line and managing the supply chain as well. We are also the first company in India to get our full range of 23 platforms of engines certified by ARAI for the CPCB IV emission standard.
At KOEL , we imagine a future in which internal combustion engines maintain their significance in providing power for various uses. The journey towards reducing carbon emissions and creating environmentally f

riendly engines will entail internal combustion engines utilizing
cleaner and more ecofriendly fuels compared to conventional diesel engines or moving towards stricter emission norms within diesel.
With our in -house R&D efforts, we are designing our engines to be fuel agnostic. These platforms are not limited to single fuel source, but can operate efficiently and effectively on a diverse range of fuels. Here is a roundup of the recent developments and alternate fuel engines and our efforts to expand our product range this quarter. We now have a robust gas genset range as well as node s that can run on ethanol as well as methanol. We also introduced Retrofit emission control devices for diesel generators ranging from 125 kVA to 1000 kVA.
Our R ECD device stands out as an innovative technology capable of significantly reducing exhaust emi ssions that achieves an impressive 70% to 90% reduction in diesel particulate matter emissions and a minimum of a 70% reduction in other harmful pollutants like hydrocarbons and carbon monoxide. As state regulations become stricter, these R ECD devices will be required to be installed on our already installed base of CPCB II gensets . We have also introduced Dual Fuel kits that we are distributing through our aftermarket channel.
From the product range point of view, I am very pleased to announ ce the OptiPrime series. This product is a twin engine power pack within the same canopy. The Opti Prime range will address applications that have variable power needs. It helps to reduce fuel consumption and carbon emission by almost 40%. This platform is available across our entire Power Gen range with both twin pack and hybrid options. We are excited with this launch as it also helps us mark our entry in the higher horsepower range with options up to 2000 kVA.
I will now talk about the standalone revenue breakup. The B2B segment with the topline of Rs. 1,095 crore s booked 11% growth quarter -on-quarter and 36% year-on-year. Of the total B2B

revenue , Power Gen revenue was Rs. 603 crores, industrial was Rs. 232 crores , distribution and aftermarket was Rs. 175 crores and international business was Rs. 86 crores. Our international business marked a growth of 29% year-on-year. The B2C segment with the topline of Rs. 160 crores registered 5% quarter -on-quarter and 15% year-on-year growth . Within B2C, the KOEL Water Management Solutions business recorded revenue of Rs. 134 crores and Farm Mechani zation recorded revenue of Rs. 26 crores. Coming to the consolidated performance, the revenue for this quarter was Rs. 1,543 crores, registering 30% growth year-on-year. We booked profit before tax of Rs. 170 crores which was 54% higher year-on-year.
Regarding A rka, we are progressing as per the plan. The loan book for the quarter was at Rs. 3,656 crores. The net profit for the quarter was Rs. 16 crores, registering 4% gro wth year-on-year. In summary, it is a great start to the year for KOEL with a strong Q1 performance. We believe we are progressing well on our strategic growth path.
I will now take a stop and hand it over to Anurag.
Anurag Bhagania : Good evening, everyone. Thank you, Gauri for the updates on the business side :
I will now run you through the “Financial Performance ” for standalone and consolidated businesses :
As you will see from the numbers, Q1 was a very strong quarter for KOEL , thoug h these numbers were on the back of strong onetime prebuy volumes of CPCB. As I would like to reiterate that even without this prebuy, the topline was 20% higher year-on-year. This is now 4 quarters in a row that we have crossed Rs. 1,000 crores in revenue . During the quarter, we were

also able to take price actions due to increased demand resulting in improved margin rate for the quarter .
Coming to the financial performance, I will start with the standalone p

erformance first :
Review of Q1 FY23 “Financial P erformance ” standalone revenue from operations was Rs. 1,264.7 crores in the current quarter as against Rs. 953 crores f or the same quarter last year, which is a 33% increase . EBITDA at Rs. 153 crores in the current quarter versus Rs. 103 crores for the same quarter last year, which is a 48% increase year -over-year. EBITDA margin stood at 12.1% for the current quarter versus 10.8% for the same quarter last year . Net profit was at Rs. 103.2 crores in the current quarter v ersus Rs. 64.6 crores for the same quarter last year registering a 60% increase on net pro fit.
We ended with a strong cash position as well. Net cash and cash equivalents at the end of the quarter stood at Rs. 300.4 crores versus Rs. 210.4 crores in the end of the previous quarter. Our work ing capital, which was trending adverse for the last few quarters, has started to show signs

of softening . In this q uarter , we were able to reduce our net working capital to about Rs. 99 crores versus Rs. 133 crores at the end of the previous quarter.
Let me now look at the consolidated financial s, the performance for the quarter . Revenue from operations was Rs. 1,543.4 crores for the current quarter versus Rs. 1,191.4 crores for the same quarter last year, registering a 30% increase year-on-year. Net p rofit at Rs. 125.5 crores versus Rs. 82.1 crores for the same quarter last year generating a 53% increase year-on-year. Looking at the consolidated segment performance now , please note that the last year's numbers have been restated to align with the chang es in the segment reporting.
The B2B segment revenue for the quarter was at Rs. 1,105 crores at a consolidated level, which is 35% growth year-on-year. The segment PBIT stood at Rs. 132.4 crores, reflecting approximately 75% increase year-on-year. Please n ote that the B2B performance has an effect of a prebuy for CPCB IV+ transition. If we take that effect out, the topline was Rs. 982.9 crores, which is still a 20% increase year-over-year. B2C segment revenue for the quarter was at Rs. 309.5 crore, which is a 4% growth year-on-year, b ut the highlight is the segment PBI T was at Rs. 17.4 crores up almost 15% year-on-year. Financial Services segment revenue for the quarter stood at Rs. 128.2 crores, reflecting a 65% increase year -over-year and segment PBIT at Rs. 21.5 crores , there is a 4% increase year-over-year.
We have provided additional details of our segment and business wise performance to the investor presentation that we uploaded on our website. If you read through them, the standalone sales has busine ss unit breakdown and it is in line with the way we have structured internally. Exports are mostly managed in the International business group within the B2B segment. However, please note that exports also happen directly in other business units and are re corded in the respective business units. Therefore, when you look at the total standalone sales, we have also broken down the sales into domestic and exports to provide additional clarity. Similarly, our segment wise consolidated performance slides also sh ow domestic and export breakup at each segment level.
To conclude, I would say this quarter we continue to deliver a very strong performance. Our outlook for the quarter is cautious as well as optimistic as the strong prebuy demand is not expected to conti nue. However, we remain positive about the growth outlook due to our ability to expand our product portfolio and offerings to serve the customer needs across new geographies. These elements are pivotal to our 2X -3Y strategy and as a team, we are continuous ly working towards realiz ing these market opportunities.
With that, I hand it back to you , Amit.
Moderator: Thank you. We will now begin the question and answer session. The first quest ion is from th

e
line of Renu Baid from I IFL Securities. Please go ahead .

Renu Baid : My first question, a set of questions related to the core margin business , can you highlight what has been the order book built up in the railway segment for Vande Bharat train set and what is the pipeline for telecom orders which we should be expecting for the old CPCB II range of engines in the current fiscal year?
Rahul Sahai : This is Rahul. We won't give out those specific details in this call.
Renu Baid : No issues. Secondly, if you see in the last quarter, while the CPCB IV has also been postponed or extended for a year, many states have been served with so -called notices for CP CB II engines

to Retrofit them, so can you share inputs in terms of how has been the demand for the RE CD kit for the customer , are you seeing the transition or migration to CPCB IV engines from the existing installed base or they going in for the Retrofit kits , so how will the demand panning out on the installed base for this segment of the market?

Rahul Sahai : Renu, we are definitely seeing demand uptake for the emission control ki ts and especially when the gensets are relatively newer, we are seeing that demand kicking in. Otherwise based on the territory in India, for example, if you look at Delhi NCR , the notification that had come out, we are talking about pretty much closure of CP CB II gensets September onwards, unless and until they are already fitted with emission control devices and Dual Fuel kits. So, those specific territories will see dema nd uptake of C PCB IV+ much faster than others, but overall at a pan India level what we are expecting is a slow ramp down of CP CB II and a ramp up of CP CB IV+.

Renu Baid : If you look on the export segment within the domestic B2B , last 3 quarters, we have seen sequential decline picking as in right from 2Q of Rs. 133 crores to now some Rs. 100 crores , so how has been the demand in the export market been for our portfolio and are we seeing any headwinds from global slowdown and to what ext ent can this be offset by the new product introductions that we are targeting in the region?

Rahul Sahai : Renu, a lot of it is because we have been on allocation because we were trying to manage the prebuy and things like that , but it no way indicates the demand that was out there. So, we have an all -time high order board both in the international business as well as the industrial side as Gauri had mentioned.

Renu Baid : And last question if I can , for CPCB IV, it will still take about 12 more months , what is the road map to introduce hybrid solutions in the LHP segment because when we look at peers whether it is Cummins, Perkins and other related companies, there are many hybrid solutions, battery backup solutions being introduced for the LHP segment of the market , so what is our road map to begin Diesel solutions in this sector ?

Rahul Sahai : So, Renu, I can't give something which is extremely forward -looking, but what I can definitely tell you is that Gaur i has spoken about OptiPrime as well as OptiPrime hybrid series. These are both combination of different fuel types as well as different technologies including plug in

hybrid along with gensets. So, I mean those products are already there, the protos are b eing built. We are also looking at commercializing it in the next 12 months and just so that you are aware, we also hold the patents for hybridization and gensets and battery and solar in India.

Moderator : Thank you. The next question is from the line of Khadija Mantri from Sh arekhan. You may proceed.

Khadija Ma ntri: So, my question was regarding introduction of this OptiP rime range in HHP, so have we partnered with any company for the technological capabili ties or we have done it on our own?

Rahul Sahai : This is Rahul. So, if you look at development of our gas portfolio , development of CPCB IV+ or it is coming out with new products or fuel agnostic platforms , we ha ve done it all in -house. We have an extremel y competent R&D department that works on each of these products and we are quite proud of that.

Gauri Kirloskar : And specifically, for the Opti Prime range that you mentioned, it has been developed in-house as well.

Khadija Mantri : Sir, now we do not have any gaps in our HHP range ?

Rahul Sahai : So, the way I would look at it is we have new products coming in and because when we talk about H HP high horse power can actually go into really like much higher kVA nodes including 5000 and 6000 , but what we are focusing on is to plug in the gaps up to 3000 kVA which is what we are fairly confident about that we should be able to do.

Khadija Mantri : And what would be your capacity utilization at this point of time?

Rahul Sahai : So, if you look at the last quarter, our plant capacity utilization and I am comparing this with basically the machining capacity, it is at about 73%.

Khadija Mantri : So, we are fully booked for the next one year as far as the prebuying is concerned for CP CB II? It has been extended by 6 months, I understand ?

Rahul Sahai : So, that is correct. So, we have our CP CB II order board already with us.

Khadija Mantri : In the comment ary you mentioned that the prebuying may not be as good as in Q1, s o what you meant by that is it would taper off in the coming quarters ?

Rahul Sahai : So, what we will see is that there will be some transition in this current quarter , but if you loo k at CP CB II, the demand will taper out eventually and especially as we move into the April to June quarter of next year, that is where the CPCB II product demand will clearly decline and what we are expecting is that September onwards the demand for C PCB IV+ products will start , will get on the rise. So, we are already seeing there is enough demand for CPC B IV+ even now .

We have an order board in place, but we are expecting the demand to start increasing after September.
Moderator : Thank you. The next question is from the line of R ushabh Shah from O3 Securities. Please go ahead.
Rushabh Shah : As we have seen your power generation business has done very well as compared to the previous quarter last year , so how do you see the future o f gensets growing in the coming years and any steps you are taking to gain more market share in that segment?
Rahul Sahai : So, Rushabh, the way we look at it is the power generation business will continue to grow for us. There are different technologies th at we are working with and there are different ranges of products that we are entering now. So, actually powe r generation is one of the business es that we are extremely bullish upon . We have the appropriate technology in place. We also have the right kind of structure from an organization point of view in place. So, we are fairly bullish about the Power Gen business .
Rushabh Shah : And the next question is on the aftermarket side , is there a big opportunity opening across and what are we doing there?
Rahul Sahai : So, Rushabh, I would say that aftermarket and our distri bution business basically has a significant opportunity for us, especially as you look at the complexity of product increas ing, the kind of service solutions contracts that we can now pen etrate with and offer value to our customers is significantly more than what it has ever been before. So, the increased electronics and the complexity obviously which creates value both from an environment standpoint as well as for the customer is a welcom e change and we should see an upt ake in the aftermarket business.
Rushabh Shah : And sir, could you tell me about the alternative fuel shifting to CMG , how

will that impact our business ?
Rahul Sahai : We have actually already developed our gas portfolio which will be largely very similar in terms of platform to what we have on the diesel side and we are gearing up for the CMG or the natural gas fuel as the infrastructure becomes available. So, we are quite bullish on that, especially when it com es to our power generation business, because that is where the biggest opportunity will be . Taking a step back, we are very clear that we are in the internal combustion and energy business. We will follow the fuel that becomes available . So, right now, nat ural gas is a great transition fuel and we have developed products for it which are CPCB IV+ compliant by the way and we will continue to do in line with the fuel type that becomes available.
Moderator : Thank you. The next question is from the line of Nikh il Osw al from Pinterest Capital. Please go ahead.

Nikhil Oswal : My only question is on number front , in the previous presentation, we have mentioned about clocking 2 times revenue of our previous year , so are we early on those lines , any guidance on that because the current numbers are depicting something that we might be early on that ?
Gauri Kirloskar : So, Nikhil, just to clarify, I think you are talking about the strategy that we announced last year around August, which is 2X -3Y, so that commitment is to double our topline in 3 years.
Nikhil Oswal : Right, are we early on that?
Rahul Sahai : So, the way I would look at it Nikhil is that we are fully committed to that strategy and I wouldn't say early on the 2 X, but what I would definitely say is we are phasing out our execution in line with the 2X-3Y.
Moderator : Thank you. The next question is from the line of C haranjit from DSP M utual Fund. Please go ahead.
Charanjit : My first question is pertaining to the domestic Power Gen business , so in that segment, in terms of our market share currently, what le vel it is at and with multiple ranges which you are bringing in and with all these changes coming in, do we expect the significant change in the market share for us?
Rahul Sahai : By volume, we are the largest player and we typically have about 30 % to 32% of the Power Gen market. Having said that, there are fluctuations that happen depending on specific orders that at times we intentionally don't want to take given there are profitability or there are other challenges . So, there are minor fluctuations, but we don't see too much of the change as far as market shares are concerned . We hover between 30 % to 32% of the diesel genset market.
Charanjit : And from overall realization perspective, how has been the movement in th e pricing in the market for CPCB IV compliant engines?
Rahul Sahai : So, because of the new notification that came out, especially if you look at the notification that came out on the 14th of June, there has been a slight delay in espe cially as far as the demand uptake is concerned , but if there are customers that want clean er products and they are clearly seems to be a base of customers that want to adopt to CPC B IV+ , we are seeing demand there

and customers are willing to offer the ap propriate realization for CPCB IV+ as well in line with the scope enhancement that we are offering.
Charanjit : So, there is a good bit of demand even for CPCB IV compliant engines ?
Rahul Sahai : Yes, because what actually happening is there are every state slowly is coming out with their own, I would call from an economic standpoint, externalities where there are notifications coming out, for example, in Delhi NCR, we spoke a little earlier that they don't want to run CPCB II ge nsets without Retrofit e mission control devices and Dual Fuel kits and September

onwards, there is a clear cu

t mandate to either switch over to clean er products or move to these emission control devices, so every state is coming out with these notifications. So, when customers ev aluate, they see that CPCB IV+ is a clean er product and it is a product that they will be able to run hassle free.
Charanjit : Sir, the other question is on the exports market , you talked about that we have a very high order book , so one is on the ground le vel in terms of the distribution reach , in terms of the service center reach , all those aspects , can you touch upon like what are the initiatives which you are doing because exports is also very critical part of this strategy of doubling our topline in 3 years ?
Rahul Sahai : So, exports if you look at being able to sell gensets or even industrial products, industrial engines in export markets, you require an adeq uate service infrastructure for it. Now , there is a certain amount of business we can do without detailing all of that out to the end level, b ut now we are at a point where we are looking at each of these aspects and we are looking to develop not just our export sales channels , but also service operations in those regions. So, there are a few regions of particular interest . We are starting out with the GCC countries and the Middle East. So, that is the first region that we are looking to expand in at the mo ment and we are restructuring our approach accordingly as well. So, there are changes we are making and we will talk more about that in times to come.
Charanjit : Sir, just coming from a little longer perspective for domestic Power Gen itself, when we look at the power data, ther e is also increasing talk about a peak power deficit occurring in the market , so when that kind of a phenomenon kicks in, does it mean significantly higher growth than the normal growth what we would have seen in the past couple of years and deficits w ere low for the domestic Power Gen market?
Rahul Sahai : I would agree with that because peak power deficit is one indicator. What is equally important are the transmission and distribution losses that are occurring because combined is what they would generate, demand for genset because ultimately people buy gensets more like an insurance policy. They want uninterrupted power. So, when you look at some of these metrics along with the GDP growth, it gives you a good sense of where the market is headed .
Charanjit : Sir, if I can just one last question , in terms of the industrial business, you have also talked about that we have booked some strong orders from large orders in the Railways and the Defense segment , so one is if you can give brief understanding about the industrial business , how it is shapin g up and how we expect it to shape up in the future and Railways and Defense, how large these opportunities could be for us going forward?
Rahul Sahai : We created the industrial business to focus on deep account management that is required and application understanding that is required to be able to successfully execute programs on the industrial side because very different from a Power Gen business . So, one of the segments that we created was Railways , so similarly apart from Railways there is construction , there is agri,

there is mining, oil and gas , so there are defense and marine. So, there are whole bunch of different segments that have been created . Now in this specific case , when you look at Railways largely right now, the focus is on powe r cars , but having said that, we are also looking at different applications going forward. So, there is a product road map for that as well , but the order right now in conversation is for power car s. Similarly, we are experiencing encouraging signs as far as Defense and Marine segment is concerned. I think the way we have gone about setting up the structure an

d developing application competence within the segment structures is working for us.
Charanj it: But is there an opportunity size or a pipeline what we could highlight?
Rahul Sahai : If you look at it combined, it would be very difficult to answer that question because a lot of times the opportunities are very unique and different , but a good proxy to understand some of this is the kind of budget allocations that are happening by the government, especially in the

applications we are talking about. So, for instance, if you look at railways, what kind of budget allocations or demand is Indian Railway is looking at in areas which require engines. So, I think that those would be good proxies.
Charanjit : And sir, on the pumps market, specifically from the La-Gajjar and the engine based pump sets which we classify in the B2C segment, how is that part of th e market operating and what is the kind of growth out look which you can have for the p umps as a segment ?
Aseem Srivastava : Aseem here. So, if you see on the pump side, which includes KOEL electric and also LGM, last year we were working on basically increasing the profitability or bringing it to profit s, so part of that is done last year and the same story continues. We have a very small market share in agree and domestic and we are confid ent with the strategy of deepening and widening. We will continue to grow in a very healthy way. Just to give you an example, KOEL electric and diesel in this quarter has grown by around 30%.
Moderator : Thank you. The next question is from the line of Mani sh Goyal from Thinqwise Wealth Managers. Please go ahead.
Manish Goyal : Three questions are related to on export , I believe that on the strategy to double revenues , we were i deally aiming that export should contribute 25 % to 30% of the revenue , we did see a strong momentum last year in the early part of the year, but seems to be like stagnating now , so just want to know from our existing portfolio like Gensets , fire-fighting and other segments , what is the outlook going fo rward ? And number 2, on like with delay in CPCB IV+ launch in domestic market, d o we see challenge like we probably that was one of the strategy to enter into global markets where the emission levels are probably at par and now with delay in domestic launc h, would it be challenging in terms of cost competitiveness to launch in the international market ? And the third thing is that in last call we did mention that we probably will not do w hite labeling ,

so are we probably looking to sell directly with our own distribution network or maybe if you can just provide some insights on these three aspects?
Rahul Sahai : This is Rahul. So, first of all, I just want to kind of clear out there that we didn't say that we would do like white labeling and we are pretty clear that something that we won't be looking at , so just wanted to make sure that I clarify that. The other thing is that if you look even the last quarter that has gone by, it is our highest ever quarter 1 for our international business . Sequentia lly there are a lot of things that play out , but if you look at same time last year, there is significant growth on the international side. The other part of this is that every geography is very unique and with its own product requirements, emission requir ements as well as service requirements. So, we are looking at all of that and what I can assure you is we executed our highest ever quarter 1 for exports and the focus on exports will be significantly higher going forward . What we have seen in the last qua rter is because of the immense demand that we have seen from our domestic power generation business, we have been working on allocations. So, the revenues are in no way representative of the kind of demand that exists on the international side and we are

actively working on it.
Manish Goyal : So, just to clarify, you said we will not do white labeling right?
Rahul Sahai : We will not do white labeling .
Manish Goyal : Across the product range like from lower HP to even HHP segment, right?
Rahul Sahai : Yes, we won't be doing white labeling .
Manish Goyal : And maybe if you can give insight on the CPCB IV launches in the international market because that was one growth area which we were looking for in the export market and maybe now with the delay in domestic, do you think that you will have enough cost leverage here or you will not have enough cost lever age because the production days will be much lower than what would you have anticipated earlier?
Rahul Sahai : So, if you look at the product which I was talking about different market , we cannot sell CPCB IV+ products directly in international markets and tweaks that need to be made and I wi ll give an example of that. If you look at the US market, the US market is a 60 Hertz market and there are different kinds of emission, including Tier-3, Tier-4 final largely based on the EPA regulation. Now , what we do have is the capability to develop those products because CPCB IV+ is by and large equivalent to the EPA Tier-4 final norms in the US, but there are tweaks that need to be made . So, there aren't direct leverages there , but having said that, that is a critical part of our strategy. Similarly, if you look at the Middle East, Middle East is largely an un emissions market. So, what I can tell you is from a technology standpoint, we are at par with among the best in the world. We are looking at produc t strategies for each of the markets because the requirements are fairly unique.

Manish Goyal : And last one question on the financial services like sequentially we are seeing a decline in the AUM and even the debt level , so maybe is it something to do with seasonality or just maybe if you can clarify that?
Amit Gupta : I wil l take this. ma'am. So, Manish, you have rightly pointed out that d uring the quarter that is Q1 FY 2024 , the loan book has marginally gone down, which is roughly around 10% approximate ly. It is mainly because of a certain repayments what we have encountered in our corporate lending division only . Otherwise on the other business segments, which is power develop or financing and the retail segment which includes the MSME and all , the loan book has been increasing. So, as you only suggest ed that it is one of the seasonality kind of thing, we are generally in Q1 being in the financial services business, the loan book may be shrink , but we are expecting that to come back to its normal level a nd as per our business plan in the coming quarters as well.
Manish Goyal : So, what kind of growth for the entire year we are looking on disbursement or the AUM book side?
Anurag Bhagania : I am not sure whether I will be able to answer this question because it is like a forward -looking because on a year-on-year basis we are expecting a recent growth which will be aligning with in terms with the economy.
Moderator : Thank you. The next question is from the line of Chetan Truva from Chetan Investors . Please go ahead.
Chetan Dhruva : I just had one question with respect to the margin outlook , so this quarter we already done 17% is this EBITDA, I am talking about EBITDA margins at the consolidated level, is this sustainable for this year and do we expect to see any improvement the rest of the quarters and next year ?
Gauri Kirloskar : So, first I want to clarify that it is 12.1% not 17% .
Chetan Dhruva : Consolidated level, I think you have done Rs. 264 crores ?
Rahul Sahai : Are you looking at adding the segment PBI Ts and that is the number you are looking at ?
Chetan Dhruva : The EBITDA, not the EBIT at consolidated level.
Rahul Sahai : It may not be a

ppropriate to look at it that way because there is financial service business withou t interest, which is also there , we take out the interest portion of the finan cial services business. So, the best way to look at it is a few separate financial services out of the equation and look at the nonfinancial services business independently and I think a good measure right now to look at is about 12.1% is what is our EBITDA today .
Chetan Dhruva : And is t his sustain able, sir ?

Gauri Kirloskar : So, what our target is that over the 3 years that we do move into better double digit margins, we have made an improvement in the last year and we hope to sustain and improve that.
Chetan Dhruva : I was asking whether the financial services part of the business will also grow proportionately to the rest of the core business , to the main business actually because you would be probably funding the purchases right to the financial services .
Gauri Kirloskar : No, that is not how our financial services subsidiary works. So, they are pretty different businesses, the core business and the growth rate of the core business , B2B, B2C and financial services segments would be very different.
Chetan Dhruva : So, you are saying that there will be probably a specific subset of customers who will op t for the financial services aspect of your business ?
Gauri Kirloskar : Yes, there are completely different set of customers in the financial services business that we lend to. We are in 3 seg ments in the financial services business, specifically corporate lending, real estate lending and SME and MSME lending and any business that has happened with any of our group companies or group company channels, distributors or dealers is less than 10%.
Moderator : Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Amit Shah from Antique Stock Broking for closing comments.
Amit Shah : I woul d like to thank all the participants for taking time out and joining us on the call and would also like to thank the management for giving us the opportunity to post the call. I will hand over the call to the management for the closing remarks post which we can conclude the call. Over to you, ma'am.
Gauri Kirloskar : Thank you very much for your participation and time on a Friday evening. Thank you for your support and have a good weekend.
Moderator : Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

“Kirloskar Oil Engines Limited Q2 FY24 Earnings
Conference Call”

November 3, 2023

MANAGEMENT : M S. GAURI KIRLOSKAR – MANAGING DIRECTOR
MR. RAHUL SAHAI – CEO (B2B)
MR. ASEEM SRIVASTAV – CEO (B2C)
MS. SMITA RAICHURKAR – COMPANY SECRETARY
MR. AMIT GUPTA – CFO (ARKA)
MR. ANKUR GUPTA – CFO (B2B)
MODERATOR : M R. AMIT SHAH – ANTIQUE STOCK BROKING LIMITED
MR. DHIRENDRA TIWARI , ANTIQUE STOCK BROKING
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY24 Earnings Conference Call of Kirloskar Oil Engines Limited hosted by Antique Stock Broking.

As a reminder, all participants’ lines will be in the listen-only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dhirendra Tiwari from Antique Stock Broking. Over to you, sir.

Dhirendra Tiwari: Good evening, ladies and gentlemen. On behalf of Antique Stock Broking, I welcome you to the 2Q FY24 post results conference call of Kirloskar Oil Engines Limited. I am glad to have with us today Ms. Gauri Kirloskar – Managing Director of KOEL, along with the senior management team of the Company.

Firstly, we will have introductory remarks on the results by Gaur i Kirloskar following which we will open the floor for Q&A. Over to you, Ms. Gauri.

Gauri Kirloskar: Good evening to all of you. This is Gauri Kirloskar – Managing Director of Kirloskar Oil Engines. Thank you all for joining the call today.

I have with me Rahul Sahai, our B2B CEO; As eem Srivastav, our B2C CEO; Smita Raichurkar, Company Secretary; and Amit Gupta, CFO of Arka. We also have on the call today Mr. Ankur Gupta. He is the CFO for our B2B business.

I'll start with the business upda te. KOEL has had a stable quarter. The revenue for this quarter reached Rs. 1,047 crores, indicating a 5% year-on-y ear growth. It's worth noting that the first quarter figures saw a spike due to pre-buying in anticipation of emission norm changes. So, this quarter's numbers show a sequential decline agai nst that backdrop. However, when considering the performance for the first half, the revenue amounted to Rs. 2,303 crores, marking a substantial 19% year-on-year growth.

For the B2B business, this was a quarter of transition for us. After the CPCB IV+ norms kicked in. We have a strong order board that encompasses different emission norms. On the power generation side, we continue to work through the complexity of managing multiple product lines catering to multiple emission norms. While this gives rise to supply chain and operations challenges, we are managing these challenges by closely watching our supply chain and optimizing our production capabilities to m eet delivery timelines and our customer commitments. On the industrial side, we continue to see strong demand from our OEMs. We have the upcoming BS-V emission change in the construction segment, and we are working closely with our OEMs to enable their success.

On the international side, we have appointed an exclusive GOEM in the GCC region this quarter. We also further strengthened our presence in the firefighting segment by acquiring new customers. We believe these initiatives will help us tap into new opportunities and will lay the foundation of our growth plans on the international side. Sustainability and environment are a key focus area for us. We have several new products launches this quarter. We expanded our gas genset range and now have the most comprehensive gas genset range in the country.
We also unveiled completely new products such as our OptiPrime and OptiPrime Hybrid range of gensets. The OptiPrime range of gensets combine innovation with product efficiency. As a result, customers get a lower product footprint, more power, and maximum savings. This patented technology marks our entry into the high-horsepower range above 1,500 kVA and up to 3,000 kVA. These products are designed to cater to diverse power requirements across the various sectors ensuring businesses and communi ties have access to reliable, cleaner

, and better power. Our fuel-agnostic platform s are engineered to operate efficiently on multiple fuel options including diesel, natural gas, biogas, and hydrogen blends providing unmatched flexibility to consumers. The orders for OptiPrime series have started coming in and the early signs are encouraging.
On the B2C side, our focus on st abilizing the business wi th RACE, i.e., reach, agility, cost, and engagement is working well. Pumps and the small engines business, which is more than 90% of KOEL's standalone B2C, has shown more than 20% year-on-year growth in the quarter. Our margins here have been on track. It has been 1 year now since we took full control of La-Gajjar Machineries. We have handled the transition well and our new plant construction is as per schedule. Our margins in LGM have improved since when we completed the full acquisition. Our export focus in LGM has shown good results with sales of Rs. 85 crores in H1, which is about 30% of LGM sales. The margin in th e LGM export business has also improved significantly.
I will now briefly update on the fi nancial performance on a quarterl y and half yearly basis. These are the standalone numbers. The revenue from op erations is at Rs. 1,059 crores for Q2 FY24 versus Rs. 1,010 crores for Q2 FY23, a 5% increase year on year. H1 revenue is at Rs. 2,324 crores, an 18% increase year on year. EBITDA is at Rs. 99 crores for Q2 FY24 versus Rs. 115 crores for Q2 FY23, down by 15% year on year. For H1, EBITDA is at Rs. 253 crores, a 16% increase year on year. As mentioned in the notes to the results, this quarter we have made a provision for overdue receivables of Rs. 10.5 crores for a customer to whom sale was made in the previous year. If you remove that effect, EBIT DA is at Rs. 109 crores with a margin of 10.3% for the quarter. Similarly for H1 , excluding the provision made, EBITDA is at Rs. 271 crores, reflecting a margin of 11.7%. Net profit is at Rs . 59 crores for Q2 FY24 versus Rs. 73 crores for Q2 FY23, a 19% decrease year on year. For H1, the net profit is at Rs. 162 crores, an 18% increase year on year. Net cash and cash equivalents at the end of the quarter Q2 FY24 was Rs. 112 crores versus Rs. 300 crores at the end of th e previous quarter. This quarter, we had CAPEX

that was spent on CPCB IV+ etc., and investment in inventory due to the coexisting CPCB II and CPCB IV products.
I will now give an update on working capital. Th is quarter started with challenges on the supply front due to the continuation of CPCB II for another 1 year, while CPCB IV+ was also introduced since the beginning of this quarter. As a result, this quarter has seen demands for both product lines, which has resulted in a complex supply chain and manufacturing situation. To meet demand and customer requirements and delivery timelines, we have made investments in stocking material that has resulted in higher inventories, which we expect to normalize over the next year as we go through this period of transition.
Now, I will take you through the business-wise standalone revenue breakup for the quarter. The B2B segment with a top line of Rs. 904 crores registered a 3% growth year on year. Of the total B2B revenue, Power Gen revenue is Rs. 360 crores, down by 8% year on year; Industrial is Rs. 235 crores, up by 5% year on year; Distribution and Aftermarket is Rs. 184 crores, up by 23% year on year; and International business is Rs. 125 crores. Our International business marked a growth of 45% versus the previous quarter and 12% year on year, while the B2C segment with a top line of Rs. 143 crores were up 19% year on year. Within B2C, the KOEL Water Management Solutions business recorded a revenue of Rs. 116 crores, up by 21% and Farm Mechanization recorded a revenue of Rs. 27 crores, up by 12% year on year. In LGM, revenue is flat at Rs. 132 crores. However, the EBITDA ma rgin improved from a

lmost nil in the previous
year to good single digits due to better cost management, better product mix, and higher exports.
The net working capital has also improved in LGM.
Now, when we look at the consolidated performance for the quarter and the first half, revenue from operations is at Rs. 1,305 crores for Q2 FY24 versus Rs. 1,228 crores for Q2 FY23, a 6% increase year on year. And for the half year, revenue from the operations is at Rs. 2,848 crores, an 18% increase year on year. Net profit is at Rs. 78 crores for Q2 FY24 versus Rs. 83 crores for Q2 FY23, a 6% decrease year on year. H1 net profit was at Rs. 204 crores, i.e., a 24% increase year on year. At Arka, the loan book for the quarter is at Rs. 4,128 crores. The revenue for the quarter is at Rs. 127 crores, registering a 52% growth year on year and segment profit is at Rs. 25 crores.
In summary, with a strong half-year performance, we are very much on track for our goal of 2X-3Y advancing satisfactorily on the 5 growth pillars. We have registered a 25.5% CAGR in the last 2 years on a base revenue at the half year of FY22 of Rs. 1,473 crores.
With that update, we will now take questions from the audience.
Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

We'll take the first question from the line of Ashish Shah from JM financial. Please go ahead.
Ashish Shah: The first question is that obviously this quarter is a difficult quarter to judge because of the pre-buying in the previous quarter. But based on the order book and inquiry levels, would you expect, let's say, the first half kind of growth momentum to sustain in the second half as well? Or you think that's something which is still ev olving, and one cannot be sure of that?
Rahul Sahai: As of now, we have a pretty strong order book; and from a platform and product standpoint, we are absolutely ready. So, we would expect the strong performance to continue in the second half.
Ashish Shah: In the first quarter, you did sa y that except for the impact of pre-buying, you still had a healthy, which would be +20% kind of a growth. Is that something that you saw? Because, for the quarter as such, you had seen a decline in the Power Gen segment.
Rahul Sahai: I think this is what Gauri mentioned earlier. This was a quarter of transition for us. What actually happens is that there were a lot of changes and adaptations we had to make because of the last-minute notification that came out from the government regarding the emission timelines. For example, the CPCB IV+ there was a soft postponement of that until Ju ne next year. So, I wouldn't worry necessarily too much about the order board or our execution. This quarter was more of a transition for us.
Ashish Shah: A little bit on the gross margin and the raw materi al cost. This quarter, at least from a sequential perspective, we have seen a fair amount of reduction in the raw material cost. Is this an outcome of the price increases or the raw material prices going down? And this level of raw material cost can be expected in the quarters to come?
Rahul Sahai: We are keeping a close eye on our margins along with the material cost. We are taking full measures to ensure that our margin is maintained. While there is a 130 basis points improvement in this quarter, I would say we are keeping a close eye on it. I can't comment on how the margin fluctuations happen in future.
Ashish Shah: Just one last thing from my side. On the exports front, are we seeing any improved traction? Because, if I look at the YoY growth, it's a little subdued. First quarter was also about 2.5%. This quarter is flattish. Do I think this year we are going to see some sizable growth in exports? Or maybe there is not so much certainty in the markets to be thinking of that?
Rahul Sahai: If you

look at the results, we have actually grown substantially in this quarter versus last year in exports. But what is more important is that we have appointed an exclusive channel partner in the GCC countries; and this is happening for the first time. There is a thought process regarding go-to-market with respect to international ma rkets, and we are committed to executing that.

Moderator: We'll take the next question from the line of Amit Shah from Antique Stock Broking. Please go ahead.
Amit Shah: My first question is, will it be possible to share the mix between the CPCB IV compliant product sales and how much is the sales of CPCB II co mpliant products in this particular quarter?
Rahul Sahai: I may not be in a position to give out specific numbers, but what I can tell you is that we are seeing demand from specific regions in India for CPCB IV+ owing to the local regulations. For example, if you look at NCR, there is a lot more traction that we are seeing from that area versus some of the other areas. We continue to sell our CPCB II products at a significant scale.
Amit Shah: In broad percentage terms, would it be possible to share as to what proportion of our Power Gen

sales has been from the CPCB IV compliant product portfolio? Just to get a color on how the traction is moving in this particular segment.
Rahul Sahai: I don't think I can share the numbers, but what I can tell you is that this is the first quarter of CPCB IV+ and we have all the products ready. There aren't too many companies who have all the products ready and certified. So, we are seeing traction, and that traction will continue sequentially every quarter as we move into June of next year.
Amit Shah: Secondly, on the 2H outlook. In the second quarter, we saw a subdued performance given that the first quarter had witnessed a very strong pre-buying. But moving ahead, how do you see the traction in terms of sales? Do we believe that from the second half onwards, sales should revert back to the normal growth trajectory of 10% to 15% that we were witnessing earlier? Or do you believe that the overhang of the first quarter pre-buying should continue in the 3Q? And 4th quarter onwards, we might see normalcy getting back in action?
Rahul Sahai: I just wanted to make it clear that this quarter was a transition for us. It's not because we see an impact on the demand. The transition is more from getting our manufact uring lines ready along with our supply chain ready to ensure that we are able to cater to both CPCB IV+ as well as CPCB II products. It's not an indicator of the demand. Going forward, because we have gone through the entire transition in this quarter, we would expect that normalcy to come back.
Amit Shah: One more thing I wanted to understand; in this particular quarter, our employee cost has jumped up significantly. We have seen Rs. 75 crores to Rs. 76 crores kind of an employee cost in this particular quarter. If you can just share what is the reason for that and what would be the quarterly run rate going ahead, given that it's a very sharp jump on YoY basis as well as on a QoQ basis?
Rahul Sahai: We actually had increments kicking in, in this quarter. But as we move ahead and the revenue normalizes, we don't expect too mu ch of an impact. This quarter, because there was a transition, we had increments as well as owing to the transition, we had a lower volume leverage. As a

result, our conversion costs increased in this quarter, which is why you're seeing the impact. Otherwise, we expect that to normalize from the quarters going forward.
Amit Shah: This Rs. 75 crores are the quarterly run rate we should assume going ahead? Or do we believe that Rs. 65 crores to Rs. 66 crores are the right quarterly run rate on the employee cost?
Rahul Sahai: I would say the run rate would

be somewhere about Rs. 70 crores.
Amit Shah: Sir, if you can share some details on the CAPEX as to the nature of the CAPEX, although in the initial opening remarks, we have highlighted that this CAPEX is related to the CPCB IV related product portfolio, but what exactly is the natu re of CAPEX if you can just highlight? Because, it's a very large number; Rs. 160 crores odd. If you can just highlight as to what is this regarding and whether we have added incremental capacity lines for the manufacturing of CPCB IV? What is the nature of this CAPEX?
Rahul Sahai: All the CAPEX is actually moving into technology and engineering. If you look at it, we are in the midst of emission norm changes. So, we have CAPEX going into CPCB IV+ as well as CEV BS-V on the off-highway side as well as what you will see is there are new product launches happening. The MD spoke about the OptiPrime series that was launched. There is focus on hybridization and sustainability as well as there are new fuel types that we are working on. We have the largest range of natural gas gensets now. So, there is CAPEX going into all of these areas.
Amit Shah: Lastly, on the export; we mentioned that we have appointed a global OEM for the GCC region. How do we see this playing out? What is the kind of trajectory we can expect on the export sales going ahead? We have been highlighting on our 2X-3Y strategy that export would be almost like 25% to 30% of our revenue over the next 3 years. If you can just highlight as to this particular arrangement, how significantly it can change the trajectory of export numbers for the next couple of years?
Rahul Sahai: If you look at our product portfolio, we have a very significant portfolio on the power generation side. When we looked at international markets, one of the first few steps was how do we ensure our product portfolio on power generation is available in some of these key markets. For example, Middle East is a key market for us. What we did was, we looked at the product portfolio that we are selling in the GCC countries. We reali zed a lot of the focus that has historically been has been on the Industrial and firefighting side. The reason why we have appointed a genset OEM in that region is to represent the full portfolio of power generation that we have, and the GCC countries are a fairly large market for powe r generation. What we expect going forward is deploying a market-based specific, I would say, st rategy where we are looking for able partners who can work with us to win in those markets. For example, GCC is the first step in our channel strategy. We have other markets also in mind, and we are looking for capable partners who fit into our value system. That's the way we are going about it. So, the first step is done.

Moderator: We'll take the next question from the line of Teena Virmani from Motilal Oswal Financial Services. Please go ahead.
Teena Virmani: In continuation with the previous question on the demand side, now that we are in the second half of this fiscal – basically October has gone – where do you see the demand coming more from? Whether it is coming more from CPCB II or CPCB IV+ related products? Because you mentioned that CPCB IV+ had some demand from the NCR regions and all, but there also the implementation timelines have seen a shift. So, is the market demand more dominated by CPCB II during this quarter itself or again it is going to be a mix of both?
Rahul Sahai: If you look at how the market is behaving from the beginning of this quarter until, say, June, what we are expecting to happen is that initially the demand for CPCB II will be higher. As CPCB IV+ ramps up at some point of time, maybe in the middle, there will be an equal balance.
And then, CPCB IV+ sales will increase and CPCB II demand will go down. That's what we are expecting. And in line with that expectation, ou r CPCB II

sales have been higher than CPCB IV sales in the last quarter.
Teena Virmani: Is there any impact on the pricing to pass on any kind of raw material correction to the end users, particularly on CPCB II?
Rahul Sahai: No, I don't think so. We have not seen any issue of passing on the raw material impacts or cost changes to the end consumers.
Teena Virmani: And my second question is related to a more mature state of market when it will be mostly CPCB IV lead demand, maybe let's say by June-July onwards, where would you see the scope of margin improvement for the Company and even for the industry per se, particularly for the Power Gen segment? I understand there would be price increases; there are already price increases for CPCB IV+ related products, but would gross margins have any sort of improvement even beyond the current levels?
Rahul Sahai: What we are focusing on are 3 main levers for margin enhancement. The first one is getting into white spaces such as high horsepower. Historically, we have not been present in greater than 1,500 kVA segment. And now with the launch of our OptiPrime, we have expanded that range to up to 3,000 kVA. Number #2 is growing our Service and Aftermarket business because as more electronics come in, it gives us a chance to increase our service penetration and as a result, enhance our margins because then you can get into specific kind of service levels-based contracts. And the third one is looking strategically at our international business and seeing what are the success factors in specific regions and then going to market with those specific factors.
Those are the 3 areas that we are working on to increase our margins.
Teena Virmani: So, particularly for Power Gen, will there be any scope for further indigenization or further localization once we reach a matured set of markets?

Rahul Sahai: Unlike a lot of other organizations, in our case, close to about 90% of the supply chain is already localized and indigenized in India.
Teena Virmani: And remaining 10%, ther e is a limited scope?
Rahul Sahai: The remaining 10%, I would say, eventually we may have indigenization plans, but not in the immediate future.
Moderator: The next question is from the line of Abhijit Si nha from Pi Square Investments. Please go ahead.
Abhijit Sinha: Just wanted to understand the opportunity in this HHP segment that we are getting in. Obviously, our product portfolio increases subs tantially, but what kind of oppo rtunity can we see by entering into this segment?
Rahul Sahai: The high horsepower segment is a fairly large se gment with a limited number of players. I would say if you looked at the high horsepower segment, that itself would be close to about a 2000-crore annualized opportunity. With our presence there, we feel confident that we will be able to extract some of that.
Abhijit Sinha: What would be the margin differences between this HHP segment versus the segments that were already in?
Rahul Sahai: I don't think I can comment on specific margin changes, but what I can say is it would be higher than the lower KVA which is slightly th e more commoditized end of the market.
Abhijit Sinha: Amongst the 3 points that you were making regarding…. One was entry into the HHP segment, one was you mentioned growing the aftermarket services. Where do we stand now? What kind of opportunity do we see over there? And same for the international business, if we could just throw some highlights regarding them.
Rahul Sahai: If you look at it, currently a lot of our customers go out of fold after the warranty period. I can't give out specific numbers on this call, but what we are trying to do is enhance our post-warranty engagement with our customers by looking at th e overall service value proposition. We are

looking at different response times, commitments to our customers, and also enhancing our service

capabilities. There's a lot of work that's currently going on. I may not be in a position to
give out specific details on this call.
Abhijit Sinha: Specifically, where do we see our exports bein g as a part of our revenues? Are we looking at about 20% to 30% going forward?
Rahul Sahai: Yes. On the exports side, our ambition is to get to about 30% of our revenues.
Abhijit Sinha: And that's primarily the power generation space, right?

Rahul Sahai: I would say that’s a mix of both B2B and B2C. Power generation would definitely be a large part of it.
Abhijit Sinha: Sir, what's the current breakup between B2B and B2C at the moment? Is it like 80:20?
Ankur Gupta: At a consolidated level if you talk about, it’s about 75% to 25% as of now.
Abhijit Sinha: Sir, talking about LGM, we mentioned that the margins have substantially improved.
Rahul Sahai: Yes, it has.
Abhijit Sinha: What's the current turnover right now, sir, in LGM segment itself? You mentioned right now it's only 30% of their total annual revenue.
Rahul Sahai: For the half year, it is around Rs. 250 crores. And for the last quarter, it is Rs. 132 crores.
Abhijit Sinha: Lastly, I just wanted to talk on the OptiPrim e segment. That is going to be purely the HHP segment that we spoke about, right?
Rahul Sahai: If you look at OptiPrime and the OptiPrime Hybrid, we have launched these products across the range. But our focus is definitely on high horsepower with that.
Abhijit Sinha: And how would this new genset series be different from the ones existing?
Rahul Sahai: If you look at the product, we have engineered the product to basically provide a better cost of ownership, increase the flexibility to the customer s, and also in terms of the footprint, it's a smaller footprint. So, it's a better pr oduct for the end-user application.
Abhijit Sinha: So, eventually people would start moving toward s this because this is a more optimum genset, right?
Rahul Sahai: Yes, and hence the name.
Abhijit Sinha: The change in the norms from CPCB II to IV, it doesn't mean that in CPCB IV, we get higher margins also over here in these new….?
Rahul Sahai: I would say the electronic content increases substantially. So, it may not be a direct margin accretion as a result of product sales, but we will have opportunities through our services to increase our margin.
Abhijit Sinha: And all our peers have also dealt with it the same way as we have by pre-booking it in the last 2 quarters?

Rahul Sahai: All the pre-buy has happened for CPCB II.
Moderator: We'll take the next question from the line of Prolin Nandu from Goldfish Capital. Please go ahead.
Prolin Nandu: A few questions from my side. The first is that because of this delay of norms from here to June, how is the competition reacting? Because, we woul d have typically thought that when the norm change happens, some of the larger players like you would gain market share. Now that that thing is delayed till about June of 2024, is it fair to assume that some of the smaller players might come back with a vengeance? I am just trying to figure out how the competition or rest of the market is reacting to this delay of norms.
Rahul Sahai: I can just give you my opinion of what I have seen. Each Company has their own strategy that is at play, and we are just focused on our main track which is to support our customers. We have all our products ready and certified, and we are providing solutions across CPCB II and CPCB IV+. But different companies are following differe nt strategies. I may not be able to comment on that specifically, but the assurance we would like to give to our customers is that we are there to support them.
Prolin Nandu: Let me put it another way. From here to June, do you expect market share gains in the overall market, or d

o you see some market share losses? Or do you see the market share staying where it is for us?
Rahul Sahai: I would hope for some games for sure.
Prolin Nandu: The second question would be on your Industrial segment within B2B. The last part of pre-buying, if I am not wrong, would have affected the power generation side of it. I am looking at H1 numbers; the Industrial segment has just grown by around 11% and that's lower than the

overall sales of the B2B division. Do you want to call out specifically any reasons for this lower growth number?
Rahul Sahai: If you look at the Industrial business, from our expectations, the way we have looked at the mix, we are pretty much on track. Having said that, there are certain segments within the Industrial side where the demand has been lower than what we thought it would be. For example, agri being one such segment. But apart from that, we don't see the Industrial segment underperforming. It's going as per plan.
Prolin Nandu: One more question on this whole delay of norms. From here to June, as you said that maybe the inventory will normalize and working capital will also normalize, but are there any other costs related to having 2 products with us of two different norms, which can have some kind of drag over the margins? Are there any other costs related to this?

Rahul Sahai: The working capital increase that you are seeing is largely because of this being a transition quarter. And there are long lead time items that we have had to procure. But all of this will normalize going forward. I don't see any other reason.
Prolin Nandu: On your export business, you said that you are lo oking at the right partners and taking a different market based on the merits and based on the partnership that you find there. I just wanted to touch up on the developed market side – US and Europe. Are there similar sorts of discussions which are going on there? And is this the only route that you would like to take in the export market? Where I am coming from is that when we met a year or so back in the analysts meet, you mentioned this whole white labeling thing and then we had probably taken it off and we were no longer going to pursue that opportunity. I just wanted to understand that is this the only route of probably looking at the market, finding the right partners, appointing OEM or distributor there, or are there other routes also in export which you are exploring? And if you can just touch upon which other routes you are exploring and specifically related to opportunity in the developed market – US and Europe particularly.
Rahul Sahai: There are multiple modes of entry that we are evaluating by the market center. We have some market centers in mind. There are large power generation and engine market centers across the world. We are extremely clear about that. There are multiple modes of entry. So, what I would say is that the route that we have followed for the GCC countries may not be the only route, but what we will do is as and when we are closer to maturity in some of those conversations, we will keep coming back and updating in these calls.
Prolin Nandu: Is white labeling still on the table or is that off the table right now?
Rahul Sahai: White labeling may not be an id eal option for us. We will update in this call in case any such arrangement happens, but I would say it's definitely the least preferred option.
Prolin Nandu: Just one last suggestion. If you can give slightly more granular details on your financial services just like most of the NBFCs would be giving in terms of NIMs and NPA numbers and all, that would help to understand where that NBFC is goi ng. This disclosure is slightly inadequate. If you can just add those kinds of details just like any other NBFC, that will help. That's it from my side.
Moderator: We'll take the next question from the line of Ashish Shah fro

m JM Financial. Please go ahead.
Ashish Shah: Sir, within the Power Gen segment, could you highlight the key sectors which are driving the demand at this point of time where you are seeing the maximum pickup? If you can throw some light on that.
Rahul Sahai: We are seeing a lot of demand up-tick happening from infrastructure. There is a lot of interest from data centers as well. I would say those are the 2 big segments for us. Of course, there is

growth that we are seeing from smaller segments as well. But I would say those would be the 2 big segments.
Ashish Shah: Data centers would typically need gensets above 1,500 kVA. Am I right in saying that?
Rahul Sahai: A lot of times, yes. But we have executed orders right from 500 kVA upwards.
Ashish Shah: So, you would say that these are the 2 areas which are driving the bulk of the demand at this point of time. Secondly, on the industrial side, you did allude to some emission norms change which is in the construction segment. Any more co lor on that in terms of the timeline and how significant is this business as a proportion of, let' s say, our Industrial segment? And what is the preparedness to meet the new equipment which will be needed?
Rahul Sahai: The emission norm that we are talking about is CEV BS-V. What we are hearing through ICEMA and some of the other bodies is that there could be a potential change or delay in the norms. But what we are currently focused on is to ensure that our OEMs win in the market, and we are working very closely

with them. There were timelines around proto builds that we had
commitments on with our OEMs, and we are focused on executing that. So, there is a possibility
that we may see pre-buy kicking in for the CEV BS-IV products in the last quarter of this
financial year unless something changes in the notification. We are keeping our eyes and ears
open to just keep an eye out on that.
Gauri Kirloskar: But as of now, the deadline is April of FY24.
Rahul Sahai: How significant part of our segmen t gets impacted by this particul ar transition? Just to get some
sense of proportion.
Rahul Sahai: What I would say is that if you look at our construction segment, we do roughly around Rs. 400
crores to Rs. 450 odd crores. And this change will impact a large chunk of it.
Rahul Sahai: Sir, my last question is actually on the lines of what the previous participant asked. If we could
share at this point in the call any breakup of the loan book in terms of the segments or the end sectors where the exposure is
and also any numbers on the gross or net NPAs that we could share
here?
Gauri Kirloskar: Out of the total loan book which is Rs. 4,033 crores, we have about Rs. 1,300 crores that is going
to wholesale lending, about Rs. 1,200 crores that 's going towards real estate lending & urban
infra, and about Rs. 1,500 crores to SME & MSME.
Amit Gupta: Just to reconfirm the numbers that Gauri ma'am has suggested, only 1 sub-bifurcation. Rs. 1,200
crores is not totally to RE & urban infra. Out of that, Rs. 932 crores only towards the real estate developer and the balance is
towards the warehousing, logistics, and other parts of the

infrastructure industry. All put together, Rs. 4,033 crores the total loan book as on 30th
September 2023.
In terms of GNPA, we are only at 0.19% of GNPA in the entire loan book. At NNPA, we are at
0.05%.
Rahul Sahai: Just one small additional piece of detail. When we say Rs. 1,500 crores is to SME and MSME,
which would be these sectors primarily? Or is it too diversified to call out?
Amit Gupta: It is diversified in terms of a variety of industr ies and in terms of a product also, it is highly
diversified into 2 to 3 different segments.
Rahul Sahai: Can you just highlight these segments, please?
Amit Gupta: Basically, it includes th

e manufacturers or the traders who are the SMEs. They own these Udyam
registration certificates, they have their own premises, they have been running the business. The entire money goes out for
the business purpose only. We have been also doing a little bit of
digital lending where we have already got tied up with 3 or 4 channel partners and the entire
STP process is being set wherein they are sourcing cases for us, and basis our credit parameters
and credit norms, we have been disbursing those cases. This is the one segment where we have
been disbursing to the individuals for their personal consumption, maybe for education purpose,
maybe for consumer durables or any other purpose. And another very small book comprises also of a supply chain, which is
at almost in a single digit number kind of a thing in crores.
Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the conference over
to Mr. Amit Shah from Antique Stock Broking for his closing remarks. Over to you, Mr. Shah.
Amit Shah: I would like to thank all the pa rticipants for joining the call. I would also like to thank the
management for giving us the opportunity to host the call. I would request the management to provide us with the closing
remarks post which we can conclude the call. Over to you, ma'am.
Gauri Kirloskar: I just wanted to say thank you very much for your interest in the Company.
Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Antique Stock
Broking, that concludes this conference. We thank you for joining us. And you may now
disconnect your lines.

Call: Feb 2024

"Kirloskar Oil Engines Li mited Q3 FY-24 Earnings
Conference Call"

February 13, 2024

M
ANAGEMENT : M S. GAURI KIRLOSKAR – MANAGING DIRECTOR .
MR. RAHUL SAHAI – CEO (B2B)
MR. ASEEM SRIVASTAV – CEO (B2C).
MS. SMITA RAICHURKAR – COMPANY SECRETARY
AND HEAD LEGAL
MR. AMIT GUPTA – CFO (ARKA).
MR. ANKUR GUPTA – CFO (B2B).
MODERATOR : M R. AMIT SHAH – ANTIQUE STOCK BROKING LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Kirloskar Oil Engines Limited Q3 FY24 Earnings Conference Call hosted by Antique Stock Broking.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call. Please signal an operat or by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dhirendra Tiwari from Antique Stock Broking. Thank you and over to you sir.

Dhirendra Tiwari: Thank you. Good evening, ladies and gentlemen. On behalf of Antique Stock Broking Limited, I welcome you to 3Q FY24 Post Results Conference Call of Kirloskar Oil Engines Limited.

We are pleased to have with us today Ms. Gauri Kirloskar – Managing Director, Mr. Rahul Sahai – CEO, B2B Business, Mr. Aseem Srivastav - CEO, our B2C Business. I welcome all the management of KOEL on the call.

Now, I invite Ms. Gauri Kirlos kar to discuss the Results follo wing which we will take Q&A.

Over to you, Gauri Kirloskar. Thank you.

Gauri Kirloskar: Thank you very much. Good evening, everyone. This is Gauri Kirloskar, Managing Director of Kirloskar Oil Engines.

Thank you all for joining the call today. I have with me Rahul Sahai – our CEO, B2B; Aseem Srivastav – CEO, B2C; Ankur Gupta – CFO, B2B, Smita Raichurkar – Company Secretary and Amit Gupta – CFO of Arka.

I will first start with the "Business Update":

KOEL had a successful quarter achieving its highest ever Q3 sales, contributing to the highest year-to-date sales as well. The gross revenue to the third quarter reached Rs.1125 crores reflecting a 14% year-on-year increase. The year-t o-date growth revenue totaled Rs.3428 crore, marking a 17% growth compared to the previous year. Overall demand was strong during the quarter based on the continued focus on infra spend in the Indian market. We continue to see mixed demand from CPCB II and CPCB IV+ Engines. As you all know the CPCB II engines are allowed to be sold till June of this year that is 2024, and we expect the mix demand to continue till then. Even though BS5 has been postponed from April 2024 to Jan 2025, we are ready with the BS5 engine platform as well.

This quarter also marks the most significant milestone for us. We have won the NPCIL order for supply of gensets for nuclear power plant. The order value is 768 crores for an order execution over 68 months for the Kudankulam project of NP CIL. This is the largest ever single order for

KOEL. Another development on in ternational business is the Wildcat acquisition. Kirloskar America Corporation acquired a 51% stake of engines LPG LLC doing business as Wildcat Power Gen an Ohio Limited liability company an d an approximate cons ideration of $357,000.
Engines LPG LLC is engaged in the business of designing, manufacturing, selling and servicing generators powered by gas, diesel and other environmental, fuel and power solutions under the brand name of Wildcat Power Gen for all types of applications. This acquisition is a step towards business expansion and to enable market development at Power Gen applications for the North American market. We have also appointed a GOEM called My Span to serve and grow our business in the Middle East.
Now coming to B2B business updates:
In the power generation segment as I mentioned at the beginning, currently we are experiencing strong demand for our CPCB II gensets. So, we are fulfilling the orders which are a mix of CPCB II and CPCB IV+ genset. Additionally, there has been noteworthy expansion in the sales of gas gensets indicating a substantial surge in the adoption of power generation solutions fueled by gas. As of the year-to-date assessment, t

he sales figures have surpassed the 150-unit mark, forming a significant and positive trajectory in the sector's performance.
In the industrial segment, we have observed a strong demand emanating from the construction and railway sector. This serves as a confirmation of the ongoing narrative surrounding India's infrastructure development and the government's dedicated emphasis on capital investment in these specific sectors. In this quarter another endeavor involves a new product line consisting of remanufactured items that delivers performance comparable to new ones, but with a considerably reduced environmental impact. This not only results in financial savings for our customers but also contributes to a lower carbon footprint. Such efforts solidify our dedication to the circular economy emphasizing a cradle-to-cradle approach.
On the B2C side, we continue our stabilization ef forts with the race strategy that is reach, agility, cost and engagement. The diesel and electric pumps have witnessed more than 25% growth during the quarter over last year. Our distributor base grew 22% over last year Q3. As a part of our widening efforts, we added 26 new channel partners during the quarter. The B2C segment has witnessed notable profitability enhancement as the segment profit for the year-to-date period reached 36 crores up 105% compared to 17.5 crores in the previous year.
I will now briefly update on the “Financial Performance” on a quarterly and a year-to-date basis: These are the standalone numbers for Q3FY24 financial performance. Net sales at Rs.1125 crores for Q3 FY24 versus Rs.990 crores fo r Q3 FY23 a 14% increase year-on-year. EBITDA at Rs.133 crores for Q3 FY24 versus Rs.109 crores for Q3 FY23, which is a 21% increase year-on-year, EBITDA margin is at 11.7% for Q3 FY24 versus 10.9% for Q3 FY23. Net profit is at Rs.82 crores for Q3 FY24 versus 68 crores for Q3 FY23 a 21% increase year-on-year. On the year-to-date numbers net sales is at Rs.3428 cror es for year-to-date of 24 versus Rs.2932 crores

for year-to-date 23 a 17% increase year-on-year. EBITDA is at Rs.386 crores for year-to-date 24 versus Rs.328 crores for year-to-date 23 which is an 18% increase year-on-year. EBITDA margin is at 11.2% for year-to-date 24 versus 11.1% for year-to-date 23 and net profit is at Rs.244 crores for year-to-date Fiscal Year ‘24 versus Rs.205 crore for year-to-date 23 a 19% increase year-on-year.
I will now give an update on wo rking capital. As we updated last time, the last quarter started with challenges on the supply front due to the continuation of CPCB II for another one year while CPCB IV+ was also introduced. As a result, we continue to see demand for both product lines which has resulted in a complex supply chain and manufacturing situation. To meet demand and customer requirements on delivery timeline we have made investments in stocking materials that has resulted in higher inventories which we expect to normalize over the next year as we go through this period of transition. Further, we have also seen an initial recovery of approximately 5 crores from the amount provided for against a cu stomer receivables, we reaffirm that the full balance of the receivable amount was already provided for.
Now, I will take you through the business wise standalone revenue break up for the quarter and year-to-date performance:
The B2B business reported sales of 973 crores for the quarter which indicated growth of 13% year-on-year. The year-to-date sales were at 2972 crores which is a 17% growth year-on-year. Within B2B power generation reported sales of 426 crores for the quarter which is 5% year-on-year growth and 1388 crores for the year-to-date which is a 17% year-on-year growth. The industrial segment reported sales of 232 crores for the quarter, which is a 23% year-on-year growth and 699 crores for the year-to-date which is a 15% year

-on-year growth. Distribution and aftermarket reported sales of 180 crores for the quarter, which is a 17% year-on-year growth and 539 crores for year-to-date which is 19% year-on-year growth.
National Business reported sales of 125 crores for the quarter, which is 21% year-on-year growth
and 346 crores for year-to-date which is 19% year-on-year growth. B2C, a standalone business has reported sales of 152 crores for the quarter, which indicates growth of 16% year-on-year.
The year-to-date sales were 456 crores for the quarter, which is 17% growth year-on-year. Within B2C, KOEL Water Management Solutions recorded a revenue of 133 crores for the
quarter which is up by 32%. The farm mechanization business recorded a revenue of 19 crores for the quarter down by 37% for the quarter and 9% for the year due to seasonality leading to
delay in subsidies from the states in which we operate.
Now, I will update you on a consolidated business:
LGM sales were flat but with significant improvement in year-to-date PBT from 11 crores to 25
crores. The new plant construction is going as per scheduled. LGM exports grew at 10%. Now, I will update you on the consolidated business. During the quarter Arka FinCap raised 300 crores
through the public issue of secured rated listed redeemable non-convertible debentures with face

value Rs.1000 each. The AUM excluding balance sheet items as on December 31st, 2023 was
at Rs.4475 crores. The company is planning to expand their branch offices and also plans to expand the employee base for the growing business requirements. Overall, if you look at the
consolidated results, revenue from operations is at Rs.1390 crores for Q3 FY24 versus 1220
crores for Q3 FY23, 14% increase year-on-year. Net profit is at 120 crores for Q3 FY24 versus
88 crores for Q3 FY23 a 36% increase year-on-year. For year-to-date, FY24 revenue is at 4238
crores for year-to-date FY24 versus 3640 crores for year-to-date FY23 which is 16% increase
year-on-year and a net profit is at 324 crores for year-to-date Fiscal Year ‘24 versus 253 for year-
to-date fiscal 23 a 28% increase year-on-year. Please note that this quarters numbers and an
exceptional item of Rs.31 crore due to a provi sion made for investment in Arka fortunate
investment fund due to regulatory changes announced in December 2023.
In summary, with a strong performance we are on our path for the 2x 3y journey, backed by
strong demand in the domestic market. While we are gearing up for the upcoming technology
changes in this industry we feel we stand strong together as a KOEL team. Our R&D team at
KOEL is tirelessly working to establish a competitive edge in the alternate fuels, landscape for internal combustion engines and we will continue this path for a brighter future for all of our
stakeholders. Thank you very much for listening and now we can take your questions.
Moderator: Thank you very much. We will now begin the question-and-answer sess ion. And first question
is from the line of Ankit Babel from Subhkam Ventures. Please go ahead.
Ankit Babel: My first question is on your guidance of doubling our revenue in three years which you
mentioned last year. So, FY23, you had shown a growth of 25%. This year so far, we are running
short of that 25% growth rate which is requ ired. But you still see that, you will meet your
guidance in next say five quarters. So, first of a ll, can you just throw some light that what is
giving you that confidence that you still meet the guidance in spite of a slightly lower performance so far?
Gauri Kirloskar: Thanks very much for your question. So, it's a great question and what I would like to say on it
is that yes, you have seen that dip in the growth rate. But if you look at what has happened in
the industry in the B2B industry versus, when we set out our target there was a delay in CPCB IV notification that has come ab out. So, we

have seen, specific transition that has happened over
the last two quarters, which will play out, and we still manage to achieve a certain growth rate,
in spite of not having the kick-in of all the price uptake that we would expect on CPCB IV. So,
the way I would answer your question is, I still see our performance is very strong, when we compare it to our ambition, and we still very much aspire to the ambition that we set out to
achieve by next fiscal year.
Ankit Babel: So, the asking rate next year would be very high, maybe at 30, 35 whatever that percentage
number is. So, just to reconfirm that, that kind of growth is possible next year, considering the volume and price increases to considering that?

Rahul Sahai: Hi, this is Rahul. So, what is happening is that , when you are in a transition year, it is not the
product that you are trying to straddle, it's also the back end, and the readiness that you need to create. So, a lot of that work is actually done now. And as a result, we had budgeted for a few
leaner months, relatively speaking, and those have happened in this financial year. So, we
continue to aspire for the vision that we had set for ourselves the target, and we will continue to
focus on that for next year.
Ankit Babel: Okay. And second is that though you have improved on your operating margin, but if we still

see your margins compared to the industry leader, there is hell lot of difference. So, any ballpark idea, where do you see your margins may not be this year, next year but over the medium term
say in the next two, three years, operating lever on the standalone business?
Rahul Sahai: So, if you look at margins, margins are also a function of the product profile. And if you have been noticing, we have been making some inroads on the high horsepower side as well, so we are executing some large inserts contracts and things like that. And all of those things help with the margins, along with enhancing our services business. So, those are all areas that we are focusing on. So, as we mature, we should gravitate pretty close to more mature players in this industry, I wouldn't think of it very differently.
Ankit Babel: No, so sorry to harp on this question again. But since the difference is too huge. So, just wanted to know, what could be the range, can you be in the 15% range or what?
Rahul Sahai: No, so I can't really answer that on this call. But we can definitely aspire for, like a stronger margin profile for sure.
Ankit Babel: Okay. And any views and is your Arka business now self-sustainable in nature. Since you have already said that, you won't invest more than 1000 crores in that business. So, is it now self-sufficient?
Gauri Kirloskar: Yes, that's right, we are not going to invest more than 1000 crores and business is now on its way to raising external capital as well, and we feel that it is strongly positioned for that.
Ankit Babel: So, can we now think of demerging this business?
Gauri Kirloskar: No, that's not how quickly we would make our decision. And it's something that will play out over time, there's are many factors at play for us to make that kind of decision.
Ankit Babel: Any one particular reason which is preventing you to demerge, just wanted to understand since it is self-sufficient, there won't be any infusion from Kirloskar Oil. Then what is the reason of running it in this company, just wanted to understand that.
Gauri Kirloskar: So, I am not going to be able to answer your question, basically the way that we look at feeding businesses and growing businesses is inefficient an d in a way that is right for the business. So,

we will go forward and take the appropriate st eps in well thought out way it's what you are suggesting is jumping many steps ahead.
Moderator: Thank you. The next question is from the line of Aditya Agrawal from Ambit Global Private Capital. Please go ahead.
Aditya Agrawal: So, couple of questions from my end. So, the first one is, during the quarter what was the contribution from CPCB genset?
Rahul Sahai: So, contributions in terms of volume, I would say roughly about say 15% to 20% were CPCB IV and the rest of it was CPCB II. We expect the CPCB IV volumes to continue to increase as we move closer towards the June of this year.
Aditya Agrawal: Okay. And just to understand sir, what is th e margin profile if you compare CPCB II versus CPCB IV+. So, how much is the difference in terms of the absolute margin?
Rahul Sahai: So, it will be somewhat similar. But there are variations from node-to- node, I don't think I can give that to you on this call.
Aditya Agrawal: Okay, that's fair. Second is regarding the OptiPrime which we introduced recently, so has been the order book shaping up?
Rahul Sahai: So, we have received a fairly positive response to that, we have a relatively strong order board, when it comes to OptiPrime, there has been distract ion from a lot of our customers, especially if you look at infrastructure and real estate, the customers have been pretty positive. So, we are hoping to carry that forward in the next financial year. We are executing OptiPrime orders across the range in the financial year. So, we are already doing that.
Aditya Agrawal: Okay. And just a last question, our exports in the quarter was roughly about 13%. So, where do you see this number shaping up let say in two years, three years down the line?
Rahul Sahai: So, our ambition is to have ex ports be about 30% so far busines s. So, we will make strategic moves in line with that, as you saw our MD talk ing, so we made investment in the US, along with appointment of GOEM in the Middle East in this quarter. So, we are evaluating all options, and we want to grow the international busi ness. However, we do it strategically and purposefully.
Moderator: Thank you. The next questio n is from the line of Teena Vi rmani from Motilal Oswal Financial Services. Please go ahead.
Teena Virmani: My question is related to power gen segment of the company during the current quarter. The growth was a little weaker than you would have s een in let's say, the in dustrial distribution and

even exports. So, is it more to do with the demand or is there anything specific that would have impacted the sales of power gen segment during the quarter?
Rahul Sahai: So, we continue to see a strong demand. Right now, we are straddling between CPCB II and CPCB IV. So, it's a lot of rigor around execution that we are focusing on. I don't see the demand softening or any issue on that end. We have a pretty strong pending order board, which we will carry forward in this coming quarter.
Teena Virmani: Okay. So, this quarter ideally the demand would have, like you mentioned that this would have been more dominated by CPCB II?
Rahul Sahai: Yes, that's correct.
Teena Virmani: Okay. So, in the coming quarters again it will be more or less demand coming in from CPCB II so, can we expect a little better growth in th e power gen segment, or it may be because that challenge will continue to remain in quarter four also between CPCB II and CPCB IV. So, how do you see this traction in the power gen segment particularly when the demand drivers are much stronger in the industry?
Rahul Sahai: Yes, so what has happened is, as we approach the deadline, the contribution of CPCB IV is going to increase. So, what was 50% in the last quarte r will, this will keep in creasing, because even our GOEM would want to mitigate risk of stoc king CPCB II gensets with them, because the guideline says that there is, the deadline for both GOEMs and the Indian manufacturers are co-terminating. The deadline is co-t erminating in June. So, it will be four is going to slo

wly come
in the forefront in any case, in quarter four, we may still see a lot of CPCB II, but a higher contribution of CPCB IV+ than what we did in the last quarter.
Teena Virmani: Okay, got it. And my second question is related to the gross margin of the company during current quarter, we have seen an improvement on a year-on-year basis for KOEL for 3Q. So, what led to this increase, is i t m o r e d r i v e n b y C P C B I V + , o r i s i t m o r e d r i v e n b y H H P
contribution into your product mix or maybe export or distribution?
Rahul Sahai: So, if you look at what's been happening, we have been executing more orders in the medium and high-power range, that's number one. Number two, if you look at our distribution and aftermarket business, we are seeing a higher penetr ation there. Also, if you look historically, our contribution from international business is higher in the last quarter than it has been same time last year or in the previous quarter. So, these are the three main profitability drivers.
Teena Virmani: Okay. And on your B2C division, if I can ask just the last question on your B2C division, is the B2C division at similar profitability and B2B division or like what kind of sales would be required for this division to see a better absorption of cost?

Rahul Sahai: So, if you see in the results, B2C margins are alr eady there. On the console if you see it is already there.
Moderator: Thank you. The next question is from the line of Rahul Jain from JM Financial. Please go ahead.
Rahul Jain: I have two questions. So, my first one will be on the B2C business wherein we saw a 4.8% EBIT margin during the quarter. So, how sustainable is the profitability for this B2C business, and can you help me with the trajectory in which the improvement can come in the next one and a half, two years?
Aseem Srivastav: Hi, this is Aseem here. So, if you see last year we came up with a strategy of raise where we were focusing on margin improvement in LGM and also growth in WMS. Now, these two things we have achieved where the WMS business is growing by around 25% to 30%. And LGM is now very stable with ma rgins of around 5% to 6%. So, whatever strategy we adopted, this is sustainable, and there will be some improvement in margins going forward and in LGM, also, around 10% to 15% growth is possible going forward.
Rahul Jain: So, sir in the medium to long run can we expect that 8% to 10% margin le vels in this business, which will contribute to your 2x 2y strategy, if you can just give?
Aseem Srivastav: So, if you see our pump and small engine business already there at 8% to 9% margins.
Rahul Jain: So, farm mechanization is where we are getting pinched?
Aseem Srivastav: Yes, that's right.
Rahul Jain: Okay. My second question will be on Arka. So, Arka saw fantastic growth in AUM quarter-on-quarter as well as the revenue was up significantly on a year-on-year basis. However, the profits were significantly down so just needed to know the reason for th e lower profitability during this quarter.
Gauri Kirloskar: Yes, that's due to the exceptional item, let Amit are you there, you explain it please.
Amit Gupta: So, Rahul you got the right point. If you remember there is a RBI circular which has come in the month of November, which has given a mandate for any NBFC to provide for the investment they have made in any AIF and if both the entity have a common downstream investments So,
Arka has made an investment to the extent of a 30.8 crore in Arka Credit Fund 1, in that sub sponsor kind of a category, because they have a one common investments. That is why because of the regulatory provision, we have to make a provision of 30.8 crore in Q3 itself in December

2023. Had this provision not been there, our tax for the quarter would have been approximately 24 crore. Currently, I am sure the reported numb

er which is coming in the media is roughly around four crore or at Arka independent level, had this provision not been there it would have been at 24 crore.

Rahul Jain: 24 crore in total right?

Amit Gupta: For the quarter itself.

Rahul Jain: So, the profitability can come back in Q4 onwards, there is a….

Amit Gupta: For the quarter definitely, it will come back.

Gauri Kirloskar: It's an exceptional one-time item.

Amit Gupta: Yes, one-time item as the fund life will get ov er the amount will be coming back. The provision will get reversed.

Moderator: Thank you. The next question is from the line of Sagar Parekh from One Up Financial. Please go ahead.

Sagar Parekh: So, first question is on this price differen ce between CPCB II and CPCB IV+, what would be the price difference on average, I understand from different nodes it will be different, but broadly can you give us a range?

Rahul Sahai: 40%.

Sagar Parekh: So, when you mentioned that this 15% of our volumes were at a higher price. Still our Power Gen overall growth was only 5%. So, I'm not just able to reconcile that revenue number then so, maybe if you can throw some light on that?

Rahul Sahai: You are asking for the quarter?

Sagar Parekh: Yes, for the quarter. So, the Power Gen revenue growth is 5% for the quarter, and you are saying 15% of the volumes would have been at a higher price 40%?

Rahul Sahai: Yes. So, actually, if you look at the last year same quarter, we had an unusually high and we were executing some one-time orders on Power Gen, which is why actually same time last year was higher than our normal, which is why the growth looks muted. But if you look at on a year-to-date basis, you will see that the Power Gen performance is much stronger.

Sagar Parekh: Got it. And for quarter four, do we expect any kind of pre buy for CPCB II or are you already seeing pre buy already doing in the market?

Rahul Sahai: Yes, so we are expecting some amount of pre buy, although people are going to be slightly careful. So, it won't be to the same extent as what we saw earlier. But we are expecting some pre buy to kick in here.

Sagar Parekh: If I remember correctly, last year this year, current year, the pre buy was about 100 crores if I'm not wrong, so for this quarter the amou nt will be slightly lower than that?

Rahul Sahai: Yes, it should be lower than that, yes.

Sagar Parekh: Okay. And if I heard you correctly , you are still sticking to your gui dance of 6500 crores top line for FY25 from standalone business?

Rahul Sahai: Yes, so we still continue to drive that as a target.

Moderator: Thank you. The next question is from the line of Prolin an Individual Investor. Please go ahead.

Prolin: I just want to understand that for the nine months FY24 have we lost any market share in Power Gen segment. And how do you define market share is it in the product segment where we are present or do we seen the entire market share and where I am coming from this is, the market leader for nine months has grown at a much more faster pace than what we have done in some time. And, when we had defined with this 2x 3y strategy, we wanted to gain market share in the high horsepower kind of segment as well, where our market share was low. So, from that point of view, and assuming that there is a 40% price hike in CPCB IV genset, in terms of volume have we lost some market share, because that's what our whatever publically data that is available, that's what it points to. So, is that a correct assessment and if not, why is this number a bit on the lower side versus the market leader?

Rahul Sahai: So, if you look at our market share on power generation side excluding Telecom, because one of the things that we have consciously taken a call if something is not profitable, we are not going

to get into it beyond a poin t. So, we want to enhance the value for the organization. But if you look at our market share, excluding Telecom, our market share have remained somewhat similar. Of course, if you look at node-wise market shares, we have gained some market share at the higher end a little few percentage points. A nd at the lowest end, we have lost a little bit of

market share because of our own, it was like an intentional call. But if you look at without
Telecom, the market shares are somewhat similar they are not very different.
Prolin: Okay. So, x of telecom, in lower notes you are saying market share is similar, is that a fair
assessment?
Rahul Sahai: The market shares haven't changed too much, by in telecom market and that's a different kind of
market.
Prolin: Sure. And in our higher nodes, where was our market share, let's say a year back before we
embarked on this 2x, 3y journey. And can you tell us a little bit about your aspirational market
share that you want to be in three to five y ears' time, and what are some of the white spaces
where we have not exactly white spaces, but what are some of the right to win segments use case
that we are targeting, where we think that we can gain over some of the existing players?

Rahul Sahai: Sure. So, if you look at the power generation market, overall, what you will see is that, the market
is broadly categorized. So, you look at the 750 kVA upwards 250 to 750 kVA and below to 250 kVA. Now, if I look at 750, kVA
upwards, our market share was single digit at say 750 and 1010
kVA, we have grown that to double digits, we had practically no presence beyond that. Now,
we have a few single digit percentage points in, now especially when you compare that to the
revenue and the margins, there is a significant gain there as a result of, node by node, focus and
entry into the higher nodes. So, just to give you a sense of how the market is, on the lowest end,
like I said if there are segments that are not making money or are not profitable, then we at times
have taken conscious calls. And as a result, we may have seen some intentional drop in market
share there. Overall, however, we had a very similar market share, there is not much change.
Prolin: Sure. So, Rahul just to, double click a little bit on that if you can talk about certain segments that
you are targeting, certain use case that you are targeting to gain this market share. And if you can probably help us
understand what can be that aspirational market share in higher nodes in
three to five years time that will be helpful.
Rahul Sahai: So, one of the segments is infrastructure. And we are seeing a lot of growth in that segment. We
aspire for 20% market share in most of the segments that we operate in at least 20% and we see a significant opportunity
there. So, since you aske d for a segment, infra segment is fast growing,
it contributes to a large chunk of our portfolio, and we would aspire for 20% market share across the node.
Prolin: Okay, and anything on data centers, when you said that in higher kVA we have fought some
single digit market share. So, if I talk about this data centers, is it fair that there also we have bought some certain single digit
market share?
Rahul Sahai: Correct. So, data centers are also some of our customers that we are executing our orders with.
Most of our orders are in the 500 to 1010 kVA range. Slowly, we are also getting inquiries and
leads and we are in advance stages talking about the 2000 kVA and upward so those conversations are also happening.
Prolin: Sure. And from this press release of this JV with Man Energy France SAS, is it any way related
to the NPCIL order that we won, and if not, what is this regarding if you can share a little bit
more texture on this JV?
Rahul Sahai: Sure, so it's not a joint venture. It's a transfer of technology for specific purposes, b

ut at this
point, I won't be able to comment on whether it's related to NPCIL or not.
Prolin: Okay. But in future, do you think that this technol ogy transfer will help us target a larger market
in the domestic side of it or export side of it, and how did we decide on build versus buy or technology agreement that also if
you can help us?

Rahul Sahai: What I can say is that it's not a strategic larger population. So, it's for a very specialized purpose
and in case there is a larger population we are evaluating or that we sign off, we will update you.
Prolin: Fair point. And Gauri my one question to you would be that, as we have already, you have
reiterated that we are online for our 2x 3y strategy, but when we look at the margins, we have
already reached double digits. So, that is something which we have already achieved, maybe six
quarters before what we had targeted for. So, is there a need to probably set some higher targets
when it comes to margin in terms of mid-teens, low-teens right, anything on that?
Gauri Kirloskar: We will aspire to improve from where we are, thanks for acknowledging that we have made that
improvement, as Rahul also mentioned in response to an earlier question, and Aseem as well, there is still scope for us to
improve. So, we hope to show you that improvement in the coming
quarters.
Prolin: That's great Gauri, thanks a lot. Thanks a lot, what I was wanting to think was, in putting that
out on the presentation, so that everybody on the firm is also aligned. That was my objective.
Gauri Kirloskar: We have already felt double digit. So, what exactly are you looking for?

Prolin: No, we have already reached that double digit. So, I was just thinking whether in terms of further maybe mid-teens to low teens kind of number that you want to put it?
Gauri Kirloskar: So, you know where the compet ition is at, and where strategical ly we are looking at making improvements, whether we talked about the high horsepower space, or service penetration, or the export side. So, we do see that, there is scope for us to improve margins but, I'm not going to talk about a very specific number, because we will know where that ends up.
Prolin: Thanks a lot for that. Lastly, on this 5 crores that we recovered, if you can just remind us as to what was that total that we had already provided for and what are the kind of mechanism that we are using to recovery the remaining, I understand that we have provided for that. But what was the total amount that was provided for then, do we expect recovery to continue happening down the line as well or this was 5 crore was the debt that came from that account.
Gauri Kirloskar: Sure, happy to answer that. So, if you remember over the course of last year, the last maybe three quarters, we have fully provided for this amount which was a total of approximately 47 crores. So, with this 5 crores recovery, we now stand at an outstanding of 41 and the team is continuing to make full efforts to reco ver the outstanding amount.
Moderator: Thank you. The next question is from the line of Amit Shah from Antique Stock Broking. Please go ahead.
Amit Shah: My question is more on the export side of the business. So, on exports, that is one of the key pillars to achieve our 2x 3y guidance. We have already raised 150 crores kind of a quarterly run

rate on the export side of the business. I just wanted to know that, when we listen to your from competitors commentary, the guidance for a very muted kind of export market and the demand has been slowing down globally. So, in that background, what is our thought process with regards to exports because we were targeting somewhere around about 30% kind of a contribution coming up from exports. So, we have already established our GOEM in the Middle East and US. But how do you look at exports growing in the current challenging environment, if you can, please help us understand that?
Rahul Sahai: Thanks for asking that question, this is Rahul. So, I understand that a lot of the industry players are seeing muted International Business volumes. However, if you look at from our business lens, the opportunity to grow is still very much there, because our base is a relatively smaller. So, once the basic strategy moves are in place, and we are geared for growth, which is what we are currently trying to establish. So, one example is the GOEMs that we have set up both in the US as well as in the Middle East now. So, once we have the structure for manufacturing and the distribution setup, I do see that over a period of time we should be able to get to a much higher level of contribution. And yes, we aspire for 30% export contribution at a mature stage.
Amit Shah: Secondly, on the FMS side of the business, so that business is witnessing a sharp sort of decline in a quarter when you look at the nine months number, the numbers look pretty muted. So, what is the outlook there slightly from a longer-term point of view, both on the WMS and FMS side, what is the kind of contribution that we are expecting from that particular business and what kind of margins do we anticipate this particular business to contribute if you can just help us understand?
Gauri Kirloskar: Sure, a good question. I will answer first on FMS, your question on FMS and then I will let Aseem answer on the WMS side. So, as a leadership team, we are re-looking at our overall business strategy in the farm mechanization business. The performance of this last quarter and overall has not been in line with our expectations and I feel there is a need to relook at the strategy that we have there. The agriculture segment is of strategic importance to us. And we want to ensure that we reach our customers with the right products, and at the right price in all of the marketplaces where the customer wants us to be. We also know that this market is evolving it's highly fragmented, and there is many organized as well as unorganized players. The market dynamics are different state-to-state depending on crops, depending on seasonality and also different subsidies. So, we haven't actually been very successful in managing it well. So, there is a need to reevaluate our strategy here. The good news is it's a small business for us when we compare it to our overall portfolio. So, changing costs will be relatively easy for us and Aseem and his team will be working on this and I hope to see that improvement in the coming months, I will let him respond on the WMS question.
Aseem Srivastav: Thanks Gauri. So, WMS actually has two components, one is the pump business and second is the small engine business. So, if you see, this year both these businesses have a very strong growth of 25% and 30%. So, we have definitely captured market share, and there is a significant

improvement in margin also, both small engine pump business have a margin EBITDA of around

8% to 9%. Now, we are confident that this year we will be able to maintain this growth and margin for the WMS business, which is 90% of the B2C business.
Amit Shah: And if you can just highlight which are the end markets which is driving the growth, both for the pumps and is it more on the residential side, agri side of the business and even on the engine side.
Aseem Srivastav: So, if you see on the pump side we focus into the domestic pumps and th e agri pumps. And both these side we had 25% to 30% growth. On small engine, the construction sector is one and the OEM market is the second where we are seeing significant growth, but see the market is not growing at that rate, market is growing at 4% to 5%. We are growing at this rate because of our strategy.
Amit Shah: And any market share data points that you woul

d like to share, what is our current market share at this point of time and incrementally what we aspire to?
Aseem Srivastav: So, see this is very, very fragmented segment and no one player has more than 10% to 12% market share. Our current market share is around 5% in pump, in small AUM our market share is 30%.
Amit Shah: My last question would be on Arka. We have done a provision of 31 odd crore in this particular quarter because of the change in the RBI regulations. I just wanted to reconfirm that, have we done the 100% provisions, or can we expect some more provision to materialize even in Q4?
Gauri Kirloskar: No, it's 100% provision.
Moderator: Thank you. That was the last question, I would now like to hand the conference over to Mr. Amit Shah from Antique Stock Broking for closing comments.
Amit Shah: So, thank you everyone for joining us on the call. I would also like to thank the management for giving us the opportunity to host the call. I will request Ms. Gauri Kirloskar, to make the closing remarks. Post which we can close the call. Over to you ma’am.
Gauri Kirloskar: Thank you. Thank you very much Amit to you and your team for hosting the call and thank you very much for all of the investors who have joined and showed interest in the company. Thank you.
Moderator: Thank you ma’am. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2024

"Kirloskar Oil Engines Limited Q4 Earnings
Conference Call"

May 9, 2024

MANAGEMENT : MS. GAURI KIRLOSKAR – MANAGING DIRECTOR.
MR. RAHUL SAHAI – CEO (B2B)
MR. ASEEM SRIVASTAV – CEO (B2C)
MR. SACHIN KEJRIWAL – CFO
MS. SMITA RAICHURKAR – COMPANY SECRETARY
MR. AMIT GUPTA – CFO (ARKA).
MR. ANKUR GUPTA – CFO (B2B).
MODERATOR : MR. DHIRENDRA TIWARI – ANTIQUE STOCK BROKING LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to Kirloskar Oil Engines Limited Q4 FY '24 Earnings Conference Call hosted by Antique Stock Broking.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*"and then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dhirendra Tiwari from Antique Stock Broking. Thank you, and over to you, sir.

Dhirendra Tiwari : Thank you very much. Good evening, ladies and gentlemen. We, at Antique Stock Broking, welcome you on this call to discuss 4Q FY '24 results of Kirloskar Oil Engines Limited.

We are glad to have with us Ms. Gauri Kirloskar – Managing Director; Mr. Rahul Sahai – CEO, (B2B Business); and Mr. Aseem Srivastav, CEO B2C business, along with the rest of the management team. I first congratulate the entire team of KOEL for delivering yet another strong performance. And now I invite Ms. Gauri to start with opening remarks, following which we will open the floor for Q&A. Over to you, Ms. Gauri. Thank you very much.

Gauri Kirloskar : Thank you very much for that kind introduction. Good evening to all of you. This Gauri Kirloskar, Managing Director of Kirloskar Oil Engines. Thank you all for joining the call today.

I have with me Rahul Sahai – our B2B CEO; Aseem Srivastav – our B2C CEO; Ankur Gupta – CFO (B2B Business); Mr. Smita Raichurkar – Company Secretary; and Amit Gupta – CFO of Arka. We also have on call with us Mr. Sachin Kejriwal.

As you all must have gone through the Stock Exchange notice that we gave yesterday, Sachin has joined us as CFO with effect from today.

As usual practice, I will start with the business update first, followed by a quick overview of financial performance and then we will go on to the question-and-answer session.

As evident from the figures, this quarter has been remarkably prosperous for Kirloskar Oil Engines. We've achieved the highest quarterly sales in KOEL's history. Moreover, when considering the entire year's performance, it also marks the highest annual sales ever. I extend my heartfelt congratulations to the entire KOEL team and express gratitude for their unwavering support. This success is undoubtedly a collective effort with every member of the team contributing to their utmost. I firmly believe that this milestone signifies just the beginning of our journey ahead.

At KOEL B2B, we are transitioning from a diesel engine manufacturing company to a technological leader in power and energy systems. We are doing this by focusing on our internal

R&D, making progress on our technology tracks and encouraging innovation within our team.

Coming to business updates. Overall demand has stayed strong this quarter too. If we look at the macroeconomic indicators, India's economy outperformed the expectations in Q3 '23, '24 with 8.4% GDP and was at a 6-quarter high. This trend continued. It was evident in the Q4 demand across sectors with high demand coming, especially from construction, infrastructure and railways in particular.

In power generation, Q4 demand, in particular, was a mix of CPCB-II and CPCB-IV+. As we approach the deadline of June 2024, we expect the CPCB-IV+ demand to start gathering momentum. On the industrial side, we saw strong demand from our construction OEMs and government sectors such as Railways and Defense. Another noteworthy update is on the international business side. This year, we crossed the Rs. 500 crore international sales mark for the first time, taking the overall share of exports to approximately 12% of total sales. As the CPCB-IV+ norms have opened up a lot of new avenues

for our products internationally, I believe
this is a beginning of the exciting journey ahead for us in the international markets. If we look at the business unit-wise breakups for the quarter as well as the full year, most of the businesses have grown double digit year-on-year.

On the B2B side, I will talk about also the new and alternate fuel products first. The Optiprime series is gaining good traction. We shipped 17 Optiprime products, including 4 2,000 KVA gensets during the quarter. Gas genset sales have also been encouraging, and we expect the demand for natural gas gensets to increase going forward. We sold 229 gas gensets during last year. Remanufacturing is now part of our offerings through the launch of the New Life brand. Last year, we offered 110 New Life products to our customers. This quarter, the International business unit clocked a 70% growth over last year's Q4, making the full year performance at Rs. 520 crores, a 32% growth year-on-year. Please note that these are standalone numbers.

Now coming to the B2C business:

Overall, the B2C growth was 7% quarter-on-quarter, mainly backed by a strong growth of Water Management Solutions. The farm mechanization business continues to decline for the quarter and also for the full year. We continue to increase market share in WMS due to our deepening and widening strategy, 83 deepening channels contribute to Rs. 22 crores and 91 new channels through the widening effort contributing to Rs. 26 crores. As you know, our focus has been on the profitability of the segment. We have been taking a series of steps to improve margins. The PBIT margin has improved 25% for the quarter and 73% for the full year.

I will now briefly update on the Financial Performance on a quarterly and year-to-date basis: These are standalone numbers. So, first, a review of the Q4 FY '24 Financial Performance on a standalone level:

Net sales is at Rs. 1,378 crores for Q4 FY '24 versus Rs. 1,141 crores for Q4 FY '23, a 21% increase year-on-year. EBITDA is at Rs. 178 crores for Q4 FY '24 versus Rs. 129 crores for Q4

FY '23, a 38% increase year-on-year. EBITDA margin is at 12.8% for Q4 FY '24 versus 11.2% for Q4 FY '23. Net profit is at Rs. 118 crores for Q4 FY '24 versus Rs. 93 crores for Q4 FY '23, a 26% increase year-on-year.

The year-to-date or the whole year performance on a standalone basis:

Net sales is at Rs. 4,806 crores for FY '24 versus Rs. 4,073 crores for FY '23, an 18% increase year-on-year. EBITDA is at Rs. 578 crores for this year versus Rs. 457 crores for last year, 26% increase year-on-year. EBITDA margin is at 11.9% for fiscal year '24 versus 11.1% for fiscal year '23. Net profit is at Rs. 375 crores for FY '24 versus Rs. 298 crores for FY '23, a 26% increase year-on-year.

Just as a note, the above EBITDA and net profit numbers are after adjustment of overdue receivables towards a customer and the detail is in the notes to the financial results. Looking at the working capital. With diligent efforts and regular monitoring, we’ve achieved a reduction of working capital by Rs. 140 crores in the quarter with inventory days down to 48 days from 60 in the last quarter. The cash position now stands at Rs. 269 crores at the end of the quarter. Please note that this cash is net of debt and includes treasury investments and excludes unclaimed dividends.

Now I will take you through the business-wise standalone revenue breakup for the quarter and year-to-date performance:

The B2B business reported sales of Rs. 1,210 crores for the quarter, which indicates a growth of 22% year-on-year. The full year sales were at Rs. 4,182 crores for the quarter, which is 18%

growth year-on-year. Within B2B, the power generation reported sales of Rs. 518 crores for the quarter, which is 11% year-on-year growth and Rs. 1,905 crores for the full year, which is 15% year-on-year growth.
Industrial reported sale

s of Rs. 309 crores for the quarter, 28% year-on-year growth and Rs.
1,008 crores for the full year and 18% year-on-year growth. Distribution and aftermarket reported sales of Rs. 210 crores for the quarter, that's 19% year-on-year growth and Rs. 749 crores for the full year that's 19% year-on-year growth. International business reported sales of Rs. 173 crores for the quarter, which is a 70% year-on-year growth and Rs. 520 crores for the year, which is 32% year-on-year growth.
B2C standalone business reported sales of Rs. 168 crores for the quarter, which indicated growth of 10% year-on-year. The full year sales were at Rs. 624 crores for the quarter, which is 15% growth year-on-year. Within B2C, KOEL Water Management Solutions business recorded a revenue of Rs. 153 crores for the quarter, up by 22% and Rs. 537 crores for the full year, that is 23% year-on-year growth. Farm Mechanization recorded a revenue of Rs. 15 crores for the quarter, down by 45% year-on-year and Rs. 87 crores for the full year, down by 18% year-on-year due to seasonality leading to delay and subsidies from the states in where we operate.

Now, I will update you on the consolidated business:
LGM sales were flat, but with significant improvement in year-to-date PBT from Rs. 8 crores to Rs. 34 crores. The new plant construction is going as per schedule. LGM export grew at 15% and now contribute more than 30% of the revenue of LGM.
Now, I will update you on the consolidated business:
For the full year, Arka clocked revenue of Rs. 565 crores, which is a 52% growth year-on-year. The loan book as on 31st March 2024 was at Rs. 5,210 crores, including off balance sheet. Last last quarter, Arka had an exceptional item of Rs. 31 crores towards the provision made for investment in Arka's alternate investment fund due to the regulatory changes announced in December 2023. However, during this quarter, Rs. 15.6 crores have been reversed from that exceptional provision towards investment in Arka Credit Fund I post clarification from RBI.
Overall, if you look at the consolidated results, for the quarter, the revenue from operations is at Rs. 1,660 crores for Q4 FY '24 versus Rs. 1,384 crores for Q4 FY '23, a 20% increase year-on-year. Net profit is at Rs. 131 crores for Q4 FY '24 versus Rs. 107 crores for Q4 FY '23, a 23% increase year-on-year. At a yearly basis, on a consolidated level, revenue from operations at Rs. 5,898 crores for FY '24 versus Rs. 5,024 crores for FY '23, 17% increase year-on-year.
Net profit, Rs. 468 crores for FY '24 versus Rs. 360 crores for FY '23, a 30% increase year-on-year. Please note that the EBITDA net profit numbers are excluding the exceptional items and provisions and reversals or overdue receivables made for a customer towards sales made in the previous year. And for details, please refer to the notes in the financial results.
In Summary:
With 2 years down, the journey of our 2X-3Y strategic path, I am very satisfied with the progress we have achieved. This is despite the last-minute unforeseen changes in the CPCB-IV+ deadline. The deadline change has not just affected us on the top line target, but of course, we had to make a lot of changes on the production line and keep our supply chain agile to manage the transition.
I would like to reiterate that this was achieved because of the support we received within the organization as also from our supply chain partners. Amidst managing these challenges, we remain steadfast in our pursuit of new business development and progress in research and development. This underscores the dedicated endeavors of our team in crafting cutting-edge products for the modern era.
Our aim is to excel in internal combustion engine technology, spanning alternate fuel, hydrogen blends and hybrid engines. These innovations are tailored to support our customers in their decarbonization journey. In summary, wi

th a strong FY '24 performance, we are very much on
track for our 2X-3Y target, advancing satisfactorily on the 5 growth pillars. We have registered a 21% CAGR in the last 2 years on the base of FY '22 revenue of Rs. 3,250 crores. We have

reached double-digit EBITDA margins, too, reflecting a healthy above 40% CAGR on the EBITDA numbers. As we move towards the last leg of the 2X-3Y journey, we have our eye setup on the longer path that's ahead of us. We are committed to the strategic roadmap and our technology tracks. You will hear more about these in the coming calls, stay tuned until then.

With that short update, I would like to open the floor now for the questions.
Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Amish from JM Financial Services PMS. Please go ahead.
Amish Kanani : My question is, is it possible on the B2B business to get some kind of flavor in terms of the volume growth versus value growth because we've seen quite a bit of value growth there and we have the CPCB-IV transition. Is it possible to understand how much was this due to price increases of the new products versus the volume growth and whether there was a volume growth in underlying business? That will be very helpful.
Gauri Kirloskar : Thanks for your question. Just give us a moment.
Rahul Sahai : This is Rahul. So, what's actually been happening is at an overall level, we are seeing not just value, but also significant volume growth. And if I compare versus the base of FY '22, which is where we started the 2X-3Y journey, the volume growth versus that year is about 25%.
Amish Kanani : And this is as a basket for the whole B2B or does this mostly have no mistake?
Rahul Sahai : For B2B helpful.
Amish Kanani : So, will it include international business growth as well? Or it will be largely the domestic growth, or B2B.
Rahul Sahai : This was B2B business.
Amish Kanani : And sir, is it possible or any chance to get the number for this year? Because there was the sense because of the price increase, the volume may not have come. So, the consumers are probably buying the higher value-added non-polluting products, but maybe volume wouldn't have come. But given the strength in the underlying businesses that we cater to, I mean, real estate and infrastructure, I was wondering whether the demand in volume terms also remains strong?
Rahul Sahai : So, our CPCB-IV shipments continue to be at about 20% and lower levels. So, the price increase that we were initially envisaging as per the regulations, didn't really come through in the last financial year because of the change in the norm, the soft postponement that ended up happening. So, which is why it is still fairly apples-to-apples at this point. In this coming financial year is when we are likely to see full impact of the price increase after June, which is where the CPCB-IV+ norms will kick in with full effect.

Amish Kanani : So, can I say in the context that no major price increase has resulted in a good volume growth? And in that context, is it possible to give us some sense what happens after the June thing?
Rahul Sahai : So, if I look at versus last year, we had at an overall level or, I will say, 10% volume increase. And the price increase after June would, I mean, while it will vary by node, it would be at a weighted average level of about 35% to 40%, which is due to the enhanced scope of the after-treatment systems and the electronics that are going into the engine for power generation.
Moderator : The next question is from the line of Ashutosh Garud from Ambit GPC PMS. Please go ahead. Please go ahead.
Ashutosh Garud : I just wanted an outlook on the margins going ahead given that we have clocked 17% to 18% kind of EBITDA margins in the last 3 to 4 quarters? Tha

t is one. And second, I wanted some color on the debt on the balance sheet? How do you think the debt will look like, let's say, 1 year down the line? And what kind of interest costs are you building in going ahead?
Gauri Kirloskar : So, I will answer your second question first, and then I will just hand it over to Rahul and Aseem to comment on the margins going forward in their businesses. So, on the debt side, we expect to maintain just the same because we have a strong cash position currently. So, we don't envisage that the debt levels would go up. Go ahead, Rahul.
Rahul Sahai : So, on the B2B side, our current EBITDA levels appear at about 14%. And we will look for opportunities to enhance that, but I wouldn't give any guidance at this point.
Ashutosh Garud : No, I didn't get your answer for the debt level, ma'am, if you can just repeat it.
Management : So, currently, we are having a debt of around Rs. 200 crores in the books. And we expect to maintain the same debt level. We do not expect to increase it as we have sufficient cash in the balance sheet.
Aseem Srivastav : Yes. On the B2C side, our EBITDA level is now around 6.6%. And going forward, this will slightly go up.
Moderator : The next question is from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.
Mahesh Bendre : Ma'am, you just mentioned about the natural gas gensets, and we already sold quite some volume in this quarter. So, I mean, how is the product compared to a traditional diesel engine in terms of performance and pricing?
Rahul Sahai : So, if you look at our natural gas portfolio, we are actually getting our entire portfolio certified for the latest emission norm that is CPCB-IV+. In fact, most of it is already certified. Now if I compare it versus diesel, these natural gas-based gensets can only go where the natural gas availability is there.

If I look at advantages versus diesel, while the emission norm compliance is the same, it will comply with CPCB-IV. But natural gas is a cleaner and a more sustainable fuel source. Also, what ends up happening is the aftertreatment systems required to clean the emissions, they are simpler. So, there is some amount of derating that happens at a platform level when we move towards natural gas. But at a product level, if you compare the pricing of diesel and natural gas, there would be, for equivalent appear 30% to 40% price variation where natural gas is more expensive. But if you look at overall cost of ownerships, then natural gas gensets tend to be the better alternative.

Mahesh Bendre : And sir, a lot of investments are going in data centers now. So, have we introduced a product in that category? And what is the prospects in that segment?

Rahul Sahai : So, absolutely, data center is one of the key segments that we are focused on. In fact, we have refined some of our platforms, such as the K4300 and we have got the BCCC rating for some of our platforms also and so we are also, in particular, executing some orders with data centers.

Mahesh Bendre : And last question, what is the CAPEX plan for the current year and next year?

Gauri Kirloskar : Just give us a moment. So, if you look at our CAPEX plans for the current year, it's at about 1.5 to 2x what we did last year.

Mahesh Bendre : And so, what could be that absolute number, ma'am?

Gauri Kirloskar : It's approximately Rs. 400 crores.

Mahesh Bendre : And this is the for expansion of the facilities?

Gauri Kirloskar : For some capacity enhancement and also investing along the lines of the technology tracks that we have defined on the R&D side.

Moderator : The next question is from the line of Teena Virmani from Motilal Oswal Financial Services. Please go ahead.

Teena Virmani : Just wanted to get some sense on the demand scenario in the current quarter, quarter 1 of FY '25 as to how is the inventory status of CPCB-II now? And how is the tracti

on coming in along for CPCB-IV, even prior to the implementation from the month of July? So, how do you see quarter 1 of this fiscal panning out in terms of power genset demand?

Rahul Sahai : So, Teena, this is Rahul. What we see at the moment is demand for CPCB-II continues to be fairly strong. We continue to fulfill our obligations to our customers as far as executing orders are concerned. What we expect is through this quarter CPCB-IV+ will pick up slowly, but I think it's really when this quarter ends is where the switch over to CPCB-IV will happen.

Teena Virmani : So, how is the inventory status of CPCB-II? Is there enough inventory of CPCB-II to last till June in the system? Numbers for KOEL, but generally for the industry.

Rahul Sahai : Yes. So, I mean, you are right by asking that question because the parts in many cases are quite different. But from our standpoint, we planned the inventory ahead. There's no problem.

Teena Virmani : So, you expect the demand for CPCB-II to remain till June and there is sufficient inventory to cater to that demand?

Rahul Sahai : Correct.

Teena Virmani : And then if you start shifting towards CPCB-IV?

Rahul Sahai : Yes, then there is a switchover.

Teena Virmani : My second question is related to the other expenses, which are down in the current quarter. So, is it more to do with the performance of the B2C division where we are seeing some kind of improvement in the margin for B2C and that's the reason other expenses are down, or any specific reason is there for lower other expenses?

Gauri Kirloskar : Teena, can you just be a little bit more specific, what number are you referring to coming down?

Teena Virmani : Yes. So, in quarter 4 of FY '24 for standalone business, when we see overall other expenses as a percentage of sales, it is down to around 14.7%. And when we compare the same number for 4Q of FY '23, this number is 16.4%. So, even though the absolute amount would have increased, but as a percentage of sales?

Gauri Kirloskar : So, Teena, that's just fixed cost leverage that you're seeing because of the increase in volumes and sales.

Teena Virmani : So, what is a sustainable number going forward with this level of nearly 14.7% or so, is it looks to be the sustainable number going forward as volumes improve?

Gauri Kirloskar : Yes, it should be.

Teena Virmani : If I may ask 1 last question, then I will join the queue again. My another question is related to exports. You've seen a very good traction in export numbers in the current quarter and even for the full year. So, what's the strategy to increase exports from the current levels. Because as per your strategy plan, your target is still higher on the export front. But how do you plan to grow export numbers further from the current levels in terms of geographies, in terms of nodes? Or is it something that you're targeting something inorganic to meet the current targets which are given in the strategy plan?

Rahul Sahai : Teena, this is Rahul. See, on the international side, we are looking at developing the market. So, it's not just exports. It's actually international business for us because we have to generate the leads and orders and things like that. So, we are evaluating each of the geographies very carefully. You may have seen in some of the messages we've given out, the Middle East and the U.S. are key markets that we're focused on. So, on the power generation side, we have GOEMs appointed in both these markets, which is something that we have not traditionally done, and we are operating via GOEM model now. And along with that, we are also taking a hard look at what is the structure required for those respective geographies to build for us. So, if you were to ask me what are the focus areas? The focus areas at this moment are Middle East and the U.S. We're bein

g extremely purposeful. So, which is why I won't give anything away. It's proprietary at this point, but international business is important, and you are seeing the focus translate to numbers in the last quarter.

Teena Virmani : So, would there be any kind of elongated growth also would you be targeting to meet the targets given in strategy?

Rahul Sahai : So, we are evaluating all options, whether it's organic or looking at inorganic growth opportunities, either for market access or for certain technologies, we are evaluating all options.

Moderator : The next question is from the line of Ashwani from Emkay Global Financial Services Limited. Please go ahead.

Ashwani: My first question is on the Industrial business. If you see the performance has been very strong during the quarter. Was there any one-off large order during the quarter in the Industrial business? That's what I wanted to check. And what is the outlook that you gave going ahead?

Rahul Sahai : Yes. So, while I wouldn't give any guidance on the Industrial side, but what I can say is the Industrial business wasn't one large order. In fact, if you track the performance quarter-on-quarter, the Industrial business has grown fairly consistently. Of course, Q4 was relatively large for us, but the industrial business has grown pretty consistently. So, we engage very closely with our OEMs. We want to make our OEM successful, and we intend to grow with them.

Ashwani: Secondly, any feedback you would like to share with us on the Optiprime series of gensets, which you launched some time back?

Rahul Sahai : So, in general, we've got good feedback from our customers. Optiprime is a novel product in the market. And there is a clear positioning for it. I think there are clear advantages for our customers. And so the customers are also acknowledging that, which is why we've been able to sell 4, 2,000 KVAs in the last quarter. I mean at that range of genset, customers won't take a chance unless and until they are completely convinced. So, I think the Optiprime is a new product in the market. We're quite excited about it, and we're hoping that we can build further on the product in the months to come.

Ashwani: So, just to clarify, this is lost only in domestic market or we're looking for export market also for this?

Rahul Sahai : So, one of the orders that we fulfilled in the last quarter was for international markets.

Moderator : The next question is from the line of Sagar Gandhi from Invesco Mutual Fund. Please go ahead.

Sagar Gandhi : My first question is on your thoughts on 3 things. First is volume growth once CPCB-IV kicks in? Second is, how do you see realization is different for CPCB-IV versus CPCB-II? And third is given the experience of CPCBI versus II 10 years ago, we saw realizations dropping significantly when this transition happened, or I mean when this realization kicks in? So, how do you see this realization decline from 4 to 2 over the next 2 years?

Rahul Sahai : Thanks for that question. So, this is Rahul. So, if you look at volume growth, when I look at the industry, as we transition to CPCB-IV full time, we expect the volumes to be at a somewhat similar level, the kind of volume growth overall that's happening in the industry. I think in the short term, those volumes may remain flat for this year, and that's what we anticipate. But what will also happen is that there are a few companies that have their portfolios completely certified at this point. So, those respective companies may see market share gains. So, it's a situation that we'll have to play out for us to actually see what specific impact is there. But from our business standpoint, we are pretty geared up. I mean we have our portfolio certified, so we are pretty geared for that.

Now coming to your next question. If I look at the realization difference between CPCB-II and

CPCB-IV, at this point, we e

xpect the realization to be somewhat similar. We're not expecting a
drastically different realization. But I'd be in a better position to comment once I have been through 1 or 2 cycles because the market forces will pan out, and we will have to watch for it. So, it's difficult to comment on that at this point.
Now you spoke about 2014, when the transition from CPCBI to CPCB-II had happened. Now that was a slightly different transition because each company had followed a different strategy and a lot of companies continued with mechanical platforms, even in CPCB-II. But what is happening in this transition is there is a convergence of technology where most companies are following the same technology path, which is that of whether it's a diesel engine or a fuel-agnostic engine, along with the selective catalytic reduction and a diesel oxidation catalyst. So, engine, it's DOC and an SCR. So, most companies are following the similar technology track.
Moderator : The next question is from the line of Jeetu Panjabi from EM Capital Advisors. Please go ahead.
Jeetu Panjabi : You have great numbers, very satisfying to see this. So, 2 questions. Can you talk a little bit through the export side, what are the trends you're seeing? What's driving the growth? I know it was part of the plan? And do you kind of think that from here, there will be an acceleration over the next 12 to 18 months. What's the broad thinking there? The second question I had was on

Arka. So, we've crossed the Rs. 5,000 crore book size. And just love to hear what's the thinking there? And how do you see things from here going there?
Gauri Kirloskar : Rahul, will give you an update on the exports question.
Rahul Sahai : So, on the export side, we want to accelerate. We're being purposeful. But I mean, we definitely want to accelerate this business a lot more than what it is today. I can't give out a number at this point, but just in terms of our business contribution we wouldn't want the international business to go from the current numbers to be closer to about 15% to 20% sooner than later. So, that's something that we are focused on.
Jeetu Panjabi : So, just on that, you're seeing the growth trends there are promising at the order book and the discussions are all very positive. Is that fair to assume?
Rahul Sahai : Yes. I mean in the same side, we are exploring multiple avenues, frankly. And while the discussions are positive, but there's still a lot that needs to go in execution to make the sale and the billing, et cetera, happen. I mean, the opportunity for us is that we have very low market shares outside the country. So, even small market share like, for example, a 1% or 1.5% or 2% market share in a large market, for example, like the U.S. or some of these larger international markets, they are extremely meaningful from our business standpoint. So, we're not looking to change the industry at this point internationally, even small steps will go a long way for our business.
Gauri Kirloskar : And on the Arka side, Jeetu, thanks for your question. So, yes, we crossed Rs. 5,000 crore AUM size. And as stated on prior calls as well, I think the path that the business will follow now is looking towards the external market as well to raise capital and they'll be on that path.
Moderator : The next question is from the line of Bharat Sheth from Quest Investment. Please go ahead.
Bharat Sheth : Gauri, we had a plan to enter in the U.S. market to grow that. So, can you give some color on our journey to enter in U.S. market? And how do we see that market in the next 5 years?
Rahul Sahai : Yes, sure. So, if you look at what's happening globally, the global power generation market is increasing at about a 4% CAGR. There are 3 key markets: the U.S. China and India. These will be the large players, and I am talking about 5 years out, the next 4 to 5 years, this is what is likel

y
to happen. So, U.S. is amongst the biggest power generation markets in the world today. The U.S. and China make up a large chunk of the genset market. When we evaluated multiple modes of entry, we realize that having a local partner who is vetted with us makes more sense. And if we can use a local brand that makes more sense versus going with our own brand, which is why we invested in a company called Engines LPG LLC that has the brand name of Wildcat.
Now Wildcat is a local American-made genset company, and the brand positioning is that it's made in the U.S. And we want to leverage that positioning and we're working very closely with

Wildcat to make Wildcat successful. So, our mode of entry for the U.S. market is alongside Wildcat, and we're working towards that. The U.S. market poses tremendous opportunities. I mean if you look at the overall market size, it's about, I mean, I would say, roughly $3 billion to $4 billion. And right now, the Wildcat business is very small, but I am pretty confident that we can make our strategic moves and even small market share gains will be very meaningful for us.

Bharat Sheth : And Gauri, now second thing, you said that we are making huge investment next year also particularly to develop a new product in R&D. So, can you give some color to what are the white spaces as on today and where this kind of investment is required? And how that will take our company over the next few years?
Gauri Kirloskar : So, if you look at some of the communication that we've done in the past calls, we have talked about the changing landscape in the energy transition that's taking place, and we have designed 4 technology tracks that we will be focusing on going forward. So, I will just ask Rahul now to articulate those 4 technology tracks because this is the path along which we are making these investments so that over the next, say, medium term, we're ready with the kind of products that we expect our customers would want in their decarbonization journey.
Rahul Sahai : Thanks, Gauri. So, Bharat, if you look at the 4 technology tracks that we have defined for ourselves, the first track is fuel-agnostic internal combustion technologies. Now our focus there is to build whatever products that our customers want as per the fuel that becomes available. So, if natural gas is a fuel that's becoming available, we will build a portfolio of products that work on natural gas. So, that's number one.
And similarly, for example, if you look at hydrogen or there are different fuel types, and we're working on all of those things. And it's all internally developed. If you look at our second track, we are looking at energy solutions, which include the likes of microgrids. So, setting up microgrids, which include synchronization across different energy sources. If you look at solar and genset, battery energy solar systems. So, we believe that there is a significant play that we can make there. And so that's our second technology track.
The third track is around electrification. We have been making our moves there as well. So, we have different kind of motors available now, mostly on the single phase and partly on the three-phase side. Also, we want to expand that portfolio and get into specialty motors. And our fourth track is around electrolyzers and fuel cells. So, that's an area of development as well. I can't give out too much right now, that's proprietary but these are the 4 tracks that we are working on. And most of the capital allocation is happening along these 4 tracks, either to create capacities or in core R&D.
Bharat Sheth : I mean, can I ask one more question?
Gauri Kirloskar : Yes, sir. Please go ahead.

Bharat Sheth : If you can give also now color our user industry, how if you can give a number or tracking order, which are growing much faster and how much our product is there? And do we have any white space in that industry?
Gauri Kirloskar : Sorry, in which industry are you talking about?
Bharat Sheth : Our user industry, like the data center, tower, right from an online industrial and then marine side also?
Gauri Kirloskar : Okay. So, specific white spaces that we see within these is what you’re asking.
Bharat Sheth : Which is growing much faster.
Rahul Sahai : So, I will give a few examples, and then you can feel free to ask me further questions. So, I will give an example of Railway segment. So, we did our highest-ever business in the Railway segment this last year and Railway is growing. Now within Railways, we are dominant in the power car application. But there are white spaces in, for example, track machine, OHE car, Tower Wagons. So, there are other applications where we are not present today in a meaningful way where we have opportunities. So, the white spaces very much exist.
Now if I look at, say, on the construction side, we are engaged with a lot of industrial OEMs. But we are still not present in certain applications like the 20-ton excavator. Similarly, if you look at mining, we are present in mining to the low hold stump trucks in some markets outside India. But on the mining side, we are not present in India. So, I would say each of these are growing segments.
And similarly, if you look at the data centers or look at on, I will say, fishery, the marine, these are all opportunities. We have to focus our product development on the opportunities that we see coming to fruition quickly and are also meaningful. So, white spaces definitely exist.
Moderator : The next question is from the line of Salil Desai from Marcellus Investment Managers. Please go ahead.
Salil Desai : No, I was a little curious to understand, you mentioned that 20% of your genset sales are in the CPCB-IV+ category. So, what kind of customers who are today buying CPCB-IV when there is no pressing need for them to do so?
Rahul Sahai : Yes. So, see, if you look at the regulation that has come in, the end customers or their suppliers whoever had given us orders by June of last year, end of June of last year, are the orders that we are executing right now. So, in a sense, this is all our already existing order board. The ones who had not, we are fulfilling CPCB-IV orders.

Salil Desai : I see. All right. So, more recent orders are likely to be CPCB-IV?

Rahul Sahai : Yes, correct. So, the more recent orders are likely to be CPCB-IV. The regulation was designed. So, the postponement or the soft postponement, the way it happened, if you read the verbatim, what it says is that we had to ensure that we have end customer orders or orders of their suppliers in our books by the end of June, and that has been submitted to the ministry. Now orders that have come in after that, we are fulfilling CPCB-IV orders.
Salil Desai : And given the typical production life cycle, should it be over by now? I mean, I am not sure why we have to wait till June for selling only CPCB-IV because you wouldn't take really 9, 10, or 12 months to deliver a product, right? So, in that sense, all new sales from, say, 1st of April onwards should ideally be all CPCB-IV. Am I missing something? Or is there a nuance on this, too?
Rahul Sahai : Well, the nuance is that till that time, so I mean, end customer orders or orders of their suppliers. So, till the time, there is a way that customers can get access to CPCB-II genset, they will try for that, which is why a lot of CPCB-II demand continues to exist. But from, I mean, strategically, the way we are planning our operations, we are planning to wind down our CPCB-II supplies through this quarter because we also need to ramp up on the CPCB-IV side.
Salil Desai : Understood, right. And just one more clarification. You mentioned that next year, you may see volumes bein

g flat, but because you are in a position that the product is certified, there could be market share gains. Did I hear that right, understand it right?
Rahul Sahai : Yes.
Moderator : The next question is from the line of Mayank Chaturvedi from HSBC Mutual Fund. Please go ahead.
Mayank Chaturvedi : Just one clarification from my end. Somewhere I heard that you expect the realization of CPCB-IV+ to be similar to CPCB-II. So, can you elaborate? Because I think earlier, you were expecting a 35%, 40% price hike between, I mean, depending on the various notes. So, if you can elaborate on that?
Gauri Kirloskar : Yes. So, the price realization you're right, is 35% to 40% on average, depending on the node. When we were talking about it being the same, we meant on the margin side.
Moderator : The next follow-up question is from the line of Sagar Gandhi from Invesco Mutual Fund. Please go ahead.
Sagar Gandhi : Yes, I am sorry, I dropped off during my last question. So, I didn't hear your thoughts on realization drop once the competition kicks in after the CPCB-IV launch. So, if you can throw some light there?

Gauri Kirloskar : So, Sagar, just in the interest of time, we did answer the question. Unfortunately, you had dropped off. So, may I please request that you read the call transcript. And if you have any further questions, you're free to e-mail us.
Sagar Gandhi : So, I had one more further question and that is related to Kirloskar end usage contention that we've been hearing and contention on the similar businesses within group companies, especially related to the Farm business. Can you give clarification for these 2 points?
Gauri Kirloskar : Yes. So, unfortunately, I won't be able to comment on those issues because they're all subjudice in the call.
Sagar Gandhi : And my last question is on import content on CPCB-IV versus CPCB-II?
Rahul Sahai : Yes. So, our import content on CPCB-IV is roughly around 9% to 10% versus if you look at CPCB-II, our import content was around 3%.
Sagar Gandhi : 3%. CPCB-II was 3%?
Rahul Sahai : That's correct.
Moderator : Our next question is from the line of Mohit Pandey from Macquarie Capital. Please go ahead.
Mohit Pandey : My first question is just a follow-up. So, when you're down the line, is there scope for this import content to go down further? And in that sense, is there scope for margin expansion? That's the first question.
Rahul Sahai : The way I would request that we think about this is, we would look for the most reliable and cost-effective suppliers irrespective, honestly, where they are in the world. Now in case the expertise lies in India, we will digitize the supply. But in case the expertise lies elsewhere, we want to make sure that we're working with the best suppliers that we can work with.
Mohit Pandey : Very clear. And secondly, on the data center offerings, just wanted to understand if you are planning to invest in further new products for that market or do you think current offerings are sufficient to gain market share in that particular segment?
Rahul Sahai : We will continue to invest in a product roadmap that caters specifically to data center.

Mohit Pandey : . And just last question. So, in the initial remarks, I think you mentioned that with the CPCB-IV products gaining traction, that opens up for avenue on the export side. So, just wanted to understand, so without a regulatory push similar to what is there in India, do you think there will be absorption of the higher prices in the exports market or the high priced CPCB-IV+?

Rahul Sahai : So, each region has their own version of CPCB. So, there are certain norms that exist in many regions. So, for example, if you look at CPCB-IV+ in India, that's very similar to U.S. EPA Tier 4 Final, pretty close to euro Stage 5. So, there is some version of regulations

around emissions
that exist in many regions. The comment that we had made earlier around with these emission changes happening in India, opportunities open up for us was primarily around getting our product certified in India, but also getting the technology to ensure that we can introduce products outside of India because genset outside India, especially more mature markets, will operate with an after-treatment system for instance. Today, we have after-treatment systems, and we have the dexterity to plan our products with after-treatment systems. So, the opportunity is definitely larger today than what it used to be.
Moderator : Ladies and gentlemen, we'll take this as the last question. I would now like to hand the conference over to Mr. Dhirendra Tiwari for closing comments.
Dhirendra Tiwari : Yes. Thank you very much. Thank you, Gauri, Rahul and Aseem for giving us this opportunity to host the call and looking forward to continuing hosting you. All the best for the future. Thank you very much, and we will conclude this call now.
Gauri Kirloskar : Thank you very much to Chorus Call and Antique Stock Broking for hosting us and thank you for the interest in the company from all of the participants and your continued support. See you next time.
Dhirendra Tiwari : Thank you.
Moderator : On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

“Kirloskar Oil Engines Limited
Q1 FY '25 Earnings Conference Call ”
August 08, 202 4

MANAGEMENT : MS. GAURI KIRLOSKAR – MANAGING DIRECTOR
– KIRLOSKAR OIL ENGINES LIMITED
MR. RAHUL SAHAI – B2B CHIEF EXECUTIVE
OFFICER – KIRLOSKAR OIL ENGINES LIMITED
MR. ASEEM SRIVASTAV – B2C CHIEF
EXECUTIVE OFFICER – KIRLOSKAR OIL
ENGINES LIMITED
MR. SACHIN KEJRIWAL – CHIEF FINANCIAL
OFFICER – KIRLOSKAR OIL ENGINES LIMITED
MS. SMITA RAICHURKAR – COMPANY
SECRETARY – KIRLOSKAR OIL ENGINES
LIMITED
MR. AMIT GUPTA – CHIEF FINANCIAL OFFICER
– ARKA FINCAP LIMITED

MODERATOR : MR. AMIT SHAH – ANTIQUE STOCK BROKING
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Kirloskar Oil Engines Limited Q1 FY '25 Earnings Conference Call hosted by Antique stockbroking. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Shah from Antique Stock Broking. Thank you, and over to you, sir.

Amit Shah: Thank you, Aditya. Good evening, everyone. On behalf of Antique Stock Broking Limited, I welcome you all to the post earnings call of Kirloskar Oil Engines Limited. To discuss the results, we have with us the senior management team of the company, represented by Ms. Gauri Kirloskar, Managing Director of the company; Mr. Rahul Sahai, CEO of B2B business. Mr. Aseem Srivastav, CEO of B2C Business; Mr. Sachin Kejriwal, CFO of the company.

I'll hand ove r the call to Ms. Gauri Kirloskar for her opening remarks, post which we can open the floor for question and answer. Over to you, Ma'am.

Gauri Kirloskar: Thank you very much. Good evening to all of you. This is Gauri Kirloskar, Managing Director of Kirloskar Oil Engines. Thank you all for joining the call today. Besides the people already mentioned, we also have on the call Smita Raichurkar, Company Secretary; and Amit Gupta, who is the CFO of Arka. I will start with the business update first, follow ed by a financial overview by Sachin and then we can open the floor for a Q&A session.

I am happy to report that we continued to surpass records in this quarter. We recorded the highest ever quarter 1 sales for KOEL at INR1,334 crores. This is 6% higher t han the Q1 of last year. Please note that the first quarter of last year witnessed prebuy in the view of emission norm changes. So the 6% growth over that number is, I believe, a commendable achievement. I would like to congratulate our whole team on these results.

If we take back the effect of the prebuy from last year, then the Q1 revenue growth is 18%. All of the business units except for mechanization, have grown double digits compared to last year, excluding the prebuy effect of the first quarter of l ast year.

On margins, EBITDA was at INR198 crores, which reflects a 14.7% margin. It is 250 basis

points higher than the quarter 1 last year. Please note that we have recovered the provisions we have made last year and this number, which is 14.7% is refle ctive of that. So overall, if you look
at the net profit, KOEL stand- alone was at INR135 crores, which is 30% higher than the Q1 of the previous year.

Now coming to business updates. The demand continues to stay strong. On the B2B segment, we are concentr ating on our technology track to solidify our position as a leader in power and energy systems.

From a business perspective, at a stand-alone level, we achieved sales of INR1,152 crores, representing a 5% year-on- year growth despite an exceptionally strong first quarter last year that experienced significant prebuy demand.

On the Power Gen side, we have successfully transitioned to the new emission regime by ramping up our CPCB 4+ engine production capacity. We now boast one of the largest CPCB 4+ certified portfolios in the industry. Additionally, we have received certification for natural gas genset nodes, advancing our flexible fuel strategy. We are expanding our Optiprime range of gensets as we continue to introduce new power solution products for our customers.

The Industrial segment experienced substantial growth of approximately 38% year-on- year, driven by strong demand from our construction OEM

s. We are also making good progress with
the upcoming CEV BS V emission changes, conducting field t rials in collaboration with our OEM partners. The distribution and aftermarket business recorded a 14% year-on -year growth as we focus on enhancing service penetration and improving the service capabilities of our channel partners.

Lastly, the drive to in crease our presence internationally have started yielding results with our International business growing by 23% year-on -year. We are working with our international partners to increase reach and deepen our service presence to drive growth.

Coming to the B2C business at a stand- alone level, we recorded sales of INR182 crore, which is a 14% growth year-on- year. WMS or water management solutions sales grew at 20% year-on-year, while Farm Mechanization sales underwent degrowth. Exports in the B2C stand-alone were at INR10 crores, which have almost doubled from the last -- Q1 of the last year.

I will now talk about the consolidated business updates. Revenue from operations was at INR1,636 crores, which is a 6% growth year-on -year. For the B2C segment, one of t he key events this year is shifting of the manufacturing facilities to Sanand . We are moving ahead as planned, and we expect to complete this in the second quarter. KOEL WMS has grown by 20% year-on-year. The export sales growth numbers at 11% over Q1 of l ast year. Both KOEL WMS and LGM reported double -digit EBITDA.

Our Financial Services business Arka revenue was at INR163 crores, which is a 27% growth year-on-year. The assets under management as on June 30, 2024, stood at INR5,768 crores. With the key business updates completed, I would now like to touch upon the strategic growth path of 2X -3Y. As we enter the final year of this journey, we at KOEL are fully committed to the
growth path we set for ourselves.

Despite some changes in our year-on- year journey due to last minute changes in the CPCB 4+ deadline, we have managed these changes well and maintained our focus on overall growth. This growth encompasses not only the top line but also advancements in technology, more R&D efforts, and accelerated introduction of new products.

This shift is not just reflected in our financial performance, but also an internal transformation of our operations. As you know, over the past 2 years, we have restructured our business,

reinforced our group value and cultivated a strong company culture. This transformation has prepared us not only for the 2X -3Y journey, but for the longer part that lies ahead.

As I spoke in my last call as well, at KOEL, our aim is to transform from an engine manufacturing company to a technological leader in power and energy systems. So on this call in the beginning of the year, I would like to give you an update on what we want to aim for as a
company in the next 5 years.

If you look at the last slide in our investor presentation online, you will see that our ambition is to 2B2B, which readouts our ambition to be USD 2 billion by fiscal year '30. If you look at the levers that we will leverage to achieve our 2B2B strategy, our core manufacturing strategy is something that we will focus on. This includes make versus buy decision, what to solve, what

the machine and what capacity levels we want to have.
On the B2C side, we have a new plant that will get commissioned this quarter. And with that, we will have enough capacity to take us on this journey. In the 2X -3Y strategy, we have come out with 4 technology tracks, and we had shown a road map as far as these technology tracks are concerned.
I keep saying that at the heart of it, we are an engineering company, which also manufactures and sells, an d our focus on R&D will stay, and we will continue to invest in R&D. We are excited to be part of this transition that our industry has seen, and we belie

ve that this is a once -in-a-
lifetime opportunity to make a difference to the world and the communities that we serve.
We will also look for inorganic growth opportunities as we go along, but we are clear on what fits our strategy and what will not. And we will grow only in areas where we have core competence and where it makes sense to enter. As you know, we have a healthy balance sheet, and we will make sure that we invest with prudence.
Our international strategy will continue. We have made significant progress. And it is our aspiration that our international portfolio is at 30% of the overall pie. We h ave made good progress in the last 2 years. We have made some strategic moves, and we will continue this focus. We will also focus on completing the product portfolio in the B2C business, and we will make sure that this business grows as well.
Now I will hand over the call to Sachin for a quick financial overview. Thank you.
Sachin Kejriwal: Good evening, everyone. Thanks, Gauri, for the update. I will now run through the financial performance for stand-alone and consolidated business. As you see from the numbers, Q1 top line registered growth year-on- year despite of the prebuy reflected in numbers for Q1 of last year. This is now 8 quarters in a row that we have crossed INR1,000 crores in revenues from operations.
Coming to the financial performance, I wi ll start with the stand -alone performance first. Revenue from operations at INR1,343 crores for Q1 FY '25 versus INR1,265 crores for Q1 financial year '24, which is 6% increase year- on-year. If we remove the effect of prebuy sales from Q1 last year, then Q 1 FY '25 performance reflects 18% growth year -on-year.

EBITDA at INR198 crores for Q1 FY '25 versus INR155 crores for Q1 FY '24, which is 28% increase year -on-year. EBITDA margin at 14.7% for Q1 FY '25 versus 12.2% for Q1 FY '24.
Net profit at INR135 crores for Q1 FY '25 versus INR103 crores for Q1 FY '24, which is a 30% increase year -on-year. Our net cash and cash equivalents at the end of Q1 FY '25 was INR410 crores versus INR269 crores at the end of the previous quarter. The working capital as of quart er-end 30th June has seen an increase of INR135 crores as we are gearing up for production ramp-up in CPCB 4+ regime. However, we continue to grow our net cash position, which stood at an excess of INR400 crores.
Now there is a further breakdown of the st and-alone sales. The B2B sales were at INR1,152 crores, that is 5% growth year- on-year. Within B2B Power Gen was at INR528 crores, which was 13% decline year-on- year. Excluding prebuy in previous years, it is 10% increase year-on-year. Industrial stands at INR320 crores, that is 38% growth year-on- year. Distribution and Aftermarket was at INR198 crores, 14% growth year-on- year and IBG that is International business of B2B was at INR106 crores and with 23% growth year- on-year.
The B2C sales were at INR182 c rores, registering 14% growth year-on- year. And within B2C, WMS was at INR155 crores, that is 20% growth year-on- year. International business of B2C was at INR10 crores, that is 100% growth year- on-year. And FMS business at INR17 crores witnessed a 34% degrowth year- on-year.
Now looking at the consolidated performance for the quarter. The revenue from operations at INR1,636 crores for Q1 FY '25 versus INR1,543 crores for Q1 FY '24, with a 6% increase year -on-year. Net profit at INR157 crores for Q1 FY '25 versus INR126 crores for Q1 FY '24, which is 25% increase year-on- year.
Let us have a look at consolidated segment performance now. B2B segment revenue for the quarter was at INR1,156 crores, which is 5% growth year-on- year. The segment PBIT was at INR157 crores, reflecting approximately 19% increase year-on- year. B2C segment revenue for the quarter was at INR317 crores, which is 2% gro

wth year-on- year. The segment PBIT was at
INR27 crores, up by 53% year -on-year.
Financial Service segment revenue for the quarter is at INR163 crores, reflecting 27% year-on-year growth. The segment PBIT was at INR19 crores, that is 11% decrease year -on-year.
In conclusion, we are quite pleased with our performance this quarter. Looking ahead, our outlook for the upcoming quarter is

cautiously optimistic as we navigate the market with the introduction of fully transitioned CPCB 4+ market for Power Gen. Overall, as we continue on
our long- term journey, the entire KOEL team was enthusiastic about the past period. We are also
pleased to inform you that our long-term debt credit rating has been upgraded to AA+ by
CRISIL, and our short -term credit rating continues to be higher at A1+.
Now we will open the forum for Q&A session.
Moderator: Our first question is from the line of Ri shabh from Sacheti Family Office. Please go ahead.

Rishabh : Sir, for the segmental revenue you shared, data center -related revenue comes in power
generation, right? So I wanted to understand how much portion of power generation revenue is
linked to data ce nters?
Rahul Sahai: Rishabh, so this is Rahul. I wouldn't be in a position to give out a specific number. But from a
business standpoint, we are focused on the data center segment. Today, it is not extremely
significant for us. Going forward, given the product ranges that we've entered into, it will be far
more significant.
Rishabh : Sir, for 1 megawatt data center, capex let's say, INR40 crores, how much expense is attributable
to what we sell for a data center, right, that is a genset? So how much for that ? And what is the
life of such a genset? And once installed, do you have any kind of revenues we are able to make
in terms of operations or maintenance?
Rahul Sahai: Yes. So if you look at an overall capex of data center and -- I mean, I'll just broadly respond
because I may not be in a position to give out specific numbers here. But the data center buys a
variety of different power backup solutions and gensets are part of those. Gensets are critical for
data centers for their uptime certifications or dat a center certifications.
Having said that, like I said earlier, we are developing a range that will allow us to be far more
aggressive in the segment. And over a lifetime, once you have sold the genset, you can
accompany that with different kind of mainte nance contracts, which will also allow for the
annuity business.
Rishabh : No, that's fine. But let's say, a data center -- 1 megawatt data center, how -- like what would be
a typical expense which a data center would be incurring on a genset? Like that is not confidential, right? That you can tell? Any broad number, sir.
Rahul Sahai: Yes. No. So is this information that I may not have handy like this, but I'm sure it's available
when you check it online. So it may not be as directly relevant to this convers ation.
Rishabh : All right. Got it. Also, I wanted to understand, have we explored -- exporting gensets for data
center usage abroad? And like what are the main players who are in the export business internationally for that? And any cost difference or qual ity difference we have versus
competitors abroad?
Rahul Sahai: So thanks for asking that question. Like I was saying that we are focusing on products that go into data centers. We are aware of the competition. So you have all the large engine manufacturers focusing on data centers. We are very aware that it's a growing market. If we go
into the market depending on what market it is, we will be able to have varying value proposition.
Cost leadership could be one of the value proposition, but product differen tiation is also
something that we are focusing on.
Rishabh : Just one question. What is the life of these gensets, like, how many y

ears?
Rahul Sahai: So I could take a thumb rule of about 15 years.

Rishabh : 15 years. And what kind -- do we -- like what kind of operation and maintenance kind of business
is related to these gensets, if you can tell a bit about that?
Rahul Sahai: What kind of operation and maintenance, you're asking?
Rishabh : Like service revenue. Yes, service revenue once it is installed, what kind of service revenues do
you see from it, let's say, in a data center which has taken your genset? Yes.
Rahul Sahai: So are you expecting an answer in terms of percentage of capex ?
Rishabh : Yes. Percentage of capex or some qualitative insights on that, some numbers if possible.
Rahul Sahai: So there are varying levels of annuity -based contracts that we can sign with the customer. So it's
slightly complicated. But in terms of being able to answer that directly, but the scope of the
contract would define that and the level of uptime that we signed would also define that. So the
scope could vary from just ensuring that the parts are supplied on time, and there is a person showing up at the maintenance intervals that we've committed to. And from there, it could vary
to placing people on site to ensure that the 24/7 uptime is insured. So it varies a lot.

Moderator: Our next question is from the line of Charanjit Singh from DSP. Please go ahead.
Charanjit Singh: So my first question is in terms of when we look at the end market right now, how is the demand environment you are seeing as this transition is happening to CPCB 4? So maybe if you can just give some color from the various end markets perspective, the demand or the inquiry pipeline?
And the second ques tion is in terms of the inventory at the OEM level as we would have exhausted all the inventory and the refilling will start happening for CPCB 4 related gensets.
How that inventory refilling will happen? And based on all these things, how can we see the market growth rate for the domestic power genset market? That's the question.
Rahul Sahai: It's Rahul. So -- if I look at -- and I'll answer the CPCB 4 ramp up with our GOEMs first. Just in this last quarter, we ramped up to very close to our normal CPCB 2 numbers with CPCB 4. Now the inference from that is that since the primary billing is happening, the demand continues to be strong because we operate on the replenishment model, theory of constraints.
From a lead standpoint, and these are end customer leads, we are not seeing any major changes in terms of demand signals. So the demand continues to be strong. Gensets continue to be leveled to back up for critical infrastructure projects. And we are not seeing any softening happening.
We are keeping a clo se eye on market developments. But at this point, we see that market continues to be strong.
Charanjit Singh: And from the market growth perspective, is there a number for the full year in terms of what's the kind of market growth? What we can expect?
Rahul Sahai: So from an overall business, we remain pretty committed to the 2X -3Y. So that's a proxy that you can take.

Charanjit Singh: Got it. And on the spare parts business, if you can touch upon that with the CPCB 4 compliance increasing and the entire provision happening. How do we see the spares business growing over the next 2 to 3 years? What could be the growth trajectory in the spares business as more and more now gensets come to the OEMs are more -- get serviced by our own service partners rather than going outside. So how does that positively impact the service business?
Rahul Sahai: Right. So you're right, it will definitely positively impact the service business. Now that is a function of 2 things. One is the technology becoming more complicated. So that's from the market side. And the second thing that we're do

ing is we are also ramping up on our service channel capabilities. So there is some restructuring work that we're doing there as well. To ensure that, we're able to respond to our customer s in time. Now if you look at the last quarter's performance of our Aftermarket business, it is substantial double -digit growth. And that is primarily because of these 2 key initiatives.
Moderator: Our next question is from the line of Ankit from Subhkam V entures. Please go ahead.
Ankit: Yes. A couple of questions. As you mentioned that we are committed on this 2X -3Y strategy, just wanted to confirm. So this year, our guidance was to achieve a revenue of INR6,500 crores at the standalone level. So given the Q1 performance and the ask rate which is required in the next 9 months, are you still confident of achieving this guidance of INR6,500 crores as the new standalone business?
Rahul Sahai: So to 2X -3Y is an ambition and all our actions are towards achieving that ambition. And I think that is where I would leave it. We will try and ensure that we get to that number or we get as close to that number as possible.
Ankit: Okay. Okay. That's helpful. Second question is, sir, you mentioned your 2030 mission. So if you can just break up this USD 2 billion revenue target between the product side and the Arka side, what would be the difference and importantly the revenue of these 2 businesses? And also, you mentioned that there could be some inorganic activities also. S o excluding the inorganic part also, what kind of revenue you are looking at from the product business?
Gauri Kirloskar: Yes. Thanks for your question. First, I just want to state that again, the 5- year target is an ambition. So that's number one. And if y ou look at the slide that we put up on line, we have talked about some of the strategic levers that we will focus on to get to that kind of growth. So we are very clear as a team where we need to focus. I'm not going to, at this point, be able to give you a business -wise breakup. So what I can say is that most of the growth achieved will be on the B2B side. And if you look at the growth rates that we've achieved historically over the last 2 years, that's the sort of trajectory that we would expect.
So I'm going to leave it that. The detail that we want to provide has been provided in this slide, and it's really going to be impossible for me to dwell further than that because even if you look at 2X -3Y, when we had announced it 2 years ago, we had actually specified certain, say, buckets of revenue as a bridge. If you look back, the way it's panned out is quite different. So -- so yes, that's part of the detail that I can give you right now.

Ankit: Actually, both the businesses are totally different. One is the financial services and one is a product company. So just a broad breakup between these 2 segments will be okay.
Gauri Kirloskar: I'd say 80-20.
Ankit: 80-20. Okay. And finally, on the margin side, I mean on the standalone business, margins are at around 13% level on EBITDA. So going forward, what is your outlook on that? With this CPCB 4 products now coming in, the price increases which you guys have taken, so where do you see the margins in this business?
Rahul Sahai: Yes. So, I mean, there is no specifi c margin guidance that we can give at this point. We are closely evaluating the market dynamics play out. It's too early. The second thing is that our focus areas for margin expansion remain the same that is focusing on high-horsepower products, focusing on our international business and focusing on aftermarket.
Moderator: Our next question is from the line Jeetu Panjabi from EM Capital Advisors . Please go ahead.
Jeetu Panjabi: Gauri, Rahul and team, great numbers, great going. Two questions. One, the international side numbers have been pretty good, 23% growth. I'd love to he

ar a little more color on what's working within that? What's not working within that? And do you think that this growth rate can sustain over the next 12 months?
Rahul Sahai: Jeetu, thi s is Rahul. So thank you for your compliment. We are very focused on the international side. And what we are doing is we are taking a very close look on the kind of competition we have, the kind of products that we need to create to win those markets. And most importantly, what is the channel and distribution structure that we need to have.
So if you, for a moment, look at the investment that we made in Engines -LPG LLC, that is Wildcat , the brand. That is an outcome of one such analysis, and it is part of our Americas strategy. So there are different strategic moves we are making in different markets. They're seeing a positive payback of those initiatives and which is reflecting in some of the growth that we are seeing.
And we remain pretty committed to th at thought process. Because unlike India and -- while we club it as International business, but each of these countries are fairly unique with their own dynamics. And a thorough evaluation is needed. So that's basically where we are. So we're being very, v ery deliberate about that process.
Jeetu Panjabi: Okay. The second question is Arka will add a INR5, 700 crore balance sheet there, AUM there. What is the plan going forward? And would -- do you think there'll be some kind of -- I don't know how to say, spinoff or whatever activity over there that we had talked about earlier?
Gauri Kirloskar: Yes. Thanks, Jeetu, for the question. Amit, do you want to you want to -- you want to answer and I can supplement if required?
Amit Gupta: Sure, ma'am. I'll take that particular question. So Jeetu sir, thanks for the question. As on 30 June 2024, the AUM of Arka stands at INR5,768. Currently, the capital adequacy and the capital

requirement for the company is quite adequate enough to consider it for future years of operations.
My view, you are highlighting more towards recapitalization or further capitalization for which currently considering the debt of the company, we are still under levered as far as the 30 June position is considered. So currently on an immediate ba sis, we don't see further any requirement from that point of view.
Jeetu Panjabi: Okay. No, I was more alluding to saying that this company can stand on its own feet after it touches INR5,000 crores.
Amit Gupta: Yes.
Jeetu Panjabi: And more alluding to that point. Yes.
Amit Gupta: So more toward, we are working on that direction only. Ma'am, here, if you can pitch in a little bit.
Gauri Kirloskar: Jeetu, the way I would see it here is that these are conversations that happen and will keep happening. But it's a timing issue. It's depending on external circumstances and what we feel is best for the company at a certain stage. So what I say is, it's not off the table, but when there is the adequate update, it's only then that I can give it to you.
Moderator: Next question is from the line of Anupam Goswami from SUD Life . Please go ahead.
Gauri Kirloskar: Sorry, we can't hear you. Aditya, we can't hear you.
Moderator: Anupam Goswami.
Anupam Goswami: So ma'am, congratulations on a good set of numbers. My first question is on the -- how much of -- you mentioned about focusing -- or improving margin improvement by focusing on high

horsepower products. How much are we doing in terms of revenue in that segment? And what's our target in that? That is number one quest ion. And second would be, we now have seen our CPCB 4 proper transition. And from now onwards, what are the kind of market share are we currently having? And what sort of gains are we looking at? And how do we place ourselves in a leading position over the re? If you can just touch upon that?
Rahul Sahai: Yes. So what I will say is

that -- to answer the first part of the question, if I look at high
horsepower, I will classify high horsepower as above 750 kVA in the power generation market. And in that market , we have very minimal market share. So that's almost like a blue ocean for us. If I look at 750 to 10-10, that market share would roughly be around 15-odd percent. So as we build out our portfolios, that's a clear opportunity for us.
Overall, if I look a t Power Generation, our market share is currently between 29% to 30%, so about 1/3 of the market. And in CPCB 4, we have an entirely certified built -out portfolio that spans across diesel and natural gas, CPCB 4 certified. So we are hoping to gain market s hare with the rate that we have.

Anupam Goswami: Do we see any consolidation happening in this market share as in -- do you gain market share from the smaller players? Or are we more advantageous in this to, let's say, from only the leaders since the technology is a little complicated in that sense?
Rahul Sahai: So consolidation or some amount of consolidation may happen below 250 kVA, which is where bulk of the smaller or fringe players operate, but I don't necessarily foresee much consolidation happening beyond 250 kVA.
Anupam Goswami: Okay. And just last if I can squeeze in. Since you mentioned about improving your margins, where do we see the margins from here? What sort of a room do we have in your 2030 sort of plan, USD 2 billion?
Rahul Sahai: So we remain committed to double digit. There is no specific numbers that we're giving out at this stage.
Moderator: Our next question is from the line of Prolin Nandu from Edelweiss. Please go ahead.
Prolin Nandu: I'm sorry to again prove you further on the margin part. Now I'm not asking you for guidance, right? But if I look at your Q1 margin for B2B business, and if I call out the onetime provision, there is a year -on-year decline in margins. And the 3 tailwinds that you mentioned, Rahul, in terms of internat ional, the second was spare parts and the third -- or maybe after sales and the third was higher HP.
Both -- I mean all 3 are, in a way, tailwinds for us, right? All 3 are, in a way, growing at a faster pace than overall numbers. Despite that, this margin decline, if you can explain this? And again, maybe for the rest of the year or for the next couple of years, would there be -- I mean, more like a tailwinds to this margin level that we are currently? Or what are the headwinds, right? If you can explain a s we go into FY '25 and '26? That's my number one question.
Rahul Sahai: So thank you for that question. I am -- I don't think there is any margin decline. So what data are you stating?
Prolin Nandu: I'm removing the one -off provision from this quarter's number, and then I'm looking at the B2B margin. As per my calculation, that is 11.53%. And last year for the same quarter, that was 12.69%. Even if I look at the stand-alone numbers, right, which was there in your slide, the -- I mean -- I'm not -- I don't have that right now in the front of me, but that also is not -- so I mean just to probably -- just if you remove the one -off, right, I mean the provision, this is a number that I'm getting. So that's the -- based on this, I have this question.
Rahul Sahai: So there was a decline of 40 basis points in the margin, and that was a mix impact, which will be recovering in the subsequent quarters because as we are moving towards CPCB 4+, which is a high-margin business, so we'll improve from there on.
Prolin Nandu: Okay. So you are saying that in the base quarter, the mix of CPCB was higher than what it is in this quarter?
Gauri Kirloskar: Sorry, can you repeat?

Prolin Nandu: No, I'm saying that you were saying the 40 bps decline in margin was because of the mix be ing adv

erse. And as we move towards CPCB 4, the margins will improve. So when I -- when you are looking at the base quarter, from there on that 40 bps decline has happened, was the proportion of CPCB 4 in our overall mix higher than what it is in the curre nt quarter?

Rahul Sahai: So our last quarter, the CPCB 4 was higher compared to the same quarter last year. Having said that, there is also a mix of LHP versus HHP. So that is what we are talking about. There's a product mix change. There is nothing signif icant from a business operation standpoint. That is leading to a margin -- a 40 basis point margin dip.

Prolin Nandu: Right. Okay. All right. Because even if I look at your peer, right, and it's only fair for us to compare it with your peers. They have probably shown a significant increase in margins, right? So that was the base of this question, but I understood. So going ahead, Rahul, the conclusion is that there would be -- the 3 levers that you have talked about would work in our favour, right, as we go ahead in FY '25 and FY '26 as well. Is that a fair conclusion to make?

Rahul Sahai: That is fair. See, also one point to note is the same time last year, we had prebuy happening. So there was -- I mean, so the mix change was there. There was also some sli ght improvement on operating leverage. So I mean, some of those factors were there. But what I would say is it's not significant. It's not something that we'd be worried about going forward.

Moderator: Our next question is from the line of Mohit Pandey from Macquarie Group. Please go ahead.

Mohit Pandey: So firstly, my first question was on the demand trend. So in response to one of the earlier questions, you indicated demand continues to be strong. So if you could give more color around any particular end markets that hold out? Is it like manufacturing or property business being the strongest demand? Anything that stands up for Power Gen?

Rahul Sahai: Sure. So we are seeing strong demand from Infrastructure and Construction segment across our Power Generati on as well as our Industrial business. And also, if you look at some other end markets like railways, we are seeing significant opportunities, defense. So we are seeing strong opportunities across the board, I mean I am naming some key segments for us.

Mohit Pandey: Okay. So my question was particularly for the CPCB 4 offerings. So CPCB 4 offering is going into all of these, right? Is that understanding correct on Power Gen ?

Rahul Sahai: Yes. So I think -- so this current quarter will be the first quarte r of 100% CPCB 4. I would probably be in a better position to answer that question, perhaps similar time, but next quarter.

Mohit Pandey: Sure, sure. And secondly, if you could help us understand what would be the average price hike like-for-like CPCB 4 ve rsus the previous project now?

Rahul Sahai: Sure. So we're seeing about 30% to 40% price change. There is significant scope addition. And we are closely watching the market dynamics play out. So we are being fairly cautiously optimistic as far as Power Gen eration is concerned.

Mohit Pandey: Understood, sir. And sir, last question is on the capacity addition announced in the press release. So this capacity would get added by what time frame? And where -- which segment of the market will it take us to 50,000?

Rahul Sahai: So you heard our Managing Director talking about the USD 2 billion ambition that we have. In light of that, for specific product ranges, especially on the high horsepower, to augment our existing capacities, we have worked on this proposal and been approved by the Board. So that's where we are focusing on. So we are gearing up for the next 5 years. And bulk of this execution is going to happen over the next 2 to 3 years.

Mohit Pandey: Okay, sir. So is it fair to assume that commissioning will happen over the nex

t 2 to 3 years? Or is there a phase- wise commissioning planning for this new facilities?

Rahul Sahai: So all the execution is going to happen over the next 2 to 3 years.

Mohit Pandey: Okay, sir. And lastly, just a clarification. So most of the business right now is under 800 kVA, right? So is that the right understanding from one of the previous questions on Power Gen ?

Rahul Sahai: So our existing range starts from 3 kVA and goes to 3,000 kVAs with Optiprime. With a single engine option, it goes to 1,500 kVA. So we have, including Optiprime range that starts at 3 kVA goes to 3,000 kVA. So, yes.

Mohit Pandey: Understood, sir. Understood. And lastly, if it is possible. So you spoke about 4 technology track, right? So some color on the progre ss there. That would be my last question.

Rahul Sahai: Sure. So I'll just give a quick recap for everyone's benefit. We have 4 key technology tracks. The first track is on internal combustion. The second track is on energy solutions. The third track is on electrification. And the fourth track is on hydrogen, and when I say hydrogen, I mean fuel cells and electrolyzes. So those are the 4 main tracks.

In the last 3 years, we have made significant progress on the internal combustion track, which includes a pa tent on hydrogen internal combustion for power generation applications. So we have the patent for India. If you look at the second track, we have built out our own proprietary micro -grid, and we are in process of launching that.

If you look at the third t rack, on electrification, we're already present in single -phase motors and the ambition is to ramp up our capabilities. And if you look at the fourth track, there is significant work that we've done on the development side. I'm not in a position to talk about it at this point.

Moderator: Our next question is from the line of Sagar Parekh from One Up Financial. Please go ahead.
Sagar Parekh: Congratulations on good set of numbers. Just 2 questions. So first is you mentioned price hike of 30% to 40%, and you mentioned that the demand is still strong. So does that mean that the pricing level would sustain at this level?
Rahul Sahai: We're keeping a close eye on this. The call -- the existing -- the current quarter has started, will be the first quarter of full CPCB 4+. Market dynamics will evolve. So it's too early to comment on at this stage.

Sagar Parekh: Sure. But as of now, July has been over and August is starting. So right now, you're not seeing any kind of price pressure for now for CPCB 4?
Rahul Sahai: Yes. I won't be able to comment at this stage, unfortunately.
Sagar Parekh: Okay. Sure. And just my last question is on the follow -up on the capacity expansion, which we have announced of INR700 crores. So could you give some more color as to what kind of peak revenues and -- is possible from this additional capacity, which we are putting up on INR700 crores? And also you said that it's largely to do with the HHP products. So, if you can give some color on margins also, would it be like better margins? And a lso this -- like this current capacity utilization is 70%. So just some thought process on that also. We have enough capacity available to expand within our current range. So...
Rahul Sahai: Yes. Thanks for that question. So all the investments that we are making is in line with the ambition that we have set out for over the next 5 years. We stay committed to the double -digit margin. The 3 focus areas remain consistent. So focusing on high horsepower, looking at international markets and focusing on afterma rket. At this point for us to be able to comment beyond that would be premature, and it's also slightly proprietary. So I may not be able to comment beyond that at this stage.
Sagar Parekh: But any sort of color on what can be the revenues coming from this incremental expansion?
Rah

ul Sahai: So the overall 5- year revenue guidance has been provided. So it's in line with those -- with the guidance.
Moderator: Our next question is from the line of Teena from Motilal Oswal Financial Services. Please go ahead.
Teena: I have 2, 3 questions. One is related to, again, margins. So your B2C segment margins have been continuously improving over the past couple of quarters maybe because of increased volumes. Where do we see these margins settling at for the B2C division? And what is driving this increase in the margins apart from the incremental volumes and better cost absorption? Is there any kind of price hike? Or is there any kind of incremental change in the product mix that you would have done in B2C segment?
Aseem Srivastav: Yes. Teena, this is Aseem here. So if you see 2 years back, we came up with strategy called RACE . So we worked on this reach, which is about deepening and widening, then agility, then working on cash generation, cost consciousness and also on people. So that strategy is working fine for us. And because of that strategy, our margin is improving continuously. We are now very close to double digit, and I think we'll continue to be at this level going forward.
Teena: So this quarter margins were som ewhere around 8.4% for the B2C division. So you intend to take it to somewhere closer to around 10% to 11% going forward?
Aseem Srivastav: Yes, that's our ambition.

Teena: Okay. And also, sir, on CPCB 4+, when you said that you would gain margins over a longer period of time, where is the scope -- what is the scope of indigenization in CPCB 4+? Because whatever cost increase that had happened in this transition, this would have come in the price hike? So where would this incremental gain come from when the market is purely CPCB 4+ based market going forward?
Rahul Sahai: So -- to start off with, I think, Teena, our existing portfolio is pretty heavily indigenized. There is some work that we're doing on the electronics side, which will further help. But the big margin improvement as far as CPCB 4+ is concerned will come in from the aftermarket and the kind of services that we can get from that -- the existing CPCB 4+ installed base. So that's the focus.
Teena: Okay. But that -- was that coming in only after the period of 1, 1.5 years, once the warranty or the in -built warranties get over?
Rahul Sahai: So yes, in terms of the basic service events, it will start after the warranty period gets over. You're correct.

Teena: Got it. Got it. And on the indigenization, is there a scope of another 5%, 7% more cost savings if you do a little more indigenization or there no a scope as of now?
Rahul Sahai: So there is potential, but I -- that's not something I would specifically focus on at this point. The big focus has t o be on the market side and ramping up on CPCB 4+.
Teena: Got it, sir. Got it. And just lastly, on this export growth and how is the traction of the Optiprime product in the domestic market, particularly in FY '24 and in Q1 of FY '25?
Rahul Sahai: So exports, we're seeing pretty strong growth. And like I had mentioned in the call, we are being extremely diligent and deliberate about the strategy we are deploying in each of the regions. So it has been slower than what we had initially planned for, but we are confident that we are moving in the right direction. What was your second question?
Teena: On the traction of Optiprime product in FY '24 and in 1Q of FY '25.
Rahul Sahai: So we're seeing -- I mean, Optiprime is a relatively novel concept as far as the in dustry is concerned. And we have seen significant traction when we go and value sell the product. So there is an order board that we already have, and we remain committed to the Optiprime range, and we fully intend to leverage the strategic advantage it gi ves us.
Teena: Okay. Any number that

would contribute to the corresponding fees of this Optiprime product last year?
Rahul Sahai: Any number?
Teena: Any number that you would attribute to the number of products sold in this Optiprime occupied category during FY '24? On a number of...
Rahul Sahai: I wouldn't give out a specific number, but what I can say is that we have -- last year, we sold Optiprime products right from 250 kVA to 2,000 kVA.

And to get -- or gain the confidence of a customer who's buyi ng a 2,000 kVA genset, unless they're truly convinced about the product, they won't purchase it.
Teena: Right, right. And even in the current quarter also, you would have seen a similar kind of traction for this particular series?
Rahul Sahai: Correct. So we are seeing strong traction. We are focusing on a variety of things. Optiprime is definitely one of them.
Moderator: Our next question is from the line of Sourabh Arya from Oaklane Capital . Please go ahead.
Sourabh Arya : A couple of questions. The first is, I need some clarity on capex number. So for this year, capex was guided around INR400 crores to INR450 crores. And now we have announced this 3- year plan of INR700 crores. So just some understanding -- just to get it better. So in this year number already includes some number for 3- year plan or not?
Sachin Kejriwal: No, Saurabh. So this INR700 crores additional approval, which we have received from the Board will be a fresh investment over the next 2 to 3 years.
Sourabh Arya : Okay. That's fine. And second is what I observe is domestic sales have gone down. So obviously, that also had an impact on top line growth of the company. So any particular reason for that? Maybe is it related to shifting of factory, et cetera? And second, when do we expect this normalization?
Rahul Sahai: So Saurabh, if you see our main focus in LGM was working on the margins. And what we have done, we have actually worked on product mix. We have worked on the international business and correcting some of the things that need to be corrected in LGM. So in that process, what has happened in Q1, our sales were slightly down. But now going forward, you will see improvement, and we will be able to come back to decent growth in the domestic market also.
Sourabh Arya : Okay. So from here on, larger sales will improve even in domestic market, even though export have already been doing well?
Rahul Sahai: Yes.
Sourabh Arya : Okay. That is helpful. Maybe 1, 2 more questions if I squeeze in. One is on this -- what is the percentage of sales we had from CPCB 4 in this quarter?
Rahul Sahai: So in this last quarter, our CPCB 2 commitments to our customers remain to be strong. So we are trying to fulfil all of that. CPCB 4 was at approximately about 40%. But going forward, obviously, it's going to be 100% of our Power Gen portfolio.
Sourabh Arya : Sure. And now if you could also comment on channel inventory. So you can assume that your channel inventory at this moment is very, very low even for CPCB 4 before.
Rahul Sahai: So at this point, the channel inventory would -- the channel would focus more on CPCB 4 because we moved into 100% CPCB 4 era. And if you look at the notification, what it says is that post or as we entered this quarter, it is OEMs or end customers or their suppliers, which

could be the channel or the respective OEMs. So everyone would try and optimize or minimize their CPCB 2 inventory holdings. So the focus on CPCB 4+ is going to be there across the ecosystem.

Moderator: Ladies and gentlemen, that was the last question for the day. I now hand the conference over to management for closing comments.

Gauri Kirloskar: Thank you very much for hosting the call, and thank you very much to all of the participants for dialling in and for all of your q

uestions and interest in the company. See you next quarter.

Moderator: Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us, and you may now disconnect your line .

Call: Nov 2024

“Kirloskar Oil Engines Limited
Q2 FY '25 Earnings Conference Call ”
November 13 , 202 4

MANAGEMENT : MS. GAURI KIRLOSKAR – MANAGING DIRECTOR
– KIRLOSKAR OIL ENGINES LIMITED
MR. RAHUL SAHAI – B2B CHIEF EXECUTIVE
OFFICER – KIRLOSKAR OIL ENGINES LIMITED
MR. ASEEM SRIVASTAV – B2C CHIEF
EXECUTIVE OFFICER – KIRLOSKAR OIL
ENGINES LIMITED
MR. SACHIN KEJRIWAL – CHIEF FINANCIAL
OFFICER – KIRLOSKAR OIL ENGINES LIMITED
MS. FARAH IRANI – COMPANY SECRETARY –
KIRLOSKAR OIL ENGINES LIMITED
MR. SAMRAT GUPTA – MANAGING DIRECTOR –
ARKA FINCAP LIMITED
MR. AMIT GUPTA – CHIEF FINANCIAL OFFICER
– ARKA FINCAP LIMITED

MODERATOR : MR. AMIT SHAH – ANTIQUE STOCK BROKING
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Kirloskar Oil Engines Limited Q2 FY '25 Earnings Conference Call , hosted by Antique Stock Broking. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing st ar, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Shah from Antique Stock Broking . Thank you, and over to you, sir.

Amit Shah: Thank you. Good afternoon, everyone. On beha lf of Antique Stock Broking Limited, I welcome you all to 2Q FY '25 post -earnings conference call of Kirloskar Oil Engines Limited. To discuss the results, we have the senior management team of the company represented by Ms. Gauri Kirloskar, Managing Direc tor of the company; Mr. Rahul Sahai, CEO B2B business; Mr. Aseem Srivastav, CEO B2C Business; and Mr. Sachin Kejriwal, CFO of the company.

I'll hand over the call to Ms. Gauri Kirloskar for her opening remarks, post which we can open the floor for Q&A. Over to you, ma'am.

Gauri Kirloskar: Thank you, Amit. Good evening, everyone. I am Gauri Kirloskar, Managing Director of Kirloskar Oil Engines. Thank you all for joining today's call. I'm joined by Rahul Sahai, our B2B CEO ; Aseem Srivastav, our B2C CEO; Sachin Kejriwal, our CFO; and Amit Gupta, CFO of Arka. We also have two new people on our team, , Farah Irani who has joined as our Company Secretary; and Samrat Gupta, who has joined as MD of Arka. As usual, I'll start with business updates followed by a fina ncial overview from Sachin, and then we'll open the floor for a Q&A session.

Q2 has been steady, marking the first quarter after the full transition from CPCB II to CPCB IV+. Stand -alone business net sales grew by 13% year -on-year. However, there was a quarter-on-quarter decline of 11%. Please note that the previous quarter, Q1 FY '25, was influenced by prebuy volumes. We saw strong demand, especially from the infrastructure and construction

sectors. In the B2B segment, all businesses , except international, grew year -on-year.
Domestic demand is strong, while on the international side, we are continuing with our journey of building capability, channel and the right partners. B2C segment declined by 13% due to a planned plant transition. We have completed the construction of our new manufacturing
facility at Sanand in Gujarat, and we have consolidated five of our manufacturing locations at
Ahmedabad into this single unit.
On the margin front, EBITDA stood at INR165 crores, reflecting a 14% margin, which is a
450 basis point increase compared to Q2 of the previous year. Net profit for KOEL stand-alone was INR111 crores, a 90% increase year-on- year. If we remove the effect of one -time
provisions and reverses made from the -- provisions or reverses, sorry, made from the
numbers, then the net profit for the quarter was INR98 crore s versus INR66 crore s in Q1 FY
'24, reflecting a 48% growth. Year-to -date, sales for H1 FY '25 stands at INR2,518 crores,

showing a 9% growth year-on- year. EBITDA margins are at 14% and net profit is INR246
crores, marking a 52% growth. Again, if we remove the effect of one -time provisions/reverses,
net profit for H1 FY '25 was at INR215 crores versus INR175 crores for H1 FY '24. That is a
22% increase.
Now coming to business updates. A s I mentioned, demand in the B2B segment remained
strong. Stand-alone sales reached INR1,059 crores, reflecting a 17% year-on- year growth. In
the Power Generation segment, the real test lies in market reactions to the new emission
norms. This quarter, as predicted, saw slower demand

as the market adjusts to the new pricing levels that come with the upgraded emission technology and correction due to the prebuy sales
that happened over the past couple of quarters.
We're only one quarter in, so we'll be observing market trends over the next few quarters. We
are confident our portfolio of products with leading emission and electronic technology
incorporated will enable us to continue to be the dominant player in the markets we serve.
The Industrial segment grew approximately 8% year -on-year, driven by strong demand from
our construction OEMs. Field trials for CEV BS V engines are progressing well and customer
feedback has been positive. We continue to see strong growth in Defense and Marine and the
Railway segme nts as we continue to drive execution of key projects with customers. The
distribution and aftermarket business recorded a 10% year-on- year growth. We are continuing
to focus on enhancing our service channel and capabilities to enable stronger support for newer
technology products. We are seeing increasing service penetration and expect this to continue
as we closely monitor our distribution and service KPIs.
The international business on the B2B side remained steady at INR123 crore s versus INR125
crores a s strategic realignments in international channels are establishing their teams and
facilities to enable long -term sustainable presence in these markets. We are seeing strong
growth for our industrial and firefighting products.
However, we are seeing some challenges on the power gen side due to changing power
scenarios in key markets like South Africa. We are advancing in our technology road map and
alternate fuel tracks. Our methanol gensets were recently showcased at the Methanol
International Conference 2024. This was a proud moment for the entire team as we contribute
to the nation's decarbonization journey.
In the B2C segment, stand-alone sales were INR 125 crores, marking a 13% year-on- year
decline. WMS sales dropped by 11% year-on- year, primarily from diesel segment due to
softened demand from extended monsoons, the deferment of key institutional customer orders
to Q3 FY '25 and the production lag due to the plant transition in Q2 FY '25. While B2C international business nearly doubled to INR 13 crores compared to last year, primarily driven
by growth in agri engine exports to Africa and the Americas region. FMS sales remained muted at INR 14 crores.
Moving to the consolidated business update. Revenue from operations was INR 1,500 crores,
showing 15% yea r-on- year growth. LGM inaugurated its new plant on September 12. Five

existing manufacturing units were consolidated into a single state -of-the -art facility at GIDC
Sanand. We believe that cost efficiencies from economy of scale and a sharper focus on othe r
LGM operations will drive greater growth in the LGM business in the medium term.
In Financial Services, Arka's revenue grew 54% year-on- year to INR195 crores. As of
September 30, 2024, assets under management stood at INR 6,284 crores.

In summary, this concludes the quarterly update. We are now nearing the end of our 2X -3Y journey. And I assure you that the team is working tirelessly to meet our performance milestones. This journey has been full of valuable lessons, and with our accumulated experience, w e are now setting our sights on the long term to be $2 billion vision I had mentioned in the last call. Thank you for your continued support and trust in the team. We're fully prepared for the journey ahead.

With these key business updates, I now hand over the call to Sachin for a quick financial overview.

Sachin Kejriwal: Good evening, everyone. Thanks, Gauri, for the update. I will give a quick update of the financial performance for stand-alone and consolidated business. The results and the presentat ions for today's call have already b

een uploaded on the exchange and our website. Q2 top line registered a year -on-year growth of 13%. There was a n 11% degrowth quarter- on-quarter. Also, please note, this is now ninth quarter in a row that we have crossed INR 1,000 crores in revenue from operations.

Coming to the financial performance. For the purpose of maintaining consistency with the last year numbers presented in the analyst presentation, we would like to give you a further picture of business as usual. At the same time, the CV results that you can see will reflect all the accounting provision reversals.

Now I will start with the Q2 FY '25 stand-alone performance first. So net sales at INR 1,184 crores for Q2 FY '25 versus INR 1,047 crores for Q2 FY '24, which is 13% year-on- year increase. EBITDA at INR148 crores for quarter 2 FY '25 versus INR 109 crores for quarter 2 FY '24, which is 35% increase year-on- year. EBITDA margin at 12% for Q2 FY '25 versus 10% for Q2 FY '24. Net profit stood at INR 98 crores for Q2 FY '25 versus INR 66 crores for Q2 FY '24, which is 48% increase year-on- year.

Cash and cash equivalents of INR 213 crores versus INR 112 crores of quarter 2 FY '24. Please note the cash equivalent is net of debt, includes tr easury investments and excludes unclaimed dividends. Also the above numbers are excluding recovery against the provisions we had made last year for a specific customer. If you look at the reported numbers, including this recovery, EBITDA margin for the current quarter is 14%.

Now here is a further breakdown of the stand-alone sales for the quarter. The B2B sales were at INR1,059 crores. That is 17% growth year-on- year. Within B2B, Powergen was at INR 481 crores, which was 34% increase year-on- year. Industri al at INR 253 crores, that is 8% increase year-on-year. Distribution and aftermarket was at INR 202 crores, which is 10% increase year-on-year.

And international business of B2B was at INR 123 crores, which is 2% decline year-on- year. The B2C sales were at INR 125 crores, registering 13% decline year-on- year. Within B2C, WMS was at INR 98 crores, that is 11% decline year-on- year. International business of B2C was INR13 crores. That is 110% increase year -on-year. And FMS business at INR 14 crores witnessed a 49% decline year -on-year.

The working capital as of quarter ended 30 September has seen an increase of INR 69 crores as we are gearing up for future demand in CPCB IV+ regime. However, we continue to have a healthy net cash position, which is in excess of INR 200 crores.

Now looking at the consolidated performance for the quarter. Revenue from operations at INR1,500 crores for Q2 FY '25 versus INR 1,305 crores for Q2 FY '24, which is a 15% increase year -on-year. Net profit at INR 106 crores for Q2 FY '25 versus INR 86 crores for Q2 FY '24, which is a 23% increase year-on- year. Again, the numbers I discuss here are excluding the exceptional items and amount of recovery against the provision we had made last year for specific customers. If we exclude the exceptional item and recoveries, the reported net profit for the current quarter is INR 125 crores.

Let us have a look at consolidated segment performance now. B2B segment revenue for the quarter was at INR 1,075 crores, which is 17% growth year-over -year. The segment EBIT was at INR134 crores, reflecting approximately 77% increase year-on -year. B2C segment revenue for the quarter was at INR 230 crores, which is 12% degrowth year-on- year. The segment registered a loss before interest and tax of approximately INR6 crores . Financial Services segment revenue for the quarter is at INR 195 crores, reflecting 54% year-on- year growth. The segment PBT , excluding exceptional income , was at INR31 crores that is 22% increase year-on-year.

In conclusion, we delivered a steady performance in Q2 despite significant changes in the

B2B
segment. Looking forward, we intend to closely monitor the B2B market, especially
concerning emission norms while maintaining our focus on the industrial market as we prepare
for the upcoming BS V engine u pgrade. As we approach the final phase of our 2X -3Y journey,
we are cautiously navigating the new emission norms market with a strategic emphasis on key
areas like high horsepower genset market and international business expansion.
Now we will open the fo rum for Q&A session.
Moderator: We have first question from the line of Jason from IDBI Capital.
Jason: Congrats on a good set of numbers. My first question is actually relating to, just wanted to understand that, of course, we are trying to go higher up t he value chain in terms of the high
horsepower segment. So I just wanted to know in terms of the response from the Optiprime
series, how is it? And how is the demand outlook starting for the Optiprime series?
Rahul Sahai: This is Rahul. So what we've seen is that there is a significant interest from a lot of our
customers. And we have gained traction. So for example, there are several high- horsepower
order board -- or orders that we do have at this point. And we will continue to push and work

on the Optiprime from a market communication standpoint, but the value proposition is very
clear, and we do see a very clear space for it.
Jason: Sure. And also, just wanted to understand now with the upcoming BS V norms in January 2025, how is the prebuying coming along for the industrial segment, especially for the construction equipment vehicle segment? And also, I just wanted to know in terms of
realization growth as compared to the previous emission norms, what kind of realization
growth can we look at for those engines? And post that, will margins be in a smaller range of
11% to 12% for us?
Rahul Sahai: Right. So I wouldn't expect a very significant prebuy because ultimately, the engines go into
equipment, and we work very closely w ith our OEMs. And I wouldn't expect -- see, because
the margin profile may vary from node to node, but I wouldn't expect the margins to change drastically because we do have enough players and competitive forces in each node. So our
margin profile will rem ain somewhat similar.
Jason: Okay. Sure. I just wanted to understand from a long-term perspective, also finally, I just wanted to ask you that for Arka Fincap, what is the strategy going ahead? I mean, of course, I
see there is good growth coming in from A rka as well. But do we look at hiving it off into a
separate entity going down the line, somewhere down the line?
Gauri Kirloskar: Sorry, could you just repeat the last part of your question on somewhere down the line? I didn't catch that.
Jason: Yes. What I meant is actually for Arka Fincap, just wanted to know that -- I know we are
seeing good growth coming there, but just wanted to know that from a long-term perspective,
are we looking to hive it off into a separate entity and keep the genset entity sepa rate? Just
wanted to understand from a strategy perspective.
Gauri Kirloskar: Yes, sure. So yes, let me answer your question. And then I can request if Samrat has anything to add, although he has just joined and has been in the job for about 10 days. So from our
perspective, as a parent of Arka, what I would say is that we will continuously monitor the
granularity of the book, the spread of the risk and the return on equity that we're getting from the business.
But from the view of this being patient capit al, there are many ways and means for the
business to continue to also raise capital as the requirement is there as the book rolls. And this is something that we will help the business with. When you look at the path for the NBFC, there are certain steppin g stones that it will have to take to get to a certain level and size.
And then we can loo

k at logical steps at that time. But it's not something that I will be able to comment on in terms of hiving off or not. Samrat, is there anything you would want to add in terms of some of the maybe plans that we have in terms of the business?
Samrat Gupta: Yes, I would. I just wanted to say that I just want to supplement and complement what Gauri said that as far as Arka is concerned, it's growing at a nice pace. I j ust joined 10, 15 days back,

and the reputation and integrity of the promoters are impeccable, and we have a very good
team from a risk management and credit assessment perspective.
Now I am sure that a group like Kirloskar, they believe in patient capita l, and they believe in
investing in industry and organizations, which survive the test of time beyond 5 years, 10 years or perhaps much more than that, given the background of KOEL.
My mandate is to ensure that I take advantage of the amazing team that we have and look at
current things, which we need to perhaps get as far as direction is concerned, more towards building granularity of the book,

diversification of the book and also looking at digital distribution system, which is aided by technology and which is also aided by a strong branch
infrastructure and collection infrastructure that helps to spread the risk. And I'm sure there has to be a threshold rate of returns, which we need to deliver to ensure the continuity of support from KOEL.

At the same time, the ecosystem of KOEL is very large. The Kirloskar group is very large. As I try to understand the group -- because it's more than 83 years KOEL exists, there are more than 4,000 points of presence where such distribution that is complementary for Arka, and we can build it around that.

Our objective is to build a small ticket, secured retail book because currently, we have a large emphasis on the wholesale book. And while we do all of that, we also have to ensure
responsibly we build our customer experiences for convenience and value so that the brand India and what Kirloskar stands for India, we can also deliver as Arka over a period of time.

We are working on a business plan. We're working on all of that. That will take us a little time, but we will do that responsibly without any exuberance, without any UC or expense, only to keep in mind that how we develop India into that kind of entrepreneurial culture and that supports the entire building of the nation. And that's what Kiosk stands for. And once we have that, I'm sure we will get it signed up by our parent company, and see for -- and see to that, that we have a long term and even a short -term execution plan.

Jason: Sure. And just one last question, if I may squeeze in. For this Optiprime seri es, of course, we were in the process of catering to the data centers in that segment. Have we acquired the necessary certification from CPCB and EPA? Is that done or is that process still continuing?

Rahul Sahai : That's done, and we are executing our orders in data centers already.

Moderator: We have next question from the line of Mihir Manohar from Carnelian Asset Management.

Mihir Manohar: Congratulations on good set of numbers. Sir, would like to understand the Powergen side. I think this quarter the Power gen revenue has 34%, 35% growth. Now if I consider the realization, which is low, which is also in the similar range of 30%, does it mean that volume growth during the quarter was muted and some color on that would be helpful?

The second question w as on the pricing front dynamic. There is roughly I think around close to 1 year that the CPCB IV engines are in play . So how is the pricing panning out for us for

CPCB IV engine, I mean, like over the last 6 months? Is it holding up or are we giving some discounts over there? I just wanted to understand

that.

Rahul Sahai: Sure. This is Rahul. See, if you look at the last 2 quarters, there was a lot of transition happening. Last quarter was the first quarter where we formally moved into the CPCB IV era. Now if you look at the quarter, the Powergen volume overall for the industry dipped by almost
12% to 15%. And out of that, we've been strong in our market share. So I haven't seen any significant dips.

So as far as that is concerned, we strengthened our posi tion in certain nodes. For example, if you look at our high horsepower nodes, we've strengthened some of, like -- for example, we've got 750 kVA or 1,000 kVA, we've strengthened our position there. So overall, if you look at the market, the market overall declined in volumes, and we saw that impact as well.

We don't have significant volumes in 2,000 kVA upwards. So, of course, we have our Optiprime and that's the path that we are now taking. But overall, we've been fairly strong.

And if you look at CPCB IV pricing, at least as of now, we see the pricing hold, but the market is constantly evolving, and we are watchful of that.

Mihir Manohar: Sure. In terms of data centers, is this 1,500 kVA which is provide -- I mean, becoming a product in that particular space? Can you give some color over there as to what could be the revenue for data center in 1H FY '25, that would be helpful?

Rahul Sahai: So it's a lot of different products. 1,500, we have 1,010 and we also have 1,000 kVA Optiprime. We are seeing traction slowly. And what -- we don't really track or report data center segment separately. So I won't be able to give that number, but we are seeing more traction than what we have done before.

Mihir Manohar: Sure. Just my last question was on the Kirloskar Brothers heavy pumps electrification method which they are applying. So can you just provide some color over that, where is the method trending exactly, that would be helpful.

Gauri Kirloskar: So the legal matters all sub judice. So I won't be able to comm ent on that on the Kirloskar Oil Engines earnings call.

Moderator: We have next question from Palak from MIV Investment Management.

Palak: My question is that, first, are we still confident of achieving our stand-alone revenue guidance, considering the sce nario of Powergen segment? Secondly, yes, if we are confident, then what are the levers or the factors which is giving us the confidence?

Gauri Kirloskar: So first -- and Rahul may supplement what I say. But first, I want to say that it's an aspirational target, and that's what it always was. And if you look at the historical growth before we set this target compared to the growth that the company has achieved in the last 2 years, I think that is what we were trying to change in terms of the momentum in ter ms of the opportunity that we have in front of us. So that's just my comment on the last 2 years.

Of course, now we have 2 quarters to go. The target is certainly something that we're still gunning for, and we will continue to gun for and strive to achiev e. All of our teams are excited about the target. It has excited them thus far. And I think that it's certainly within reach. So that's where I will leave it. And if Rahul has anything to add, Rahul please go ahead.
Rahul Sahai: Yes, I mean, I am completel y aligned. It was an ambition that we stated and we are going after that ambition. And we've seen significant growth and success over the last 2.5, 3 years. And we'll continue to aspire for that ambition.
Palak: And second is, do we anticipate any changes in H2 in Powergen segment? What is the volume growth that you're expecting? And in terms of pricing, will we be able to maintain the pricing since the other competitors are also catching up with the technology and similar case in terms of margin?
Rahul Sahai: So we are watching over how the market evolves because it might

be premature to comment
on some of those points right now. But we're keeping a close eye. And because as more and more players enter the CPCB IV markets, it would be interesting to see how the market dynamics evolve over a period of time, but we can't comment on more than that at this point.
Moderator: We have next question from Teena Virmani from Motilal Oswal.
Teena Virmani: Congrats for a decent set of numbers. My question is related to the competitive intensity in key nodes of Powergen for KOEL. So just wanted to understand, are smaller players or even the bigger players trying to get into the market share of KOEL ? during the qaurter have you seen any such kind of thing happening in in Q2 of FY '25 ? Because some of the players have priced their product in such a way that it is much lower than the market rate. So I just wanted to understand and take your views on the same.
Rahul Sahai: Sure. Teena, this is Rahul. If you look at the last quarter, what you will s ay is that -- or at least what we've seen is that it's more of the established players where node by node, there are certain variations. We haven't really seen a lot of "small players" come in because there is a lot of investment in technology as far as emis sions are concerned in the CPCB IV+ era. So we haven't seen too many of smaller players come in, but there are node wise market movements within the Powergen space, and it is generally by people who are well established. I haven't seen any smaller players come and take market share in CPCB IV.
Teena Virmani: So in terms of the ranges, let's say, the low kVA nodes or maybe the mid-kVA nodes up to 400, 500 kVA, have you seen competition from players like Ashok Leyland, Greaves Cotton or maybe Mahindra Powerol ?
Rahul Sahai: I would call them fairly well established, so...
Teena Virmani: Yes, right, I mean, relatively smaller as compared to KOEL.
Rahul Sahai: Yes, yes, of course, sure. I understand what you're saying. So yes, we have seen competition come in. So for example, Mahindra has been a long-standing player, especially on the lower end of the market. They've always been strong with the presence in telec om. So we've seen

some of that happen. But at this point, it would be wise to look at 1 or 2 more quarters and then be able to come to any conclusion.
Teena Virmani: Okay. So in terms of demand side, do you see that demand in the month of October and so fa r in the month of November, has demand remained strong despite these price hikes?
Rahul Sahai: So what we've seen in the last quarter is that the demand fell -- overall industry demand fell by almost 12% to 15%. And what -- we expect that to bounce back though. So as we look at the next few quarters, we do see demand picking up again. The last quarter was the first quarter of this transition. And I think we should see more the order board building up and the demand picking up as we move into this quarter. S o we are quite optimistic about that.
Teena Virmani: Okay. My last question is on exports. How do you see the second half panning out in terms of growth for the export?
Rahul Sahai: So second half, we are expecting that to be better than what we did in the first half. Some of the challenges that we've seen in the -- on the international business, South Africa was an important market for us as far as power generation is concerned. And because of the power

situation improving drastically in South Africa, we'r e seeing a lower uptake there.
And as a result, what you're seeing is our Powergen business internationally has seen a hit. But on the industrial side, we have still been pretty strong. So if you look at our international business, in H1, our volumes grew by -- or last quarter, our volumes have grown substantially.
As we look at the next or H2, we're expecting that to be better than H1 as far as revenues are

concerned.
Teena Virmani: Okay. So any traction, which is expected for CPCB IV+ products for export s in the near term, maybe in the next 1, 2 quarters? Or is it still some time away for CPCB IV+ to get accepted in the international markets?
Rahul Sahai: So each region has its own emission standard. So while the product may not exactly be a CPCB IV product, but you're right, each region has its own emissions and the technology would -- and the platforms would remain similar. So what we're seeing is that most of the markets where we currently do international business in, they don't have a very high level of emissionization at this moment. So if you look at, say, Middle East, if you look at now the African countries, so CPCB IV or having this technology of being able to get down to this level of emission, that definitely helps us. But if we have to target more advanced markets, then we will have to have our products ready with those certifications. And for instance, what we are doing on, for example, in the US, we have EPA -- we have a few nodes that are EPA certified, and we are looking to grow that busine ss. So we'll follow that strategy.
Moderator: We have a question from Bharat Sheth from Quest Investment Advisors.

Bharat Sheth: I mean taking forward to this , our genset side, our international data center, there is a huge opportunity. So what exactly are we doing on that front or are we working, and when do we likely to see kind of a certification which you have replied to a previous participant?
Rahul Sahai: So international data centers are something that we're definitely focusing on. It is a slightly longer term process because the process involves multiple consultant engagement and there are already fairly well entrenched competition there. Having said that, our first focus is the domestic market because that's closer home, and we see a significant opportunity there.
So before we go international on the data center side, we are focusing on the domestic market as far as data centers are concerned. And we do see a strong opportunity to do that. In parallel, we are building out our distribution globally. And in case there are data center opportunities, we're absolutely going all out to execute that.
Bharat Sheth: And my second question is that, if we look at, I mean, India, a lot of players international, so they are looking at India as a global hub for sourcing diesel engine. So in that play, how do we like to play because once they start sourcing it, so they become also more competitive ? So what is our game plan, I mean, for this as well as can you emerge as one of the engine supplier?
Rahul Sa hai: So you're right, a lot of global companies are sourcing very heavily from India. The advantage that we have is that our entrenchment to the suppliers is very strong. In fact, we even today, in spite of moving to the level of emissions that we have, our imported content remains between 12% to -- about 12%. So our imported content is very low. So our level of indigenization as far as our platforms are concerned is extremely high.
So even if there is competition, building competence for sourcing from India, that's absolutely fine. We don't see that as a cause of concern. We have had people who've reached out to us for like resourcing or sourcing some of their platforms from us, and we are engaged in different conversations there, but there's nothing signi ficant to report at this point.
Bharat Sheth: So when do we expect that we will be in some kind of -- to say maybe down the line 3 years Kirloskar emerge as a large engine supplier?
Rahul Sahai: Would you say -- when you say large engines, you mean like hi gh horsepower?
Bharat Sheth: Yes, high horsepower for international market.
Rahul Sahai: Okay. So what we are already doing, see, we're already shipping out our K4300 platform, wh

ich is the 1,500 kVAs we have started. We have commenced shipping that even t o international markets. Our 2,000 kVA, one of the first few orders got executed in Dubai. So some of that high horsepower work for international markets has already begun.
What we are doing is we're focusing first on the domestic market with these produc ts. And we are seeing demand locally as well. I mean, so that we will -- we are constantly evaluating and we are taking a call which products to ship where because along with the sale, there is a requirement of establishing an appropriate service infrastru cture as well.

Moderator: We have a question from the line of Manish Goyal from Thinqwise Wealth Managers.
Manish Goyal: I have a question on our B2C business where we have like consolidated LGM five plants into a single location. So maybe if you can just provide some perspective, like what is the capex we have done? And are there any more capex lined up? And in terms of benefits, what benefits can we see in near term to medium term, both on the revenue growth front as well as margin improvement front? That is the first question.
And my second question is also pertaining to Powergen exports like for developed markets. We hav e been seeding our higher range, especially in the US with the subsidiary and a recent acquisition for front -end distribution. So like where are we in terms of getting the certification and what nodes we are looking and when do we really expect the volumes to pick?
Gauri Kirloskar: So Aseem are you there? Will you be able to take the first question for us?
Aseem Srivastav: So if you see, we have done a capex of INR140 crores for the new facility in Sanand. Now this facility is state -of-the -art and with 30% extra capacity, there'll five small plants that we had earlier. In terms of synergies, we believe that we'll be able to actually save cost, also improve delivery time. And for international business, this facility will be a boon for us because many OEMs an d also customers from Europe and also from Middle East, when they visit this facility, we think they will be able to approve the facility for new orders.
Manish Goyal: So like if you can just -- would you be able to like quantify in terms of what is the ma rgin improvement? Because probably no doubt this quarter, we -- last Q1, we saw a decent improvement in the margins of B2C business. And this quarter, again, it's probably negative. But in what time frame can we see sustainable double -digit margins because the competition has double -digit margins in this business?
Aseem Srivastav: So if you see in Q1, we actually had -- in LGM, at least, we had close to double -digit market. Even in the WMS pump business, we had double -digit market -- margins. Now this Q2 re sult has come down because of this plant transition. So as we were shifting man, material, and also the assets to the new plant, we had some challenges and there was less production, which led to some sales loss and that's the reason the results are what t hey are.
We are still ramping up production where there was some delay. Now in November, we are at around 60% of the mean capacity. And by December, this will stabilize. So our aspiration is to go to double -digit EBITDA for B2C business, and we are confident that we'll be there very soon.
Rahul Sahai: I think there was a second half of that question on our Powergen exports. So if you're talking -- you spoke about our high horsepower strategy for the US. So at this point, we are actually evaluating that. So we are on the drawing board there that which are the right platforms to take to the American market. At this point, I won't be able to give out more than that. But we are looking at high horsepower in the U.S. We are evaluating our options at this point.
Moderator: We have next question from Hardik, an individual inve

stor.

Hardik: I would like to extend my congratulations to Mr. Vimal Bhandari for impressive growth of the loan book to INR6,000 crores with commendable GNPA of under 0.50. As Mr. Gupta steps in, a new MD, having led Tata Motor Finance with a book size of INR 31,000 crores and facing high single -digit GNPAs, could you please share how his previous experience will influence the strategic decision of Arka, especially now as the industry is seeing challenges unsecured credit as well as MFI segment in fact trying to maintaining our asset quality would be helpful.
Samrat Gupta: Thank you for the question, Hardik. I wanted to tell you that I have just joined and this is not a captive outfit at all, and it is indeed great. Vimal has built a great book, which is largely predicated upon loan against property and wholesale debt, and the asset quality is amazing. But the issues like this that we are NBFC. And our ratings and our cost of borrowings are much inferior compared to banks.
And in wholesale debt, the spreads are not that high or even loan against property, the spreads are not that high. Given that we don't have any captive focus, my objective is to build granularity of the retail book and that, too, in secured businesses, like places which are relating to small ticket, loan a gainst properties, places which are fully secured, that is my objective.
As far as Tata Motor Finance is concerned, the book, which was not dependent on any captive business, that book had a GNPA of much less than 3%, ROA of much higher than 4%, 4.5%. And that we build over a period of 7 years to about INR 15,000, INR17,000 crores and which was fully retained on the basis of distribution and collection and analytics and technology. I

hope to work hard with the existing team, where we balance the wholesale book, we balance the retail growth and the investments and ensure that the right kind of ROA metrics is followed out there.
Given that there is no captive business, and there is no demand creation, rather, it's a value creation for the capital that has bee n invested from KOEL, I'm quite confident that with the existing team and the experience which we had, had to build a secure retail book generating northwards of threshold ROA is what the journey would be. It's early days and I'm learning from everybody. A nd I'm sure I'll learn from you to see how to make this company very successful on the basis of the metrics, which makes all the stakeholders happy and also their expectations are met .
Moderator: We have a question from Shrinidhi from HSBC.
Shrinidhi: Congratulations on good set of numbers. So may I ask just a couple of questions on Powergen business ? May I ask how has been the volume growth for the first half for the company? And if you also have a similar number for the industry? This is for the first hal f.
Rahul Sahai: So if you look at our volume growth in H1, our volume growth has been about, I would say, 12% to 14% in terms of pure volumes. And I won't be able to comment specifically on Power gen, but I can speak overall. And what is the other part of your question?
Shrinidhi: So this 12% to 14% is overall company level volume or it was very specific to Powergen segment?

Rahul Sahai: No, no. So we don't give to -- that information is internal. I can't comment on the specific Power gen numbers, but I can speak overall.
Shrinidhi: Right. And just 10% to 15% decline, that was very specific to the Q2 quarter, right? And that was industry volume...
Rahul Sahai: Industry volume, yes, correct.
Shrinidhi: Okay. And that was largely due to -- what do you attribute this decline? Is it something which is generally the extended monsoon government capex being low or it's a lot to do with the inventory in the channel?
Rahul Sahai: So I

think that -- so there are two forces there. One is, if you look at overall economic activity in the last quarter, that has also declined. So if you look at the GST collections, there is a dip there. The second is, it was the first quarter of 100% CPCB IV. And with the CPCB IV significant scope enhancement and corresponding price increase, a lot of key orders or a lot of procurement decisions were delayed because even the large corporate customers are waiting for in case there's any change in pricing. So it was a combination of two things.
Shrinidhi: Understood. And sir, a related question, would you say the channel inventory for the industry as well as for the company, how would you see it versus normalized levels for the Powergen business?
Rahul Sahai: See, unlike the automotive market, where channel inventories are at an all -time high, an d there is a significant -- there's an overall glut as far as the demand is concerned, we are not seeing as much of that. So while -- so we are adequately stocked in the channel. And beyond a particular point, we actually don't want our working capital to be impacted. So we're not seeing anything drastically different from what we were expecting.
Shrinidhi: Understood. And sir, last one, if I may. How much of the Powergen demand for the company actually comes from the residential real estate end market?
Rahul Sahai: So we don't give out a specific number, but if you look at residential or real estate developers, that's a lot of -- that's a big part of our business, especially in power generation, and that's a segment of importance as well.
Shrinidhi: And sir , there, are you seeing incremental inquiries with a lot of this real estate market doing well generally? Are you seeing that inquiry levels in that end market quite strong for you?
Rahul Sahai: We're seeing an uptick. What is exciting or interesting is we 're seeing a lot of inquiry levels upwards of 1,500 kVA in that market.
Moderator: We have a question from Manish Goyal from Thinqwise Wealth Managers.
Manish Goyal: A couple of questions. One on the balance sheet. We see a very high level of capital work in progress of INR 225-odd crores and as well as maybe INR 40 crores, INR 50 crores of intangibles work in progress. So what is it pertaining to? What is this capex line for?

And my second question is on the industrial business. On the domestic what you probably see, this quarter Y -o-Y growth is -- basically, it's a single -digit growth. And sequentially, it has declined by 21% from INR 320 crores to INR 253 crores. So just want to know like what could be the reason? Where the growth rates have been tapering off? And how do we see it going forward? And what kind of prebuying can we see in the quarter 3?

And I just want to clarify here that the BS V norms will be implemented from Jan 1, 2025? And are we like restricted to -- sorry, the dealers are restricted to sell after 1st June? Or how is it, the norm, the way we saw for CPCB IV? And my third question is on share of high horsepower revenues in Powergen, and what do we cate gorize as high horsepower from what nodes we categorize?

Rahul Sahai: I would request if you can ask one question at a time because it gets very complicated to answer. Can you ask question the first question, and then I'll respond once at a time?

Manish Go yal: My first question was high capital work in progress of nearly INR 225-odd crores in balance sheet. And additionally, intangibles also work in progress of, I believe, INR 40 crores, INR 45 crores. So what is this pertaining to where such large capex are s till outstanding, and we are not capitalized?

Sachin Kejriwal: So these are the capex which are in progress, and these are very much essential for the growth of the company. And this capex are in the nature of sustenance capex and the new product development. A

nd this will get capitalized as soon as the projects mature.

Manish Goyal: But what is it pertaining to? Like is it for capacity expansion or what?

Sachin Kejriwal: Yes, it's for the capacity expansion and the new product development. So as y ou're aware that BS V will be coming up from 1st of January, so some capex are pertaining to that, and few are pertaining to the capacity enhancement.

Manish Goyal: Okay. My second question was on the industrial revenue. It saw a single -digit growth in Y -o-Y and it declined 21% sequentially. So if you can throw perspective why the growth rate seems to have tapered off? And how do we see it going forward?

Rahul Sahai: The industrial business has not declined Y -o-Y.

Manish Goyal: No, I'm saying it just saw si ngle-digit growth, where we have been seeing in recent past very strong growth. And if you probably look at Q1 numbers, it was INR320 crores revenue. And this quarter, it is just INR 253 crores revenue. So how much is it probably -- because I believe tracto rs have improved sequentially, and you did comment that construction industries sales too -- in fac t, constructions are doing well? So I presume industrial engines play a fairly strong role over there. So just wanted to clarify.

Rahul Sahai: So if you look at Q1, see, industrial business is a function of the demand that we -- or the forecast that we get from our OEMs. So if I look at my -- the industry business overall, we are actually on track, and it is progressing as per our plan. There isn't a significa nt issue there. If I look at versus H1 of last year, there is significant growth that we have seen. So if you compare

H1 of this year versus last year, there is significant growth of 23%. So the quarter-on-quarter movement will keep happening, and that is not something that we are extremely worried about.

Manish Goyal: And how do you see the prebuying in quarter 3? And if you can clarify that can the dealers sell after Q1?

Rahul Sahai: So if you look at CEV, yes, I mean, that's the transition that we're tal king about. We actually sell the engines to our OEMs, so which is why we wouldn't expect the prebuy to be as high as the way it works in power generation because the OEMs are also limited by the amount of stocking they can do of the overall equipment. So t here will be prebuy, it won't be as significant as what we experienced on the power generation side.

Manish Goyal: Right. And last question was on the share of HHP revenues in Powergen, and what node we ideally qualify as HHP?

Rahul Sahai: So internally, we say anything which is greater than 750 kVA is HHP. So that's our internal definition. Now if you look at historically, so maybe 3 years ago, this was in less than 4% of the entire portfolio was HHP. That percentage number would have -- will be over 15%, 20% by now.

Moderator: We have a question from Sourabh Arya from Oaklane Capital Management.

Sourabh Arya: Gauri and team, congrats on decent numbers. The first question I have is on, again, B2C side. There, obviously, in last few quarters, it improved towards -- from 1% to 2% margin to 8% margin. And I know there are obviously this plant -related stuff, which impacted this margin. But what does it mean? It's again a reset to negative and then there will be a gradual journey towards 8% to 10%? Or we expect this was kind of a one -off issue and things would be back to 8% to 10% very quickly in next one to two quarters?

Aseem Srivastav: Aseem here. See, last time when the margins were low, there were a lot of basic issues that all got sorted out, and it took a lot of time. But this time, the issues are basically related to less production, we couldn't produce. And that's a reason we couldn't say it. Now as we have started producing in the new facility where we faced problems in terms of ramp-up, we are confident that we will be

able to come back to normal margins by Q4.
Sourabh Arya: By Q4, okay. That's helpful. Second is, so at stand-alone company level, there is a reasonable improvement in gross profit margins of the company. Can you explain, maybe Rahul or Sachin, they can explain, that why this improvement is there, and is it sustainable?
Rahul Sahai: This is Rahul. See, if you look at stand-alone business, it's largely driven by the B2B business. And if you look at our overall improvement on the EBITDA, which is driven largely by our focus on our aftermarket, our HHP growth as well as our continuous endeavour to drive exports, the three key levers continue to positively impact our margins, and which is why at a stand -alone level, you see that improvement.
Sourabh Arya: This gross profit margins will sustain, like this move towards 36%?

Rahul Sahai: So w e will continue to strive for improvement. I don't think I can comment beyond that.
Sourabh Arya: Sure. And maybe then lastly, on the export side, so at the start of the year, we had, I mean to say, pretty strong expectations for the export business. While from Q1 to Q2, it has decelerated. Obviously, you commented that in H2 things will be better. But still at the full year level, what should be the expectation from exports? And I understand this South Africa issue, maybe South Africa power situation improving is there, but that would actually continue even going ahead from here on. So maybe that would not be a one -off issue. That is something which is here to stay.
Rahul Sahai: So you're correct. And there are multiple cycles that we are exposed to. So as we become more global, more and more of such situations will happen. So South Africa was an important market for us, and we saw -- we're seeing this drastic decline in demand. But we also have other clients. So we have our GOE M that we've appointed in the Middle East that is work that we are doing in the backend to ramp that capability up. So overall, in the international business is not where we wanted it to be , we expected more. But having said that, we continue to be optimistic because there is a lot of work that we've done in the back end.
Sourabh Arya: Why I'm actually a little bit -- maybe and I would want to ask more is because H2 of last year was very, very strong when we look at it. So would it be, I mean to say, fair to expect growth on those numbe rs or it would be very challenging. So H1 versus H2 might look good this year, but on a yearly basis, actually, that might be still not good enough to give any growth?
Rahul Sahai: We are very committed to growing beyond last year.
Moderator: Thank you ver y much. Ladies and gentlemen, we will take that as our last question for today. I now hand the conference over to management for closing comments.
Gauri Kirloskar: Thank you very much, everyone, for joining the call today and for all of your questions and thank you very much for your support to the team. See you next time.
Moderator: On behalf of Antique Stock Broking, that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2025

Date: 18th February 2025

BSE Scrip Code: 533293 NSE Scrip Code: KIRLOSENG

To
Corporate Relationship Department
BSE Limited
1st Floor, Rotunda Building,
Dalal Street, Fort,
Mumbai – 400 001
To
Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, C - 1, Block G,
Bandra -Kurla Complex, Bandra (E),
Mumbai – 400 051

Dear Sir/Madam,
This is to inform you that:
Pursuant to Regulations 30 of the SEBI (Lis ting Obligations and Disclosure Requirements) Regulations, 2015 including amendments thereunder and in continuation of earlier communication vide letter dated 5
th February 2025 and 12th February 2025 , we hereby
inform that the Transcript of the Conference Call for Investors and Analysts held on Wednesday, 12th February 2025, at 4.00 p.m. (IST) to discuss the Unaudited Financial Results of the Company for the quarter and nine months e nded 31st December 2024, has been uploaded on the website of the Company, v iz. www.kirloskaroilengines.com. The same is also enclosed herewith.

You are requested to take the same on your record.
Thanking you, Yours faithfully,
For Kirloskar Oil Engines Limited

Farah Irani
Company Secretary

Encl.: As above.

"Kirloskar Oil Engines Limited
Q3 FY '25 Earnings Conference Call"
February 12, 2025

MANAGEMENT : M S. GAURI KIRLOSKAR – MANAGING DIRECTOR
– KIRLOSKAR OIL ENGINES LIMITED
M R. RAHUL SAHAI – CHIEF EXECUTIVE OFFICER
– KIRLOSKAR OIL ENGINES LIMITED
M R. SACHIN KEJRIWAL – CHIEF FINANCIAL
OFFICER – KIRLOSKAR OIL ENGINES LIMITED
M R. SAMRAT GUPTA – CHIEF EXECUTIVE
OFFICER – ARKA FINCAP LIMITED
M R. AMIT GUPTA – CHIEF FINANCIAL OFFICER

– ARKA FINCAP LIMITED
M S. FARAH IRANI – COMPANY SECRETARY –
KIRLOSKAR OIL ENGINES LIMITED

MODERATOR : M R. AMIT SHAH – ANTIQUE STOCK BROKING
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Kirloskar Oil Engines Limited Q3 FY '25 Earnings Conference Call hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during this conference, please signal for an operator by pres sing star followed by zero on your touchtone telephones.

I now hand the conference over to Mr. Amit Shah from Antique Stock Broking Limited. Thank you, and over to you, sir.

Amit Shah: Thank you, Farah. Good afternoon, everyone. On behalf of Antique Stock Broking Limited, I welcome you all to the 3Q FY '25 Post Earnin gs Call of Kirloskar Oil Engines Limited. To discuss the results, we have senior management team of the company represented by Ms. Gauri Kirloskar, Managing Director of the company; Mr. Rahul Sahai, CEO of the company; and Mr. Sachin Kejriwal, Chief Financial Officer of the company.

I would now hand over the call to Ms. Gauri Kirloskar for her opening remarks, post which we can open the floor for Q&A. Over to you, ma'am.

Gauri Kirloskar: Thank you, Amit. Thank you, Farah. Good evening, everyone. I am Gauri Kirloskar, Managing Director of Kirloskar Oil Engines. Thank you al l for joining today's call. Rahul Sahai, CEO; Sachin Kejriwal, CFO; Samrat Gupta, CEO of Ar ka; Amit Gupta, CFO of Arka; and Farah Irani, Company Secretary, are also on the call with me.

As usual, I'll start with business update, followed by a financial overview from Sachin, and then we'll take your questions. On the B2B side, Q3 has seen subdued result s, mainly due to our performance on the Power Gen business. As the effect of the CPCB IV transition plays out, we saw a correction in demand and market volumes on the low and medium horsepower segments. That is the segment of the market that we are strong at. This was expected after prebuy, and the emission norms change.

The demand for LMHP is expected to pick up in the coming quarters, and we expect this to come back to the pre-emission norm change level. We also saw some decline in our market share on the LMHP side, and I see this as a temporary change, and I'm sure that we will recover our earlier market shares once the market stabilizes on the demand side.

On the high horsepower side, the market demand has been very strong, and we are slowly making progress. We have seen an improvement of our market share in this segment, but it is still early days here, and we will continue with our growth in this segment in the coming quarters.

From a product standpoint in Kirloskar Power Gen, we now have the largest range of gensets from 3 kVA to 3,000 kVA. And through Kirloskar Industrial, we offer specialized industrial power systems with 6.3 megawatt gensets. Our Optiprime range of products continue to show promise with very positive feedback coming from the market. With the portfolio starting from 117 kVA going up to 3,000 kVA, this has the be st value proposition for most of our customers.

On the B2C segment, we have completed our plant transition this quarter.

As I had briefly mentioned in our earlier calls, it was a complex transition wherein we have consolidated five of our manufacturing units in Ahmedabad to a single plant at Sanand. This entire transition was a complicated one involving planning over quarters. We had to build significant inventory to take care of the blackout period of no production and transition to the new plant while moving machinery, manpower and materials.

As expected, this had some impact on the numbers. However, the entire shifting process is complete, and our new plant is fully operational. With the production ramped up, we are now manufacturing at the levels that we hav

e plan ned for. We will see im provement in performance in the coming quarter.

On the international side, as I had mentioned in my earlier calls, building out the right model for international business is our focus, whether it comes to channel, people or processes. We will continue on this journey. And while we have made some critical steps in some key geographies, it will take time in building out this business to ensure that we are making sustainable moves.

With all of these complexities in the backdrop , for the stand-alone busi ness, we witnessed 3% growth as compared to the same quarter last year. B2B sales grew by 3%, while B2C sales dropped by 3%. These are the highest Q3 numbers we have achieved. On the margin front, EBITDA at INR117 crores registered a 10.1% margin. Net profit for KOEL standalone was INR65 crores.

Now coming to year-to-date performance. Sales for the 9 months year-to-date is INR3,672 crores, a 7% growth. EBITDA is at INR438 crores , which maintained a do uble-digit margin at 11.8% and stand-alone net profit was INR280 crores. That's a 10% growth year-on-year. The numbers are after excluding the effect of onet ime provisions or reversals. Now coming to business updates. B2B sales for the quarter were at INR1,006 crores. Power Gen sales were at INR418 crores.

As I mentioned earlier, this is primarily due to the prebuy effect in the segments where KOEL is traditionally strong. The overall market at th ese segments corrected by -- and by corrected, I mean, contracted by around 40%. We see the demand levels coming back to the earlier levels in the coming couple of quarters.

On the industrial side, we continue to witness double-digit growth. Sales were INR268 crores for the quarter, registering a 16% growth year-on-year. With CEV BS-V going live from January 1 of this year, we continue to see strong demand from the infrastructure sector.

Distribution and aftermarket business at INR208 crores registered a 15% growth for the quarter, driving service penetration and improving the capabilities of our service dealers continue to remain key focus areas for us.

On the international side, the same quarter last year had some large onetime orders, which gave a significant upside to the numbers then. This quarter did not see a similar impact. And hence, at a quarter level, we saw a slowdown with sales at INR112 crores, which is a 17% decline year-on-year.

The primary focus for our international business c ontinues to be setting up sustainable operations across channels, people and process. On the B2C side, stand-alone sales were at INR148 crores, marking a 3% year-on-year decline. WMS sales grew 3% year-on-year. The business is steadily growing. We saw some headwinds with demand in the agri sector and supply concerns. However, overall, the business is making steady progress.

International B2C grew by 18% to INR10 crores, primarily driven by growth in agri engines and pump exports to Middle East and North Africa, A frica and the Americas region. The export side of the B2C business is showing steady growth, and we expect the same to continue in the coming quarters as well. On the Farm Mechanization business, as you all know, profitability of the business was a concern for some time.

We have taken a conscious call to address this issue. And in that process, we are evaluating the way we approach that business, including our manufacturing strategy, product line, channel and our overall business strategy. As part of this, we have taken a pause in some of the sales that we do, and we are in the process of getting our business model corrected for this business.

As a result, Farm Mechanization sales nearly halved from INR19 crores to INR9 crores this year.

Moving to the consolidated business update. Revenue from operations for the quarter was INR1,454 crores, showing a 4% year-on-year growth. As I mentioned, th

e complex task of consolidating our manufacturing plants at Ahmedabad was completed in Q3.

This has had some impact on the Q3 numbers as we were not able to produce at the levels to meet the demand. Given where we stand now, we are past that phase and the LGM plant stabilization is going as planned. Overall, B2 C business consolidated revenue from operations for the quarter were at INR224 crores , witnessing a 14% decline year-on-year.

Our Financial Services business, Arka's quarterly revenue grew 43% year-on-year to INR212 crores. As of December 31, 2024, the assets under management stood at INR6,740 crores. I'm also happy to share that the Board of Directors has approved the interim dividend of 125%, that is INR2.50 per share.

This concludes the quarterly update. At an overall level, the quarter has been challenging for us, both on the B2B and the B2C side. However, I see these as temporary bumps in the road in our journey, and I'm very confiden t that we will recover along with the market in the coming quarters. Overall, our business fundamentals remain intact. Our product portfolio caters to the entire range of the market. Our products have performed well in the post- emission norms

change.
Our channel remains strong and resilient, and we have a very strong first-fit and aftermarket
channel. All of these continue to remain strong for us, and therefore, I see a strong future in front of us. The coming quarter is the last quarter of our 2X-3Y journey, and I'm very proud and
excited of our journey so far, and we will see where we land against what we envisaged 3 years
ago.
We have already announced our next 5-year stra tegy. And at Q4, we will give you an update on
our journey, our learnings, what went well and what could have been better. Making sure that

we have a strong end to the 2X-3Y journey is a focus area for all of us. And I'm sure that together
as a team, we will achieve that. Thank you for your continued support and commitment. With
these key business updates, I now hand over the call to Sachin for a quick financial overview.
Sachin Kejriwal: Good evening, everyone. Thanks , Gauri, for the update. I will now give a quick walk-through
of the financial performance for stand-alone and consolidated business. The results and the presentation for today's call has already been uploaded on the exchanges and our website. Q3
top line registered year-on-year growth of 3%. There was a degrowth of 3% quarter-on-quarter.
Coming to the financial performance, I will start with the stand-alone performance first, review
of Q3 FY '25 financial performance. Net sales at INR1,154 crores for quarter 3 FY '25 versus INR1,125 crores for quarter 3 FY '24, that is 3% increase year-on-year. EBITDA at INR117
crores for quarter 3 FY '25 versus INR128 crores for quarter 3 FY '24, that is 9% decline year-
on-year.
EBITDA margin at 10.1% for quarter 3 FY '25 versus 11.3% for quarter 3 FY '24. Net profit at
INR65 crores for quarter 3 FY '25 versus INR79 crores for quarter 3 FY '24, that is 17% decrease year-on-year. Cash and cash equivalents as at en d of quarter 3 was INR159 crores. Please note,
the cash and cash equivalent is net of debt and includes treasury investments.
With payables of 70 days and receivables of 43 days, we are maintaining comfortable working
capital levels. However, inventory level at 77 days is on the higher side due to CPCB norm
changes and the upcoming BSI upgradation for the industrial engines. However, we continue our efforts to br ing this down.
Now here is the further breakdown of the stand-alone sales for the quarter. The B2B sales were
at INR1,006 crores, that is 3% growth year-o n-year. B2B Power Gen was at INR418 crores,
which was 2% decrease year-on-year. Industrial at INR268 crores, that is 16% increase year-on-year. Distribution and aftermarket was at INR208 crores, 15% increase year-on-yea

r and IBG,
that is our international business of B2B was at INR112 crores, that is 17% decline year-on-year.
The B2C sales were at INR148 crores, register ing a 3% decrease year-on-year. Within B2C,
WMS was at INR129 crores, that is 3% increase year-on-year. International business of B2C
was at INR10 crores, that is 18% increase year-on-year and FMS business at INR9 crores
witnessed a 55% decline year-on-year. Now look ing at the consolidated performance for the
quarter. Revenue from operations at INR1,454 crores for quarter 3 FY '25 versus INR1,391 crores for quarter 3 FY '24, that is 4% increase year-on-year.
Net profit at INR58 crores for quarter 3 FY '25 versus INR108 crores for quarter 3 FY '24, that
is 37% decrease year-on-year. Please note, these numbers are excluding exceptional items and
provision reversals for overdue receivables made for a customer towards sales made in previous year. And the number for the previous periods have been regrouped wherever required to make
them comparable with those of the current period.
Let us have a look at consolidated segment performance now. B2B segment revenue for the
quarter was at INR1,018 crores, which is 3% growth year-on-year. The segment PBIT was at INR91 crores, reflecting approximately 14% d ecrease year-on-year. B2C segment revenue for

the quarter was at INR224 crores, which is 14% degrowth year-on-year. The segment registered
a loss before interest and tax of approximately INR21 crores.
Financial Services segment revenue for the quarter is at INR212 crores, reflecting 43% year-on-
year growth. The segment EBIT, including -- excl uding exceptional item was at INR29 crores,
that is 23% decrease year-on-year. With this overview, I would like to conclude that Q3 was subdued performance as we moved into second quarter post the emission norm changes.
As Gauri also mentioned in her remarks, we believ e it will take a couple of quarters more to see
the Power Gen demand going back to the original levels. We are confident in our products and ability to quickly react to chan ging marketing -- market dyna mics. We remain focused on the

key strategic areas like high horsepower, genset markets and international business in key geographies.
With this key update, now we w ill open the forum for Q&A session.
Moderator: The first question is from the line of Jason Soans from IDBI Capital.
Jason Soans: My first question just pertains to the Optiprim e kVA series. Just wanted to know how is the demand outlook tracking plus we are foraying into the high horsepower segment through this series. So just wanted to know and take an update on how is the demand outlook tracking from the data centres or the high power requirements in various infra verticals?
Rahul Sahai: Thanks, Jason, for that question . So, the Optiprime product range has been very exciting for us. We are getting not just a lot of interest, but also a lot of confirmed orders that we are executing.
And those orders are honestly starting at about 117 kVA and today, we are executing orders of about 2,500 kVA also, so that the range is very large.
And we completely and truly believe that with this product, the value proposition of flexibility, better cost of ownership that is offered to our end customers, especially if you look at the segment that you mentioned of real estate or even data centres, I think that is -- that's a big differentiator.
So, there is going to be effort needed to explain the solution and sell it because as you're aware, this high horsepower market operates through not just customer and us, but then there are other people also involved like consultants and contractors and things like that. But I'm fairly confident that it's the product that our customers would value. And we have seen a lot of interest, and our order book is pretty strong.
Jason Soans: Just my next question pertains to just w

anted to know, I mean, for LGM, our La-Gajjar machines.
The last time around when we look at the financials, for FY '24, we have clocked in around INR540 crores and a PBT margin of 6.4% and a PAT of around -- so we clocked in around INR247 million. So, I understand that this time around in FY '25, there's been a consolidation into Sanand and all those onetime restructuring has taken place. So, would it be possible to share the numbers for 9 months ending FY '25 for LGM in terms of PAT or PBT and revenue as well?

Rahul Sahai: Sure. We'll just check the number. Just give us a minute. We'll just check the numbers and get back to you. I think we can just move to the next question. We will update on this response shortly.
Jason Soans: Sure. Okay. So, my next question pertains to -- just wanted to understand, see, from -- I mean, we started the year pretty strongly. We clocked in -- I'm just talking from a stand-alone basis; we clocked in a PAT of INR135 crores. And from there on, of course, CPCB 4+ has kicked in, and we have seen a performance on profitability sort of weakening.
So here from -- just from a broader sense, I understand, and Gauri did touch upon it. But so, the outlook for Q4 FY '25, this has been historically a very strong quarter for capital good companies and a lot of infra activity tends to pick up in that quarter. So, what are we looking at? How is the year-end looking at, especially after a subdued Q3? Just wanted some qualitative commentary on it.
Rahul Sahai: Sure. So just qualitatively speaking, because othe rwise, that information is proprietary. But just qualitatively speaking, we're expecting the early indicators seem to be positive. Whatever residual inventory of CPCB II may have been there in the channel and the larger ecosystem, all of that has been subdued. So, we are fairly positive that we should see a better Q4, and we will work towards that.
Jason Soans: And just from this -- from a demand perspective, in PG, in Power Gen and Industrial segment, which are the verticals you are seeing good traction in ? And just lastly, just a clarification, Gauri did mention a 40% number. That was a volume decl ine for PG, and does that pertain to that? Just a clarification on that perspective as well . And what sort of verticals are we seeing good demand in both PG and industrial?
Rahul Sahai: Right. So, if you look at Power Gen, I mean, if you broadly just say you look at below 250 kVA LHP, below 750 as MHP and above 750 as HHP, that's just a broad classification. What you are seeing is that the LHP and the MHP side, the portion of the portfolio that is influenced by CPCB norm, that has degrown in terms of market demand by close to about 40% to 45%. And I mean, we're fairly positive we will come back to normal levels. But for these -- for the immediate last 2 quarters, we have seen that happening.
And a lot of it is also because there is a residual CPCB II inventory available in the channel somewhere and so that all of that has to go up because we are coming off a fairly hot period. There was a lot of prebuy happening before these emission norms changed. So, there will be a cooling off, which, in my opinion, has happened over the last 2 quarters. And so, we should see a better Q4.
If you look at the HHP business, that has grown from a market standpoint pretty rapidly. It's not a segment where traditionally, we've had a very strong portfolio. And while we are seeing positive impact of that, but the overall product mix that we have is largely on the LHP, MHP

side in terms of the Power Gen revenue case. So even if I compare it to our industrial business, which is growing at double digits growth. So, we are seeing improvement on construction side.

We're seeing improvement or significant demand coming from our defence business. But the

sheer size and scale of the Power Gen business basically influences the overall blended EBITDA.
Jason Soans: Sure. Those are all my questions. Thank you so much for answering them.
Management: Jason, coming back to your question on LGM year-to-date performance. From year-to-date basis for LGM, we did a sales of INR350 crores with EBITDA of 1.4%.
Jason Soans: EBITDA of 1.4%.
Rahul Sahai: Yes.
Moderator: The next question is from the line of Teena Virmani from Motilal Oswal Financial Services.
Teena Virmani: Rahul, this question is for you on the Power Gen segment, like you mentioned that volumes have degrown by 40% to 45%, particularly in the LHP and MHP range. So, when we compare the Power Gen segment revenues versus 3Q of last year, there is a decline of nearly 2%. So, what could have been the pricing impact because the pricing has not increased to an extent of 40% -- or 35%, 40% in the LHP and MHP ranges. So, I mean, I just want to understand the growth or the degrowth like flattish trend if volumes have declined by 40% during the current quarter. So, what is the impact of pricing in this?
Rahul Sahai: Yes. So, I mean, if I just look at a thumb rule, I would say you can take 35% to 40% increase in scope of the product because the CPCB IV product is very different compared to what it was in CPCB II. And if you look at on an average, about a market dip of about 42% to 45% in terms of volume, that will give you a broad understanding of what happened in the last quarter.
Teena Virmani: So, is there a portion of HHP sales also in this particular quarter, which may be higher in 3Q '25 versus 3Q of '24?
Rahul Sahai: There would be portions of HHP sales, but because our portfolio is so heavily, I guess, on the LHP and MHP side, that HHP sale will not have a significant or will not be very significant in terms of the impact. So, the HHP -- I mean, because of the HHP, we've not degrown drastically on the Power Gen side, but it wouldn't be something very significant at this point.
Teena Virmani: Okay. So, when we look at overall demand, how is the demand scenario currently panning out, particularly in the month of January and, let's say, 10 days in February? Are volumes coming closer to the volumes of same pe riod last year or they are still down by 15%, 20% or any number which you can attribute to?
Rahul Sahai: So, if you look at -- and I'll try and answer this question as clearly as I can. See, if you look at Q2, the overall volumes that the industry had in Q2, they were 28,000 units. Now in Q3, the volumes have increased to close to about 32,000 units, but bulk of the increase has happened in Telecom segment. And Telecom segment, as you 're aware, is extremely commoditized price-sensitive segment, where we are cautious around where we want to participate and where we don't.

And if I look at Q4, I would -- I mean, I can't really give a clear forecast here, but I would see a further improvement to the 32,000. So, we would -- I mean, I would say we should be in the range of 36,000 to maybe 38,000. If you look at last year same time, the overall industry demand was upwards of 40,000. We were operating in large prebuy quarters, and the demand was in excess of 40,000 units. So that's just to give you a sense of what's going on.
Teena Virmani: Okay. But has the pricing normalized now overal l in general, not particularly referring to Telecom segment, but general pricing, has it normal ized or there can still be some kind of pricing impact maybe in this particular quarter, quarter 4?
Rahul Sahai: I mean we're waiting for all the forces to play out. But at this point, we do see that there is a general convergence of pricing in every node. So, we're not really seeing too many unknowns at this point.
Teena Virmani: And my last question is regarding the other expenses and gross margin trend going forward for the company. So, we un

derstand that there were some costs associated with this B2C division also and even B2B margins were also down. So, what can be the normal range for other expenses for the company going forward as a percentage of sales? Or what can basically be your target to maintain on the gross margin side and even on the other expenses side going forward, once things normalize, let's say, from

Q1 or Q2 of FY '26 onwards?
Rahul Sahai: So, Teena, in terms of our raw material cost and the other variable costs, we don't see much variance. And we are able to maintain our contribution margin to the same level as we were maintaining in the earlier quarters. However, we have seen impact on EBITDA because of operating leverage loss, due to lo wer sales, and we'll recover that in coming quarters once the sales come back.
Teena Virmani: Because last few quarters, you had margins in the range of broadly around 12% or so, taking into account the adjustments also. So, can we go back to those 12% type of margins maybe in 4Q?
Rahul Sahai: So, Teena, I will not be able to give you any specifics, but definitely, with the higher sales, we will see a better operating leverage gain and that will improve our margin.
Moderator: The next question is from the line of Charanjit from DSP.
Charanjit: So, my first question is regardin g the Power Gen itself. So, you have talked about the inventories in the system. So how are the inventories now for the CPCB II in the system? Because when we look at the other competitors, they have said that inventories ha ve now completely depleted. So, if that is the scenario, can we see our market share again inching up? How is the product from the LHP and the MHP segment from the other competitors who have been in this market? So that's my first question.
Rahul Sahai: Charanjit, this is Rahul. So, what I was saying is that if you look at our market share for the last quarter in Q3, we were at roughly at about 30.3%, excluding Telecom segment. So just removing the telecom side of that business. But -- so market share as such, we are -- I mean, while it's

something we track very closely, we are not as worried about the market share per se, but there are opportunities on the HHP side where we have to focus on to ensure our growth.
So that's perhaps the one key point for us as we move forward. So, while we are growing, but the market opportunity is much larger on that -- on the HHP side, and that's something that we have to work on.
Charanjit: So CPCB II product inventory in the system, is it still there? Or is it like totally depleted? So, which can help players like ourselves who have a better product in CPCB IV scale up and regain that market share?
Rahul Sahai: Yes. So, we are not allowed to keep CPCB II -- I mean, as a manufacturer, I cannot sell CPCB II in the market. So, the CPCB II inventory in our system is completely consumed. As far as the entire -- I mean, the larger industry is concerne d, we did see different players liquidating CPCB II in the last 2 quarters also. But all of that seems to have depleted now.
Charanjit: And sir, when you talked about that the growth can resume from Q4, so how we should look at this growth in terms of Jan, Feb, from the industry perspective itself, how you are seeing the growth momentum?
Rahul Sahai: So, what we're seeing is that there is an improvement in -- so if I look at Q3 versus Q2, we have seen an improvement in the overall demand scenario for Power Gen. So, if you look at the Q2 volumes, they were at about 28,000, which is extremely subdued for this industry, which used to operate at about 40,000 to 45,000 gensets per quarter.
Now in Q3, we see that number has increased to about 32,000 units from an overall demand standpoint. And in Q4, our anticipation is we'll be closer to around 36,000 to 38,000. That's the anticipation. So, we are seeing improvement. The segmen

t that is growing rapidly is the HHP side of the business on Power Gen. And that is where we solely have products built out, and we have to focus more on from a sales standpoint.
Charanjit: Okay. So just lastly, on the HHP side, in terms of our product portfolio, sir, if you can touch on like which are the most prominent nodes we have. And from the data centre perspective, also, we remember that there was discussion on the certification being there. So, from a ramp-up perspective, it could take 6 months, 1 year. How is the pipeline of the orders for the HHP segment right now?
Rahul Sahai: Yes. So, I mean we are seeing a strong pipeline in the sense -- in the context of what we do. So, I just want to make sure the context is clear. S ee, we are largely a company that has historically been in LHP primarily and who had some products in MHP. Now over the last 2.5, 3 years, we have very aggressively built out and refined our product portfolio. And today, we are executing orders of 2,500 kVA gensets also and 3,000 kVA gensets also.
So, it's just that the contribution of HHP is relatively smaller in our overall revenue mix. At this moment, what's panning out is the HHP market is growing rapidly. So, if you talk about the portfolio that we have today in HHP, we start at 750, 910, 1010 kVA, 1,250, 1,500. And then with our Optiprime range of products, we go up to 3,000. So, we have a fairly strong portfolio

is what I would say. But there is a lot of internal , I would say, upskilling that 's needed to be able
to sell these products, and that's what we are working on now.
Moderator: The next question is from the line of Mihir Manohar from Carnelian Asset Management.
Mihir Manohar: You mentioned in the opening remarks that there was some decline in market share for us. What
led to the decline in market share? Is it because of competition getting aggressive on pricing or because of lower inventory available for buyers? How to understand this? And why should one
see that reversing back?
Rahul Sahai: This is Rahul. So, if you look at the Q3 market share, we have improved our market share over
last year and marginally, I mean, last year, in Q3, we were at about 30%. This year, we are at 30.3% in the same -- I mean, Q3 to Q3. So , I'm not quite sure about the question.
Mihir Manohar: I think in the opening remarks, Gauri mentioned that on a Q-o-Q basis, you saw a decline in
market share.
Rahul Sahai: So, we've not seen a decline in market share.
Mihir Manohar: Just second was on the pricing side. I mean how -- have you had the pricing over the last 3
months, 6 months for our LHP and MHP, CPCB IV products?
Rahul Sahai: Can you just repeat the question?
Mihir Manohar: On the pricing side, so basically, the CPCB IV+ products for the MHP and LHP segment, I mean
what is the change in pricing, which is there over the last 3 months, last 6 months?
Rahul Sahai: So, if you look at CPCB IV versus CPCB II, the pricing difference is about 30% to 40%...
Mihir Manohar: Sir, I'm asking only for CPCB IV, I mean CPCB IV like-to-like for last 3 months, are the prices
same for you or have they gone up or gone down?
Rahul Sahai: So, there's a process of price discovery that I'm sure each organization is doing. So, node by
node, there are variations. In some cases, the prices have gone down. In some cases, they get revised upwards.
Moderator: The next question is from the line of Darshil Jhaveri from Crown Capital.
Darshil Jhaveri: So, I just wanted to -- from what we gather, I thin k Q4, we are expecting things to go a bit better.
So, I just wanted to ask like we mentioned like 5-year, next plan. But in terms of revenue growth, what do we expect like it to be in the next 1 or 2 years, if you could help guide for that, like
maybe a shorter-term FY '27 target or in terms of revenue and margin, that would be helpful, sir.
Rahul Sahai: I'm afraid I won't

be able to give out that information, that's prop rietary at this point. But we will
strive to move towards the target that we had mentioned last time.

Darshil Jhaveri: Okay. Fair enough, sir. And sir, just in terms of our market, like in terms of Q4, like we'll be
better than last year's Q4? Or how should we look at it, sir?
Rahul Sahai: Unfortunately -- please go ahead.
Darshil Jhaveri: Yes, like just qualitatively or even if no numbers, but then just how do we see if you're comparing
because you're saying last year, I think there were a lot of more units in play, right, than currently. So, I just wanted to see how wo uld -- sequentially, will we be bett er or compared to last year,
will we be better Q4 if you could...
Gauri Kirloskar: Sorry, we can't answer that question. Even qualita tively, it becomes a forward-looking statement,
so we won't answer that.
Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities.
Parikshit Kandpal: Yes, just on the Power Gen business, so you said that market was around 40,000 units plus, and
now it's about 34,000, 35,000. So, is the difference attributable to the CPCB II+ inventory still
being in the system for the last 2 quarters?
Rahul Sahai: Yes. So right, in the last quarter, the market was roughly at about 32,000. In Q2, it was about
28,000. And the last 6 months, because of the transition, there has -- and there was a prebuy
prior to that. So, there was some surplus inventory in the larger ecosystem in the industry, I'm
saying, not with us in this case. So, it has taken some time for the overall demand to normalize.
So, we are seeing improvements quarter-on-quarter in terms of the demand. And we are
expecting that in the quarter 4, the demand will be better than what it was in quarter 3. So, we
may end up at about around 36,000, 38,000 units, but we are slowly inching back to the pre --
before the transition took place. So, we exp ect the market demand to normalize soon.
Parikshit Kandpal: So, my question was more on like what in your internal assessment would be last 2 quarters,
CPCB II+ engine supply in the market just to get a sense on actual how much demand is down
because of that and how much it is down because of actual slowdown?
Rahul Sahai: I'm afraid I don't have that answer clearly. A lot of this information is also anecdotal because
formally, you cannot sell CPCB II gensets.
Parikshit Kandpal: Yes. But your target customers, they won't be buying, right? Now I mean, at least in there -- I
mean, they are in the clean system, so they won't be buying the CPCB II engines anyways, right? So, your target TAM would

not get impacted be cause of the CPCB II+ engines still being sold
in the market for the last 2 quarters?
Rahul Sahai: No, it could because if you look at a lot of the retail business that we do on the Power Gen side,
the TAM definitely gets impacted depending on the state and depending on the level of enforcement of the emission change.
So, the TAM definitely gets impacted.
Parikshit Kandpal: Okay. And second question is on the pricing side. So, on the demand side of the pricing. So,
we're seeing now with these nodes being introduced by most of your peers. So, do you still think

that the market or the customer has absorbed the pricing or still you believe that there's still some
pushbacks on the pricing side?
Rahul Sahai: I mean pricing will keep playing out. We're not seeing any significant change or significant
pushback. We're also very practical when it comes to pricing.
Parikshit Kandpal: Okay. And just last question, incrementally on the per unit of CPCB IV+ engines being sold. So,
do you -- the profitability will be much better than the CPCB II plus per unit gross margins, per
unit profitability?
Rahul Sahai: I think at an overall system level; I

would say the profitability improvement opportunities will
be there because of CPCB IV. And this includes both in terms of the product and the aftermarket opportunities that it provides.
Moderator: The next question is from the line of Sagar Parekh from One Up Financial.
Sagar Parekh: So, when I look at your sequential Power Gen numbers, the revenue has gone down from
INR481 crores to INR418 crores, right? When you said that the market has gone up sequentially,
and you mentioned that you have not lost market share. So, can you just help me understand
what exactly is this?
Rahul Sahai: Sure. We just check -- we'll take another question, and we'll revert back to this question.
Sagar Parekh: Yes. And secondly, on the export market, we have not been able to scale up meaningfully as we
had envisaged when we charted out our 3-year plan, where we had envisaged that our export
revenues would be INR1,500 crores to INR2,000 crores broadly. What exactly has gone wrong?
Why is it taking so much time? And what is the outlook on this going forward? If you can
highlight on that, that would be helpful.
Rahul Sahai: Sure. So, when we started out with a 2X-3Y ambition, we were -- we looked at different ways
and levers that we could deploy for the growth. An d if I look back, largely, a lot of the bets that
we made have gone in our favour. Certain areas where -- which didn't pan out the way we thought were the time taken and
the level of engagement and deliberation required to develop channels
outside India and the maturity time that they take.
So, I wouldn't say that things have been -- there is a major issue or anything of that sort. It's an
ambition. And if you look at the 2X-3Y journey that we've had until now, we've done fairly well
against that ambition.
Sagar Parekh: But export for us is still about growth annual ly. Any qualitative outloo k on which geographies
you are seeing, some growth maybe in 2 years, which can help us gauge some exports?
Rahul Sahai: Yes. So, if you -- and I'll just go back to the previous question and answer in context of that. If
you look at where exports were when we started this journey, we have doubled our exports more
or less, if you look at this year versus FY '22. Now good years and bad years will happen. I
mean, for instance, we had demand in South Africa, which is coming in and the power deficit situation in South Africa has
improved.

So, we will have those changes play out. But dir ectionally, we have definitely moved in the right
direction. Exports definitely, I mean, we've almost doubled our exports.
Sagar Parekh: U.S. and Middle East still continue to not see meaningful change in revenues. Is it fair?
Rahul Sahai: Yes, correct. So, at this point, perhaps not. But if you look at Middle East over the next few
quarters, we are pretty confident that will pick up sooner than what the Americas will.
Sagar Parekh: Understood. And if you can answer on that Power Gen sequential, when you said that the market
has gone up sequentially, our revenues have not gone up. So, if you can provide some clarity on that, it would be helpful.
Rahul Sahai: Yes, that's just a mix, honestly. So, there are cer tain orders that we execute in HHP. But if you
look at the overall volume base, sometimes -- I mean, there is a mix change that happens, and
which is why you see that difference.
Sagar Parekh: But the difference is significant as in there is a sequential growth in volumes, whereas there is a
20% decline sequentially or maybe 15% d ecline sequentially in the revenues.
Rahul Sahai: Yes. I mean -- so are you asking the market share information doesn't seem to correlate to the

revenue?
Sagar Parekh: Yes, yes. Something is off it seems, yes.
Rahul Sahai: Yes. I mean, so at this point, what I can answer is that it's a mix change. Yes, that's it about that.
Sagar Parekh: 28,000, 32,000 whatever number you're r

eferring to is basically below 1,000 kVA market, right?
Rahul Sahai: It's all of it. But if you look at the lower end of the -- say, if you look at, say, below 750 kVA, the large volumes are there. And as you move upwards, that there's an inverse relationship, the volumes become lower, but revenue is much higher.
Sagar Parekh: Because you also said 40% decline in the volumes. So even if I correlate that 40%, that should be about 50,000, 55,000 kind of volumes, then if it's down 40%, then it comes to 32,000. So, something -- and you're saying that the average market is about 40,000, 45,000. So, something is not right. I mean, math, it's not working out, so.
Rahul Sahai: So, if you -- see, there were periods of prebuy also. So, we've had -- I mean, we've had quarters where the demand has been at about 48,000 also. So right now, the numbers I'm giving to you are initial estimates that have come in from our own research agencies, but the formal reports are not out. So, if something doesn't add up, these are directional inputs.
Moderator: The next question is from the line of Mohit Pandey from Macquarie Capital.
Mohit Pandey: Sir, firstly, on the domestic Power Gen business , just wanted to understand if there is any seasonality also in the business. So, would it be fair to say that from here on, we are entering into seasonally strong quarters, adjusting for any CPCB impact as well? So, would the April to June quarter be the strongest typically because of weather, etcetera? Is that a fair understanding?

Rahul Sahai: Generally, we have seen the demand be strong in quarter 4. So, I wouldn't necessarily attribute that to a specific seasonality per se. A lot of times, there are budgets available for capex and people try and consume it in quarter 4. So that's the way I would see it.
Mohit Pandey: Understood, sir. That is very helpful. And sir, secondly, just wanted to understand your comments on the HHP market a bit better. So, you mentioned it's growing -- the demand is strong there. So, beyond data centres, what is driving this demand strength, if you can qualitatively give colour there?
Rahul Sahai: Yes. So, I mean, there's real estate, infrastructure growth that is driving a lot of this demand, too. So that's another segment that is contributing to this.
Mohit Pandey: And within infra, HHP would be consumed majorly by which subverticals for you, sir? That would be my last question.
Rahul Sahai: Sorry, within infra?
Mohit Pandey: Yes. Any particular verticals where traction is st ronger for your offerings because infra is very vast, right, so.
Rahul Sahai: For example, real estate developers, IT, IT parks, you look at -- basically all these real estate companies, the large corporate ones, they -- and larger projects, so they take up a lot of HHP themselves.
Moderator: The next question is from the line of Sourabh Arya from Oaklane Capital.
Sourabh Arya: So, I have a couple of questions. First is, what do we -- I mean to say, think about industrial segment now when government has reduced certain capex, etcetera, for this segment. So, in that context, obviously, industrial has done very good till now. So, what are our expectations, let's say, going ahead?
Rahul Sahai: So, if you look at our industrial business, it's actually comprised of a few key segments. There is construction. So, we partner very closely with our construction OEMs. There is our defence business, there's a lot of work that we do with the Army and the Navy. There's railways and then we have other segments such as mining, oil and gas, etcetera.
So, if you look at each of these segments, defence continues to be a strong growth area. And we are fairly bullish in that segment. We are partne ring very closely with th e armed forces. We don't expect any major softening to happen there. From a construction standpoint, our -- the emissions change that has hap

pened, so we moved from CEV BS-IV to CEV BS-V. And that emissions change has helped us gain market share with our -- with the construction OEMs, too.
And we find ourselves in a spot where a lot of companies want to work with us with our offerings. So, some of these segments and of course, there's a lot of work that we're doing in railways. We're not expecting any immediate slowdown. We do think that from a demand standpoint, these will be growing segments.

On the railway side, maybe in the medium term, we do see an impact of electrification. So, the power car demand may potentially go down, but we are looking at different avenues to -- for driving growth in that segment.
Sourabh Arya: Second is like you used to mention about HHP market share, like I think you mentioned a couple of quarters back that market share is 12% for us. So, can you give some qualitative or maybe any quantitative also would be very helpfu l, how is our market share in HHP?
Rahul Sahai: Sure. So unfortunately, I don't have all the information on the market data yet. We'll try and compile that. But if you look at our HHP market share in the last quarter, we have seen some deterioration on the HHP side, but it's not -- I mean, it wouldn't impact the overall business too much. So, there is some deterioration that has happened on the HHP side.
Sourabh Arya: Okay. Perfect. I have one question on B2C also. So maybe -- so that is on -- again, going back to the -- maybe on the margin side of it on B2C, there like obviously, last quarter, we had minus 2%, minus 3%. And this quarter, obviously, it came around whatever, minus 9%. So -- and I asked something similar last quarter. So how would be this normali zation towards normal margin in B2C business? Will it be sharp going ahead from Q4 now that everything is normalized? Or it will be a slow journey of goi ng towards 8%, 9%, what we were thinking to achieve?
Rahul Sahai: I would say that now the fact that this consolidat ion has happened at the plant, we should see a recovery back to the pre-consolidation levels as far as the EBITDA profile is concerned.
Sourabh Arya: Okay. So immediately, it should jump towards...
Rahul Sahai: Yes. So, if you look at, say, quarter 2 and quarter 3, these were the transition quarters. So, if you look at the margin profile prior to that , we should get pretty close to that.
Sourabh Arya: Okay. Maybe very lastly, if I can squeeze something on the export side. So, Gauri, maybe you mentioned in the call that there was some onetime impact in last year Q3. But -- so how should we think about export going ahead? I mean to say, is this the base of e xports from which growth should be visible? Or I mean to say this is still not -- this is still not in the base, I mean to say.
Rahul Sahai: Can you just repeat the question?
Sourabh Arya: Something like I think Gauri mentioned that last year, Q3, there was some one-off order, which impacted the export growth in this particular quarter. So, this quarter number becomes the base on which there is no one-off left? Or how should we think about it?
Rahul Sahai: So, you're saying if I remove the one-offs or the one-timers from last quarter, how would the performance of this quarter be?
Sourabh Arya: Yes.
Rahul Sahai: So, I mean, obviously, it's a little hard to do, but last year, we had executed some one-timers of about, say, INR40-odd crores.

Sourabh Arya: So, adjusted for that also -- fi ne, that is fine and helpful.
Moderator: Ladies and gentlemen, that was the last question. I now hand the floor over to the management for closing comments.
Gauri Kirloskar: Thank you very much for your participation and questions, and we look forward to speaking with you again next quarter. Thanks.
Moderator: Thank you. On behalf of Antique Stock Broking Limited, that concludes

this conference call.
Thank you all for joining us, and you may now disconnect your lines. Thank you.

Call: May 2025

Date: 23rd May 2025

BSE Scrip Code: 533293 NSE Scrip Code: KIRLOSENG

To
Corporate Relationship Department
BSE Limited
1st Floor, Rotunda Building,
Dalal Street, Fort,
Mumbai – 400 001
To
Listing Depar tment
National Stock Exchange of India Ltd.
Exchange Plaza, C - 1, Block G,
Bandra -Kurla Complex, Bandra (E),
Mumbai – 400 051

Dear Sir/Madam,
This is to inform you that:
Pursuant to Regulations 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 including amendments thereunder and in continuation of earlier communication vide letter dated 10
th May 2025, 15th May 2025 and 17th May 2025, we
hereby inform that the Transcript of the Conference Call/Webcast for Investors and Analysts held on Frid ay, 16th May 2025, at 9.30 a .m. (IST) to discuss the A udited Financial Results of the Company for the quarter and year ended 31st March 2025, has been uploaded on the website of the Company, viz. www.kirloskaroilengines.com .
The same is also enclosed herewith.

You are requested to take the same on your record.
Thanking you, Yours faithfully,
For Kirloskar Oil Engines Limited
Farah Irani
Company Se cretary and Compliance Officer

Encl.: As above.
Page 1 of 20

Kirloskar Oil Engines Limited
Earnings Webcast
May 16, 2025

MANAGEMENT : M S. GAURI KIRLOSKAR – MANAGING DIRECTOR – KIRLOSKAR OIL ENGINES LIMITED
M R. RAHUL SAHAI – CHIEF EXECUTIVE OFFICER – KIRLOSKAR OIL ENGINES LIMITED
M R. SACHIN KEJRIWAL – CHIEF FINANCIAL OFFICER - KIRLOSKAR OIL ENGINES LIMITED
M R. GEORGE VERGHESE – CHIEF HUMAN RESOURCES OFFICER – KIRLOSKAR OIL ENGINES LIMITED
M R. SAMRAT GUPTA – MANAGING DIRECTOR – ARKA FINCAP LIMITED
M S. RIDHI GANGAR – CHIEF FINANCIAL OFFICER –

ARKA FINCAP LIMITED

Gauri Kirloskar: Yes, Good morning, everyone. So one of the reason s that we felt it was very important to meet you today in person, two reasons actually. One is that we've come to the end of the very significant journey for us, the end of our 2X-3Y journey. And so we felt it was important that we share some of that the learnings with you and what we feel we have achieved.
We also have a new leadership team at Arka and a new strategy that we're pivoting to at Arka.
And so we felt it was important that you meet some of the team from there and they can also answer any questions that you have. Ridhi can please come and sit in front. You all would have seen the Q4 and the FY '25 results and we will be happy to answer any questions that you may have on those as well.
So first, I just like to introduce my team. We have Rahul Sahai, CEO, if you can just stand, so they can see you, CEO at KOEL. We have Sachin who is the CFO at KOEL We have George who is the CHRO From the Arka side, we have Samrat who is the new MD who was appointed in October of last year and Ridhi Gangar, who has just joined us 2.5 months ago. I'll just take a moment to say I feel very privileged and lucky to work with this team. Each of them are extremely passionate about what they do, super hard-working people and great team builders and team leaders.
And so thank you for joining me in this journey and for choosing to join me in this journey. So as most of you know, we had said at the beginning of FY '23 that our aspiration is to grow 2x in 3 years. We not only had the strategy, but we had also decided at that point of time to announce it publicly. And it was something that we had never done like basically having a very ambitious goal and then announcing it externally first.
As a management team, we felt that it's important to do it because we wanted to drive certain behaviors internally. An d we also, as a leadership team who wanted to hold ourselves accountable to this goal. It's definitely debatable whether doing such a good thing -- such a thing is a good idea or not. But at that point in tim e, we knew that it was the right thing to do.
We had also laid out a clear plan on the right side of the slide to achieve that goal and then some pillars around which the growth would happen. This is what we call our Gold Tree. Based on the strategy and the growth pillars we had come out with certain key programs that we knew as a leadership team, we would have to track and focus on, and we would have to make progress on each and every one of these to be able to see success.
This was something that was circulated throughout the organization. And when I say circulated, it means that at every meeting or every review or every field visit that we did as a leadership team in those early days. The Gold Tree was something that we explained. And depending on which team we spoke to, we we nt into detail on which pillar wa s the one that they would be contributing to and how could they contribute.
So at a regular cadence, the people sitting in this room would review these projects to make sure that we were making the progress that we wanted. If someone would ask me what do I think is

the most significant achievement that we've had in the last 3 years, I would say that it's our product portfolio.
As you all know, KOEL was always known for its dominance in the low and medium horsepower market, and we had very little or no market share in the high horsepower segment.
In fact, upwards of 250 kVA, we were not really dominant in the space, and this was really the large opportunity that we saw in front of us.
In an industry like us, platfo rm development or engine developm ent takes years, multiple years, then you have to get it field tested. You have to get it stabilized. And if you look at our product por

tfolio from 2022 to now, we have a range that runs from 3 kVA to 6 megawatts and even higher if we look at the slow speed engine range.
We not only have the range. We also today have a portfolio in the high horsepower range, which no one else can match, whether it comes to footprin t, fuel efficiency, or to tal cost of ownership.
So I feel that at the end of our 2X-3Y journey, we really have something that puts us or gives us the right foundation for the next phase of growth.
The team was able to build out this kind of product portfolio along with a lot of complexity in the last 3 years, which came from the emissions changes that we saw on the powergen side, the CPCB IV+ change as well as the BS V change that we just went through in January.
So we're very, very proud of what we have achieved as a team in terms of this product portfolio.

I'll now show you 2 videos. The first one is of our product called Sentinel, where we really wanted to make sure we had a portable genset that was on par with, let's say, global aesthetics and design. So that's the first video. I'm not sure how we can play it.

[Video Presentation]

Gauri Kirloskar: The 1,000 kVA genset, which is the world's smal lest housing kVA genset that we launched recently at Middle East Energy. The footprint of this genset is the same in terms of length and width of a 250 kVA genset. So it's a significant disruption in terms of our product.

[Video Presentation]

Gauri Kirloskar: So as you all know, one of the fastest-growing segments in the high horsepower space is the data center segment. So this is a product that we can approach data center customers with. This is a prestigious order that we won last year from the Indian Navy to develop a 6-megawatt engine for marine main propulsion.

So it's not that we've not executed projects of this size. We have done it before. The big difference in the significance of this project for us is that we are the ones who are developing and designing the engines in India. In the past, we had a technology collaboration with a foreign partner. So that's the big difference. We're doing the design, the development and then the manufacturing and assembly as well.

This means that the IP rights will be held within the country, which is obviously very significant in the current environment that we're in, because it's a step in terms of self-reliance and it's also a testimony of our engineering an d R&D capabilities. If we look at how we would want to attract engineering talent into our company, this is actually an engine which not many people or perhaps no one can say that they're working on in India.

So if you look at our 2X-3Y journey across our business segments, we can see that all of the businesses have grown over 1.5 times, except for FMS, which is farm mechanization, which saw a decline. But I'm happy to report on the farm mechanization side that the changes that we've made, which is essen tially to get the business to break even, are working out.

And if we go back to what the st rategy that we had laid out, th e main pillar of growth was also international increasing the share of wallet on the high horsepower side and the aftermarket business and all of these have seen significant work and results in the numbers. So, overall, if we look at what we've achieved in numbers against a 2X target, we grew 1.6 times. This is despite a volatile market post the emission norm change on the Genset and the industrial side, where actually our entire product portfolio has changed.

And while making significant changes on the channel side as well, which was important for us to do in terms of our long-term business sustenance. Our EBITDA and cash have crossed the 2X mark and have grown by 2.4 times and 2.6 times, respectively. So if I look at our overall performance, it is very satisfying and significant from where we started, and

I'm very, very proud of the team.

To move on to Arka. What we communicated in our previous analyst meets, which was Arka's initial phase, which I will refer to as Arka 1.0, we were purely focused on establishing a stable loan book, and we had put in an initial equity infusion from Kirloskar Oil Engines.

Our objectives were to achieve sustainable growth, maintain very, very low delinquencies and establish Arka's reputation in th e market for reliability. So the team has successfully delivered on all of these objectives. The current AUM st ands at over INR7,200 crores. Our GNPAs are below 0.7%. And that demonstrates robust operational and risk management systems.

The book has also generated healthy returns commensurate with the kind of portfolio that it has.

This stable foundation now provides an ideal platform for our next strategic phase, which we will call Arka 2.0, where we're focused on building a diversified retail-focused high-return portfolio.

Following Samrat's appointment as Managing Director at Arka after Vimal superannuated, we have come up with a revamped strategic roadmap, and this was presented to and approved by the Board very recently. It outlines a laser sharp focus on building a secured granular retail book propelled by twin engines being small ticket loans against property and pre-owned vehicles financing -- pre-owned wheels financing.

During this growth -- driving this growth will be the building out a very, ve ry robust distribution network across India. In this fiscal year, we're starting with approximately 7 states. And we will also be leveraging KOEL's existing distribution capabilities and market standing, especially in

penetrating Tier 2 cities and beyond. These represent our key customer segments for these

products.
The team is committed to delivering 3 tim es AUM growth, enhancing ROA to 3%, while maintaining GNPAs below 3%. So that's what we call our 333 strategy. The group's long-term philosophy has consistently centered on sustainable growth and the creation of a generational value across our businesses.
We empower each entity, including Arka to operate with the freedom to develop tailored strategies, ensuring self-sufficiency and deliver consistent value to stakeholders.
So with all of this, we believe that we have th e right ingredients in place for our next phase of growth, which we call the 2B, 2 billion strategy. We had announced it already in quarter 3 that the aspiration is to grow to a $2 billion organization by fiscal year '30. If 2X-3Y was ambitious, this one is far, far more aggressive.
Firstly, because the goal is, of course, much higher, but also because we have reached a significant size already over the last 3 years and a lot of the low-hanging fruit in terms of change is now gone. So it's going to be much harder therefore to start to grow at this rate. We are aware of this, but we're clear on where we need to focus and where the growth segments are and we've mentioned some of those pillars on this slide.
So even though some of them are laid out in specific years, some of these will stretch across the 5 years. The idea is to be clear on what the segments are, when we will focus on them and where. So as I look back on the last 3 years, it has been quite a journey for all of us. It's been an experience of great learnings. Not everything went according to our plan, and there were many things that actually didn't turn out the way that we expected them to.
But despite all of that, as a team, we've been able to achieve significant growth in the organization. So thank you very much. I'll now request Sachin to come up and just take us through the Q4 and fiscal year-end numbers.
Sachin Kejriwal: Thanks, Gauri, for the update. Good morning, everyone, and thank you for joining today's Investor Meet. And I'm truly excited standing here and sharing the financial numbers with you a

ll. So moving to the quarterly performance. So for Q4, first time in the history, we have crossed INR1,400 crores of sales, and this is our highest ever sales in so many years.
The growth is 21% compared to the previous quarter. And compared to the last year, the growth was 2%. On EBITDA side, for the quarter, our ma rgin was 12.1% compared to last quarter, it was 10.1%. So we have grown 200 basis points compared to the previous quarter. And last year, our EBITDA performance was 12.8%. So the dip, wh at you see in quarter 4 compared to the last year, it's purely because of the product mix.
On the profit after tax and margin, our Q4 PAT margin was 7.5%. Again, we have seen a good growth compared to the last quarter. So last quarter, it was 5.6%. So we have seen 200 basis point expansion in the profit after tax compared to the previous quarter.

Moving to the annual sales for FY '25, again, for the first time, we have crossed INR5,000 crores of sales, which is 6% growth compared to the last year. On EBITDA side, again, you can see that 100 basis point expansion. So for FY '25, our EBITDA was 12.8% compared to last financial year, it was 11.7%.
So we have seen an expansion of 110 basis points in our EBITDA performance. On the profit and tax and margin for FY '25, our PAT margin is 8.1% compared to the last year of 7.5%. So again, on a stand-alone basis, we have seen expansion in our PAT for the full year.
Moving to the business unit-wise performance. So you can see that we operate in KOEL stand-alone in 2 segments, that is B2B and B2C. So B2B business has grown 6% compared to the last year. And industrial business and distribution and aftermarket have grown in double-digit. So industrial business have grown 12%, distribution and aftermarket has grown 13%. In powergen side, we have seen a growth of 3%.
We all know that in powergen, we went through a major transition where we move from CPCB II to CPCB IV+ effective 1st of July. I'm happy to share that in powergen, for the first time in HHP, we have crossed INR100 crores of sales. So our sales for the full year was INR110 crores, which is 20% growth compared to the last year, and we continue to defend our market share on LMHP.
On B2C side, again, we have seen a growth of 2%. As you are aware that in last financial year, we have done this plant conso lidation in B2C side. So we have seen subdued performance in quarter 2 and quarter 3, but now plant has been stabilized and we see a better performance from B2C side. And that's why those growths are translated into WMS business, which is water management solution business.
We have seen a growth of 7% and international exports, so we have seen a growth of 67% in the B2C side.
Gauri already spoke about FMS that we went through a restructuring and we'll see a better performance from the FMS side. And I'm happy to share that in the FMS business for -- in the month of March, we turned positive EBITDA. So we'll see a better performance from the FMS side in coming years.

Moving to the working capital performance. So this is also one of the good parameter for us. So
just look at the inventories number. So we have reduced the inventory by more than INR200
crores. So by end of quarter 3, our inventory was INR716 crores vis-a-vis end of this financial year, it's INR493 crores.
And look at the DIO, Days Inventory Outsta nding, it has improved by almost 30 days, a
significant improvement we have seen on the inventory side and similar improvement you see
on the receivable side, wherein it has improved from 43 days to 39 days and payables -- days payable outstanding remain constant at 66 days. This translates into a cash conversion cycle of
22 days.
What it means that we convert our inventory into cash in just 22 days. Being in a capital good
industry, this is one of the very good effectiv e management of the working capital. And

the same
you can see translating into our net cash position also. So, our net cash stands at INR448 crores.

So if you look at the trend in last 5 quarters, this is the most healthy and robust cash we are
maintaining in our balance sheet.
Now shifting gears to the consolidated performance. So, for the quarter 4, our sale was INR1,737
crores, which is a 21% growth compared to the previous quarter and 6% growth compared to
the last year. On the profit after tax and margin, we see that compared to the previous quarter, the growth has been 64%, but compared to the previous year, there is a slightly degrowth of
18%.
Predominantly, this is coming from our Financial Service wherein we have taken onetime
provision in quarter 4, and we wi ll talk more in detail in our Q&A session on that. On the annual
basis, our sales have been close to INR6,300 crores. So it was INR6,295 crores for full year, and
PAT was 7.1%. We just see a very marginal degrowth in the PAT, 0.4%. And as I explained that
this is predominantly coming from our Financial Service business.
Just giving you a glimpse of certain consolidated performance for B2B business. So in the B2B
business, you see that we have seen a very strong growth of 21% compared to our previous quarter, which was quarter 2, and we have regist ered a higher service in powergen business and
distribution in aftermarket. And we have witnessed a double-digit growth in aftermarket and on
industrial business on year-to-date basis.
So, there are certain major transition which has happened in B2B side. So I spoke about CPCB
IV transition, which was effective 1st of July . There was another major transition, which was
effective 1st of Jan, which is a transition from BS IV to BS V. And we have successfully
completed those transition effective 1st of Jan. Now we see a strong demand from construction and defense sector in industrial business.
Also, on the genset side, we are seeing that demand getting stabilizing across all the ranges. And
I already spoke about that for high horsepower, we have had a very good start to this year
wherein we have crossed INR100 crores for the firs t time. And this is just the beginning of our
journey in HHP segment.
Moving to the B2C performance. So, on the B2C side, if you look at our Q4 performance, it's
INR317 crores, which has grown 42% compared to the previous quarter. So I know a lot of you
were a little nervous that what's happening on the B2C side, and we kept on saying that
consolidation work is going on in B2C si de, and that will stabilize by end of Q3.
So that work is completed now. And now you can see the better performance on the B2C side,
wherein the revenue growth is 42% and just look at the profitability increase. It's 269% quarter-
on-quarter growth on the profitability in the B2C side. And compared to the last year also, we
have seen a growth of 15% on the top line from the B2C side.
So thank you. With that, we'll open up for the Q&A in a moment.
Gauri Kirloskar: If there are any…
Teena: Hi Gauri.

Gauri Kirloskar: Hi Teena.
Teena: Yes. Congrats with a good set of numbers. So my first question is related to genset market. On
the current situation, has the demand stabilized and has pricing stabilized now? And how do you see the competition in this genset market right now? So basically, how do we see this market in
FY '26 versus FY '25? As FY '25 was relatively weaker as far as volumes were concerned. So that's question number one.
And my second question is related to your strategy to grow exports. Country wise and product
wise and how do you see this export proportion to grow going forward? So these are my two questions

Gauri Kirloskar: Sure I just request let's start with one question at a time. Especially when you have several questions embedded inside

. But I'll start. So the first one was on Genset, demand and market stabilisation, pricing stabilisation and how we see the next year planning out. And we spoke about this last quarter as well. After an emission norms change it does take some time. And I'd say over several quarters that the market is quite dynamic And pricing and demand plays out on a node by node basis. So that is what is happening. And we are seeing volumes return to where we would expect them to be. And it's stabilising over the next couple of quarters and demand is strong at the moment.
In terms of where we see our competition versus us. So Tina that's a bit hard to comment on because I think as a strategy, as a company we have decided where we want to focus and that's really our high horsepower portfolio. And we're very happy now that we have a portfolio actually that covers the whole range.
So we used to talk about up to 20 to 50 kVA, we now have products up to much higher than that.
And power demands are also higher than that. So we are able to provide that power in a footprint that no one else can. And we're really focused on going to customers and talking about what we have and bringing in that awareness around our product portfolio. Because of course the competition is very, very well entrenched in the high horsepower market. And so that should be our primary focus. So that's on the Genset side.
On the international exports side, there are three main regions that we've been focused on. And that is Middle East, Africa and the US. We also have businesses elsewhere but essentially these are the three main focus areas that we have. And the intent is to build out entrepreneurs that are sustainable over time. So we have to be looking at how we can get our powergen portfolio out into these markets and whether we have the right business model and structure for that region, depending on the competitive landscape.
So you will see that bumpiness happen until we build a significant business that is continuous and that takes time, it takes investment and it take s time to build relationships. It takes time for these things to settle down. So the Middle East is an example where we've moved into having a Genset OEM in the market. We are very, very clear that that is the right move. But in the short term there will be an impact as that settles down, for example. So I hope I've answered your question

The US as well, the US is a market where we will have to continue to make investment. To build out what we need to do, to get ou r products certified but it is an investment that we have to do because it's the largest Genset market in th e world. So we can't not be present there

Mihir: Mihir, this side. Thanks for the presentation. That was quite helpful. I wanted to understand on this smallest Genset 1000 kVA, which you -- th e Optiprime series. I just wanted to get an understanding of how important it is when you compare that to other offerings which are there? How does it compare physical dimension, efficiency from a total cost of ownership? Some colour on that will be helpful and how is that a selling point, just wanted to get an understanding

Gauri Kirloskar: Sure, so in terms of a product, I think if you look at the industry in general, there is a lot of technology convergence that has happened in terms of the emission norms. So largely people have the same technology. I think the other big advantage is that because of the configuration, we can actually also ensure that we are meeting emissions compliance. For that range, where it's not applicable.
So if we do for example 2000 kVA. You saw the video where we had multiple products. We can actually be CCCB 4 plus compliant as well which no one else can offer. So it's also significant from that point of view.
Rahul, do you want to talk about fuel efficiency? So in terms of fuel efficiency, the study

that we have done. We actually have IOT devices on all of our Gensets and we analysed the data and we saw that most of the Gensets that were running were running below 50% load. And that actually is not an efficient load. So what we created at that time is actually is more efficient solution. We have two engines in the same canopy. So if the load is not the full load then only one engine can be operational.

Rahul: So if you look at it from a cost of ownership, it is leaps and bounds better than anything else out there. If you were to look at the kind of platfo rms that we are building, specifically for Optiprime. There is inbuilt redundancy. So for example if you ar e a Genset owner 1 unit goes down, you don't have to replace it with another 1000 kVA, 500 kVA still works.
The other part is that if you look at oil and filter changes, for smaller engines they are drastically cheaper compared to what it would be for a larger engine. And when I say drastically, it would be like 20% cheaper, 25% cheaper. So from a cost of ownership standpoint. It leaps and bounds better. Fuel consumption will be at least 10%- 15% better. So like Gauri mentioned, there is

inbuilt load balancing that happens. So it will operate at the appropriate optimal load for the Genset irrespective of the overall Genset load.
For example, if it's operating at -- you compare a 1000 kVA operating at 50% load and you compare the Optiprime 1000 kVA operating at 50% load, one core will just switch off. So it ensures that you are operating at a far better efficiency than an equivalent 1000 kVA. And we are replicating this across different models. So it's not just 1000 kVA. It's also other nodes that we replicate it back to
Mihir: Understood, sure. And just second question was on the export side I understand not from a financial number perspective but from an operational perspective. How many touch points or

how many distributors have gone up, in the last one year across Middle East or US for that matter? Just to understand, how is our distribution reach increasing? That will be helpful
Gauri Kirloskar: I'm not going to answer that question because I think that's far more detail than we would normally provide. But we are in the Middle East for example what I can say is that, we have had existing distributors in the region for a long time and what we've done is. we have realigned those distributors to the Genset OEM that we now have.
So instead of them working directly with us, we now have a Genset OEM that's managing that channel, which is really important because we need someone on the ground who can drive depending on the market intelligence there. Rather than us trying to do it from here and various different countries, for example in Middle East and North Africa.
In the US we have such a small base at the moment, that we will be focusing, say state wise.
And depending on certain areas where we want to because it's a huge --it's a huge country. So state wise also there are different applications. Th ere are different dynamics that play out. There are some states that are say susceptible to hurri cane season. So we will have certain strategies that play out there and accordingl y we will appoint distributors
Mihir: Hi. I wanted to understand when you came in, in terms of culture, how -- yes. I wanted to understand in terms of the cultural changes and the organizational changes that have happened over the last few years. If you can give us an insight into what's changed from the time you took over to now? And how does it better prepare you for your goals for 2030?
And in terms of understanding the business is a little better from a secular business, how do you make it more enduring enterprise over the next maybe 3, 5 years or longer, if you can give a sense of that?
Gauri Kirloskar: I don't know if I should answer the question on culture of my tea

m should. But I think some of the main changes that we, I'd say, deliberately made because a lot of things also happen organically and over time when we're talkin g about culture. So se veral things. One was communication.
I think as an organization, not only in terms of external communication, but internally, were we communicating at a regular interval and very clearly to the entire company on what our goals were and where we were intending to go. And what we wanted to do? Who are we as a company? What is our strength? And what is -- we value about the people that work there. I think that communication was very important in the beginning -- in the beginning of the 3-year journey. The second big piece of work we did was around HR policies and processes. So of course, we're a legacy organization.
We've had certain processes and policies that have been in place for a long time, which may not necessarily be applicable to today's environment.
So we looked at those and we made a lot of changes there as well. I mean one of the small changes we did, for example, was moving from a 6-day week to a 5-day week for managerial employees, because we're already -- we've always been in a factory environment. So it was a 6-

day week, and we were actually having trouble finding talent because of that. So that was one of the small things we did.
The next thing was focusing on high performance. So being very clear that our performance management system was working correctly. And we were rewarding the people who were doing and making outsized efforts. So really looking at how that performance management system supports a high-performance culture.
But I think when it comes down to it, I think Warren Buffett very recently said in his Annual General Meeting about culture, just find great people and work with them. And I think really, that's what it's about, find people who are really, really passionate about what they do. You don't get these kind of results from working from 9 to 5, okay?

So you would really have to love what you do. And I think that's what we've really surrounded ourselves with in terms of the l eadership team and therefore, driving that kind of passion below. I didn't understand your second question. Could you articulate it a little bit differently?

Mihir: So we've seen the business being cyclical and how do you at least even out for the cyclicality, if at all you can in terms of numbers and outcomes?

Gauri Kirloskar: So the cyclicality, actually, I would say that we'v e been in the last 3 years in a very strong demand environment. We've been very lucky to have been in that kind of environment, right? And as we look at what is really driving demand in spite of what is happening globally. We see a strong pull in terms of domestic growth that's happening in terms of infrastructure spend, etcetera, as well as growth in terms of the infr astructure being set up for technology, right? So data centers and things like that. And I think, therefore, if we're bullish about that continuing, now that we've been through the emission norms, and we have the product portfolio. Three years ago, we didn't have that product portfolio. So we could have been more susceptible to ups and down, say, in the lower part of our portfolio, which is really dependent on, say, GDP growth. So here, when we're looking at high-growth segments in the high horsepower space, I think we are much more insulated now from those ups and downs. If we look at the industrial side, it's really about key account management. And I think we've made a lot of investment in terms of time and effort and building out teams who understand specific accounts like railways, defense, navy, even the construction OEMs. So even though we may see up and down, for example, on construction OEMs, I think these investments will happen over a longer -- I mean, the returns will come ov

er a longer period of time, right? Like an account like defense, it's not something where you see the return happen in a year or so, it rarely plays out, and you have to keep that engagement over a long period of time. So I think we have insulated our selves much better from cycli cality than perh aps we were 3 years ago.

Mihir: Hi. So we have talked about Optiprime and high horsepower segment for a time now. So just wondering how -- so where do we see our...

Gauri Kirloskar: Let's start again, sorry, I was looking for you. So I didn't...

Mihir: Sure. So we have talked about Optiprime and high horsepower segment for some time. So right now, what sort of volume percentage we are in there? And when we are building apart from the cost, what kind of strategies we are putting is to get that market share over our peers?

Gauri Kirloskar: So I'll just answer the second part of the question first, which is the kind of strategy we have to compete with our peers. So one is that with the Optiprime range, of course, like we just spoke about, it's a far superior product itself. That be ing said, we have to build awareness around that product because to really provide, say, value in terms of take like reducing footprint, right? If a certain project has been designed with a power solution in mind, which, of course, is not us for the day. If we are able to get in and provi de Optiprime, yes, in te rms of total cost of ownership, things may come down. But you don't really get the advantage of having a smaller footprint because the design of that project has already happened. So our strategy then is that we have to really get that product out there in terms of awareness, whether it comes to who the -- whether it comes to engaging with customers or whether it comes to engaging with consultants, who influence customers. And if we can then demonstrate that with our lower footprint, we have a better product. We're providing real value because if it's in a space where, for example, real estate is at a premium. We have a very, very big advantage over our peers. The first question was on volume.

Sachin Kejriwal: So coming to the volume on HHP side, as Gauri mentioned that now we have a complete portfolio available on the HHP side. So we have seen a growth of 18% in the volume compared to the last year.

Mihir: For entire HHP?

Sachin Kejriwal: Yes. So Rahul, you want to take that?

Rahul: Okay. Would it be like very negl igible at small at this time?

Sachin Kejriwal: In terms of volume, yes. It will be very low for us right now.

Prathmesh Salunkhe: Prathmesh Salunkhe from PL Capital. Ma'am, I just wanted some clarification regarding your strategy for FY '30 that is $2 billion, right? And the Arka Group, we are also targeting $1 billion like the $1 billion company Arka on stand-alone ba sis. So does that include in the $2 billion? And if it's possible, can you give us some breakup on like how much it would be contributed from, let's say, powergen or how much it would be from B2B, B2C? Thank you so much

Gauri Kirloskar: So I just want to clarify that the 2 billion is a revenue target and the 1 billion goal that Arka has is a market cap target. So that's one. The one thing I have learnt in the last 3 years is not to give a break up because it never lands that way. The point of setting these big goals is to strive for something outsize. So it's very difficult for me to say this is what will come from powergen, this is what will come from industri al, this will come from, it's not going to play out that way.

The idea is to say that these are the opportunities that we see, these are the kind of efforts that we will make And, of co urse, over the last 3 years there ha s been a certain investment whether it's been in people, capacity enhancements, key customer managem

ent, key account management
and that's what we feel will lead to or will give us the shot at this kind of growth. So I really encourage you to look at it that way because if I start giving break ups then we always get
compared to whether that has happened or not.
And especially in this environment, I think, of co urse, we see the future is very bright, but there are also many things going on which we have no control over.
Renu Baid Pugalia: Yes, hi good morning team I have few questions. This is Renu Baid Pugalia from IFL Securities.
My first question is on the BS V transition how has that been over the last 5 months, both with respect to the price impact in the market and acceptance from the customer side and release of the pre-buy inventory which was there in the channel. That's the first question?
Gauri Kirloskar: Okay yes BS V saw a very small pre-buy actually, but I mean compared to like a CPCB IV plus
change. So BS V actually again was another emission norms change that was delayed. So it was supposed to happen in April of 2024 and then got pushed to I think October and then January.
So we had a lot of time to engage with our current customers our BS IV Customers because this kind of change is very different from powergen you have to engage with them beforehand to see what kind of new equipments they're building and whether your prototype fits in that envelope.
There's also a period of prototype trials that happened which went well and I'm happy to say that for most of our customers we have been able to continue with the account or increase the wallet
share of that account.
And we've also had the opportunity to bring in some new customers. There were a couple of
accounts here and there that we have strategically decided to let go of because the pricing may not have worked for us. So we've taken those calls as well.
Renu Baid Pugalia: An average increase in the pricing in this BS V segment for us?
Gauri Kirloskar: 20%.
Renu Baid Pugalia: Second is coming back on the core powergen business with respect to CPCB IV transition.
Initially we had some hiccu ps in terms of share gains, models were not available or nodes were
not available across all the products, where are we in terms of availability of nodes, different nodes or products and on the pricing, have we st arted to see price points now tapering off because
of competitive pressures or are we able to hold on to the prices?
Management 4: If you look at the availability of CPCB IV products. We haven't had too much of a challenge in terms of making our products available. As pe r the mandate availability of CPCB II post migration of CPCB IV. So we had more or le ss like a hard switch over And the CPCB II inventory liquidated very quickly.
A lot of the competition continued to in some shape or form make that CPCB II inventory available to the channel. So if you talk to some of our dealers or channel partners, that's the input

that you may get, but honestly we don't see that as a challenge. Even now, I don't think availability is as much the issue, what's actua lly happened is that there has been choppiness in demand and so we're just trying to make sure that we plan for it appropriately. What is the second part of your question?
Renu Baid Pugalia: So just rephrasing it Availability of CPCB IV compliant product across all the nodes, because there were gaps in terms of availability of coal products at various nodes in the market versus that of Cummins or others in the market. So today are all the nodes covered up in terms of a
product being available on the shelf with the consumer. And B, on the pricing side, have we seen prices consolidate a bit or they've still been able to maintain the pricing at which it was initially
launched?
Management: Okay, so if you have market intelligence that we'v e not been able to make our products available, we'll take

that feedback As far as the pricing is concerned, look the pricing is it is a WIP and it will mature. I think we're still in a phase where that maturity is coming up. And I think as we move into this financial year, we're seeing a fair amount of stability, but we'll have to keep our

eyes open.
Renu Baid Pugalia: Thank you
Gauri Kirloskar: We have the Arka team here as well. They just put their mics down.
Management: Yes, hi guys. So one, there was a comment earlier that there was some write down which we'll talk about later, love to hear that. Two, capital raising what's the update. Three, Gauri for you at some point the two entities could be in some form separated, Is there any thoughts on that?
Management: So I'll give you the first two answers. There has not been any write down. We are just preparing ourselves to build a secured retail Journey and that's more granular in nature. And when you build a granular book, today we have only 2400 customers. The moment you build a granular book suddenly in a month you'll be disbursing to almost 10,000 to 15,000 customers the way we are aspiring and the model which we are building.
So when 31st March two things we did for quarter 4. One, as part of our strategy financial warehousing is important which is something called direct assignment of our assets. So direct assignment is when you sell your asset, you book the income and it goes into a bank's balance sheet, but you continue to collect from the customer.
And whenever a customer forecloses the loan, that income needs to get reversed in our books as well. Because the income happens on an upfront basis and we had to do, this has to happen on a monthly basis. Now last year there was a large direct assignment imperative and initiative we took. So almost close to 1,500 crores of our book we sold, but that monthly reconciliation had to get true up on 31st of March.
So that true up has happened. Going forward every month a true up will happen on a direct assignment book, because you have to ensure that the matching revenue and matching cost comes when a foreclosure happens from the customer. That's one part. Second is we as a strategy have stopped unsecured book lending.

So we had Fintech partnerships which is completely stopped. But when I came in I saw the book and for abundant caution, we raised the provision coverage out there because I think unsecured book is something, at least, personally I don 't understand well and as a strategy we will not pursue.
So if you look at the balance sheet provision co verage that stands at about 65% and the unsecured book provision coverage is as high as 85% to 90%. So these are the two things which we did in quarter 4 and that's what I think Sachin was.
Sachin Kejriwal: What were the amounts in the two specific cases?
Management: So direct assignment the true up will be close to about 12 crores to 13 crores and the provision which we increased will be close to about 15 crores which actually helps us to build a very Strong balance sheet into the future. In spite of these two one times, our profit after tax grew from 69 crores to 80 crores on a year-on-year basis.
It's very important when you build granular book. Spick and span controls are important and grid is more important than glamour. So I think that is very important in retail business.
Analyst: You have our full support on that.
Management: Thank you. I'll leave the third question to my Promoter.
Management: The second question.
Management: Capital raise? Okay. I'll put it this way. Ou r business is a capital gu zzling business, without capital it's difficult to sustain. But the right busi ness model is required. So for the next 6-9 months the three things which we spoke about, one is the ST Lap which is INR8 to INR25 lakhs secured loan against property. That piece of business, which is a northward of 16% yi

eld. The second is pre-owned wheels financing. That piece of business is also a ticket size of INR8 lakhs to INR15 lakhs, again, 16% northwards.
And the third one, which we are incubating right now is genset financing because any business in granular retail is 16% yield and above. I would like to build that book now for the next 6 to 9 months. Because if you have that critical mass, then you will be able to attract the right kind of capital. So capital raise is something, which we will look at somewhere around January.
Preparation is pretty much there and pretty much in touch with most of the private equity guys, but it's a Kirloskar brand. We have to chose responsibly with whom we need to partner, but nothing before Jan.
And as we speak, our Tier 1 capital is 20%. And the growth aspiration, this is not the time to push heavy growth. This is the time to ensure that we build the distribution, the collection infrastructure, the risk management policies and the technology for the next 6 to 9 months. Once that mass reaches INR1,000 crores, I'm expecting it to reach about INR1,000 crores in the next 6 to 9 months. I think that will be a very good time to look at capital actually.

Gauri Kirloskar: So Jeetu, I think just taking off from what Samr at said, and you missed the presentation, but we
spoke about what we wanted to do in the first phase of Arka. And now we're at -- which is the
last 5, 6 years, and now we're at a phase where we're pivoting to build this retail book, which
obviously demands and is a very different sort of animal. And then we will start to speak to possible partners. So over the long term, of course, the intent is that the business should stand
on its own. But we will follow the path that Samrat has just articulated.
Analyst: Okay. Yeah. My question is, firstly, on the technology side, you highlighted that we have
developed this 2 engine technology on the Optiprime series, 1,000 kVA and above. Do we also offer a single engine technology that our competitors provide, and how difficult or easy it is to
transition towards that technology?
And my second question was more on the initial remarks that you we're giving upon the channel
distribution side that we are doing some channe l restructuring for the B2B business. So what
exactly, if you can throw some light on what is th e exact general distribution remodeling that we
are doing out there?
And third question was on the B2C side, where historically, our margins have been slightly
volatile. This particular quarter, we have been able to clock double-digit kind of margins. So what are the sustainable margins on the B2C side of the business? And how do we see that
particular business going? So these are the 3 questions from my side. Thank you.
Gauri Kirloskar: Yes. Thank you. So on the first question, we have a single engine solution up to 1,500 kVA. So
we go up to 1,500 kVA on the single engine. And then beyond that, we offer Optiprime. And
actually even below 1,500, we do offer Optiprime as well just because of the advantages that it has over a single-engine solution.
So that was the first question. Your second ques tion was around, the channel restructuring. So I
think what was very important when you look at our strategy, whether it was on the high
horsepower side or in terms of the emission no rms change that happened. And what I mean by
that is that our entire portfolio moved from mechanical to electronic engines.
With that happening, what we required from either our sales channel or our service channel for
certain investments. For example, on the sales side, our GOEM partners would have had to be
willing to make investments to assemble high horsepower gensets. On the service side, there
were investments required in terms of making sure we had enough service engineers,
investments in certain tools to be able to fix the electronic engines.
And

so that was the channel, let's say, rationalization that had to happen. And if you're making
investments, you also have to be here for a cer tain size. So are there service dealerships, for
example, that would be more viable from a profitability perspective if they were consolidated? Are some of the conversations we had as well? This work has largely been done in the last 3
years. It's not something that's really continuing beyond that.
But the majority of it ha s been done in the last 3 years. And on the distribution and aftermarket
side, actually, it's been a very significant restructur ing. But in spite of that, we've seen the growth

as well, which basically means our hypothesis of having a certain size dealership has played out
for us.
Sachin Kejriwal: Yes. Coming to your B2C side of questions. So you must have seen a very solid rebound from
B2C performance. And this has happened predominantly because you are aware that we were
consolidating our 5 small plants in Ahmedabad to a Sanand location and creating a mega site. So that work has been completed by end of quarter 3 and now plant stabilize, and we are seeing
full production from that plant. So that helps us the availability of the product, which improved
our sales.
And secondly, on the cost side, also we are working continuously on the B2C side. So both the
variable cost and the fixed cost. So half of the work has been done, and the remaining will be
completed in the next couple of quarters. So in terms of profitability growth and the EBITDA
growth for the B2C business, we aspire to grow both in double-digit in coming years.
Analyst: Last one question on the market share side on the Powergen. I think so during the last quarter,
you had highlighted some sort of a market share loss. What is the status now at this point of time? Have we been able to recoup the market share? Or where does our market share stand if
you can briefly highlight?
Gauri Kirloskar: So market share during the submission norms change, we expect that it will move up and down
and stabilize somewhere. I think the intent that we have as a leadership team is are we able to

defend our LMHP market share? And are we able to see steady progress on the high horsepower side. There are node-by-node dynamics that play out depending on demand for that node, depending on whether your engine platform is at an advantage of that node or not. I would say let's just wait a couple more quarte rs to see where it stabilizes. We're just at the beginning of that stabilization happening. And th en I would like to comment on market share. I think what I can say is that on the high horsepower side, we are seeing those steady increases, and that's really what will be significant for us because that's where the value is.

Analyst: So just going back to the 2B2 strategy. Is it th e existing product platforms and it's about market share gains both domestic and in ternational to really reach th eir -- its new platforms, new products. And there was a mention of inorganic as well in that slide. So it's new energy storage. Just thoughts of ther e. How does that kind of fit into the 2B?

Gauri Kirloskar: Sure. So overall, I think our vision over the next 5 years is to really be a global technology leader when it comes to power solutions. And what that obviously means is now we're not saying that, that specifically has to be power coming from engines, right? And as a company, in our 2X-3Y strategy as well, we had articulated our 4 technology tracks, which we wanted to make progress on to be able to say that if we are in a conversation with a customer who, for example, is very sensitive to ESG requirements or is in a remote area where say fuel is not available. Do we have the portfolio of products and technologies and solutions where we are able to customize and design a solution for them? So I think what's really important

for us in the next 5 years is to see whether those technologies are something that we invest in to develop in-house, whether we partner with someone or whether we buy, right? So build borrower buy would be

the analysis that we do when we're looking at how we need to make progress along those technology tracks, but it's really critical that we make that progress. If you look at the first track, which was on internal combustion engines, we really, in the last 3 years, have made significant progress in terms of being fuel agnostic and having engines that can really run on diesel. We have the largest gas portfolio in the market in terms of Gensets. We've done demonstrations for ethanol and methanol. We've done hydrogen blends, but these things have to also become -- these fuels have to become available. They also have to be economically viable for the customer. But we are able to provide that. When it comes to the rest of the technolo gy tracks, whether it's batteries or Microgrids, there is significant progress we have made, but there are also areas where maybe the technology is a little further out, we have to keep an eye on it and we're continuing to do that. So that's really, let's say, where we would fo cus maybe some of the acquisitions if we have opportunities in those spaces. The second area is maybe if it gave us access to a certain geography, if there's a company which is really well entrenched in the market where we're not present that would be something maybe that could be potentially interesting for us. So there is definitely an inorganic element, which was not there in the last 3 years. In terms of our product portfolio and investing in new products, I'd say it's more on the technology tracks that is not engines. Because on the engine side, we really have actually arguably the widest range in the world, going from very small at 3 kVA to very large engines. And there's really no one who has that whole range. I hope I answered your question.

Analyst: And just last one. If you were to just take a wild guess, internal combustion would still be 95%, 99% in 2030? Or you see a tran sition which could be 5%, 10% po rtfolio, just a wild guess?

Gauri Kirloskar: So I'd say maybe it will be 80%. Yes. Like I think we are building our Microgrid solutions. We are offering that. And I think we should aggressively pursue some of those conversations as well. So I think we will be able to provide some alternate solutions as well.

Analyst: You've been through part 2 partner transitions, one in the Middle East, one in South India, about 6 months ago or have those played out, are they scaling back to expectations? And is that looking good?

Gauri Kirloskar: Yes. So there's been no problem on the domestic transition. I think that has gone largely when -- on the Middle East side as well, we have seen some -- there's a transition happening for sure. But the -- essentially, what we've done is we ha d existing distributors in Middle East and North Africa that used to work directly with us, and now they're working through that partner. So of course, when there's a change in people, there is a bit of bumpiness or uncertainty. And I think a lot of those questions has even come while we've changed teams, right? And whether it's been at Kirloskar Oil Engines or at Arka. But I think what I would say is uncertainty or that rockiness is not always bad.

And we are very clear that, that is the right move to make. We have to have a Genset OEM in the Middle East because that enables us to be clos e to the market. And if we require the flexibility to, say, assemble Gensets in various regions over there, we have that partner for us, and they are familiar with the industry as well.
Management: There are a couple of questions from webcast audience. Most of the que

stions are answered.
There was a question on Arka Listing, Arka AUM. We have answered that. Just 2 more questions, and I will stop after that.
One question for you, Gauri, is what were the key misses you think for the 2X-3Y journey? And how are we planning to overcome those in the next phase of growth?
Gauri Kirloskar: Yes, that's a great question. I'd say, if you look at the way that we articulated our strategy, there was -- the biggest miss, I guess, was on internatio nal because we had said that it will be 30% of our revenues. And I'd say that the learning that I've had over the last 3 years on international, is that you could potentially see shor t-term opportunities, but it's really, really important that you invest time to find the right partners to build out a business that can last the next 100 years.
And I think what I took for granted was the ki nd of brand equity that we enjoy in domestic markets, people just don't know us abroad, right? So there's far more time required. There's far more patience required. We will have to make investments and investments before we see that return on international. So that's really been my biggest learning.
I think having said that though, our international business has almost doubled in the last 3 years in spite of a lot of the structural changes that we had to make, whether it was appointing partners or looking at how our teams are structured, abroad. So there's still a lot of work that we have to do, but I think that would be my biggest learning.
Management: Yes. So one more question. Which segments are driving demands in PG segment, both domestically and inte rnationally? Also in intern ational, do you see any signals that, in particular regions, you are seeing a high growth?
Gauri Kirloskar: Okay. So on the domestic front, the demand is really coming from infrastructure, when I mean that, it means big real estate projects, whether it's commercial buildings or large residential projects and of course, the data center segment that would be what's driving most demand. Even in the international segment, data center demand is huge. So that is really what is driving it in general.
Now to answer that question is difficult because in every region, there are different dynamics.
But I'd say, in general, that's where the demand is coming from.
Management: Okay. There are questions on subsidiary financials. Please note, we will be publishing these soon along with our annual accounts. So I think in the interest of time on that note...
Analyst: One question. Just on the capital allocation, like earlier, we had announced that we're probably looking to set up a new engine manufacturing probably with the capex of INR700 crores. So like in our next 5-year journey, you would probably -- if you can give a perspective like to reach $2

billion, what kind of capital allocation we'll be doing on manufacturing side and other areas?
That was my first question.
Second question was on like your slide mentioned 2 things. One was execution of manufacturing strategy. So what are you probably trying to convey? And second, in FY '26, probably FY '27, you were seeing complete execution of technology road map. So what are the milestones you're probably looking at in what areas? So these are the two parts.
Sachin Kejriwal: So I will take your first question. So on the ca pital allocation, as a company, we are committed for the new product development and capacity enhancement. So in FY '25, we have invested around INR520 crores. So out of this INR380 crores was invested in KOEL and INR140 crores got invested in our B2C business, which is LGM.
As I mentioned that we have done the plant consolidation work there, wherein the 5 plants in Ahmedabad location got converted into 1 mega site consolidation. So we invested around INR140 crores there and created a capacity.
Yes, I will go to the future. S

o I'll just and on, we invested INR380 crores. So out of that INR90 crores went towards the product development, INR90 crores went towards the capacity enhancement on the sustainable side and INR20 crores went on the IT digitization.
And as you're aware that in the -- last quarter, we announced that we are going to invest another INR700 crores for capacity enhancement in our ex isting plant at Kagal that will go towards the product development and capacity enhancement. And apart from this, another INR80 crores to INR90 crores will go towards that Navy project, which we won very recently.
And another INR200 crores will be allocating towards the acquisiti on in line with our technology

track and to the $2 billion growth strategy. So in a Nutshell, we are planning to invest around INR1,000 crores in the next couple of years in this business.
Gauri Kirloskar: So when we mean execute the technology road map, it's the technology tracks that we were talking about that we really -- when I answered Sandeep's question, I think that was what I was referring to. And I think the first one was make sure that we execute on the manufacturing capacity enhancement. Hope that clarifies. Yes.
Management: Okay. So we take that as a last question. Thank you all for joining us. Please join us for a brunch after the meet.

Call: Aug 2025

(no extractable text — likely a scanned image PDF)

Call: Nov 2025

Date: 18th November 2025

BSE Scrip Code: 533293 NSE Scrip Code: KIRLOSENG

To
Corporate Relationship Department
BSE Limited
1st Floor, Rotunda Building,
Dalal Street, Fort,
Mumbai – 400 001
To
Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, C - 1, Block G,
Bandra -Kurla Complex, Bandra (E),
Mumbai – 400 051

Dear Sir/Madam,
This is to inform you that:
Pursuant to Regulations 30 of the SEBI (Lis ting Obligations and Disclosure Requirements) Regulations, 2015 including amendments thereunder and in continuation of earlier communication vide letter dated 6
th November 2025, 11th November 2025 and
12th November 2025, we hereby inform that the Transcript of the Conference Call for Investors and Analysts held on Wednesday, 12th November 2025, at 4.00 p.m. (IST) to discuss the Unaudited Financial Results of the Company for the quarter and half year ended 30th September 2025, has be en uploaded on the website of the Company, viz. www.kirloskaroilengines.com.
The same is also enclosed herewith.

You are requested to take the same on your record.
Thanking you, Yours faithfully,
For Kirloskar Oil Engines Limited

Farah Irani
Company Secretary and Compliance Officer
Encl.: As above.

"Kirloskar Oil Engines Limited, Q2 FY-26 Earnings Conference Call"

November 12, 2025

MANAGEMENT : M S. GAURI KIRLOSKAR – MANAGING DIRECTOR
MR. RAHUL SAHAI – CHIEF EXECUTIVE OFFICER
MR. SACHIN KEJRIWAL – CHIEF FINANCIAL OFFICER
MRS. KIRAN KHAPRE – CHIEF HUMAN RESOURCES OFFICER
MS. FARAH IRANI – COMPANY SECRETARY
MS. RIDHI GANGAR – CHIEF FINANCIAL OFFICER , ARKA FINCAP LIMITED
MODERATOR : M R. AMIT SHAH – ANTIQUE STOCK BROKING LIMITED

Moderator: Ladies and gentlemen, good da y, and welcome to the Kirlos kar Oil Engines Limited Post Earnings Conference Call.
As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the pres entation concludes. Should you need assistance during this conference call, please signal an opera tor by pressing '*' then '0' on your touchtone phone.
I now hand the conference over to Mr. Amit Sh ah from Antique Stockbroking. Thank you, and over to you, sir.
Amit Shah: Thank you, Kruna. Good evening, everyone. On behalf of Antique Stock Broking Limited, I welcome you all to post earnings cal l of Kirloskar Oil Engines Lim ited. To discuss the results, we have the senior management team of the company represented by Ms. Gauri Kirloskar – Managing Director of the company; Mr. Rahul Sahai – CEO of the company; and Mr. Sachin Kejriwal – Chief Financial Officer of the company.
I will hand over the call to Ms. Gauri Kirloskar for the opening remarks, post which we can open the floor for Q&A. Over to you, ma'am.
Gauri Kirloskar: Yes. Thank you very much, Amit, for that introduction. Good evening, everyone, and thank you for joining us today. Before we start the call, I will just reintroduce my team because there are a couple of more people here. So, Rahul Sahai, CE O at KOEL; Sachin, who is the CFO at KOEL; Kiran, who is the CHRO; Farah Irani, who is th e Company Secretary; and from Arka, we have Ridhi Gangar, who is the CFO.
As is customary, I will begin with business and operational updates. Sachin will then provide a brief overview of the financial performance, following which we will open the floor for Q&A.
Business and operational updates:
Q2 has been a strong quarter for KOEL with net sales crossing the INR 1,500 crore mark for the first time. I would like to congratulate the entire KOEL team on achieving this new milestone. This also takes our H1 net sales to INR 3,027 crores, marking another significant achievement as we crossed the INR 3,000 crore milestone for th e first half. Overall, the year-on-year growth numbers are encouraging, though they come on th e back of a relatively muted Q2 performance last year.
Nonetheless, we have also delivered double-digi t growth on a quarter-on-quarter basis, which makes this performance particularly satisfying. On October 10, we announced the restructuring of our B2C business. The Board approved the transfer of B2C business within KOEL stand-alone by way of slump sale as a growing conc ern to its wholly owned subsidiary, LGM. So, from Q3 onwards, you will see this chan ge taking place in the reporting.

The key objective is to maintain dedicated focu s on each segment and drive greater efficiency through structures best suited to their respective customer needs. As we align these businesses, we are adopting new nom enclatures following the restruct uring. The B2C business is now referred to as Fluid Dynamics. Accordingly, if I use this term in my speech, please interpret it as the B2C business.
Also, our international business comprises a mix of B2B and B2C exports. Therefore, in certain parts of my speech, the numbers may appear regr ouped under this classificat ion. Please feel free to reach out to our team if you require any clarification on these bifurcations.
Now coming to business performance:
Looking at the stand-alone sale s breakup. The B2B business witnessed 35% growth year-on-year with all subsegments recording a double-d igit growth. The B2C segment grew 28% year-on-year with WMS sales recording 22% growth year-on-year and International B2C business witnessing a 77% growth year-on-year.
In terms mix across both B2B and B2C segmen ts, domestic sales stood at INR 1,406 crores, registering a growth of 35% year-on-year.

E xport sales stood at INR 187 crores, reflecting a
similar 35% growth year-on-year. EBITDA for th e quarter stood at INR 214 crores, reflecting a margin of 13.4% versus 12.4% last year. Number s for the previous period excluding reversal of provision for overdue receivables made for a cust omer toward sales made in earlier years. EBITDA margin for Q2 of FY '25 at a stand- alone level, including reversal for overdue receivable provisions was 13.9%. In the curr ent period, there is no such reversal.
Let me now take you through what drove this performance:
The Power Generation business unit anchored the company's performance, delivering a strong 41% year-on-year growth in sales and achieving its highest ever quarterly revenue of INR 678 crores.

This robust performance further strengthens KOEL's market leadership. We are seeing encouraging momentum in the Optiprime initia tive and the business secured several notable commercial wins, including multiple 1,500 kV A orders, 2,000 kVA and 2,500 kVA orders, underscoring the depth of customer confidence in our offering.
Looking ahead, we remain focused on the planned rollout of our products in Q3 FY '26, which we expect will further enhance our competit ive position across the domestic power generation business.
Moving to the Industrial business:

The Industrial business unit also delivered a strong performance with 40% year-on-year sales growth. This was driven by healthy traction in both defense and railways, where demand remains robust.
Defense business:
Our Defense business continued its positive trajectory, supported by emergency procurement orders and steady progress on key strategic programs. Notably, we completed and submitted the detailed design for the Indian Navy's prestig ious Make 1 initiative. We have new product launches in the Railway segment for the 400- horsepower engine for a rail maintenance application for utility track vehicles.
Now coming to Distribution and Aftermarket:
Distribution and Aftermarket busi ness unit reported a 13% year-on-year growth, reflecting the benefits of our ongoing or ganizational st rengthening.
During the quarter, we implemented a revised field structure with an increased focus on key account management and advanced service offeri ng. Our extensive service network continues to be a key differentiator with service reques ts reaching an all-time high of approximately 92,000, demonstrating both the scale of our installe d base as well as our commitment to customer support across the life cycle.
Moving on to Fluid Dynamics:
The Fluid Dynamics business delivered a 28% ye ar-on-year growth, supported by its highest ever monthly billing in September, following the appointment of new leadership and a structural realignment of the business. However, on a sequential basis, the segment experienced a decline versus the immediatel y preceding quarter.
This quarter-on-quarter degrowth was primaril y due to lower sales vol umes, which impacted fixed cost absorption. Addressing these factor s remains a priority as we work towards strengthening our performance in coming quarters.
Lastly, our International Business:
International business c ontinues to demonstrate strong divers ification and strategic progress. Overall, the International B2B sales grew by 39% year-on-year, while B2C sales registered an impressive 77% year-on-year increase.
Exports for the first half of the year exceeded INR 320 crores, reflecting broad-based strength across markets. The Middle East and North Africa region remained our largest international contributor, accounting for approximately 60% of th e international sales mi x and it continues to

progress well. Since we are talkin g about our business segments, I will also give a quick update on our NBFC business, Arka.
At Arka in the beginning

of the year, we had ou tlined a strategy to build out a granular retail
book to complement the stable ROA-accretive wholesale book that we have built out previously.
This plan needs a very strong on-ground team and a widespread network of branches to increase our reach across 7 states that we have selected in the country.
In Q1, we built the risk management framework s and credit assessment guardrails for granular secured retail lending for wheels financing as well as LAP financing. We also prepared the tech stack for the loan origination to happen in a full y digital environment, which promotes superior credit decisions in a timely manner.
In Q2, we started pivoting our business model from wholesale to retail as the business started in July. A new leadership team is now fully in place to manage governance, operations and distribution. My recent visit to Rajasthan bran ch openings gave me firsthand experience to witness the retail distribution model, which is fundamentally different from the previous approach.
In the last 4 months ending October, the gran ular retail AUM has now touched INR 140 crores with monthly disbursements of INR 60 crores. We have opened 85 branches in the last 6 months.

And as we speak, there are 1,400 employees who are working at Arka, which is an increase of 900 employees in the last 6 months.

Our incremental cost of borrowing has also come down to 8.3% in Q2 from a 9.76% exit in fiscal year '25. Arka Q2 audited financials are reflectiv e of the investments made in new granular retail financing journey that has started without comp romising on the focus of the existing wholesale and SME book performance.

With the business updates done, let us look at th e overall consolidated performance. Net sales from continuing operations for the quarter were at INR 1,933 crores, registering a 30% year-on-year growth. Net profit from continuing operatio ns for the quarter was at INR 159 crores, which is a 51% increase year-on-year.

Please note that numbers for the previous period , excluding exceptional items and reversive of provision for overdue receivables. Net profit for th e Q2 FY '25, excluding exceptional items and excluding reversal for overdue receivable provisions was INR 125 crores.

In the current period, there are no such exceptional items and reversals. Last quarter, I spoke about our focus on new product introductions and our plans to enter emerging areas, particularly in non-internal combustion engine technologies, to accelerate our progress. I would like to assure you that we are taking measured a nd deliberate steps on this journey.

The recent restructuring of our B2C business is one such step, and we expect to share further developments in the coming quarters. Our objective is to keep the business aligned with evolving market landscape by leveraging our strong tech nology and talent base. These initiatives are expected to position the company for steady a nd sustainable growth over the long term.

With that, I will now hand over to Sachin, who will walk you through the financial performance in detail. Thank you.

Sachin Kejriwal: Good evening, everyone, and thanks, Gauri, for the update.

I will give a quick update of the financial perfor mance for stand-alone and consolidated business. The results and the presentation for today's call has already been uploaded on Exchange and our website.

As mentioned by Gauri earlier, KOEL delivered a strong performance in the 2nd Quarter of FY '26, reflecting steady progress in the company's operational and financial journey. We crossed INR 1,500 crores mark first time ever, registeri ng a 35% net sales growth year-on-year and 11% quarter-on-quarter. Net profit for the quarter wa s at INR 141 crores, registering a 44% growth year-on-year and 15% quarter-on-quarter.

Coming to a quick overview of financial performance:

I will start with stand-alon

e performance first for the quarter. Net sales at INR 1,593 crores for Q2 FY '26 versus INR 1,184 crores for Q2 FY '25, that is 35% increase year-on-year. EBITDA at INR 214 crores for Q2 FY '26 versus INR 148 crores for Q2 FY '25, 45% increase year-on-year. EBITDA margin is at 13.4% for Q2 FY '26 versus 12.4% for Q2 FY '25.

Net profit at INR 141 crores for Q2 FY '26 vers us INR 98 crores for Q2 FY '25, 44% increase year-on-year. Cash and cash equivalents of INR 475 crores. Please note that cash position is net of debt and includes treasury investments. Number s for the previous period, that is Q2 FY '25 are excluding reversal of provision for overdue receivables made for a customer towards sales made in earlier years. In the current period, th at is Q2 FY '26, there is no such reversal. EBITDA margin at stand-alone leve l for Q2 FY '25, including re versal for overdue receivable provision was 13.9%. With payable at 71 days and receivables around 40 days, we are maintaining healthy working capital levels. Inventor y is slightly higher at 62 days to cater the business growth.

Here is a further breakdown of stand-alone sales for the quarter . The B2B sales were at INR 1,449 crores, that is 35% growth year-on-year. We registered a double-digit growth across all the business units. So, within B2B, Power Gen was at INR 678 crores, which was 41% increase year-on-year.

Industrial at INR 373 crores, that is 40% increase year-on-year. Distribution and Aftermarket was at INR 227 crores, 13% increase year-on-year and International busin ess of B2B was at INR 171 crores, that is 39% increase year-on-year.

The B2C sales were at INR 144 crores, regist ering a 28% increase year-on-year. And within B2C, WMS was at INR120 crores that is 22% gr owth year-on-year, International business of B2C was INR 24 crores, that is 77% increase year-on-year.

Please note, on October 10, we announced transf er of our B2C business into LGM via slump

sale as a growing concern. So, from next quarter onwards, you will see that accounting changes reflecting our books.
Now looking at the consolidated performance for the quarter:
Revenue from continuing operation at INR 1,948 cr ores for Q2 FY '26 versus INR 1,499 crores for Q2 FY '25, which is 30% increase year-on-y ear. Net profit for continuing operation at INR 159 crores for Q2 FY '26 versus INR 106 crores for Q2 FY '25, which is 51% increase year-on-year. Numbers for the previous period, that is Q2 FY '25 are excluding exceptional items and reversal of provision for overdue receivables made for a customer toward sales made in earlier years.
In the current period, that is Q2 FY '26, ther e are no such exceptional items and reversals. Net profit for Q2 FY '25, excluding exceptional items and including reversals for overdue receivables provision was INR 125 crores.
Let us have a look at consolidated segment performance for the quarter now:
B2B segment revenue for the quarter was at IN R 1,457 crores, which is 34% growth year-on-year. The segment PBIT was at INR 163 crores, reflecting approx 27% increase year-on-year. PBIT for the previous period that is Q2 FY '25, excluding reversal for overdue receivables provision was INR 111 crores, which is 47% growth year-on-year. And in the current period, there is no such reversal.
B2C segment revenue for the quarter was at INR 258 crores, which is 23% growth year-on-year. The segment PBIT was INR 18 crores against PB IT loss of around INR 1 crores for the same quarter last year.
Financial Service segment revenu e for the quarter is at INR 233 crores, reflecting 17% year-on-year growth. The segment PBIT before exceptional item was at INR 34 crores, that is 9% increase year-on-year.

Please note, numbers discussed here repr esent continuing operation only and after reclassification of our

FMS business into B2B from B2C business. The PBIT and PBT numbers are before exceptional items.
In closing, I would say it's been a strong quarter for us and steady progress during the year with strong H1 performance, backed by healthy mark et demand and encouraging results across our key product segments. Our new product launches ar e being well received, and we are steadily moving ahead on strategic priorities outlined in our 2B2B vision.
We remain optimistic about the coming quarters. And as Gauri mentioned, you will be hearing more from us on strategic initiatives outlined in our 5-year plan.
With that, I will open the floor for Q&A session. Thank you.
Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question is from the line of Jason from IDBI Capital. Please go ahead.
Jason Soans: Team, thank you so much for taking my questions . And first of all, c ongratulations on a very strong set of numbers. So, ma'am, first, my qu estion actually pertains to just wanted to understand in the Power Gen segment, which sect ors is growth emanating from? Is it more broad-based? Or do you see some strength in ce rtain business verticals? Or does the growth continue to stay broad based?
Gauri Kirloskar: Thank you. So, to answer your question, the grow th continues to stay broad-based, and we are seeing demand across all of our cust omer segments in Power Gen.
Jason Soans: Sure. And ma'am just from an on-ground business pe rspective, this up cycle has lasted for some time now. Just from an on-ground business persp ective, I just wanted your sense on how sustainable do you see this up cycle continuing for.
Gauri Kirloskar: So, what we are seeing so far is that at least in the domestic market, the demand is sustaining. And internationally, I would say that we have very negligible market share. So, a lot of what is going on macroeconomically outside has not really affected us as a company. So, we are cautiously optimistic, because obviously, there ha s to be caution given the current environment we are in, but we do see this demand sustaining for some time.
Jason Soans: And ma'am my next question just pertains to Optiprime. Now you did mention that you have bagged several high horsepower orders like 1,500 kV, 2,000 kV as well. Now just wanted to understand which sectors is the growth coming fro m? How do you see the traction from the data centers, whatever you can share from the high horsepower perspective and the Optiprime series. Just wanted to know something.

Gauri Kirloskar: Yes. So, it's a great question, I think. As we have talked on previ ous calls as well, high horsepower is not just about having the product, but also how we sell it. It's a technical sale. So,

I think having these wins demonstrates that we ar e able to prove to the customer that product is worthy, and can also compete in that space. So, it's pretty big win for us.
And if we look at where we get it from, where we are getting these orders from, it's across mostly, I would say, infrastructure and what I mean by infrastructure is large real estate projects, whether it's commercial or residential real estate project.
Jason Soans: Okay. Sure ma'am. So, I have further questions, but I will come back in the queue. Thank you so much for answering my questions.
Gauri Kirloskar: Thank you.
Moderator: Thank you. The next question is from the line of Mohit from ICICI Securities. Please go ahead.
Mohit: Good evening, and thanks for the opportunity. My first question is what was the HHP sales in H1 and Q2? Is it possible to quantify or give the contribution in the quarter?
Gauri Kirloskar: We are not giving that breakup, sorry.
Mohit: Broad number ma'am? So, last year, full year, I think we did INR 1 billion, right, INR 100 crores, right? Is it fair to assume that we have done better than the full year number of

last year in H1?
Gauri Kirloskar: Sir, I won't be able to give you a number. What we do track is how we are incrementally moving up in terms of market share node by node. And what I can tell you is that we are incrementally moving up node by node in th e high horsepower segment.
Mohit: Understood. My second question on the Industrial. I think Industrial, the construction has been down, the mining is down. I think in this quarter, we have sold most of the Defense and Railways, right? How do we see this business from the H2 perspective or let's say medium term? I thought this business will be weak in Q2. I am just tr ying to figure out the sustenance of the growth.
Gauri Kirloskar: Yes, I got your question. So, I would say we remain optimistic on the Industrial segment. So, we see this momentum continuing.
Mohit: It's mostly Defense led or Railways led? Or do you think it will get more broad-based as you progress in the future?
Gauri Kirloskar: More broad-based. So, not only Defense and Ra ilways, but from Construction and Mining as well.
Mohit: Understood. Lastly, on the export, could you ju st talk about the North America market, how it is taking off and how is sustenance of the growth?

Gauri Kirloskar: So, the North America market is not taking off for us. That is what I woul d say, and the reason I say it that way is because the North American market is a market which we have just invested in and just entered. Although it's the largest genset market in the world, it will take some time, and we do see the returns on that only coming over the medium to long term.
The reason I say this is because it's not only abou t getting the right partner in that market, but it's also about building distribution, building out our entire product portfolio. So, although we have products, the products have to be certified. So , all of this takes time. So, the U.S. market for us is a market that is important. It is a market that we will continue to invest in and focus on, but we will not see the uptick in volume and value for some time.
Mohit: Understood. Thank you and all the best, ma'am. Thank you.
Gauri Kirloskar: Thank you.
Moderator: Thank you. The next question is from the line of Teena from Motilal Oswal. Please go ahead.
Teena Virmani: Hi. Thanks for taking my question. And congrats fo r a great set of numbers. My question is more on the Power Gen side. On the Power Gen, the gr owth of 40%, will it be possible to quantify like is it entirely volume-driven increase or ther e is some kind of pricing impact or maybe some kind of, let's say, a higher share of HHP. Like you mentioned that HHP is gaining traction, but 40% growth, I mean, how is it broken down between demand pricing and HHP, a broad indication?
Gauri Kirloskar: Thanks Teena for your question. So, the growth is broken down between volume as well as HHP. No pricing difference.
Teena Virmani: Okay. So, HHP, the way you have been taking initiatives, so now has it started reflecting in the numbers for the company?
Gauri Kirloskar: Yes, I would say that.
Teena Virmani: Okay. And on the Industrial business side, you mentioned that you had done certain emergency procurement orders also and Railway orders also . So, is that emergency procurement order over in 2nd Quarter? Or will it continue in the coming months and quarters also? Just wanted to understand the trend in the Industrial business, be cause this quarter has been phenomenally well as compared to the industry players.
Gauri Kirloskar: Yes. It can continue, Teena. It's not a one-time thing.
Teena Virmani: It's not a one-time thing. And the NPCL order has started contributing or that will take some time to contribute to the numbers in the Industrial business?

Sachin Kejriwal: Yes. So, Teena we are in the execution of that NPCL orders. S

o, the revenue for those NPCL
orders will start getting recognized from the next financial year.
Teena Virmani: Okay. Understood. I have more questions , but I will come back in the queue.
Gauri Kirloskar: Sure.
Moderator: Thank you. The next question is from the line of Sura j Malu from Catamaran. Please go ahead.
Suraj Malu: Thank you for this. Can you please help understand what was the industry volume growth in this quarter across LHP, MHP, and HHP?
Gauri Kirloskar: I am not able to answer that question. I don't know.
Suraj Malu: Got it. Okay. And how big would be Africa and Middle East opportunity for you?
Gauri Kirloskar: It's sizable. The Africa and Middle East markets are very important to us. As I mentioned in my opening notes, it's also the largest contributor to our International business being 60% in this quarter. And it's not that we ha ve significant market shares in these regions. So, they are very important areas of focus for us.
Suraj Malu: Got it. Okay. Thank you.
Gauri Kirloskar: Thank you.
Moderator: The next question is from the line of Jeetu Panjabi from EM Investco. Please go ahead.
Jeetu Panjabi: Hi Gauri, Rahul and team. Great going. So, 2 poi nted questions. One, your exports, the Middle East and Africa side, can you give us color whether whatever bump we went through a couple of quarters ago, whether that's normalized now, the growth rates you expect over the next 6, 12 months should be more normal? Or you exp ect the heavy growth rates to continue?
And two, on Arka, can you give us little more details on where are we on the goals that we had set out and whether the fundraising plan that was under works, if that is on schedule? And how do we see the next 12 months there?
Gauri Kirloskar: Hi Jeetu, thanks for your question. So, the first question on the Middle East and Africa and whether that has stabilized, and the sort of ups and downs we went through some time ago. The big thing that happened there for us and the r eason you are seeing these kinds of numbers is, because the genset OEM who we talked about earlier that we had appointed there.
We had made a business model change in the Mi ddle East, if you remember, which is that we have gone from directly going to distributors there to actually appointing a genset OEM in the Middle East. What has happened is that genset OEM has stabilized, which is why we are seeing

the traction coming in. And I think now going forward, we will continue to see that traction because they have essentially set up well in that area.
As you can imagine, putting in that change did have its difficulties, whether it was with realigning distributors to a third party or whether it was with finding talent, retaining talent, et cetera. So, that hard work and challenging work is actually complete. So, we are quite optimistic now about the growth that we will see from that region. So, that's on your first question.
On your second question, which was on Arka. Yes, they are going as we have planned. I can't say too much on a call until there is an update to gi ve you. But I would say that what is important is that in defining a new strategy, it's always very important to see the execution of that strategy get traction, right? So, we had talk ed about pivoting to a retail book.
And the reason I gave a little bit more color on eith er the new leadership team that's in place or the traction that we are seeing in terms of th e branch openings, the people who have come on board, and the kind of disbursals that we are maki ng, it's extremely important, especially as we look at fundraising, because we can't just be se lling a story. There has to be some numbers demonstrated behind that. So, I w ould say that I am happy with the progress that we have made in this area. And when there is an update to give you, we will give it.
Jeetu Panjabi: Okay. Super good wishes as alwa

ys. Thank you.
Gauri Kirloskar: Thank you.
Moderator: Thank you. The next question is from the line of Um esh Raut from Nomura. Please go ahead.
Umesh Raut: Yes. Hi team. Good evening, and congrats for very good set of numbe rs. My first question pertains to price hike that industry has taken, especially after CPCB IV + norms, given that now transitioning is fully completed. So, where exactl y those price hikes have now settled in, in the industry?
Gauri Kirloskar: The price hikes have settled down. So, what I was saying is that there was a price hike with CPCB IV+, which was between 25% and 40% depending on the node. And that price stabilization has occurred and the prices have stabilized going forward.

Umesh Raut: Any particular level at which thos e have stabilized or it is broadly in the range of 25% to 40% for different nodes?
Gauri Kirloskar: Yes, it's broadly in the range of 25% to 40% for different nodes.
Umesh Raut: Got it. And considering that key raw material pri ces, especially in the last few months are kind of moving up now, especially related to, say, copp er or iron prices. So, how do you think pricing

action going forward? And do you think given th e steady demand and which is more broad-based now in this cycle, especial ly price hike would be easier to take than the last cycle?
Sachin Kejriwal: So, we will assess the situation. If the prices moves going forward, we wi ll take a calculated decision and think of the price increase.
Umesh Raut: Understood. My second question is pertaining to Industrial segment, where I want to kind of get a breakup in between, say, demand from existing products as a part of industrial product offering and demand which has been there on the accoun t of new product launches? And any color over here in terms of how inherent demand is there, especially in the Railway market, considering that post electrification also, we have se en very good growth from Railway business.
Rahul Sahai: So, it's a combination of both, but I would say largely the demand continues for our core products. We have a whole bunch of new products e ither already launched or in process, and we are seeing traction there. But to answer your que stion, largely from our co re traditional products.
Umesh Raut: Understood. And on the Railway business side, ho w do you see it, especial ly post electrification now that it is continuously doing well for us. So, how do you see outlook in Railways, whether this momentum will continue, say, beyond FY '26 into next couple of years as well?
Rahul Sahai: Yes. So, we remain committed to supporting the Railways with their requirements and whether it is through existing applications that we are in or developing new ones, such as what Gauri mentioned, the 400 HP product that we have rece ntly launched, we will continue to support our customer and endeavor to grow that business.
Umesh Raut: Understood. Thank you so much. I will join back the queue. All the best.
Moderator: Thank you. The next question is from the line of Prolin Nandu from Edelweiss Public Alternative. Please go ahead.
Prolin Nandu: Yes. Hi. Thank you so much for giving me th e opportunity. So, my question, Gauri, is to understand how are things shaping out for us in data center? Because wh en we do some channel checks with, let's say, a solution provider for data centers or people selli ng some other equipment to data centers, KOEL's name does not come across as one of the contenders there. So, could you help us understand where are we in the journe y where we have some significant wins in data center as a category?
Rahul Sahai: So, look, data centers is one of the segments that we look at. And we have had a few wins in data centers. As you will appreciate, the data cen ter market is also very, I would say, closely set and controlled market driven by U.S. specification. So, I understand what you a

re saying. There are times where you might not find our name, but wh at you will also see is plenty of times and more so as we move along, you will start seeing our name.

Prolin Nandu: So, is it start with, let's say, 8 data centers and you move up? How do we get into that specification kind of a thing, right? As you men tioned, it's a U.S.-driven specification. So, does it start with edge data centers before we move, just want to understand our strategy, right? I understand it's a tougher market, but is it just the case of our DG sense it's being used in some data centers, the performance being monitored? Or are there any other strategies that we are adopting, right, to penetrate this market?
Participant: Sure. And I think you have kind of laid out ex actly what we are also thinking. The non-spec customers and there are plenty of them as well, we are targeting them and we are trying to work closely with them. Yes, I was just saying not just Edge data centers.
Prolin Nandu: Okay. Thank you so much.
Moderator: Thank you. The next question is from the line of Abhijeet Singh from Systematix. Please go ahead.
Abhijeet Singh: Thank you for the opportunity, ma'a m. So, ma'am, my question is on the Power Gen business in the Domestic segment. And as we are moving up the AVA chain and trying to gain more and more market share in the higher nodes. And ther e the competition is pretty intense. We have well entrenched players there, big players, big brands. So, what are the key challenges we are facing in trying to gain market share from them? And what is our strategy in order to be able to do that?
Rahul Sahai: Yes. So, what I would say is that even we are a reasonably strong brand and we have been entrenched into the Domestic Power Gen market. And if you look at the numbers that we are

doing, it would give you an idea that once we commit to a particular node and we have the
product, we are able to figure out a way to grow our share of wallet and market presence. Beyond
that, I will not be able to say more in this conversation, but we remain committed to growing
our market share.
Abhijeet Singh: Sure. Thanks for answering. I will get back in queue.
Gauri Kirloskar: Thank you.
Moderator: Thank you. The next question is from the li ne of Anupam Goswami from SUD Life. Please go
ahead.
Anupam Goswami: Hi ma'am. How will you look up the HHP sales growth from here? If you can give some color,
and probably take out our numbers . And what leads to your marg in expectations being stable
and sustainable at this level?
Gauri Kirloskar: Could you repeat the first part of the question about HHP you said something. The second part
was on margins growth being sustai nable. What did you say on HHP?

Anupam Goswami: Ma'am, how do we look at the HHP numbers from here? What sort of growth should we take?
And how are we building our foray in the market?
Rahul Sahai: So, look, we have some very exciting products th at we are currently working with and launching.
So, we remain focused. And I think if you look at our track performance, along with the way our
last quarter has been, our HHP performance is something that we are clearly focusing on. So, I
think beyond that, it's going to be hard to say.
And on margins, I will let Sachin answer.
Sachin Kejriwal: Yes. So, Anupam, if you see our margin improveme nt over the last 3.5 years, we have improved
to by more than 400 basis points. And going forw ard also with the product mix changes we are
aiming for as well as the export growth we are a iming for, we do think there's a headroom for
margin and we can improve thereon.
Anupam Goswami: Okay. I got it, sir. I will join back in the queue. Thank you.
Moderator: Thank you. The next question is from the line of Parikshit from HDFC Securities. Please go
ahead.
Parikshit Kandpal

: Hi team. Congratulations on a gr eat quarter. So, my first question is this growth of Power Gen.
So, this was a transition quarter last year. So, just want to understand how much was the volume
growth in this.
Gauri Kirloskar: Yes, we don't give that out.
Parikshit Kandpal: Because what I understand large part of prebuy happened, and because of that the growth looks
too high. But on an adjusted basis, if I have to ask what could be the core power gen growth in
this quarter Y-o-Y?
Gauri Kirloskar: This is the core power gen growth.
Parikshit Kandpal: Gauri, last year, we had this volume, which was not 100, right, because of the prebuy, it was
tracking below 100. So, there was this recovery to 100 and then the growth on top of it. So…
Gauri Kirloskar: No. So, all I can tell you is that volumes have come back and have normalized. It's difficult for
me to tell you what to adjust that number for you.
Parikshit Kandpal: There is such impact because of that and there has been because of that number.
Gauri Kirloskar: I can't hear you. Sorry, there's a lot of static on your line, so I can't hear you very clearly.
Parikshit Kandpal: (Inaudible)

Gauri Kirloskar: I am sorry. I just can't understand what you are saying. It is very jumbled.
Moderator: Sir, we can't hear you properly. May I request you to rejoin the queue. Thank you. The next
question is from the line of Mehul Joshi from BCG. Please go ahead.
Mehul Joshi: So, wanted to just understand the outlook or pe rformance of the Firefi ghting engines business
Q-o-Q and Y-o-Y. And how is the outl ook looking forward for that business?
Rahul Sahai: Yes. So, for Firefighting, it's not a reported segmen t separately, so we don't give out the numbers
separately, but we are lookin g at product enhancements and growing that portfolio. So,
Firefighting segment is quite exciting for us.
Mehul Joshi: Thanks.
Moderator: Thank you. The next question is from the line of Ja son Soans from IDBI Ca pital. Please go
ahead.
Jason Soans: Yes. Thanks for taking my question again, please . Just wanted to understand, we do hear about
increasing competitive intensity in every segment in terms of the LHP or the MHP or HHP, more
players getting ready with more nodes. So, just wanted to understand from that perspective in
terms of how do you see the pricing intensity go ing in the market just as of now? How do you

see the picture on the ground as of now?
Rahul Sahai: We see pricing fairly stable. So, we don't see dras tic variation in pricing. So, if anything, we see things as having stabilized.
Jason Soans: Okay. And in light of the same, do you think the demand is enough to take care of the near to midterm.
Rahul Sahai: The demand seems fairly reasonable at this point in time, and we remain optimistic.
Jason Soans: Okay. Sure. Thanks a lot.
Moderator: Thank you. The next question is from the line of Parikshit from HDFC Securities.
Thank you. The next question is from the li ne of Anupam Goswami from SUD Life. Please go ahead.
Anupam Goswami: Hi. Just one more question. How ready are we with our HHP products in terms of nodes and availability and competitiveness in this?
Rahul Sahai: So, we are already executing seve ral HHP orders. So, availability is not really as much of a problem.

Anupam Goswami: And are we currently present in all the nodes that is there in the market.
Rahul Sahai: Yes, we have a fairly large portfolio now. We are also executing orders of 6 megawatt gensets. So, we have a pretty big portfolio.
Anupam Goswami: So, just one I need to clarify. How do I see the competitive intensity our product prices are a little lower than the competitive peers, how hard to break into that HHP? What's the challenge that is coming?
Rahul Sahai: I think it's a specification driven ma rket. It's more technical mar

ket and requires a particular type of customer support and presales to be created. So, if you ask what is a challenge, a challenge should be creating the right ecosystem to drive th at business. Of course, this is on the basic assumption that the product is ready. So, in our case, we are working on both areas. We have product readiness. We have capabilities that are developed and we are seeing the wins. So, all of that is already happening.
Anupam Goswami: Is it a market through distributors and channel pa rtners or somewhere, if you can give some color?
Rahul Sahai: So, it could involve channel partners, but heav y engagement from our end is needed for front-ending.
Anupam Goswami: Okay. Thank you, sir.
Moderator: Thank you. The next question is from the line of Teena from Motilal Oswal. Please go ahead.
Teena Virmani: Yes. Thanks for taking follow on questions fro m my side. One thing I wanted to check on the market share of KOEL, which got impacted last y ear in the second half of FY '25. So, has KOEL regained the market share which got impacted? Because when we compare the revenue numbers, KOEL has grown by 40% in 2nd Quarter, and Cummins similar portfolio has grown by 20% in the 2nd Quarter.
There could be some base impact also for both the companies. But even adjusted with that, it seems that KOEL has grown much better. So, that basically indicates that market share would have been gained by KOEL. So, what would be your comments on the same? And if you have gained, whether it is sustainable given the competition that is standing out?
Rahul Sahai: Hi Teena. So, I think you know our business pretty well, and we are completely aligned with the comment you made on the market share, that wo uld be our assessment t oo. And we will watch the competition intensity. So, we are keeping a clos e eye on it, and we will take the actions that we need to.

Teena Virmani: Okay. And last year, same quarter, third quarter, when we compare the performance, the demand was impacted across the industry. And to an extent, KOEL's numbers were also impacted. So, what is the general traction that you are witnessi ng so far in 3Q in the month of October and so far in the month of November versus what you w ould have seen, let's say, in the last October and till mid-November?
Rahul Sahai: Yes, Teena. So, you know that the focus we will have for this conversation will be Q2. I can't really give out anything on Q3 at this point.
Teena Virmani: No. Just a general sense on the market demand, I mean nothing specific to company. Overall demand scenario, nothing specific to company?
Rahul Sahai: I think it will be hard for me to comment right now. But yes, maybe once the quarter is closed.
Teena Virmani: Sure. Thank you.
Moderator: Thank you. The next question is from the line of Mohit Pandey from Citigroup. Please go ahead.
Mohit Pandey : Yes. Thank you for the opportunity and congratula tions on a great set of numbers. First question

is on the Railway offering. If you could please give some more color on what has been driving growth here for KOEL.
Rahul Sahai: So, I think it's a lot of effort that we have pu t in as far as our sales and order book generation is concerned, along with execution. So, heavy execution ended up happening in this quarter, which has helped from a sales standpoint.
Mohit Pandey : Okay. So, any specific offerings you would like to call out, which has stood out for you for Railway.
Rahul Sahai: Yes. So, amongst our existing products, power cars ha ve really stood out. They are the ones that are driving a lot of the growth from an application standpoint.
Mohit Pandey: Understood. And the second question was on th e higher HP nodes, 1,500, 2,000 that mentioned earlier. So, at this point of time, are they more concentrated in particular end markets? I think Real Estate was mentioned one fo r you, in terms of the w

ins? Or yes, how is it playing out?
Rahul Sahai: Yes. So, Real Estate is an important market for us. We are seeing early wins there as well. So, the segments vary, but Real Estate definitely would be an important market.
Mohit Pandey: Okay. And last question would be on the current power gen up cycle in your view, what would be the biggest risk to this ongoing up cycle demand?
Rahul Sahai: So, can you ask me the same question in another way? I don't quite understand it.

Mohit Pandey: Okay. What could precipitate a sl owdown? So, we have been seeing an up cycle for quite some time now in power gen demand. What could lead to a slowdown in your view, the biggest risk?
Rahul Sahai: So, I think the biggest risk probably will be geopolitical at this point, given the volatility that we see. But as long as there is enough consumptio n in the economy, we feel fairly optimistic from a domestic standpoint.
Mohit Pandey: Okay. Thank you so much, and wish you all the best. Thank you.
Moderator: Thank you. The next question is from the line of Sourabh Arya from Oaklane Capital. Please go ahead.
Sourabh Arya: Hi, everyone. Congrats on a good set of numbers. Just a c ouple of questions. First is this B2C, so we have done this restruct uring and obviously name that ha s been dynamic. So, something changing with this main focus, etc., of the business or it's just a nomenclature.
Gauri Kirloskar: Yes. So, the reason we have done this restructuring is for efficiencies in the business, because it was essentially very similar businesses. So, we just wanted to consolidate them together, so that we can drive the business more effectively.
Sourabh Arya: So, efficiencies would move, then margin improve ment there or the TAM, etc., of the business also, that won't change, right?
Rahul Sahai: So, efficiency, see the idea is to improve our perf ormance, both in terms of business growth as well as our margin.
Sourabh Arya: Okay. Got it. Thanks. And second is, obviously, we all are trying to understand what has happened in this quarter? Is it sustainable or not? And related question is the last 3 years, maybe we are doing this product improvement, launching new products, et cetera. So, can you divide that, let's say, standing today versus 3 years back, how our new products have contributed till now, and what should one think about th e new product contribution going ahead.
Rahul Sahai: It's going to be very hard to answer that questi on over this call, but maybe I can answer it another way. Three years ago, our presence beyond 500 kV odd was limited. Today, we have a very large product portfolio and we are making reasonable presence in almost every mode. And you see the results that you are seeing. So, mayb e that would be a good triangulation point.
Sourabh Arya: See, the point we are all trying to understand is it is just getting started, or all these is the result of base effect. That is what obvi ously everybody is trying to get and this is helpful. And lastly, on the distribution side, so obviousl y we have seen momentum in sa les in Industrial, Exports as well as Power Gen. So, wh en does this translate to distribution revenue?

Rahul Sahai: Distribution business, so if you look at last few years, see each business operates a little differently. The Distribution and the Aftermarket business has been a stable double-digit growth performer, and we continue to have that e xpectation of consistency from our Aftermarket business. So, I think from a double-digit growth performance, we have done fairly well. And I honestly don't see it as a challenge.
Sourabh Arya: Okay. Fine. Thank you. All the best.
Rahul Sahai: Thank you.
Moderator: Thank you. Due to time constraints, we will take that as the last question for today. I now hand the conference over to the Management for cl

osing comments.
Gauri Kirloskar: Yes. Thank you very much, everyone, for joining th e call today, and thanks for your interest in the company.
Moderator: On behalf of Antique Stock Broking, that conc ludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

Date: 17th February 2026

BSE Scrip Code: 533293 NSE Scrip Code: KIRLOSENG

To
Corporate Relationship Department
BSE Limited
1st Floor, Rotunda Building,
Dalal Street, Fort,
Mumbai – 400 001
To
Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, C - 1, Block G,
Bandra -Kurla Complex, Bandra (E),
Mumbai – 400 051

Dear Sir/Madam,
This is to inform you that:
Pursuant to Regulation 30 of the SEBI (List ing Obligations and Disclosure Requirements) Regulations, 2015 including amendments thereunder and in continuation of earlier communication vide letter dated 9
th February 2026, 11th February 2026 and
12th February 2026, we hereby inform that the Transcript of the Conference Call for Investors and Analysts held on Wednesday, 12th February 2026 , at 3.30 p.m. (IST) to discuss the Unaudited Financial Results of the Company for the quarter and nine months ended 31st December 2025, has be en uploaded on the website of the Company, viz. www.kirloskaroilengines.com.
The same is also enclosed herewith.

You are requested to take the same on your record.
Thanking you, Yours faithfully,
For Kirloskar Oil Engines Limited

Farah Irani
Company Secretary and Compliance Officer
Encl.: As above.

"Kirloskar Oil Engines Limited
Q3 & FY '26 Earnings Conference Call"
February 12, 2026

MANAGEMENT : MS. GAURI KIRLOSKAR – MANAGING DIRECTOR – KIRLOSKAR OIL ENGINES LIMITED
M R. RAHUL SAHAI – CHIEF EXECUTIVE OFFICER – KIRLOSKAR OIL ENGINES LIMITED
M R. SACHIN KEJRIWAL – CHIEF FINANCIAL OFFICER - KIRLOSKAR OIL ENGINES LIMITED
M R. KIRAN BHAGNURE KHAPRE – CHIEF HUMAN RESOURCES OFFICER – KIRLOSKAR OIL ENGINES LIMITED
M R. SAMRAT GUPTA – MANAGING DIRECTOR – ARKA FINCAP LIMITED
M S. FARAH IRANI – COMPANY SECRETARY – KIRLOSKAR OIL ENGINES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Kirloskar Oil Engines Limited Q3 and FY '26 Earnings Conference Call hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be the lesson only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Shah from Antique Stock Broking Limited. Thank you, and over to you, sir.

Amit Shah: Yes. Thank you, Palak. Good afternoon, everyone. On behalf of Antique Stock Broking Limited, I welcome you all to 3Q FY '26 Post Earnings Call of Kirloskar Oil Engines Limited. To discuss the results, we have the senior management team of the company represented by Ms. Gauri Kirloskar, Managing Director of the company; Mr. Rahul Sahai, CEO of the company; and Mr. Sachin Kejriwal, CFO of the company.

I would hand over the call to Ms. Gauri Kirloskar for her opening remarks, post which we can open the floor for Q&A. Over to you, ma'am.

Gauri Kirloskar: Yes. Thank you. Good afternoon, everyone. Thank you for joining us today. I'll reintroduce my team on today's call. Rahul Sahai is here. He's CEO at KOEL; Sachin, who is the CFO; Kiran is the CHRO; Farah, the Company Secretary. From Arka, we have Samrat, who is the Managing Director at Arka. I will begin with business and operational updates. Sachin will then provide a brief overview of the financial performance, following which we will take questions.

I'm thrilled to report that Q3 fiscal year '26 has been a standout quarter for KOEL. We delivered our highest ever third quarter sales, capping off the highest year-to-date sales in our history. This was powered by strong performance across all segments with 35% year-on-year sales growth for the quarter and 25% year-to-date sales growth. That's double-digit growth in every single business.

On top of that, robust operational efficiency drove meaningful improvement in our EBITDA margins, while our cash conversion cycle improved compared to the prior year. For the quarterly numbers, the domestic Power Generation business was a standout performer, delivering sales of INR603 crores, which is a 44% growth over the previous year. Growth was primarily driven by our retail business in Power Generation.

The High Horsepower segment recorded substantial growth of 235% over the previous year. The domestic industrial business witnessed a significant momentum shift, recording its best quarter at 41% growth over last year with sales of INR390 crores. This growth was fueled by strong performance of Defence and Nuclear and Marine segment.

Construction & Mining segment was a bit slow this quarter, but we see it as a temporary phenomenon. The Distribution business Q3 sales stood at INR238 crores, registering 14% growth over the previous year. This was the highest ever quarter for the Distribution &

Aftermarket business unit. The International business also reported 26% year-on-year growth in Q3.

Now coming to the geographic mix. Domestic sales stood at INR1,243 crores, which is a 38% growth year-on-year and export sales were at INR128 crores, that's a 14% growth year-on-year.

As I had mentioned last quarter, this quarter saw KOEL stand-alone B2C integration into LGM. Strategically, this integration of Fluid Dynamics business marks a milestone, enabling focused growth in the segment while unlocking synergies across LGM operations. With B2B strength persisting and tailwinds in industrial, we're well positioned for the balance of fiscal year '26.

Now if we go to the consolidated business performance. B2B consolida

ted reported INR1,396
crores revenue for the quarter, registering 36% growth year-on-year. Fluid Dynamics, that's the B2C business, reported Q3 revenue of INR249 crores, which is an 18% growth year-on-year. Financial Services, that is Arka, reported revenue of INR227 crores, 7% growth year-on-year. Net interest margin at Arka grew by 28% year-on-year to INR107 crores in Q3.

In closing, Q3 underscores our momentum, record sales, margin gains and operational discipline across the board. In Power Gen, it has been a strong quarter for KOEL. And what is also heartening to see is the progress that we are making against industry numbers. Our numbers clearly indicate market share improvements across the board. This is in line with our plans that we set out for ourselves. All the other business segments have shown growth.

At Arka, we are successfully granularising the book as planned by building a retail portfolio focused on used wheels and small ticket loans against property. Our ground presence is ramping up to match this ambition with 110 branches and approximately 1,600 employees now active. We see a great future for this business and aspire to build an institution in the financial services space, and I'm confident that the management team at Arka will deliver on the plans that have been laid out.

Operationally, we continue to make steady progress and are advancing our expansion plans in line with our strategic roadmap for all our business segments. With a robust product pipeline and sustained focus on strengthening our existing segments, we remain confident about the opportunities ahead. We remain firmly aligned with our long-term strategy and our commitment to sustainable growth. I'd now like to request Sachin to give a quick update on the financial performance.

Sachin Kejriwal: Good afternoon, everyone, and thanks, Gauri, for the update. I will give a quick overview of the financial performance for stand-alone and consolidated business. The results and the presentation for today's call has already been uploaded on the exchange and our website.

KOEL delivered a strong financial performance in Q3 FY '26 with the company registering its highest ever third quarter sales and achieving record year-to-date revenues. Year-to-date margin performance improved on the back of operational efficiencies, while prudent working capital management supported an improvement in cash conversion cycle compared to last year.

Coming to the financial performance overview, I will start with stand-alone performance first for the quarter. Net sales at INR1,371 crores for Q3 FY '26 versus INR1,015 crores for Q3 FY

'25, 35% increase year-on-year. EBITDA at INR169 crores for Q3 FY '26 versus INR106 crores for Q3 FY '25, 59% increase year-on-year. EBITDA margin at 12.2% for Q3 FY '26 versus 10.3% for Q3 FY '25.

Net profit, excluding exceptional items at INR102 crores for Q3 FY '26 versus INR57 crores for Q3 FY '25, that is 80% increase year-on-year. Cash position, net of debt and including treasury investments stood at INR348 crores.

Our working capital position continues to remain healthy with payables at approximately 59 days and receivables at around 44 days. Inventory levels stood at approximately 66 days, reflecting an improvement over the same quarter last year. Supported by disciplined working capital management, led by improved inventory and receivables efficiency, the overall cash conversion cycle has strengthened year-on-year.

Here is further breakdown of the stand-alone sales for the quarter. The B2B sales, that is KOEL stand-alone sales post the restructuring were at INR1,371 crores, that is 35% growth year-on-year.

We registered a double-digit growth across all the business units. So within B2B, Power Gen was at INR603 crores, 44% increase year-on-year. Industrial was at INR390 crores, 41% increase year-on-year. Di

stribution & Aftermarket was at INR238 crores, 14% increase year-on-
year and International business of B2B was at INR140 crores, 26% increase year-on-year. Please note that on October 10, we completed the transfer of our B2C business to LGM through the slump sale route.

Accordingly, the financial performance for this quarter reflects the impact of this restructuring. For ease of comparison, top line without the restructuring effect on like-for-like basis would be at INR1,503 crores for Q3 FY '26 versus INR1,154 crores for Q3 FY '25. That is 30% increase year-on-year.

Now looking at consolidated performance for the quarter. Revenue from operation at INR1,873 crores for Q3 FY '26 versus INR1,449 crores for Q3 FY '25, 29% increase year-on-year. Net profit at INR126 crores for Q3 FY '26 versus INR67 crores for Q3 FY '25, 90% increase year-on-year. Please note numbers reported are for continuing operations only and excluding exceptional items.

Now let us have a look at consolidated segment performance for the quarter now. B2B segment revenue for the quarter was at INR1,396 crores, which is 36% growth year-on-year. The segment PBIT was at INR137 crores, reflecting approximately 90% increase year-on-year. B2C segment revenue for the quarter was at INR249 crores, which is 18% growth year-on-year. The segment PBIT was at INR18 crores against PBIT loss of around INR4 crores for the same quarter last year.

Financial Services segment revenue for the quarter is at INR227 crores, reflecting 7% year-on-year growth. The segment PBT was at INR17 crores. Please note number discussed here represent continuing operations only. The PBIT and PBT numbers are before exceptional items.

To conclude, company has delivered a strong quarterly performance, complemented by solid year-to-date growth, supported by sustained market demand and positive momentum across our core product segment. Our recent product launches have been encouraging market acceptance, and we remain on track with the strategic initiative under our B2B vision. With that, I will open the floor for questions.
Moderator: Thank you very much. The first question is from the line of Jason from IDBI Capital. Please go ahead.
Jason: My first question just pertains to, just wanted to know the volume growth, both for Y-o-Y and Q-o-Q, if you could highlight for this quarter?
Gauri Kirloskar: Yes, just one second.
Sachin Kejriwal: So, for Power Gen, our volume growth has been 25% compared to the last year.
Jason: Okay. And Q-o-Q, sir, there must be a decline. So if you could give that number as well?
Sachin Kejriwal: Sorry?
Jason: Q-o-Q sequentially, sir?
Sachin Kejriwal: Yes, it's yes, 15% decline.
Jason: 15% decline. Sure. And sir, next, just wanted some color on the response for the HHP segment, some details about it. How are you creating market inroads and just some color on the response for the HHP segment?
Rahul Sahai: Yes. So, we've spoken in the past about our product portfolio and the initiatives that we are running on the HHP side. Today, we have products that, for the HHP that start right at 1,000 kVA and go right up, what we are now seeing is demand for our 2,500 and 3,000 kVA products also. So, I would say the market has always been there, but we are focusing on driving initiatives in line with the product readiness that we have now. And hence, we are essentially gaining momentum there.
Jason: Sure, sir. And sir, if you could give the numbers for the, if possible, just for a like-to-like comparison for the FMS and the WMS segment as well, would that be possible for Q3?
Gauri Kirloskar: We're not breaking that out.
Moderator: The next question is from the line of Mihir Manohar from TRUST Mutual Fund.
Mihir Manohar: Congratulations on great set of numbers. You mentioned about the growth for HHP for this quarter at 230%. What's the growth on a 9-mont

h basis for the HHP segment? And what's the absolute number that we are now clocking on broadly yearly basis for HHP?
Gauri Kirloskar: So, the number that we're sharing is the 235%. We're not breaking it out by segment for HHP value.

Mihir Manohar: Sure. What would be the growth on a 9-month basis?
Sachin Kejriwal: It's 132%
Mihir Manohar: Sure. Understood. Correct. So basically, which end-use applications are driving this growth for HHP?
Gauri Kirloskar: So it's pretty broad-based, but essentially, the main end application is infrastructure. What we mean by infrastructure is any of these large developments that you see being built, whether it's commercial or residential. And of course, it includes some data centre customers as well.
Mihir Manohar: Sure. Second question was on the gross margin side. I mean when I see gross margins for 3Q versus 3Q and on a 9-month basis, the general understanding is that HHP should have a higher gross margins. And if HHP proportion is increasing, then I mean, how could it, are we, should one expect gross margins improving as the HHP proportion goes up in revenue going ahead?
Sachin Kejriwal: Yes, that's right. But right now, our gross margin is flat at 35% margin. But in future, as you see more sales from HHP, definitely, the gross margin should improve.
Mihir Manohar: Sure. My last question was just on the data centre side. I mean we are getting business on the data centres, I mean, various interactions and all. But however, when we do a channel check, it becomes difficult to get a sense as to if Kirloskar Oil products are used, generally MNC names which are coming out. So somehow to understand the difference, which is coming in channel checks versus the business that we are building in?
Rahul Sahai: Yes. I think essentially, your channel checks are an informal district to get information. The whole information will only be ready once we disclose our results. So it's hard for us to actually

bridge because we're not really sure what your, the information you're getting on the channel check.
Moderator: The next question is from the line of Harsh Shah from Axis Capital.
Harsh Shah: Congratulations on a strong set of numbers. So my first question was on the industrial side. So this quarter, we have the encouraging growth led by Defence, Nuclear and Marine segment. So what is the outlook here? And when do you expect the pickup in Construction as well as Mining segment?
Rahul Sahai: Yes. So we saw a quarter where a lot of our OEMs were correcting their inventory. So the Construction & Mining segment was a little subdued because of that. In spite of that, however, we've grown. So the segment overall has performed reasonably well. And we expect that going forward, things will correct for themselves because the correction, the inventory correction seem to have happened.
Harsh Shah: Okay. And second question was on the Distribution network. So Distribution revenue has also grown during this quarter. So what is driving this growth? Is it the asset base or the shift from organized, shift to organized Power Gen?

Rahul Sahai: Yes. So we've always said that our focus areas for driving profitable growth will remain to be more complex products, Aftermarket and International. Now more complex products in case of, for example, Power Gen are in the form of our Optiprime range of products, our HHP products. And that has eventual impact on the Aftermarket business also. So we are seeing more and more of that impact coming in. Of course, the Aftermarket team is driving a lot of initiatives around growing the service penetration as well, both through increasing the number of AMCs as well as ensuring adequate capability for breakdown SRMs, Service Requests.
Harsh Shah: Okay. Okay. And sir, just one last questi

on on the stand-alone EBITDA margin. So now that we have shifted the B2C business to a subsidiary. So should we see margin improvement here? Or is it expected to remain at similar levels?
Rahul Sahai: So we will see a slight improvement in the EBITDA margin with this move from B2C business to LGM.
Moderator: The next question is from the line of Suraj from Catamaran.
Suraj Malu: I have 2 questions. The first question is from a global landscape, are there opportunities to do contract manufacturing for any of the global Power Genset companies with Caterpillar, Generac or Kohler for Kirloskar Oil Engines.
Rahul Sahai: I mean there may be opportunities. I mean, but we will figure out the opportunities that work for us as per our strategy. So there is nothing further to disclose at this point.
Suraj Malu: Got it. But would we be willing to take up those? Or would we be more of willing to sell these under Kirloskar Oil Engine brand name?
Rahul Sahai: So our strategy varies region to region. We won't be able to disclose that because that's proprietary information. But we would be open for what makes sense for the company.
Suraj Malu: Got it. Got it. And next question is you mentioned now you have a product for data centre, right? So what kVA or MVA would this product be? And would it be Optiprime or a single engine product?
Rahul Sahai: So it starts, I mean, so we have a variety of different products. Data centres actually start buying gensets right at 400 and 500 kVA also. And we've been supplying to data centres right through today, some of the units that we are looking at are 2,500 kVA and 3,000 kVAs also.
Suraj Malu: And is it single engine?
Rahul Sahai: Our single units right now go up to 1,500 kVA, especially let me just correct that. Our high-speed single engine units go up to 1,500 kVA. We have engines that go to 10 megawatt.
Moderator: The next question is from the line of Palak from MIV
Palak: Just addition to the previous participant question. I understand that with the growing contribution of HHP, we will see margin improvement, gross margin and operating margins. But were a

specific reason that this quarter, both the gross margin and the operating margins saw some pressure on Q-o-Q basis? Are we seeing some commodity price pressure due to product mix?
Sachin Kejriwal: So, on a quarter-on-quarter basis, it was a product mix and operating leverage loss impacted by EBITDA compared to previous quarter.
Palak: When we say product mix because of the, I mean in Industrial also, we have a certain segment. So within Industrial, there was the product because if I look at overall, the contribution of Power

Gen, Industrial has been constant to, I mean it's been stable at a stand-alone level. So can you get a bit specific of when you say product mix?

Sachin Kejriwal: Yes. So we don't give those details, but definitely, the product mix in all the business units has impacted for this quarter.

Palak: Okay. And are we seeing any pressure due to commodity prices and which are the major commodities that we use to manufacture the product?

Sachin Kejriwal: So we are keeping a close watch on that. And if you look at our gross margin, that has remained flat. So we are taking the appropriate action on those commodity price increase.

Palak: When I look at on a Q-o-Q basis, gross margins have declined.

Sachin Kejriwal: I don't think so. It's just a 50 basis point dip compared to the previous quarter, and that is because of product mix.

Moderator: The next question is from the line of Saif Sohrab Gujar from ICICI Prudential AMC.

Saif Sohrab Gujar: So there is an exchange filing about incorporation of Kirloskar Advanced Systems. Can you highlight what specific is the plans with respect to this entity? How do you look at it, the next 2 to 3 years?

Rahul Sahai: Yes. So there is a lot of specialized work that we are doing wit

h our government customers, such as Defence and Railways. Now that work is slightly different from our core engines business. It has a lot to do with system integration and in case of Defence, there's Defence contracting kind of work. We felt it best to carve that work into a separate business entity, and that entity is called Kirloskar Advanced Systems Limited.

Saif Sohrab Gujar: And the filing also mentioned about unmanned systems. So any adjacencies, how do you look at that? So are you going to expand to or it's, again, Power Gen related to unmanned systems you're looking at?

Rahul Sahai: So we are not at a point where we can disclose that because that information is still proprietary. At an adequate time, we can speak more about it.

Saif Sohrab Gujar: Sure. And just one quick one on the employee cost in stand-alone. That this quarter is at 25%. So any specific reason? Does this represent more of headcount addition or there is some one-off maybe relating to gratuity or something like that?

Sachin Kejriwal: So it was a mix of both headcount and gratuity.

Moderator: The next question is from the line of Sourabh Arya from Oakland Capital Management.

Sourabh Arya: Congrats team for the good numbers. The first question is, let's say, till now, our focus from export side has been Middle East, Africa. And, but now that we have this EU deal, and we have clearly avoided focus in Europe till now. So will there be any change in strategy in light of this EY-FTA?

Rahul Sahai: So I wouldn't say we have a change in strategy because geopolitical movements keep happening. From a company standpoint, obviously, these changes are inputs into strategy, but our strategy, by and large, remains similar. We continue and remain committed to the Middle East and the African markets. We are studying each region and trying to develop an appropriate strategy that covers our capability, capacity and coverage for each region.

Sourabh Arya: Okay. This is fine. And so we won some large orders of NPCIL and Marine, I think. So is there some execution expected from that in next few quarters or it's already part of execution in industry?

Rahul Sahai: So it hasn't been part of the execution until now. These are for large gensets of 6.3 megawatts each, and we will be executing them going forward. So none of them are executed in Q3.

Sourabh Arya: Okay. And that would be part of Industrial segment only?

Rahul Sahai: Yes, that's part of our Nuclear segment under the Industrial business.

Sourabh Arya: Okay. And can you give some color how that execution would be like what is the size of it? Will it be done in 1 year itself or it's spread over 2, 3 years?

Rahul Sahai: So the overall order value that we have spoken about earlier is INR798 crores in basic value. We have time lines of 2 years from now. I can't give more details around that in terms of execution at this.

Moderator: The next question is from the line of Krish from Crosseas Capital Markets Private Limited.

Krish: I just had one small question regarding Kirloskar [inaudible 0:29:38]?

Gauri Kirloskar: There is a lot of background noise, so we can't hear you.

Krish: Yes. So my question is regarding Kirloskar Group in general. So Kirloskar Chillers is a private limited company, which is, as per my knowledge, is not a part of any of the listed companies. So is there any plan to take it as a subsidiary into any of the listed companies or to separately in the coming if you could answer that.

Gauri Kirloskar: So thanks for your interest, but because this is a Kirloskar Oil Engines earnings call, I won't be able to answer or address that question here.

Moderator: The next question is from the line of Prerit Jain from Motilal Oswal.

Prerit Jain: Yes. So I have 2 questions. My first question is despite the B2C segme

nt going out of financials
in the current quarter, the other expense still seem to be at a higher side. So any specific reason
for that?
Sachin Kejriwal: No, it is related to B2B business. So there's no specific reason that why it is going up.
Prerit Jain: Okay. Got it. And my second question was on the domestic Power Gen business. So in the PPT,
it was mentioned that it was driven by LHP supported by the incentive schemes. So can you
please highlight which incentive schemes are these and whether these numbers are sustainable?
Gauri Kirloskar: So that's our retail business, the channel and the retail business incentive schemes are part and
parcel of the business. So it's just those incentive schemes that are running, nothing in particular.
Moderator: The next question is from the line of Palak from MIV.
Palak: Sir, just a follow-up question. Is it possible for you that you can give some sense of contribution
from LHP, HHP, MHP in our Power Gen segment?
Rahul Sahai: So what I would say is that most of our business continues to be in the retail business. A lot of
the retail business is LHP. At this point in time, the rest of the information is proprietary. So we
won't be able to give out specific splits.
Palak: Okay. So are we changing some significant shift towards HHP in terms of revenue contribution?
Rahul Sahai: The answer to that would be yes because you can see that from the growth numbers, the HHP is
growing at a faster rate.
Palak: Okay. And in case of Industrial segment, last 2 quarters have been very good for us. I mean is it
because of the big orders that we have received in Defence, Marine and Nuclear? I mean how
sustainable is this growth number for us?
Rahul Sahai: We will continue to focus and do our best. And this is an outcome of that. It's not execution of
1 or 2 single orders.
Gauri Kirloskar: So what I would add is that from the large orders that we have mentioned that we've got, this is
not to do with the execution of that. But if you remember a couple of years ago, our strategy was
to look at key account management in a very focused way. And also we had identified certain
white spaces. So that's why you're seeing this kind of growth, and we hope that we can continue
to aspire to these kind of growth rates.
Palak: And just do you have any guidance for a growth number for next 1 or 2 years? Or any comments
on margins that we are targeting?
Gauri Kirloskar: We stated a 5-year strategy, which is to be a $2 billion company by fiscal year '30. And we've
also said that we hope to continue to improve margins over that time because our focus areas
continue to be Advanced products, Aftermarket and Exports where these typically are the margin
levers in our industry. So that's the direction that we're giving in terms of where we want to grow
on the revenue and margin front.

Palak: So is the guidance for the consolidated entity or for the stand-alone business?
Gauri Kirloskar: Consolidated without Arka.
Palak: No, I'm saying the guidance that you have given is just for a consolidated entity or is it for stand-
alone business?
Gauri Kirloskar: For the B2B and B2C business.
Palak: Okay. And anything specifically for B2B business?
Gauri Kirloskar: No, we have not broken it out that way.
Moderator: The next question is from the line of Umakant Sharma from Viansh Ventures.
Umakant Sharma: Congratulations on a good set of numbers. I've just got 2 set of questions. Firstly, on the Arka,
could you just talk a little bit about the current book split between the retail and wholesale? And
also, if you could throw some color around the asset quality that you're observing?
Gauri Kirloskar: Samrat, would you take that question?
Samrat Gupta: Yes. Currently, our wholesale book is INR2,600 crores Assets under Management. And our total
Assets under Management will be in the range of INR7,600 crores, so the rest

of the book will
be retail or SME lending in nature. And pure retail, which is basically ticket size of about INR15
lakhs in small ticket loan against property and used vehicle financing is about, sorry, as on 31st
December is about INR328 crores. And asset quality, our GNPA is about 1.2% and NNPA is

about 0.3%.
Umakant Sharma: And could you just talk about this asset quality for the last quarter? What was that number?
Samrat Gupta: Last quarter, asset quality was about 1% and NNPA was 0.2%.
Umakant Sharma: Got it. Got it. And just coming back to the main core business, like we've been talking about the HHP segment for a while now. Gauri, if you could just spell out when can we start talking numbers around the HHP, when are we aspiring, from articulating those numbers out, when are we looking at that?
Gauri Kirloskar: Sorry, you mean like segment-wise numbers, when will we articulate?
Umakant Sharma: Yes. I'm just, the reason I'm looking at is since we have launched this product, we have entered into HHP for about, almost about 2 years. I just wanted a sense as to when are we thinking of communicating in terms of numbers, what are we doing on the overall Genco business from the HHP side?
Gauri Kirloskar: Yes. We haven't thought about sharing those numbers yet because we are sharing growth numbers across this segment, which is obviously a very new segment for us. A couple of years ago, we had zero market share. And the market shares are, will be incremental quarter-on-quarter, and it's not always linear. So I think the growth rate right now is sufficient as long as

we are showing good growth in that segment and traction in that segment. And at least as a management team, we track, node by node incrementally if we're making the progress that we should be making.
Umakant Sharma: Got it. And could you also just touch down if we are looking at, I know you broadly touched upon it in one of the previous participants. But are we seeing incremental, like I think we have, in your previous call, you highlighted, right, we have tracked the Middle East bit, at least in terms of the international side. Now are we looking at exploring other international markets? Or would we want to be looking at scaling up some of the places where we have got the market placement right?
Gauri Kirloskar: So we are looking at places other than the Middle East, and we have been present in places other than the Middle East historically as well. The focus markets for us, I mean, there are many focus markets across the world. And in each of them, each of them is different. We have to look at what the competitive landscape is, what the local Power Gen or Industrial market is like who are the players in that space? Do we want to go in alone? Do we want to go in with a JV? Do we want to have an appointed genset OEM?
What you're seeing in the Middle East is the result of us appointing a genset OEM for specifically Power Gen sales. And you've seen the traction from that work in the last year or so. We had a pretty significant industrial presence there, but we didn't have, we weren't doing so well on the Power Gen side. So I think that's what you're seeing in terms of growth. But whether it's Africa, whether it's the U.S., whether it's Southeast Asia, we'll have different ways of going to the market depending on what makes sense.
Moderator: The next question is from the line of Aditya Mongia from Kotak Securities.
Aditya Mongia: The first question that I had was more to get a sense of some more insights on the HHP segment. As we understand in this segment, there's a requirement that customers have of, consultants kind of approving the products that the company has. Could you give us a sense of how has that journey been for you? And are you being able to make inroads on that.
Gauri Kirloskar: I'll just have Kiran, who's our CHRO, talk a little

bit about what we're doing because there is
capability building we had to do, because the way the product is sold is quite different. So Kiran, please give an update.
Kiran Bhagnure-Khapre: Sure. Thank you, Gauri. So I think you already heard Gauri and Rahul talking about the progress what we are making on the HHP side. So while the focus has been on building out the great products, we also, in parallel, started working on improving our capabilities. And for that, we've worked on a development program for our frontline sales teams, which purely focuses on how the products are being sold.
These products are way too more technical in nature compared to what our earlier product ranges were. And so we have worked through a detailed development program, including the technology of the products, the commercial aspects of the products as well as focusing on the negotiation skills and the soft skills of how to sell these products. So some of these programs

have been going through the organization at this point in time, helping to build that capability

inside the organization.
Gauri Kirloskar: Yes. And we've done this not only for our sales teams, but also for our genset OEMs who are partners as well for their sales team as well. So that's part of it because as you said and as you mentioned, the consultants have to be on board. They have to be aware of what our product portfolio is, especially because we have different solutions like an Optiprime, which is not a single engine solution. That has to be explained. It has to be witnessed. So it's been a lot of groundwork that we've had to do, but we are seeing traction now come out of that. [inaudible 0:42:27].
Moderator: The line for the management has been disconnected. Ladies and Gentlemen, the line for the management has been reconnected, thank you and over to you, ma'am.
Gauri Kirloskar: Yes. Sorry, I think the person we were speaking to had a second question, we couldn't hear it.
Aditya Mongia: The second question that I had was more to better understand market share shifts that may be happening in the LHP front as we see through the relative changes happening, it seems, still seems that on a 2-year basis since CPCB IV happened, the market leader has gained share versus Kirloskar. Some pullbacks are happening right now. But it still seems that a lot has been lost the last 2 years on the LHP side. Do you think that there are scopes of further clawing back market share? Or how do you think about that aspect?
Gauri Kirloskar: So what makes you think that?
Aditya Mongia: So one is just kind of comparing the relevant segments and the relative growth that's happened, okay, over the last 2 years. And it seems to suggest that while on a Y-o-Y basis, some bit of faster growth is happening for Kirloskar, on a 2-year basis on aggregate growth, which makes me believe that there is more to kind of recoup the market share for Kirloskar, and that's why the question?
Gauri Kirloskar: Yes. I mean I think it's hard for me to comment because I don't know the source of your information. So I will not be able to answer that question.
Aditya Mongia: Got it. I'll take that separately. The third part was?
Gauri Kirloskar: Yes because when you give me specific growth rates and I look at those numbers, it's very hard for me to answer that.
Aditya Mongia: Happy to take it in a separate call the numbers. But let me just move on. On the Distribution side of things, could you give us a rough split of what are the key elements over here? I understand that spares would be a large proportion and then there will be other parts such as solutions that you may be doing. Some sense of how the breakup is for you?
Rahul Sahai: I think, so by and large, you're right. There's a lot of, it's mostly spare parts and service today. We also do overhauls and we, under our brand called New Life. So, but t

hat component is very less. So bulk of it would be spare parts along with the service contracts.

Moderator: The next question is from the line of Prolin Nandu from Edelweiss.
Prolin Nandu: This is Prolin from Edelweiss. My question is on margin while you answered the question. Just this quarter-on-quarter drop in margins on the EBITDA level, is it mostly all of it is explained by the mix change? Is that a fair understanding?
Sachin Kejriwal: So I've already answered that. So it's a combination of mix, product mix change and the operating leverage loss.
Prolin Nandu: And by product mix, you mean the distribution growing lower than the product growth, right? Is that understanding?
Sachin Kejriwal: It's a combination of 2, 3 factors, but we are not giving those details right now.
Prolin Nandu: Okay. And on your, the Marine and Naval execution on that part, right, in a way, will the margins on the orders, Marine orders be at par with company average? Or would it be lower? Or can you just understand, help us understand what could be the margin trajectory for the orders?
Rahul Sahai: We don't give those margin details for each customer segment. So sorry, we'll not be able to share any details further on that.
Moderator: The next question is from the line of Jason from IDBI Capital.
Jason: I just wanted to ask, of course, Q3 tends to be, even last year, it was a little drop off from Q2. And then again, this year also it's kind of the same trend. I just wanted to know what kind of seasonality, is it because of less cooling demand because it tends to be cooler during, just if you could highlight some reasons for the seasonality for the sequential drop in volumes?
Rahul Sahai: Yes. I think that's generally how capex flows happen here, mostly on the domestic side. So it's a phenomenon that's seen across the industry. So there's nothing very specific to KOEL.
Jason: Okay. Okay. Sure. And just wanted to also know, I mean, of course, I understand that DG sets are going through a good phase of growth. Now I just wanted to know any particular infrastructure verticals you want to highlight which are driving this growth?
Gauri Kirloskar: No, it's pretty broad-based.

Jason: Yes. Sure. And ma'am, also, you spoke in detail about how you are leveling up your sales capabilities in terms of programs and stuff all that, that's good. Just wanted to know also just a pertinent question relating to that. Now I also understand for HHP, you require a better quality, better qualified service engineers servicing that segment because service becomes a critical aspect for that solution. So what are the steps we are taking to basically, to up our game there in that segment to basically improve the quality of service engineers, hire better hiring and those practices. Just wanted to know some color from your side on that aspect?
Gauri Kirloskar: Sure, Kiran is here to answer.

Kiran Bhagnure-Khapre: Yes. Again, the capability building initiatives are not only focused towards one segment. We are driving that as a common upskilling theme across the organization. So a lot of training programs to make sure that our workforce is able to address the customers' issues right on time. So that's what I would say.
Gauri Kirloskar: And what I would add is this training program, especially across service is a continuous process because you obviously have also people coming and leaving and you have to address that. You have to have trained service engineers on a continuous basis. And the product portfolio also keeps changing, not only because of product expansion, but driven by emission norms as well. So the training on the service engineer side is a continuous process.
Jason: Sure. And lastly, ma'am, just wanted to ask about this notification on the BSE where you have invest

ed close to INR8 crores in the Middle East entity, which in turn is going for basically acquisition of the South African entity again. Just if you could just give some color on what exactly, I understand you've given a lot of details there, but just your take on that.
Gauri Kirloskar: I mean it's the same thing. So when we look at our international market, we do an assessment on a market-by-market basis of how we want to be structured and how we want to operate there. So this is just in line with that strategy and in line with how we want to operate in South Africa. And it just follows that strategic rationale.
Jason: Right, right. So you're basically saying that you don't want to basically keep it to an external party, but you want to basically do the industrial piece in-house. Is that correct for the South African market?
Gauri Kirloskar: No, that's not necessarily correct. It's just that we have now our own entity and office where like Rahul mentioned about capability, capacity and coverage, which is what we need to build in all international markets. We now have our own entity and office there, so we can at least start building that people capability in-house.
In the future, and the reason I can't answer your question specifically is in the future, if we see opportunities to tie up with people or any similar such thing, then we would do that. So I can't say that we will not do it today because it remains to be seen as time goes on and how we do in that market and what we learn in that market.
Moderator: The next question is from the line of Suraj from Catamaran.
Suraj Malu: So to reach the stated goal, which is $2 billion run rate, which is approximately a 3x growth from here. So how should one understand about the capex required to grow from the current levels? Like will you need to scale the gross block from current INR1,900 crores, INR2,000 crores to like INR5,000 crores, INR6,000 crores?
Rahul Sahai: Yes. So there is, we have a capex plan. As we have mentioned earlier, there is INR700 crores of capex that we are deploying into ramping up our operations. A lot of that work is currently ongoing. There is a capital allocation philosophy that is underway. So from time to time, as we take actions, you will see the, you'll see it reported post Board meetings, I mean, in these calls.

So at this point in time, the rest of the information is internal to KOEL and we won't be able to give it out.
Moderator: The next question is from the line of Rahulkumar Mishra from Antique Stock Broking.
Rahulkumar Mishra: Congratulations to the team for delivering a healthy set of numbers during the quarter. Most of my questions have been answered. I have just 2 questions. So first, if you could help me give some color on the water management system. So what is the demand outlook going ahead for this business?
Rahul Sahai: So the water management systems and the LGM business has now been consolidated into a single entity called Fluid Dynamics. We call it KOEL Fluid Dynamics. It is going to be a subsidiary of Kirloskar Oil Engines focused on pumping solutions. Pumping solutions will vary

across different kind of end use and applications. Water is one of them. As we proceed further, there are big opportunities that we see on the domestic pumps and Agri pumps side. So we continue to remain focused and look at the appropriate products that need to be launched.
Rahulkumar Mishra: And my second question is on the export side. So we have seen that exports have grown healthily about 20% on, during this quarter as well as on a YTD basis. So I wanted to just get a sense of what has driven this healthy growth during the quarter?
And lastly, on the U.S. market, last quarter, we discussed that it's going to be one of the largest market with some good opportunities. And with the recent announcement of relaxation and tariff by the

U.S. government, how do we look at this market? And given that almost 60% of sales we derive from MENA region, do we see this proportion shifting going ahead for the next couple of years once we build our capability for U.S. market and start securing orders? So just a color on this.
Rahul Sahai: Yes, sure. See, each region that we look at, there is a very careful evaluation around the 3 Cs that I spoke about earlier, that's capability, capacity and coverage. And then we take a look at how exactly do we want to go to market, whether it is through independents or joint ventures or an acquisition. So that's, and it's a lot of effort and work that goes into it. Some of the traction that you are seeing on the international side is an outcome of the work that we've been doing. So there is work that we are doing, we've been doing on the Middle East and Africa side. There are other work of other regions also. Now coming specifically to U.S., we have been investing in the U.S. market for a while. We have a subsidiary called Kirloskar Americas, and there is work that's going on, but it is not at a mature stage that we can discuss about it right now.
Moderator: As there are no further questions from the participants, I now hand the conference over to management for closing comments.
Gauri Kirloskar: Thank you very much for your interest on today's call and for the questions. See you next time.
Moderator: Thank you, ma'am. On behalf of Antique Stock Broking Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

Date: 20th May 2026

BSE Scrip Code: 533293 NSE Scrip Code: KIRLOSENG

To
Corporate Relationship Department
BSE Limited
1st Floor, Rotunda Building,
Dalal Street, Fort,
Mumbai – 400 001
To
Listing Depar tment
National Stock Exchange of India Ltd.
Exchange Plaza, C - 1, Block G,
Bandra -Kurla Complex, Bandra (E),
Mumbai – 400 051

Dear Sir/Madam,
This is to inform you that:
Pursuant to Regulation 30 of the SEBI (Listing O bligations and Disclosure Requirements) Regulations, 2015 including amendments thereunder and in continuation of earlier communication vide letter dated 11
th May 2026 and 14th May 2026, we hereby inform
that the Transcript of the Conference Call for Invest ors and Analysts held on Thursday , 14th May 2026, at 7.00 p.m. (IST) to discuss the A udited Financial Results of the Company for the quarter and year ended 31st March 2026, has been uploaded on the website of the Company, viz. www.kirloskaroilengines.com .
The same is also enclosed herewith.

You are requested to take the same on your record.
Thanking you, Yours faithfully,
For Kirloskar Oil Engines Limited
Farah Irani
Company Secr etary and Compliance Officer

Encl.: As above.

“Kirloskar Oil Engines Limited
Q4 FY26 Earnings Conference Call”
May 14, 2026

MANAGEMENT : M S. GAURI KIRLOSKAR – VICE-C HAIRPERSON & MANAGING DIRECTOR – KIRLOSKAR OIL ENGINES LIMITED
M R. RAHUL SAHAI – CHIEF EXECUTIVE OFFICER – KIRLOSKAR OIL ENGINES LIMITED
M R. SACHIN KEJRIWAL – CHIEF FINANCIAL OFFICER - KIRLOSKAR OIL ENGINES LIMITED
M S. KIRAN BHAGNURE KHAPRE – CHIEF HUMAN RESOURCES OFFICER – KIRLOSKAR OIL ENGINES LIMITED
M S. RIDHI GANGAR – CHIEF FINANCIAL OFFICER – ARKA FINCAP LIMITED
M S. FARAH IRANI – COMPANY SECRETARY – KIRLOSKAR OIL ENGINES LIMITED

MODERATOR : M R. AMIT SHAH – ANTIQUE STOCK BROKING LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Kirloskar Oil Engi nes Limited 4Q FY26 Earnings Conference Call. As a reminder, all pa rticipant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presen tation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conf erence is being recorded.
I now hand the conference over to Mr. Amit Shah from Antique Stock Broking Limited. Thank you, and over to you, sir.
Amit Shah: Thank you, Sagar. Good evening, everyone. On behalf of Antique Stock Broking Limited, I welcome you all to 4Q FY26 Post Earnings call of Kirloskar Oil Engine s Limited. To discuss the results, we have the senior management team of the company, represented by Ms.
Gauri
Kirloskar, Managing Director of the company; Mr. Rahul Sahai, CEO of the company and Mr. Sachin Kejriwal, CFO of the company.
I will hand over the call to Ms. Gauri Kirloska r for her opening remarks, post which we can open the floor for Q&A. Over to, Ma'am.
Gauri Kirloskar: Yes. Thanks very much. Good evening, ladies and gentlemen. Thank you for joining us today. On the call today, we have Ra hul Sahai, CEO of KOEL; Sachin , the CFO at KOEL; Kiran CHRO and Farah Irani, Company Secretary. Joining us from Arka we have Ri dhi Gangar, our CFO. I would like to start with year-end investor call with a thank you to all our investors, especially those who have placed their trust and confiden ce in us over the last 4 years or more.
I remember discussing growth, specifically sustaina ble growth when we began this journey. As business cycles fluctuate betwee n favourable and challenging, th ere will always be spurts for growth followed by periods of lull. What matters most is how we build an organization capable of leveraging favourable circumstances whil e remaining resilient during a downturn.
Certain approach is not a quarterly raise, it is a multiyear marathon. It requires managing various cycles and building for the future, all while ov erseeing day-to-day operations. I have always believed that growth must be sustainable. It canno t come at a cost of profitability or for the sake of short-term benefits.
At a consolidated level, we achieved 22% gr owth in revenue. We ar e now amongst the top 10 manufacturers in the world by volume in the industrial and Powergen space. We sold over 1 million pumps last year and our international bus iness crossed INR1,000 crores in gross sales.
Our domestic business grew 21% year-on-year, while international business grew 37% in group sales.

While various factors influenced our monthly and quarterly movements, our focus remains steadfast on long-term sustained growth. At a standalone level, the company achieved its highest-ever quarterly sales in Q4, reaching INR1,522 crores, a 24% year-on-year growth. This resulted in full year net sales of INR5,604 cr ores, representing a 25% year-on-year increase.
In Q4, the domestic business grew 26% while the international business grew 10% compared to the same quarter last year. Our Powergen segment grew 32% over the previous year. On a quarterly basis, Powergen grew 30% year-on-year. To put this in context, Q4 is traditionally a strong quarter for us, so delivering this leve l of growth is a significant achievement.
Our market share has improved significantly across all nodes. In our high horsepower segment, where our market share was negligible a couple of years ago, we are now approaching double digits. While the overall annual diesel generator market grew 18% to approximately 179,000 units, including telecom, KOEL grew by 41%, selling upwards of 50 ,000 units in FY26.
Our Industrial segment gr

ew 22% annually generating revenues of INR1,444 crores.
Construction, mining and railways have been ou r primary growth driver. The growth in our construction segment tells an interesting story. As you all know, in January of 2025 there was a mandatory emission standard shift from CEV BS-IV to CEV BS-V.
So emission changes represent both an opportunity to acquire customers and a risk of losing them. In this segment, cust omer acquisition is a long-drawn process, involving technical alignment, product fit assessments and often engineering tweaks to ensure our products integrate

seamlessly with the customers' equipment.
This involves site approvals and proto testing, a joint effort that typically takes 18 months or more. Despite these complexities, we grew 24% in this segment in Q4 compared to the same quarter last year. Our construction segment spec ifically grew 44% year-over-year, validating the strength of our products under the new emission st andard and the capability of our engineering team.
We have incorporated a new subsidiary called Kirloskar Advanced Systems Private Limited.
We believe there's significant potential in advanced technology, particularly to serve key accounts in sectors like defense.
Beyond our traditional engine business, we see a systems integration opportunity where we can levera ge our engineering capability. This requires focussed effort which is the rati onale behind this new entity.
On the aftermarket side, we grew 15% annuall y and 20% quarterly. As mentioned in previous calls, our journey over the last 4 years has been to transition from a parts provider to a complete ecosystem manager. We are improving our shar e of annual maintenance contract or AMC customers and leveraging our service channels to offer allied products and hold goods.
This shift in perspective is yielding clear results. Kirloskar fluid dynamics grew 10% domestically and 13% internationally this quarte r. On an annual basis, the business grew 6% domestically and 36% internationally. As this is the first full quarter for the consolidated entity, we saw reasonable growth w ith exports outperforming.

However, I believe there's still significant h eadroom for growth. Regarding our international business, I have always maintained that growth must be built sustainably. To become a strong brand globally, our product, channel and service pro cesses must be fit for the market. There is a fundamental difference betwee n exports and being international. Exports involves manufacturing locally and shipping to a country to sell through an agent.
Being international means building a genuine busine ss in that geography, hiring locally, setting up comprehensive offices and evaluating local ma nufacturing or assembly where it viable. Our gross international business grew 33% in Q4 over the previous year's quarter and 37% over the last fiscal year. We remain committed to our strategy of focusing on specific regions to build business with patients a nd sustained effort.
At Arka our 5-year strategy centers on a deliber ate pivot towards realizing our book. To ensure sustainable growth, we prioritize building the right foundational structure ranging from onboarding the right talent and selecting market s to building seamless digital journeys and prudent risk guardrails.
We scale from 34 to 137 branches in fiscal year '26, our strategy focuses on local market depth, operating only in regions where we have the esta blished infrastructure to provide direct high touch service to our customers. Our AUM grew 10% to INR7,947 crores, with net interest income rising 11% to INR266 crores.
Even with significant investments in the secured retail business, FY26 profit after tax remains stable at INR69 crores, similar to FY25 profit after tax before extraordinary items. While we are in full execution mode, asset quality remains robust

, along with prudent leverage and capital ratios.
In summary, we are progressing well against our goal to be a USD2 billion company by Fiscal Year '30 and our numbers indicate that progre ss. We are very excited about our future. We believe that there is much more that we can do and the opportunity is real. Our last year's performance is a reflection of the inherent strengt hs that we have at KOEL, our leadership, our engineering, our people and the strength of our partners meaning our suppliers, our channel partners and most impor tantly, our customers.
I will stop here and request Sachin to give an update on Q4 and the full-year numbers. Thank you.
Sachin Kejriwal: Hi, good evening, everyone. Thanks, Gauri, for th e update. I will give a quick overview of the financial performance for standal one and consolidated business. The results and the presentation for today's call has already been uploaded on ex change and our website. Q4 FY '26 was a period of remarkable growth, setting a new benchmark for quarterly sales. The strong performance was broad-based with significant double-digit growth in both domestic and inte rnational markets.
The fourth quarter of fiscal year '26 was r ecord-setting period for Kirloskar Oil Engines, achieving the highest-ever quarter ly sales of INR1,522 crores for the standalone operations, registering 24% growth year-on-year. With this strong performance, we clos ed the full year with standalone net sales of INR5,604 cror es, that is 25% growth year-on-year.

Coming to the financial performance overview, I will start with standalone performance first.
For the quarter, net sales at INR1,522 crores for Q4 FY '26 versus INR1,225 crores for Q4 FY '25, 24% increase year-on-year. EBITDA at INR193 crores for Q4 FY '26 versus INR152 crores for Q4 FY '25, that is 27% increase year-on-year. EBITDA margin at 12.6% for Q4 FY '26 versus 12.3% for Q4 FY '25. There has been im provement by 30 basis points. Net profit from continuing operation at INR118 crores for Q4 FY '26 versus INR92 crores for Q4 FY '25, 28% increase year-on-year.
Now moving to the full-year performance. Net sales at INR5,604 crores for FY '26 versus INR4,481 crores for FY '25, that is 25% increase year-on-year. EBITDA at INR737 crores for FY '26 versus INR552 crores for FY '25, 33% increase year-on-year. EBITDA margin at 13.1% for FY '26 versus 12.2% for FY '25. So there's a growth of 90 basis points in EBITDA margin.
Net profit from continuing operation at INR464 cr ores for FY '26 versus INR343 crores for FY '25, 35% increase year-on-year. Net cash position ne t of debt and including treasury investment stands at INR552 crores. Please note numbers re ported here are for continuing operations only and excluding exceptional items.
Moving to working capital, our working capital position continues to remain healthy, with payables at approximately 60 days and receivable s at around 41 days. Inventory levels stood at approximately 48 days, which improved from 66 days last quarter. Supported by disciplined working capital management led by improved inve ntory and receivables efficiency, the overall cash conversion cycle has continued to be main tained within a disciplined range, supporting overall liquidity and operating flexibility.
In the interest of time, I will break down th is performance for the qua rterly numbers. You can refer to our earnings presentations for full-year performance numbers. So coming to the further breakdown of the standalone sales for the quarter , KOEL's standalone sales post the restructuring were at INR1,522 crores, that is 24% growth year-on-year. This strong momentum was backed by double-digit growth across all business units.
So within B2B, Power Gen was at INR708 crores , that is 30% increase year-on-year. Industrial was at INR371 crores, 24% increase year-on-year . Distribution and afterm

arket was at INR281 crores, which is 20% increase year-on-year. A nd international business of B2B was at INR162 crores, that is 10% increase year-on-year.
Now looking at consolidated performance for the quarter. The revenue from operation at INR2,116 crores for Q4 FY '26 versus INR1,749 cror es for Q4 FY '25, that is 21% increase year-on-year. Net profit from continuing operations at INR162 crores for Q4 FY '26 versus INR111 crores for Q4 FY '25, that is 47% increase year-on-year.
Let us have a look at consolidated segment performance for the quarter now. B2B segment revenue for the quarter was at INR1,557 crores, which is 25% growth year-on-year. The segment PBIT was at INR152 crores, reflecting 35% incr ease year-on-year. B2C segment revenue for the quarter was at INR339 crores, which is 11% growth year-on-year. The segment PBIT was at approx INR42 crores, that is 16% increase year-on-year.

Financial service segment revenue for the quarte r is at INR221 crores, reflecting 8% year-on-year growth. The segment PBT was at INR28 cror es, that is 157% increase year-on-year. Please note numbers discussed here represent continuing operations only and before exceptional items.
To conclude, I would like to sincerely congrat ulate the entire KOEL team for their contribution to the strong performance. The progress we have achieved this year is a reflection of the collective commitment, resilience, and execution capability across the organization. As we close this financial year, we are now preparing ourselves for the next set of milestones in our 2B2B journey.
Our approach will continue to be steady and disc iplined, staying focused on our long-term goals, taking one step at a time, and remaining agile as we navigate the evolving business environment.
Now I would like to open the floor for the Q&A. Thank you.
Moderator: Your first question comes from the line of Jeet u Punjabi with EM Investco Capital Advisors.
Jeetu Punjabi: Hi Gauri, Rahul, and team. I th ink tremendous performance and ve ry satisfying to see the way you guys have scaled up and managed to get to th is place. So congratula tions on that. My first question really is that, you know, the export side numbers seem very st rong. Question is, can you give some level of attribution to help us understand where's that growth coming from and two, your thoughts on sustainability of that? I've go t a second question, I'll answer -- I'll ask after we talk about the first one.
Rahul Sahai: Hi Jeetu. So thank you for the inputs and really appreciate that. On the international side, so our

Fluid Dynamics business has done extremely we ll last year. So seen tremendous growth. As we've been explaining over the quarters, our game plan is deeply structural for each region. So we take a deep look on, you know, where should we play, how do we succeed in those markets, what is the regulatory environment. So there is a lot of ponderance before we make decisions to commit to a market.

And once we do, then the entrenchment is fairly sustainable. So the way I would answer the question is, do we think this is sustainable? We w ould believe that this is sustainable. In fact, there is a lot more work that is still underway. An d if I look at the split, Power Gen continues to be a very big opportunity on the international si de. We continue to be focused on that. This time around, we've seen significant success on the pump side as well as on the Power Gen side in the INR1,000 plus crores in gross sales.

Jeetu Punjabi: I really appreciate that. The second question is really, can you talk a little bit about the market share gains in the high horsepower segment? I do n't specifically ask for numbers, but I'm just more color on what's happening there and especially Optiprime, how is that shaping up and what does the order book look like?

And one more linked question broad

l y is with the war and potential fuel price hikes and all the other stuff, can you just again tell us what you think are the -- any of the challenges that you expect in the environment for our business over the next 6-9 months?

Rahul Sahai: Right. So Jitu, just on Optiprime and our HHP fo cus, if I look at the way we've progressed over the last one year, we are already making strides, I would say significant strides, whether it is Optiprime or HHP. So we have sold units up to 3,000 kVA now. So all of that is already underway and we have actually sold a few hundr ed Optiprimes last year. So that has been extremely encouraging for us as the management team as well as the teams within the organization. And we do believe that the moment we enter a pa rticular node or market and definitely domestic first, we have an opportunity to succeed ther e. And the HHP segment in Power Gen has been not very different. So we do believe that we will continue to grow stronger there. As far as the current geopolitical situation is concerned, we may see short to medium-term structural changes play out. I think we are keenly watc hing out for the macro environment.

But what I can assure you is whatever happens won't be specific or unique to us. I think if there is a larger macro play that happens or if ther e is, you know, there's something that happens, then we may face some headwinds, but we may also see tailwinds in the form of rebuilding of infrastructure in those respective regions.

The good news for us is that look, we committed to the Middle East market a few years ago and we are present. So each time, I mean, if there -- once the rebuilding process starts and as and when it starts, we are present there to address that growth in the market.

Jeetu Punjabi: Thank you very much and good wishes as always. Thank you.

Rahul Sahai: Thank you, Jitu.

Moderator: Thank you. The next question comes from the lin e of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: Yes, hi team. Thanks for the opportunity and congratulations on a strong set of numbers. My first question is on the R&D and the overall produ ct development side. Now, you know, glad to hear your earlier comment on Optiprime picking up very well. But just on that bit, are there any more products that we are working on over the next, let's say, one to three years, which can drive the growth further up or maybe even variants of the existing ones which can see a ramp up over the coming years?

Rahul Sahai: So I may not be able to give out informatio n about the product launches and the engineering development, but what I can say is that we are deeply focused on key customer segments and their requirements and we are fully geared and eq uipped to develop the products that the market requires.

Ankur Periwal: Okay. Let me rephrase my question. So you did mention you're selling units up to 3,000 kVA. So the incremental focus is on going beyond 3, 000 kVA as well or within 3,000 kVA, our portfolio is reasonably placed an d we believe there is no furthe r new product investment required there?

Rahul Sahai: So we have the capability to address nodes even beyond 3,000. What I did mention was where we have actively sold units. We have capability. As you're aware, we are executing order of Nuclear Power Corporation, 10 units, each unit is 6.3 megawatt genset . So we do have the

capability to address larger units. I was just talking about the routine products.
Ankur Periwal: Okay, sure. That's helpful. Second bit on, you know, very strong growth on the industrial side for us. How is your -- what is your growth ou tlook across industrial as well as distribution revenue going ahead? While till now the growth, you know, as in the initial comments we highlighted was less by -- was led by cons

tructi on, but are these the key segments which will drive the growth further ahead as well or there co uld be more sub-segments that we will look to ramp up?
Rahul Sahai: So our guidance overall, we remain committed to the 2 billion guidance and industrial and aftermarket have an important role to play as we move and progress towards the 2 billion milestone. As you're aware on the industrial side , we have multiple segments. There is a game plan in place for each of those segments. Depending on the year and the cycle we're in, some of those segments will do better than others. But I wouldn't be able to call out anything more than that at this point.
Ankur Periwal: Okay, fair enough. And just last question, fro m -- the company's investments into the sub-segments in terms of having the people, the te ams, the network in place. Are most of the investments there we have already invested ther e and now we just need to see the ramp up and the execution part, or there could be so me more investments which are required?
Rahul Sahai: As you're aware, the situation does change quite a bit. So we may make decisions to hire more people depending on the circumstance. So it's hard to really comment on that. But yes, there is a significant amount of infrastructure as well as network already establis hed that we are fully leveraging at this point.
Ankur Periwal: Okay. Thank you for all the answers and all the best.
Moderator: Thank you. The next question comes from the line of Jason Soans with IDBI Capital. Please go ahead.
Jason Soans: Yes, thank you so much for taking my questions. Fi rst, just had a clarification, I just joined the call a bit late. Gauri ma'am did mention that th e whole -- how much the industry grew and the volumes. Could you just repeat that?
Gauri Kirloskar: Yes, sure. You want me to repeat that bit of the commentary? I said that while the overall annual diesel generator market grew 18% to approximate ly 1,79,000 units includ ing telecom, we grew by 41%, selling upwards of 50,0 00 units in this fiscal year.
Jason Soans: Sure. Thank you so much, ma'am, for that. Yes, that 's very helpful. Now, I just also -- my next question just pertains to, I mean, we saw good growth on the Power Gen side, 32%, and 22% on the industrial side. Just wanted to know if you c ould just help us with the volume growth as well for both these segments for the entire year?

Rahul Sahai: I think Gauri's kind of answered the volume part of it. So what exactly is the question?
Jason Soans: Yes, I just wanted to know, I mean, so Power Gen segment grew by 32% for '26 and industrial grew by 22%, and there's a CPCB element and all those things. So just wanted to have a breakup with the volume and the price growth, if possible?
Rahul Sahai: Yes, we won't be giving that here.
Jason Soans: Okay, sure. Okay. And actually la st time around in the last annu al call, you did mention the HHP sales numbers. Would it be possible to have that number for '26?
Rahul Sahai: So yes, that number we don't usually give out. So I'm sorry, we won't be able to share that. I think the qualitative on HHP we did sh are right in the beginning of the call.
Jason Soans: Yes. Okay. And I also saw the announcement with regard to the capacit y augmentation at the Kagal plant. Now, you've mentioned some capex as well for that. Now, considering that, could I, you know, basically what capex do we envisage for '27 and '28 going ahead?
Sachin Kejriwal: So you must have read this stock exchange di sclosure. So we are investing close to INR1,400 crores on that. So that will be our capital allocation for this next two years.
Jason Soans: For both the years. Yes, okay. A nd just lastly, just wanted to understand this time around, there have been, you know, the Middle East crisis and things like that, the gas crisis as well. Any short-term disruptions during the qu

arter? Did the company face any short-term disruptions during the quarter?
Rahul Sahai: No, nothing specific.
Jason Soans: Okay. Sure. I'll join back the queue for further questions. Thank you so much.
Moderator: Thank you. The next question comes from the lin e of Mihir Manohar with TRUST Mutual Fund. Please go ahead.
Mihir Manohar: Yes, hi. Thanks for giving the opportunity, an d congratulations on great set of numbers, very strong numbers. I wanted to understand on the cap acity addition side. I mean, the 50,000 engines

that we're are expanding for Kagal. So, I mean , should one consider that coming operational
second half FY28, because in 2024, you had mentioned it to come in three years. So, when should we expect that 50,000 engines to come on stream?
And second question was on the 20,000 engines cap acity expansion that you are announcing.
Now, here we are mentioning about INR1,400 cr ores of capex versus for 50,000 machines, it was INR700 crores capex. So, are these on the HHP side? I mean, why a higher number for machine, capex for machine? So just to understand that.
Gauri Kirloskar: Yes, so that's a good question. So, we announc ed the INR700 crores like you mentioned and that's coming online by April of next year and 50,000 engines. But that was about enhancing our lines, and adding new lines in the existing plant. So that's why you saw that, kind of, investment.
Now for this INR1,400 crores investment that we 're taking on over the next two years for 20,000,

it's because it also includes a new building, of course, at the same site. So, there's no land acquisition involve, it's still at our Kagal plant, but it's a new building and of course completely new lines and equipment.
Mihir Manohar: Okay. So that's because of the building, which is involved.
Gauri Kirloskar: Sorry?
Mihir Manohar: Sorry?
Gauri Kirloskar: Does that answer your question?
Mihir Manohar: Am I audible?
Gauri Kirloskar: Yes.
Mihir Manohar: Yes, okay. So that's because of the building involved. It's not the case it's for higher HHP machine, or a typical higher categor y of machine, that's not the case?
Gauri Kirloskar: It is also for higher machines, but it involves all of these things. So, as you can see from the results, we are seeing traction in international markets, we are seeing traction in the high horsepower segment, as well as Optiprime . So, it is for those kinds of engines.
Mihir Manohar: Understood, sure. Second question would just be on the Vizag side . I mean, a lot of data center capacity coming at Vizag location. If you can provid e some clarity as to are we getting inquiries specifically pertaining to this location, and how strong are these inquiries? Some color around that will be helpful.
Rahul Sahai: So, look, we are engaged with different kind of cu stomers, and there are inquiries from all over. I wouldn't say Vizag is any different from that at this point in time. However, it's hard to comment on that.
Mihir Manohar: Understood, sure. That's it from my side. Thank you very much.
Moderator: Thank you. The next question comes from the line of Teena Virmani from Motilal Oswal Financial Services. Please go ahead.
Teena Virmani: Yes, hi. Thanks for taking my question, and congra ts Gauri, Rahul, and the team for a great set of numbers once again in the quarter. My first question is related to the margins. So, we have seen very good growth in revenue across divisions . So, wanted to understand when can we start
witnessing the operating leverage gains? Because you had mentioned in the past that you were investing in the sales channel ne twork, educating your distribution network and everyone on the new and the high HHP products.
So, are these investments done, which is leading to let's say the higher other expenses, which we have seen in this year? So, are these investments done, or they are more to b

e done in the coming
quarters, and when can we see actually the redu ction in these other expenses, which can drive your operating leverage gains? So, that's my first question.

Rahul Sahai: Hi, Teena. So, look, see each of the nodes, th e kVA nodes have their own associated margin profile. So, overall, what we shar e is a composite number. Now, what you would see is that there is absolutely no margin deterioration, and in certain nodes we've seen operating leverage also kick in.
The way I can answer that question right now is a lot of the investments are made, but as you're aware, we've kicked off this new capacity enhanc ement investment. So, there is a lot of traction that we also are receiving on the international side for, which we are gearing up for and we probably will see larger operating leverages kick in soon.
Teena Virmani: Okay. So that can start panning out maybe from FY27 onwards.
Rahul Sahai: Yes, I mean, our full intention is to maximize on operating leverage, yes.

Teena Virmani: Understood. And my second question is rela ted to your Power Gen business. You have mentioned that you are growing very well in the HHP side with growth in your Optiprime and the other HHP ranges. How do you see the growth in the non-HHP portfolio for FY27 and going ahead? How do we see this segment to grow goi ng forward given that we already have a very high base for the industry also as well as for KOEL also?
Rahul Sahai: I mean, it's going to be hard for me to give an outlook, but what I can certainly say is that, look, we will continue to strive our best and focus on our core bread and butter business, which is LHP. So that certainly will remain a big focus area as we look to unlock new avenues, especially on the projects and HHP side. So, we're very committed to the LHP business.
Teena Virmani: Understood. So, this will grow in line, or maybe a little better than the industry growth for this year also, FY27.
Rahul Sahai: We will certainly try for that.
Teena Virmani: Okay, okay. Just lastly on the cost side, we have seen higher RM prices across the board for the entire industry. Do you see that the market is strong enough for absorbing any, kind of, price hike if industry participants were to take any kind of price hike for RM pressures?
Rahul Sahai: I think each company has its own strategy. So, it' s hard for me to comment, but I think some of the material cost inflation is such that it's going to be hard for players to absorb all of it themselves. So, some of it will certainly get passed on to the market.
Teena Virmani: Understood. I'll come back with fo llow-on questions. Thank you so much.
Moderator: Thank you. The next question comes from the lin e of Suraj Malu with Catamaran. Please go ahead.
Suraj Malu: Hi, thank you very much for this opportunity. Ma'am, of the INR1,400 crores capex that we have announced, is it fully new, or is there any replacement amount involved in this?
Sachin Kejriwal: Yes, Suraj, this is fully new capex, nothi ng replacement.

Suraj Malu: Got it. And the INR700 crores capex that is underway, so the current gross block I assume would be around INR2,000 crores. So, is this understand ing correct that this INR2,000 crores gross block would become plus INR700 crores and pl us IINR1,400 crores? So roughly, like, INR4,000 crores after two, three years?
Sachin Kejriwal: Yes, once we complete the capex cycle.
Suraj Malu: Got it. So that INR700 crores, nothing is in cluded in the current gross block, right?
Sachin Kejriwal: No, no, nothing.
Suraj Malu: Got it. And if we look at the amount, is the new capacity of this current 20,000 engines that is announced, is this primarily HHP, because the amount is huge if we look at the current capacity of 1,35,000 and the current gross block, the proporti ons don't add

up, like, the increase in engine capacity is just 15%.
Sachin Kejriwal: So, Gauri has already answered that. So, it's a combination of both. So, we are investing in the building in existing Kagal facility, plus and larger capex will go towards the building HHP capacity enhancement.
Moderator: Sorry, sir, the line for the current participant has dropped from the queue. We'll move on to our next question. The next question comes from the line of Amit Anwani from PL Capital. Please go ahead.
Amit Anwani: Hi, thanks for taking my question. I just saw th e press release on the Netherlands subsidiary. So, if you could elaborate more, I think you have highlighted about some heat engines and ICE engines as a product plus some energy transiti on products. Just wanted to understand what we're trying to achieve with this subsidiary in Netherlands?
Gauri Kirloskar: Yes, sure. So, given international is a very big co mponent of our five-year go al, it's just important for us to structure ourselves efficiently as we're growing to create value for our stakeholders. So, it's in line with that.
Amit Anwani: Right. So, a second question on the data center. Just wanted to understand in terms of capability and $2 billion goal, how much we are factoring in, in terms of the data center growth addressable market in terms of higher nodes in the data ce nter. Some color definitely would help, and how has been at least the growth in the past, the targets for growth from the data center piece, that will help?
Rahul Sahai: Sure. So, look, I cannot give out how much we ar e factoring in the $2 billion from a data center segment contribution standpoint, but the response th at we've received is quite encouraging. We remain committed to the segment. We do believe th at we have a unique proposition for the data center segment, and we're hoping that we get mo re traction as we move along. But we've seen successes even in the last year.
Amit Anwani: Right. Lastly, you did highlight a bout the capex and the internationa l leg will also is something, which you're considering while doing this capex. So, could elaborate more, which markets and

nodes you're actually trying to address with th is capex? Anything, which is there to understand in terms of any particular markets or nodes you're looking for?
Rahul Sahai: It's focused on HHP markets in Power Gen mostly. So, that will be the key theme of the capital deployment.
Amit Anwani: Which any particular geographies you're looking at initially?
Rahul Sahai: So, at this point we can't give that out, but of course, the capacity is being set up for whole of KOEL to use, yes, across the board.
Gauri Kirloskar: Yes, it's across the board. So, it's not that we're only setting up the capacity for a specific geography. It would be for any dema nd that we see across our markets.
Amit Anwani: Right. Thank you. Thank you so much for answering. Thank you.
Gauri Kirloskar: Thank you.
Moderator: Thank you. We will take our next question comes from the line of Mr. Suraj Malu from Catamaran. Please go ahead.
Suraj Malu: Yes, thank you very much. Sorry, I got dropped off. So, my question was on the proportion, the capex that we have announced, roughly double of the current gross block including the INR700 crores and INR1,400 crores. So, what is the asset turn that we can expect on this gross block?
Gauri Kirloskar: So Suraj, Sachin will answer the question on a sset turns, but I think you dropped off, and what he was saying, and what we had mentioned befo re as well was that the difference in INR700 crores and INR1,400 crores , even though one is 50,000 engines and one is 20,000, is because this one includes a new building as well at our existing Kagal land, and it's for the high horsepower engine. So, I just wanted to make sure that you heard that, and Sachin will answer the second part of your question.

Sachin Kejriwal: So Suraj, asset turn will in the range of 4% to 5% depending upon the nodes.
Suraj Malu: Understood. On the total base, right, including the land and everything.
Sachin Kejriwal: Yes.
Suraj Malu: Okay. Yes. Thank you very much.
Moderator: Thank you. The next question comes from th e line of Palak from MIV. Please go ahead.
Palak: Hi, am I audible?
Moderator: Yes, ma'am, you're audible.
Gauri Kirloskar: Yes. You're audible.

Palak: Yes, okay. So, my first question is on the short-term margin. So, with all the commodity inflation situation, are we comfortable that we will be able to sustain this level of gross margin?
And second question is that, I think approximat ely 40% to 50% of our export revenue is from the Middle East market. So, what was the impact on this quarter and the next quarter what we are expecting?
And the last question is that can you give us the proportion or the contribution of HHP to our Power Gen segment?
Gauri Kirloskar: So, on the last question has been asked before on the call as well, but I'm sorry, we're not going to share that data, Palak, on the HHP bit. On your first question on raw material inflation, I think we're in a pretty sort of turbulent period or perh aps going to be entering a pretty turbulent period.
And I think every effort will be made for us to focus on long-term growth and maintaining our margins and keeping them sustainable.
So -- but as we know it's a turb ulent period, and hopefully, that only remains for the short term.
I think in terms of the demand drivers in our industr ies, we do feel that they are remaining strong.
So, we feel we're in a good position. And it's not anything that we're going to go through in an isolated way. On your second que stion, which was on Middle East...
Palak: Yes, Middle East.
Gauri Kirloskar: Could you repeat the question, Middle East, you were saying, or I think what you said was 40% to 50% of our international revenues are from Middle East. And have you seen any impact, right?
Palak: Yes. Correct.
Rahul Sahai: Yes. So, in the last quarter, we've not really seen any impact. It would be hard to comment on this quarter, the subsequent quarters. But in th e last quarter, we haven't really seen impact.
Palak: Okay. Sir, just last question. So, considering th e current energy crises situation, are we seeing the demand on the gas-powered power generators? Or do we have a strong portfolio in that

segment?
Rahul Sahai: Look, we have a pretty strong portfolio ac ross the board company something that we would back. And every demand and every opportunity that comes up, we will go out and strive to meet that demand.
Gauri Kirloskar: And I think what I would add to Rahul's comment s is we developed engines that run on different fuels and it was defined in our technology track, so about 3 years ago it's in our investor materials where we talked about developing internal co mbustion engines that run on gas or ethanol, methanol or blends of hydrogen, etcetera. So, if there is demand that picks up for any of these alternative fuels, then we are ready to address that.
Palak: Have you seen any pickup in the inquiry for this specific segment?

Rahul Sahai: Which market are you looking about?
Palak: I mean the alternate engines power generator.
Rahul Sahai: I would say that there's nothing meaningful to talk about as far as this conversation is concerned. We are obviously hopeful, but nothing meaningful at this point.
Moderator: Your next question comes from the line of Parikshit Kandpal from HDFC Securities.
Parikshit Kandpal: Hi Gauri and Rahul. Congratulations on a great quarter. hope I am audible?
Gauri Kirloskar: Yes, you are audible.
Parikshit Kandpal: So, my first question is on, I mean, we have se en a substantial increase in

copper prices. And
now this last quarter, we have seen almost 15% increase in pre island pri ces. So, have you taken any price hikes already for this correction? So, if you can bifurcate between the copper and the pig iron because pig iron is a recent phenomenon. So just your views on that?
Gauri Kirloskar: We won't be able to comment on that because it pertains to this quarter.
Parikshit Kandpal: What about copper because copper has been ri sing throughout the year, so last financial year have we taken any price hikes?
Gauri Kirloskar: So, when -- as and when there is raw material -- I mean we continue to evaluate our pricing policy, and we take price increases at regular periods. Yes, that's where we are.
Parikshit Kandpal: Can you quantify how much price hike you have taken in FY26?
Rahul Sahai: No. We can't.
Parikshit Kandpal: Okay. Sure. Second question is on HHP side. So, is this engine totally localized, meaning are we manufacturing it in house, especially on the HHP portfolio?
Rahul Sahai: Yes.
Gauri Kirloskar: It's developed by our own engineerin g teams and its completely localized.
Parikshit Kandpal: Just one question on the needle and investment s which are doing, I think you mentioned about gas turbines, transformers, energy storage solutions. So is it the research which will go into and the product rollouts will happen in some year s. So how does one look at this, which comments that you have given on the background of the re search you're going to undertake on this?
Gauri Kirloskar: We could say your question very clearly. Sorry, could you just speak a little slower and more clearly?
Parikshit Kandpal: Yes. So, in the announcements on the incorpora tion of the new entity Netherlands, you have given a brief background about the businesses whic h will happen in this. So, there's a mention of gas turbines, transformers, energy storage solu tions, including batteries. So just wanted to

understand a little bit more . Is this new business line when we will do manufacturing here or is it in a very initial stage can give some more color on these new verticals.
Rahul Sahai: Yes. So, look, we've outlined our technology pa th. And there is a focus on different combustion technologies also, but there's nothing signifi cant to speak about at this point in time.
Gauri Kirloskar: And I think you're also referring to the format, which is disclosed, and that's the incorporation of a company. Usually when we define that, it concludes everything that we could possibly do, doesn't necessarily mean that we will do it.
So, looking at international, looking at the pow er systems space, that can involve a range of technologies over time, which is what we're trying to address in the description. It may not be where we are today. Does that make sense?
Parikshit Kandpal: Yes, understood. Understood transpiration. So, it may happen and not happen is what you're saying.
Gauri Kirloskar: Exactly, exactly.
Parikshit Kandpal: The last question on the power gen revenues. So, if you can give us some color on what was the

data center contribution on -- and how are you l ooking at the journey from Colo to. So what's
the presence in Colo right now? Edge and how are you looking to get into the hyperscalers?
Rahul Sahai: Yes. So, I think some sense that question is leading. But yes, so we are present in Edge and
Colos, and we are solely also making our presence in hyperscalers, too. It would be premature
to give out those contributions at this point in time. So, I would reserve my comments here.
Parikshit Kandpal: But will it be single, double di git, only double digit, any color at least on the contribution of
everything on the power gen revenue base?
Rahul Sahai: I mean, we certainly sight for double digit as far as contribution is concerned, but yes.
Moderator: Next question comes from the line of So

urabh Arya with Oaklane Capital.
Sourabh Arya: Am I audible?
Rahul Sahai: Yes, go ahead.
Sourabh Arya: Congratulations, Gauri, Rahul, Sachin and to th e whole team. My question is actually, of course,
you have not commented on the new products, et cetera. But I want to understand from you like
in terms of R&D, how, as a percentage of sales, it is going up for us? Or if you could talk about
any patents, etcetera, in terms of number of patents, which are increasing for the company or
not?
And why I'm asking this is, I came across this latest patent, which was on maybe hybrid
generators. And of course, Rahul' s name was there. So, it's quite encouraging to see CEO of the
company and it is there on the patent. So maybe some thoughts on how R&D and new products
will come together if you could show something like there?

Rahul Sahai: So maybe we'll talk about R&D as a per centage of sales, maybe Sachin you can.
Sachin Kejriwal: So, Sourabh, R&D as a percen tage of sales is roughly 2% on the revenue side and 2% on the
capex.
Sourabh Arya: So, is there any increase there, year-on- year? Are you putting more efforts there?
Sachin Kejriwal: Yes, yes. So, it's steady at 2%. But with our sa les pattern is going up, so R&D expense is also
going up because we are taking the same rate of 2%, 2.5%.
Sourabh Arya: Okay. And second, I think, Gauri, at the start of the call commented that international is now
more than export. So, does it mean Kirloskar' s Americas portion of business is doing well, if
you could comment on that? Because we've been in Americas for quite a long time and after, of course, Middle East, how the
tr action is happening there?
Gauri Kirloskar: No, no. So, I didn't say internat ional was more than export. I wa s just saying that the way we
look at our business outside of India is what I call international rather than export, just the
difference between the two, say, business models . Exports is when you make locally when you
ship out to like an agent or a distributor and you just -- you have no presence there yourself.
Versus an international business, which is what we are trying to build, which is we will first
understand each market very deeply before we decide how we're going to enter and then we
actually have to invest in capability and people and possibly set up some sort of manufacturing
there perhaps and then we're deeply entrenched in that geography. So that's what my
commentary was about. So I'm not sure I understood your question.
Sourabh Arya: I was trying to understand I mean to say how Ki rloskar America is doing now. Like in this year
has it done well then other regions because of cour se we'll have to wait for annual report for it
to come, but if you could give some qualita tive colour how that has done for you?
Rahul Sahai: I think this past year Kirloskar Americas has been, I mean, there's a lot of effort that we are
putting in the Americas region, but at this point in time, you may not, I mean, there's nothing
meaningful or significant to di scuss at this point in time.
Sourabh Arya: Sure. I am saying very lastly in terms of single engine, can you tell us like what is the exact size
of single engine you are selling right now like I know Optiprime series is there which can take
you to 3,000 and all, but in terms of single engine, what is the maximum capacity you are selling?
Rahul Sahai: So like our nuclear power execution is single engine 6.3, like basically around 8,000 kVA, 6.3
megawatt.
Sourabh Arya: Okay. Sure and then for data centers, etcetera?
Rahul Sahai: For data centers right now we go up to 1,650 in single engine and I mean, obviously we are on
track to increase that as well.
Sourabh Arya: Perfect. Thank you very much. All the best to the team.

Rahul Sahai: Tha

nk you.
Gauri Kirloskar: Thank you.
Moderator: Thank you. The next question comes from the lin e of Prateek Shrivastav a from Nivesh Wisdom.
Please go ahead.
Prateek Shrivastava: Yes, thank you sir and ma'am for the opportuni ty for taking my call and again wish you
congratulations again on the very great set of nu mbers. Today there is some problem with this
conference line, I'm not sure if the moderator is seeing that, but calls are getting disconnected.
So I'm not sure if any question on Arka's asset quality was taken. But in Q3 concall, the GNPA numbers were 1.2 and the
NNPAs were 0.3. Can you please provide what are the updated
numbers as of today fo r GNPA and NNPA on Arka?
Gauri Kirloskar: Ridhi are you there? Can you answer?
Ridhi Gangar: Yes. So the GNPA number for Arka as of 31st March 26 is 1.2, so it remains at the same level.
And NNPA also remains at the same levels of December, which is 0.3%. And in absolute terms,
the GNPA has actually come down.
Prateek Shrivastava: Great to hear that. The other question was on th e order value. I guess Ra hul sir mentioned that
in last Q3 concall, this was the order around the nuclear NPCIL and the marine order. I guess
the combined order at that point was INR798 crores. The execution was 2-year timeline. Any
update on the execution of this order and are we on track?
Gauri Kirloskar: The NPCIL order execution is by 2029.
Prateek Shrivastava: Okay. And is there any update? Are we – is there like any are we actively working on it or we've
got to start any kind of any colour you can throw on the execution timeline?
Gauri Kirloskar: Yes. All the teams are actively working very hard on it because the execution is absolutely
critical for us to do on time and it gets tracked on a regular cadence, it's project managed and we
are on track to deliver it by the timelines that we have committed to.
Prateek Shrivastava: Got it. And do we have any like quarte rly revenue recognition in this order?
Gauri Kirloskar: I mean, as the billing happens, yes, we will recognize revenue.
Prateek Shrivastava: Okay, but that hasn't started happening yet, right?
Gauri Kirloskar: No.
Prateek Shrivastava: Yes, okay. Thank you, ma'am, for the answers and again all the best for your continued future.
Gauri Kirloskar: Thank you for good wishes.
Moderator: Thank you. The next follow-up comes from the li ne of Jason Soans with IDBI Capital. Please
go ahead.

Gauri Kirloskar: Since it's 8:00 PM, could we request th at this is the last question, please?
Moderator: Sure.
Jason Soans: Yes. Ma'am, just final two questions. Just you did highlight some segments which are
contributed to the growth in industrial. Now for the same thing, I just wanted which is the areas of strength for PG, for
Powergen and some areas of strength, any weakness in certain areas, just some qualitative color on demand for the PG
segment.
Rahul Sahai: So look we take a lot of pride in the fact that we can offer solutions that are practical to our
customers. So I mean, if there were weakne sses, we would certainly try and plug those
weaknesses over a period of t ime. We are focused on -- focusing on our high horsepower
customers, that remains a consistent focus. So I think I won't be able to comment more than that
right now.
Jason Soans: No, actually I wanted to say in terms of segments. It's not that the portfolio, I meant in terms of
let's say residential or hospitality or certain segments, that's how I wanted to approach the
question in terms of industry verticals?
Rahul Sahai: Yes, I mean, so it's actually, I mean it’s actuall y pretty broad-based. So it becomes pretty hard
to answer it like that, but it's pretty broad-based.
Jason Soans: Okay. Sure. And just finally, the 14 billion capex, the peak revenue potential, what can it be and
in how many years can it be some broad colour on that. The 1

4 billion, what is the peak revenue
potential and how many years you aspire to eventually reach it?
Sachin Kejriwal: So the capex which we have announced is INR1 ,400 crores and what we said that we are
targeting to complete the capitalization in next 2 years. So from therein the revenue will start
kicking in our P&L.
Jason Soans: Right. Yes. So what could the peak revenue be for that?
Sachin Kejriwal: So at the asset turn of 4, you can calculate it will be close to 5, 000 crores, 6,000 crores.
Jason Soans: Sure. So asset turn of 4. Sure. Thank you so much for answering my question. Thank you.
Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today. I now hand the
conference over to the manage ment for closing comments.
Gauri Kirloskar: Yes, thank you very much for all your complimen ts to the team and thank you for your interest
in the company. Good night.

Moderator: Thank you. On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you everyone for joining us and yo u may now disconnect your lines.